



SUPREME COURT REPORTS

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E-mail: editorial@sci.nic.in

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Contents

1.	U.P. Junior High School Council Instructor Welfare Association v. State of Uttar Pradesh & Ors.	323
2.	Mohtashem Billah Malik v. Sana Aftab.	352
3.	Rupesh Kumar Meena v. Union of India & Others	362
4.	Vinit Bahri and Another v. M/s MGF Developers Ltd. and Another	370
5.	Shashin Patel and Anr. v. Uday Dalal and Ors.....	381
6.	Reginamary Chellamani v. State Rep by Superintendent of Customs	398
7.	Amit Kumar & Ors. v. Union of India & Ors.	402
8.	M/s. Nav Nirman Builders & Developers Pvt. Ltd. Through its Managing Director, Naveen Singh v. The Union of India Through Deputy Director, Directorate of Enforcement, Govt of India Ranchi, Jharkhand.....	406
9.	V. Pathmavathi & Ors. v. Bharthi Axa General Insurance Co. Ltd & Anr.	436
10.	ITC Limited v. Aashna Roy.	455
11.	Pramod Kumar & Ors. v. State of Uttar Pradesh Ors.....	481
12.	State of West Bengal & Ors. v. Jai Hind Pvt. Ltd.....	497
13.	Dorairaj v. Doraisamy (Dead) Through Lrs & Ors.....	545
14.	P. Suresh v. D.Kalaivani & Ors.	558
15.	Tharammel Peethambaran and Another v. T. Ushakrishnan and Another.....	576

16.	N. Manoharan, Etc. v. The Administrative Officer and Another . . .	596
17.	Hemlata Eknath Pise v. Shubham Bahu-uddeshiya Sanstha Waddhamna & Ors.	610
18.	Union of India Through its Secretary & Ors. v. SGT Girish Kumar and Ors. Etc.	615

**U.P. Junior High School Council Instructor
Welfare Association**

v.

State of Uttar Pradesh & Ors.

(Civil Appeal No. 758 of 2026)

04 February 2026

[Pankaj Mithal* and Prasanna B. Varale, JJ.]

Issue for Consideration

Whether part time contractual instructors/teachers appointed in Upper Primary School in the State of U.P. are entitled to revision of their honorarium of Rs.7,000/- per month which was fixed for a contract period of eleven months in the year 2013 or would continue to receive the same fixed honorarium for years together or for all times to come without any increment.

Headnotes[†]

Right of Children to Free and Compulsory Education Act, 2009 – *Samagra Shiksha Scheme* (subsumed the earlier *Sarva Shiksha Abhiyan*) – Constitution of India – Article 23 – Part time contractual instructors/teachers were appointed in Upper Primary School in the respondent-State under the scheme on a fixed honorarium of Rs.7,000/- per month for a contract period of eleven months in the year 2013 – They were continued even after the expiry of the aforesaid contractual period on renewed basis, year after year, but their honorarium remained fixed at Rs.7,000/- per month despite recommendations being made by appropriate authorities for its enhancement – Writ petitions filed by the instructors/teachers – Single Judge directed for the payment of Rs.17,000/- per month w.e.f March 2017 – However, Division Bench directed the State Government to pay honorarium of Rs.17,000/- per month for the year 2017-2018 only – Interference with:

Held: Appointment of the part time or contractual instructors/teachers no longer remained contractual in nature once the contract period of eleven months for which they were initially

* Author

Supreme Court Reports

appointed or the extended contract period stood expired – They were not even part time instructors/teachers as they were specifically prohibited for taking any job or part time employment elsewhere during their spare time – In fact, these instructors/teachers having continued continuously for over ten years in a row are deemed to be employed permanently against deemed substantive posts, as with the passage of time and keeping in mind the continuity of the work, such posts stand automatically created – The honorarium payable to these instructors/teachers cannot remain stagnant and the same is revisable periodically at least once in three years – Any action of the State/Union Government to employ instructors/teachers on a fixed honorarium of Rs.7,000/- per month as was initially fixed in 2013-14 amounts to ‘Begar’ and unfair practice violative of Article 23 of the Constitution – Part time contractual instructors/teachers appointed in the Upper Primary School in the State of U.P. are entitled to revision of their honorarium of Rs.7,000/- per month which was initially fixed for the contract period of eleven months in the year 2013 – Said revision has to take place, if not annually then periodically as per the discretion of the Project Approval Board (PAB) – Since the PAB for the year 2017-18 had determined the said honorarium to be Rs.17,000/- per month, all instructors/teachers appointed under the scheme are entitled for the payment of the same at the rate of Rs.17,000/- per month with effect from 2017-18 till further revision takes place – State Government shall start paying honorarium to them at the rate of Rs.17,000/- per month w.e.f. 01.04.2026, arrears thereof shall be paid within six months from today – State Government may recover the contribution of the Central Government from the Union of India – Right of Children to Free and Compulsory Education Rules, 2010 – r.20. [Paras 70 (i)-(iii), (vii), 72]

Constitution of India – Article 23 – State’s action of withdrawing a legitimately enhanced wage and then allowing honorarium to remain artificially depressed inconsistent with the spirit of Article 23:

Held: The State’s actions created a condition of economic coercion that is inconsistent with the constitutional safeguards against forced labour – Its action of withdrawing a legitimately enhanced wage and then allowing honorarium to remain artificially depressed

**U.P. Junior High School Council Instructor Welfare Association v.
State of Uttar Pradesh & Ors.**

would, in substance, be inconsistent with the spirit of Article 23 of the Constitution which prohibits all forms of forced labour – The State, under the guise of contractual management or financial constraint, cannot compel labours/teachers to such coercive circumstances – The honorarium fixed for these instructors/teachers under the contract cannot remain stagnant and is revisable suitably on periodical basis and that if once revised and increased cannot be reduced for subsequent periods. [Paras 56, 57]

Right of Children to Free and Compulsory Education Act, 2009 – s.7(5) – Plea of the respondent-State was that under the scheme, the financial burden with regard to payment of honorarium to the instructors/teachers has to be shared by the Central Government and the State Government in the ratio of 60:40 respectively – Therefore, once the State has fulfilled its obligation to contribute 40 per cent of the finances, it was upon the Central Government to contribute the remaining 60 per cent and if the Central Government fails to fulfil its obligation, the court could not have directed the State to bear that burden thus, the High Court misconstrued various provisions of s.7:

Held: Though, s.7 provides for sharing of financial responsibilities between the State/Union Territories and the Central Government and casts a liability upon both the Governments to share the financial burden in such percentage as may be determined from time to time by the Central Government in consultation with the State Government, nonetheless, s.7(5), in unequivocal terms, saddles the State Government with the responsibility to provide funds for the implementation of the provisions of the Act – s.7(5) reveals that the State Government shall take into account not only the sums provided by the Central Government to the State Government but also its other resources and shall be responsible to provide funds for the implementation of the provisions of the Act – Therefore, an onerous duty has been cast upon the State Government to implement the provisions of the Act *vis-à-vis* the payment of honorarium to the instructors/teachers – Therefore, in all earnest, it is primary duty of the State Government to pay honorarium to the instructors/teachers appointed under the Act or the scheme formulated thereunder – Thus, initial burden to pay honorarium to the instructors/teachers is upon the State Government who is

Supreme Court Reports

free to recover the contribution of the Central Government from the Union of India on the principle of “pay & recover” – Principle of “pay and recover”. [Paras 68-70 (vi)]

Right of Children to Free and Compulsory Education Act, 2009 – Project Approval Board (PAB):

Held: The PAB is the sole central authority to manage budget and finances under the Act and the scheme and to fix honorarium for the instructors/teachers appointed thereunder – No other authority has any say in the matter concerning finance and budget consequently in the fixation of honorarium – The PAB having once approved the proposal for fixing Rs.17,000/- per month as honorarium to these instructors/teachers, no authority can sit over such a decision and pass orders contrary to it – The PAB having fixed honorarium to these instructors/teachers at the rate of Rs.17,000/- per month with effect from the year 2017-18, the State Government/Central is not justified in paying them at a lesser rate of either Rs.8,470/- or Rs.9,800/- or at the basic rate of Rs.7,000/- per month. [Paras 70 (iv), (v), (ix)]

***Samagra Shiksha Scheme* (subsumed the earlier *Sarva Shiksha Abhiyan*) – Right of Children to Free and Compulsory Education Act, 2009:**

Held: There is another reason to treat the instructors/teachers appointed in Primary Schools of the State of Uttar Pradesh as teachers at par with other teachers – The part time contractual instructors/teachers appointed in Upper Primary Schools possesses the basic educational qualifications and eligibility as set out by the National Council for Teachers Education which are at par with the norms laid down for appointment of regular teachers – In this view of the matter, the part time contractual instructors/teachers appointed by the State Government under the Scheme are in no way inferior to the regular teachers or the Assistant Teachers appointed otherwise under the scheme – Right of Children to Free and Compulsory Education Rules, 2010. [Para 40]

***Samagra Shiksha Scheme* (subsumed the earlier *Sarva Shiksha Abhiyan*), discussed – Right of Children to Free and**

**U.P. Junior High School Council Instructor Welfare Association v.
State of Uttar Pradesh & Ors.**

Compulsory Education Act, 2009 – Right of Children to Free and Compulsory Education Rules, 2010 – r.20:

Held: The instructors/teachers appointed under the scheme have to be at par with other instructors/teachers and they have to perform not only the academic duties but certain other non-educational duties as well – They are entitled to honorarium at par with the other instructors/teachers – The honorarium payable to these instructors/teachers needs to be revised periodically – This periodic revision has to be done by none other than PAB and its decision is to be treated as final and binding as no other authority or body under the Act or the scheme has any power to sit over its decision and to take a contrary view. [Paras 59-67]

Service jurisprudence – “substantive appointment”:

Held: The term “substantive appointment” is not so defined but in service jurisprudence is considered to mean an appointment, not being an *ad hoc* appointment, on a post made after selection in accordance with the rules and in the absence of the rules in accordance with the procedure prescribed for under any scheme or the instructions of the Government – Therefore, once the instructors/teachers have undergone the process of selection under the scheme regardless of the fact that there existed a post, their appointments have to be treated as substantive in character. [Para 45]

Teachers – Role of teachers in nation-building, discussed.
[Paras 32-37]

Right of Children to Free and Compulsory Education Act, 2009 – *Samagra Shiksha Scheme* (subsumed the earlier *Sarva Shiksha Abhiyan*) – Preliminary objection raised by the State of Uttar Pradesh, relying upon s.24(3), regarding the maintainability of the Writ Petition contending that the writ petitions were not maintainable as instructors/teachers have not exhausted the remedies available under the Act/scheme:

Held: No doubt, the aforesaid provisions make arrangement for a redressal of the grievance of the instructors/teachers but the grievances referred therein are in context with the default in performance of duties by them or in connection with the disciplinary action, if any, taken against them – The provisions of s.24 are required to be read together and not in isolation – Sub-section (3)

Supreme Court Reports

of s.24, as such, cannot be read divorced Sub-section (1) and (2) of s.24 – Moreover, the existence of an alternative remedy under a statutory scheme does not operate as an absolute bar to the exercise of writ jurisdiction under Article 226 of the Constitution – The rule of exclusion of writ jurisdiction on account of availability of an alternative remedy is one of prudence and self-restraint, not of compulsion – Thus, where the facts so justify, the Court retains full discretion to entertain and decide a writ petition notwithstanding the availability of an alternative remedy – Thus, the objection to the maintainability is unsustainable and is overruled. [Paras 28-30]

Recruitment – Regular recruitment – Practice of engaging employees on *ad hoc*, temporary, part time, contractual or as guest to be avoided, government should strictly adhere to proper procedure for regular recruitment:

Held: An *ad hoc* employee cannot be replaced by another *ad hoc* employee, a temporary employee cannot be replaced by another temporary employee, a contractual employee cannot be replaced by another contractual employee and the guest employee by another guest employee – The incumbents working as aforesaid are entitled to preference in comparison to the new candidates, unless there is anything against them – In fact, practice of engaging employees on *ad hoc*, temporary, part time, contractual or as guest ought to be avoided and the Government should strictly adhere to proper procedure for regular recruitment. [Para 44]

Case Law Cited

Rajasthan State Electricity Board v. Union of India [2008] 7 SCR 1025 : (2008) 5 SCC 632; *Harbanslal Sahnia v. Indian Oil Corporation Ltd.* [2016] 5 SCR 731 : (2003) 2 SCC 107; *Jaggo v. Union of India and Ors.* [2024] 12 SCR 1235 : 2024 SCC Online SC 3826; *People's Union For Democratic Rights v. Union of India* [1983] 1 SCR 456 : (1982) 3 SCC 235 – referred to.

List of Acts

Right of Children to Free and Compulsory Education Act, 2009; Constitution (Eighty-Sixth Amendment Act), 2002; Constitution of India.

**U.P. Junior High School Council Instructor Welfare Association v.
State of Uttar Pradesh & Ors.**

List of Keywords

Sarva Shiksha Abhiyaan; Samagra Shiksha Scheme; Part time contractual instructors/teachers appointed in Upper Primary School in the State of U.P.; Revision of honorarium; Honorarium fixed for a contract period; Fixed honorarium; Part time contractual instructors/teachers continued even after the expiry of contractual period; Appointment of the part time or contractual instructors/teachers did not remain contractual in nature once the contract period or the extended contract period stood expired; Not part time instructors/teachers; Prohibition for taking any job or part time employment elsewhere during spare time; Continued continuously for over ten years; Ad hoc appointees; Temporary appointees; Part time or contractual appointees; Deemed to be employed permanently; Deemed substantive posts; Continuity of work; Posts automatically created; Honorarium cannot remain stagnant; Honorarium revisable periodically; Unfair practice violative of Article 23 of the Constitution; Entitled to revision of honorarium; Project Approval Board (PAB); discretion of PAB; State Government may recover the contribution of the Central Government from the Union of India; Principle of “pay and recover”; National Council for Teachers Education.

Case Arising From

CIVIL APPELLATE JURISDICTION: Civil Appeal No. 758 of 2026

From the Judgment and Order dated 02.12.2022 of the High Court of Judicature at Allahabad in SAD No. 660 of 2020

With

Civil Appeal No(s). 759-764 and 765-768 of 2026

Appearances for Parties

Ms. Aishwarya Bhati, A.S.G., P S Patwalia, Ardhendhumauli Kumar Parshad, S. R. Singh, Sr. Advs., R K Singh, Mrs. Neeraj Singh, Kumar Gaurav, Ajay Chaudhary, Ms. Deveshi Chand, Ms. Driyyambika Rao, Tom Joseph, Sanjay Kumar Tyagi, Pawan, Sandeep Singh, Ms. Anita Tripathi, Ms. K. R. Chitra, Ms. Anita Tripathi, Mithilesh Kumar Mishra, Ms. K. R. Chitra, Piyush Singh, R. K. Singh, Mrs. Neeraj Singh, Kumar Gaurav, Ajay Chaudhary, Praveen Pathak, Sanjay Rastogi, Sanjay Kumar Tyagi, Chetan Joshi, Ms. Pankhuri Shrivastava, Udit Dedhiya, Ms. Shreya Jain, Raman Yadav, Sudarshan Lamba.

Supreme Court Reports

Judgment / Order of the Supreme Court

Judgment

Pankaj Mithal, J.

1. Leave granted.
2. Education, that too good education at least up to the primary level based upon values and morals, is fundamental to the progress of the nation.
3. Accepting the above fundamental principle, the Constitution (Eighty-Sixth Amendment Act), 2002 *vide* Section 2, inserted Article 21A in the Constitution of India with effect from 01.04.2010 recognizing Right to Education to all children between the age of 6-14 years.
4. Article 21A reads as under :-

“21A. Right to education. – The State shall provide free and compulsory education to all children of the age of six to fourteen years in such manner as the State may, by law, determine”

5. In furtherance of the above objective, the Right of Children to Free and Compulsory Education Act, 2009¹ was enacted on 26.08.2009 to provide free and compulsory education to all children of the age of 6-14 years.
6. The State of U.P., to promote primary education, adopted the centrally sponsored scheme of *Sarva Shiksha Abhiyaan* (now merged into *Samagra Shiksha* Scheme, launched in 2018) and decided to appoint part time instructors/teachers on contractual basis in Upper Primary Schools (Class VI-VIII) throughout the State of U.P.
7. In order to implement the above programme, the State of U.P. issued a Government Order dated 31.01.2013, contemplating to appoint part time instructors/teachers on contractual basis on a fixed honorarium of Rs.7,000/- per month to impart physical education, education in art and work education. The said Government Order stipulated for appointment of one instructor/teacher for every one hundred students and prescribed the eligibility conditions and the minimum qualifications

¹ Hereinafter referred to as ‘the Act’

**U.P. Junior High School Council Instructor Welfare Association v.
State of Uttar Pradesh & Ors.**

for the appointment of such instructors/teachers in accordance with the norms set out by the National Council for Teacher Education².

8. Under the above programme, an advertisement dated 25.02.2013 was issued by the State of U.P. inviting applications from eligible candidates for appointment as part time contractual instructors/teachers in the Upper Primary Schools of the State.
9. On the basis of the aforesaid advertisement, a vigorous exercise was undertaken for the selection of eligible qualified teachers for appointment as part time contractual instructors/teachers in the Upper Primary Schools. Following the above exercise, a large number of teachers came to be appointed under contracts for eleven months on a fixed honorarium of Rs.7,000/- per month with the condition that these instructors/teachers so appointed would not directly or indirectly take up any part time or whole-time job anywhere else.
10. The instructors/teachers so appointed were continued even after the expiry of contractual period of eleven months on renewed basis, year after year, but their honorarium remained fixed at Rs.7,000/- per month despite the fact that recommendations were made by appropriate authorities for the enhancement of the same. Though, the recommendations so made were partly accepted and even some enhancement was made, but subsequently only the earlier fixed honorarium of Rs.7,000/- per month was continued and paid to them. Aggrieved thereby, they invoked the writ jurisdiction of the High Court challenging the decision of the Executive Committee of the *Shiksha Pariyojna Parishad*.
11. The Single Judge of the High Court of Judicature at Allahabad decided the writ petitions and directed for the payment of Rs.17,000/- per month to such instructors/teachers with effect from March 2017. However, in Special Appeal to the Division Bench preferred by the State, the High Court by the common impugned judgment and order dated 02.12.2022 passed in several such Special Appeals, directed the State Government to pay honorarium of Rs.17,000/- per month for the year 2017-2018 only.
12. Thus, there are eleven appeals preferred against the same common impugned judgment and order dated 02.12.2022 passed by the High

Supreme Court Reports

Court of Judicature at Allahabad. The first Civil Appeal arising from S.L.P.(C) No.9459/2023 is the leading appeal and has been preferred by the Welfare Association of instructors/teachers so appointed. The second set of six Civil Appeals arising from S.L.P. (C) Nos.1744-49/2026 is preferred by the State of U.P. against the very same order. Lastly, the third set of four Civil Appeals arising from S.L.P. (C) Nos. 3331-3334/2024 is by some of the part time instructors/teachers in their individual capacity.

13. The instructors/teachers are aggrieved for the reason that the High Court permitted payment of Rs.17,000/- per month as honorarium to them only for the year 2017-2018 and not thereafter. The State of U.P. is aggrieved for the reason that the burden to pay the said honorarium has been saddled upon it, though, it was also for the Central Government to have contributed the necessary funds to bear that burden and also because of the observations and the findings of the High Court regarding the interpretation of Section 7 of the Act.
14. It is in these circumstances that all these appeals have come up before this Court for consideration raising a common question as to *whether part time contractual instructors/teachers appointed in Upper Primary School in the State of U.P. are entitled to revision of their honorarium of Rs.7,000/- per month which was fixed for a contract period of eleven months in the year 2013 or would continue to receive the same fixed honorarium for years together or for all times to come without any increment.*
15. Undisputedly, all the instructors/teachers possessed minimum qualifications and fulfilled the eligibility conditions for appointment as part time contractual instructors/teachers. They were duly selected and were appointed in various Upper Primary Schools of the State pursuant to the advertisement dated 25.02.2013. They are all continuing to function as such ever since their appointment in the year 2013/2014.
16. The service contract provided that they will be paid a fixed honorarium of Rs.7,000/- per month by the *Zila Basic Shiksha Adhikari* and that the period of their employment would only be eleven months subject to renewal but is silent about the honorarium on renewal of term. It categorically provided that all such instructors/teachers will not directly or indirectly engage in any other whole-time or part time profession or business or enter into the service of any other employer.

**U.P. Junior High School Council Instructor Welfare Association v.
State of Uttar Pradesh & Ors.**

17. Some time in the year 2016-2017, the State Government submitted a proposal to the Project Approval Board³ for enhancement of the honorarium payable to these instructors/teachers to Rs.15,000/- per month. However, the PAB, instead of sanctioning Rs.15,000/- per month, only sanctioned honorarium of Rs.8,470/- per month for the period March 2016 to February 2017. In this way, the honorarium payable to these instructors/teachers was revised to Rs.8,470/- per month for the above period which stood substituted for the honorarium of Rs.7,000/- per month, which was initially fixed. Accordingly, the contract stood impliedly modified to the above effect.
18. In the year 2017-2018, the State Government submitted a fresh proposal to the PAB for the enhancement of honorarium to Rs.17,000/- per month which was approved on 27.03.2017 in the 254th Meeting of PAB. Based upon the aforesaid approval, the Additional Chief Secretary (Basic Education), Government of Uttar Pradesh, issued an order on 02.06.2017 stating that the Government of Uttar Pradesh had accepted the proposal for payment of Rs.17,000/- per month to the part time contractual instructors/teachers for the year 2017-2018. However, despite the approval as aforesaid and the letter of the Additional Chief Secretary (Basic Education), Government of Uttar Pradesh, the necessary funds were not released rather the Executive Committee of the *Shiksha Pariyojna Parishad* of the State reviewed the PAB approval and revised the amount of honorarium as Rs.9,800/- per month instead of Rs.17,000/- per month as recommended and accepted. Accordingly, PAB issued order dated 02.01.2018 fixing honorarium to these part time contractual instructors/teachers at the rate of Rs.9,800/- per month.
19. Despite recommendation and acceptance of the proposal to pay honorarium of Rs.17,000/- per month to these part time contractual instructors/teachers and thereafter fixation of the honorarium at the rate of Rs.9,800/- per month by the PAB, the said instructors/teachers were allowed and paid honorarium only at the previously fixed rate of Rs.8,470/- per month.
20. To add insult to injury, PAB approved and fixed honorarium of Rs.7,000/- for the year 2019-2020 *vide* its order dated 19.07.2019.

Supreme Court Reports

Thus, lowering the honorarium revised and paid at Rs.8,470/- from March 2016 to Rs.7,000/- per month again.

21. In this manner, all the instructors/teachers so appointed were paid honorarium of Rs.7,000/- per month from the year 2013 till 2015-2016; for the year 2016-2017 at the rate of Rs.8,470/- per month; for the year 2017-2018 again at the rate of Rs.8,470/- per month despite the fact that the Executive Committee of the *Shiksha Pariyojna Parishad* had fixed it at Rs.9,800/- per month, even though, the State/ Central Government had accorded approval from PAB for payment of Rs.17,000/- per month and from the year 2019-2020 they are again paid fixed honorarium of Rs.7,000/- per month as initially fixed.
22. We have heard Shri P. S. Patwalia, senior counsel on behalf of instructors/teachers and Shri Ardhendumauli Kumar Prasad, senior counsel on behalf of the State of U.P. and others on the merits of the appeals.
23. Shri P.S. Patwalia, senior counsel for instructors/teachers argued that the honorarium fixed and paid to these teachers at the rate of Rs.7,000/- per month, does not even meet the minimum standard of wages admissible to the workers. The payment of such meagre amount defeats the very purpose and object of free education enshrined under the Act. It renders the implementation of the said Act as illusory. Secondly, the year wise honorarium paid to such instructors/teachers demonstrate prolonged stagnation with no chance of promotion and increase in salary, as such, is arbitrary and contrary to the statutory mandates. Thirdly, once an approval has been granted by the PAB to pay honorarium of Rs.17,000/- per month for the year 2017-2018 and the same had been accepted by the State/Central Government, as reflected by the letter/order dated 02.06.2017 issued by the Additional Chief Secretary (Basic Education), Government of Uttar Pradesh, the same stands substituted in place of the fixed honorarium of Rs.7,000/- per month and, as such, it is not open for the respondent to resile from the same and to pay Rs.7,000/- per month as honorarium for the year 2019-2020 onwards. Lastly, it has been submitted that the State cannot discriminate between the instructors/teachers appointed to implement the above programme with the other instructors/teachers and that the said instructors/teachers are entitled to periodical enhancement of honorarium so as to avoid stagnation. It has been argued that honorarium, once

**U.P. Junior High School Council Instructor Welfare Association v.
State of Uttar Pradesh & Ors.**

enhanced and paid, could not have been reduced to Rs.7,000/- per month with effect from the year 2019-2020 onwards.

24. On behalf of the State of U.P., Shri Ardhendumauli Kumar Prasad submitted that in fact the writ petitions itself were not maintainable before the High Court inasmuch as the instructors/teachers have not exhausted the statutory remedies available to them under the scheme as provided under Section 24(3) of Act before approaching the High Court. Moreover, the decision to fix honorarium to such instructors/teachers is a policy decision under the scheme and since it is a policy matter, the courts have no role to play and interfere with the same. In this connection, he relied upon certain precedents which we would refer to, if necessary, at some later stage. Lastly, he argued that these instructors/teachers are simply part time contractual workers and once they have accepted the terms and conditions of the contract, they are estopped from claiming any higher honorarium. They cannot approbate and reprobate by accepting the terms of the contract and then to challenge the same. Apart from this, under the scheme, the financial burden with regard to payment of honorarium to these instructors/teachers has to be shared by the Central Government and the State Government in the ratio of 60:40 respectively. Therefore, once the State has fulfilled its obligation to contribute 40 per cent of the finances, it was upon the Central Government to contribute the remaining 60 per cent and if the Central Government fails to fulfil its obligation, the court could not have directed the State to bear that burden. Thus, the High Court has misconstrued various provisions of Section 7 of the Act in passing the impugned judgment.
25. Shri S. R. Singh, senior counsel appearing for some of the instructors/teachers in the Civil Appeals arising from S.L.P. Nos.3331-3334/2024 had submitted that Section 8 of the Act mandates the State Government to ensure good quality elementary education (Class I-VIII) in accordance with the standards and norms prescribed and, therefore, it is incumbent upon the State to engage best of instructors/teachers and that would only be possible if proper honorarium is paid to them. Moreover, Rule 20(3) of the rules framed under the Act provides that pay and allowances and other benefits such as pension payable to these instructors/teachers shall be at par with the instructors/teachers having similar qualification, work and experience. Therefore, the State cannot discriminate and pay honorarium to

Supreme Court Reports

them at a much lower rate than admissible to similarly placed and qualified instructors/teachers. The fixation of salary for the instructors/teachers is within the domain of the State Government and once a decision was taken in this regard by the PAB, it had the statutory force and was no longer dependent upon the discretion of the Central Government or on the availability of the funds, either in the hands of the State Government or on account of non-release of funds by the Central Government.

26. In the light of the above facts and submission advanced on behalf of the parties, the central issue in the present appeals is about the honorarium payable to the part time contractual instructors/teachers of the Upper Primary Schools in the State of Uttar Pradesh and whether the fixed honorarium payable to them under the initial contract is revisable from time to time.
27. Before delving into the merit of the case, it is pertinent to address the preliminary objection raised by the State of Uttar Pradesh regarding the maintainability of the Writ Petition. The submission on behalf of the State of U.P. is that the writ petitions were not maintainable as instructors/teachers have not exhausted the remedies available under the Act/scheme. In this regard, reliance has been placed upon Section 24(3) of the Act which provides that grievances of the instructors/teachers shall be redressed in such manner as may be prescribed.
28. No doubt, the aforesaid provisions make arrangement for a redressal of the grievance of the instructors/teachers but the grievances referred therein are in context with the default in performance of duties by them or in connection with the disciplinary action, if any, taken against them. This is evident from the reading of Sub-section (2) of Section 24 of the Act which provides that a teacher committing default in performance of duties shall be liable to the disciplinary action and it is in that connection that Sub-section (3) provides for the redressal of the grievance of the teacher. The provisions of Section 24 are required to be read together and not in isolation. Sub-section (3) of Section 24, as such, cannot be read divorced Sub-section (1) and (2) of Section 24.
29. Moreover, as held in ***Rajasthan State Electricity Board v. Union of India***⁴, the existence of an alternative remedy under a statutory

**U.P. Junior High School Council Instructor Welfare Association v.
State of Uttar Pradesh & Ors.**

scheme does not operate as an absolute bar to the exercise of writ jurisdiction under Article 226 of the Constitution. This is particularly so in cases where the writ petition has already been entertained by the Court, pleadings have been completed, and the matter has been adjudicated on merits. In such circumstances, relegating the parties to an alternative forum would defeat the ends of justice and render the prior proceedings redundant.

30. The Supreme Court has consistently clarified that the rule of exclusion of writ jurisdiction on account of availability of an alternative remedy is one of prudence and self-restraint, not of compulsion. This principle was authoritatively reiterated in ***Harbanslal Sahnia v. Indian Oil Corporation Ltd.***⁵ wherein it was held that the High Court, while exercising its writ jurisdiction, must weigh the facts and circumstances of each case, assess the pros and cons, and then decide whether interference is warranted. Thus, where the facts so justify, the Court retains full discretion to entertain and decide a writ petition notwithstanding the availability of an alternative remedy. Thus, the objection to the maintainability is unsustainable and is overruled.
31. In order to appreciate the issue at hand it is important to first examine the position/status accorded to the teachers in the Indian society.
32. In the larger narrative of nation-building, the energy, idealism, and strength of the youth are rightly recognised as the driving force of progress. Yet, this raw potential requires direction, and it is the teacher who shapes it into a constructive and purposeful force. The true foundation of a strong nation does not lie merely in the size of its young population, but in the character and values of its citizens. It is here that the teacher emerges as the most crucial catalyst.
33. It has been rightly observed that the real meaning of nation-building lies in shaping character and refining personality. While parents bear the primary responsibility of nurturing values, teachers play an equally vital and decisive role. They engage with young minds during their most formative years and, in doing so, profoundly influence attitudes, conduct, and ideals. When parents and teachers work together to instill discipline, moral values, and social responsibility, the foundations of a stable and principled nation are laid.

Supreme Court Reports

34. This role of the teacher is beautifully captured in the verse,

“रवि रहेगा जिसके पीछे, वही अरुण भेदेगा तम।”

When the sun stands behind a youth, darkness cannot remain before them. In this verse, the sun symbolises knowledge, clarity, and truth, while darkness represents ignorance and confusion. In this sense, the teacher stands in the place of the sun. With a teacher's guidance, a student is never truly lost. The teacher's wisdom and values remain as a constant source of strength and direction, enabling the student to overcome ignorance and move towards understanding, just as dawn dispels the darkness of night.

35. Therefore, if we seek a better future for the nation, we must recognise, value and support teachers who are quietly shaping the country's destiny by moulding character, instilling values, and guiding the youth.
36. Culturally, India has always recognized teachers equivalent to God. This Indian concept is universally known and is reflected in the following couplet:

“गुरु ब्रह्मा गुरु विष्णु, गुरु देवो महेश्वरा ।
गुरु साक्षात् परब्रह्म, तस्मै श्री गुरुवे नमः ॥”

This couplet elevates teacher to divine level by recognizing teacher's crucial role in shaping its pupils' character and life. It recognizes teacher's contribution in imparting knowledge and preserving correct values through relentless and continuous guidance. Thus, a teacher is a divine channel and not merely an instructor who acts as a guiding force in nurturing insight and enlightening thoughts. He is a divine trinity.

37. In India, while teachers have been given stature equivalent to the God, there have been instances where they are placed above God. This is reflected from the following couplet:

“गुरु गोबिंद दोऊ खड़े, का के लागौं पांय।
बलिहारी गुरु आपने, जिन गोबिंद दियो बताय॥”

This verse highlights the supreme importance of teacher. It presents a situation where when teacher and God appears in front of you, it is always better to bow down to the teacher first then God as he is a person who awakens our life and introduces us to God. It

**U.P. Junior High School Council Instructor Welfare Association v.
State of Uttar Pradesh & Ors.**

conveys that while God represents truth, it is teachers who help us reach the truth, the God. Therefore, in all humility, the Indian culture, society and ethos place teachers, if not higher to the God but, at least equivalent to them. Teachers command the highest respect in society and are revered/worshipful as Gods.

38. It is in the above scenario that we have to consider the manner in which our primary teachers have to be treated, who are responsible for the character building of the generation next i.e. *Bharat Bhagya Vidhata*. They are the ones who build the character of new generation. Character building of the citizens is the foundation for the nation building. If this foundation is weak, the nation is bound to collapse. Therefore, we must accord the highest regard and respect to our teachers at all levels, even at the level of the government, especially the primary teachers. They have to be compensated for their work most suitably. In fact, no honorarium would be enough to compensate the services rendered by our teachers.
39. The part time contractual instructors/teachers appointed in Primary Schools of the State of Uttar Pradesh, in the first place, ceases to be contractual teachers as soon as the contract period of eleven months initially entered into or the renewed period, if any, comes to an end. It is noticed from the counter affidavit that the original contracts were last renewed in 2017-18 and in these renewed contracts the honorarium agreed upon is Rs.8,470/- per month. There is no renewed contract thereafter. The contract having once expired and not having been renewed specifically and reduced to writing after 2017-18 would not actually be a contract so as to recognize the instructors/ teachers so appointed to be contract teachers on the expiry of the above contract. They would rather be treated as teachers simpliciter after 2017-18.
40. There is another reason to treat them as teachers at par with other teachers. The part time contractual instructors/teachers appointed in Upper Primary Schools possesses the basic educational qualifications and eligibility as set out by the National Council for Teachers Education which are at par with the norms laid down for appointment of regular teachers. In this view of the matter, the part time contractual instructors/teachers appointed by the State Government under the Scheme are in no way inferior to the regular teachers or the Assistant Teachers appointed otherwise under the scheme.

Supreme Court Reports

41. Secondly, part time contractual instructors/teachers of the Upper Primary School are not even part time teachers, though they are described so. It is for the simple reason that their appointment itself *vide* Clause 5 of their service contract stipulates that they are being appointed with the condition that they would not directly or indirectly take up any part time appointment or whole-time job anywhere else. The moment Government prohibits these instructors/teachers from taking any part time or whole-time job anywhere else, they should *de facto* be treated as full time teachers. Part time teachers are those who teaches part time during the day and do other work in the remaining time. However, nothing has been placed on record to show that they actually work part time and do not discharge duties equivalent to those that are discharged by regular teachers. They are instructors/teachers who actually work full time like any other teacher and cannot even take up any other work during their spare time. Thus, in fact, they are whole time teachers.
42. In other words, the nomenclature used to describe the instructors/teachers as part time contractual teachers is completely deceptive. They neither remain contractual teachers after the expiry of the contractual period nor they are part time teachers especially when no material has been put forth to show that they work only part time and do not possess equivalent qualification as that of the regular teachers or that they do not discharge equal duties as are expected from the regular teachers.
43. There is another important facet of the matter which needs to be addressed by us. The appointment of these part time contractual instructors/teachers, though for a limited period of one year, has undisputedly continued for over ten years in a row. The scheme adopted by the State Government envisages for appointment of one such instructor/teacher for every hundred students; meaning thereby, that for every hundred students in a school, one instructor/teacher is mandatory. Thus, it flows from abovementioned facts that though posts for such teachers have not been specifically created but by virtue of their continuous engagement and subsistence of the scheme, they have acquired certain degree of permanency and the posts stand created or deemed to be created *per se* automatically. Notably, these part-time contractual instructors/teachers were discharging duties similar to regular teachers including teaching up to eight periods in

**U.P. Junior High School Council Instructor Welfare Association v.
State of Uttar Pradesh & Ors.**

a day, thereby performing the same workload and responsibilities as regular teachers. In view of constitutional mandate of providing free education up to primary levels, the State Government cannot abandon the scheme and render the Upper Primary Education meaningless, as it would be in conflict with the Act. Accordingly, the nature of work assigned to these instructors/teachers is apparently of a permanent nature. The conclusion is, therefore, inevitable that the appointments of these instructors/teachers are more or less of a permanent nature and against a post which is deemed to have been created substantively.

44. The appointment of these instructors/teachers, even if held to be contractual, part time or even temporary in nature, there is hardly any scope to replace these instructors/teachers by a fresh contractual, part time or temporary instructor/teacher inasmuch as these are the persons who are not only qualified but have acquired some experience of working and are definitely more suitable than the freshers. It goes without saying that an *ad hoc* employee cannot be replaced by another *ad hoc* employee, a temporary employee cannot be replaced by another temporary employee, a contractual employee cannot be replaced by another contractual employee and the guest employee by another guest employee. The incumbents working as aforesaid are entitled to preference in comparison to the new candidates, unless of course there is anything against them. In fact, practice of engaging employees on *ad hoc*, temporary, part time, contractual or as guest ought to be avoided and the Government should strictly adhere to proper procedure for regular recruitment.
45. In the instant case, all appointments of the instructors/teachers were made by following the procedure prescribed under the scheme pursuant to a proper advertisement. In a sense, they were all substantively appointed, maybe there was no sanctioned post but the sanction of the post is deemed to be there as the nature of the work assigned to these instructors/teachers is of a permanent nature which in all probabilities is of a continuing nature and is not likely to be abandoned or curtailed in any manner. The term "substantive appointment" is not so defined but in service jurisprudence is considered to mean an appointment, not being an *ad hoc* appointment, on a post made after selection in accordance with the rules and in the absence of the rules in accordance with

Supreme Court Reports

the procedure prescribed for under any scheme or the instructions of the Government. Therefore, once these instructors/teachers have undergone the process of selection under the scheme regardless of the fact that there existed a post, their appointments have to be treated as substantive in character.

46. In the facts and circumstances, the business of calling such instructors/teachers as *ad hoc* appointees or temporary appointees or part time or contractual appointees is altogether a misnomer and is not at all appropriate.
47. In ***Jaggo v. Union of India and Ors.***⁶ this Court observed that it is a hard reality that temporary employees, particularly in Government institutions often face multifaceted forms of exploitation which include misuse of “temporary labels”, “lack of career progression” and “denial of basic rights and benefits”. It further observed that employees engaged for work which is essentially recurring and integral to the functioning of an institution are often labeled as “temporary” or “contractual” employees even though their roles mirror those of regular employees. Such deceptive description of the employees deprives them of their dignity, security and benefits that other regular employees are entitled to, despite performing identical duties. These employees often find themselves excluded from opportunities for skill development, promotions or incremental pay raises, and they remain stagnant in their roles. They are deprived of fundamental benefits such a pension, provident fund, health insurance and paid leave even though they work for decades resulting in social insecurity.
48. The question that arises now is as to what should be the appropriate honorarium payable to such instructors/teachers. No doubt, they were appointed on a fixed honorarium of Rs. 7,000/- per month way back in the year 2013-14 but that fixed honorarium was only for a period of 11 months or for the renewed period thereafter but was not applicable for their extended term on the expiry of contracted period. In the wake of the subsequent renewed contract for the period 2016-17 fixing honorarium @ Rs.8,470/- per month, the question is what would be the honorarium payable to them after 2017-18 as there is no material on record to establish that any fresh contract was executed for the subsequent years.

**U.P. Junior High School Council Instructor Welfare Association v.
State of Uttar Pradesh & Ors.**

49. At this juncture it would be necessary to advert to yet another submission that has been put forth by the State. It is contended that the fixation of honorarium of these instructors/teachers is a policy decision wherein Court has no role to play. This cannot be accepted in the facts and circumstances of the case. The fixation of honorarium to the instructors/teachers may be a policy decision but it cannot be exercised in an arbitrary manner so as to subject the instructors/teachers to '*Begar*'. The honorarium has to be fixed in consonance with the duties assigned to these instructors/teachers depending upon their stature. Therefore, any policy decision of the Government permanently fixing the honorarium of the instructors/teachers for all times to come, cannot be justified and approved of as periodical revision depending upon the price rise, cost of living and other host of factors. It is always permissible to revise the honorarium once fixed, not only in the case of instructors/teachers but also in the employment of workers/labourers.
50. It is admitted on record that the State Government in the year 2016-17 had submitted a proposal to pay Rs. 15,000/- per month as honorarium to them; meaning thereby, that the State Government acknowledges that the honorarium initially fixed for these instructors/teachers is insufficient and has to be increased. This realization probably may be for the reason that in the year 2016-17 not even the labourers/unskilled workers were being paid such low honorarium. The minimum wages Act provided for a minimum wage of Rs.7,214/- per month in 2016-17 to the daily unskilled workers. Therefore, the Government might have thought that such instructors/teachers cannot be paid honorarium at a lower rate than the workers. Despite the above recommendations, the PAB approved and sanctioned honorarium to them at the rate of Rs. 8,470/- per month and that too for the year 2016-17 only.
51. In the subsequent year, a fresh proposal was submitted by the State Government to the PAB to pay Rs. 17,000/- per month as honorarium to these instructors/teachers. It was also approved by the PAB. Even the Additional Chief Secretary (Basic Education), Government of Uttar Pradesh acknowledged *vide* Letter dated 02.06.2017 that the Government has accepted the proposal for payment of Rs. 17,000/- per month as honorarium to these instructors/teachers. However, despite such an acceptance, the Executive Committee

Supreme Court Reports

of the *Shiksha Pariyojna Parishad* fixed the honorarium for these instructors/teachers at the rate of Rs. 9,800/- per month for the year 2017-18 only. However, they were not even paid the honorarium of Rs. 9,800/- per month fixed and determined, what to say about the proposed and accepted honorarium of Rs. 17,000/- per month.

52. It is admitted on record that the honorarium payable to these instructors/teachers which was fixed at Rs. 7,000/- per month in the year 2013-14 was enhanced to Rs. 8,470/- per month in the year 2016-17 and then to Rs. 9,800/- per month in the year 2017-18 but even then, they were never paid Rs.9,800/- per month. This may be probably due to the renewed contract for the year 2017-18 wherein these instructors/teachers agreed for Rs.8,470/- per month but this renewed contract also ended and there was no fresh contract. Thus, the honorarium fixed in the initial contract stood revised and substituted by Rs.8,470/- per month rather by Rs. 9,800/- per month in the next year and could not have been reduced thereafter in the absence of any contract to the contrary. It must be borne in mind that there was no stipulation under the contract that the honorarium once fixed, cannot be revised or refixed or enhanced or once revised could be reduced. In this situation, the State Government was not justified in reducing the honorarium payable to these instructors/teachers from the year 2019-20 onwards again to Rs. 7,000/- per month after it was enhanced to Rs.8,470/- for the year 2016-17 and to Rs. 9,800/- per month in the year 2017-18. The State Government cannot take away the benefit which is once extended to these instructors/teachers in a unilateral way without following the principles of natural justice.
53. The above facts and circumstances clearly indicate that the State Government was conscious of the fact that the honorarium of these instructors/teachers initially fixed under the contract is open to change and is revisable, if not on year-to-year basis but periodically. The honorarium cannot remain stagnant for all times to come.
54. Article 23 of the Constitution provides with a general prohibition against "traffic in human beings, beggar and other similar forms of forced labour". In the landmark case of ***People's Union For Democratic Rights v. Union of India***⁷, the Supreme Court has

**U.P. Junior High School Council Instructor Welfare Association v.
State of Uttar Pradesh & Ors.**

adopted an expansive interpretation of Article 23 of the Constitution. The court explained the meaning of “Forced labour” to encompass any work or service rendered unwillingly as a result of force or compulsion. It held that “force” under Article 23 of the Constitution not only includes physical or legal force but also economic compulsion due to which the individual is left with no other alternative but to accept remuneration less than the minimum wages. It was held that when a person is rendering service or doing labour at a meagre amount less than the minimum wages, then he is not voluntarily working, he is being forced by his economic hardship to accept the pay. The case also covers contractual workers who may have formally agreed to such terms, as such agreements are often the product of uneven bargaining power and do not represent free and voluntary consent in a substantive sense. Thus, this Article takes a hit at every form of forced labour, whether it is a direct case of forced labour or case of forced labour hidden under the guise of voluntary work or contractual work. Any unfair practice fixing remuneration of these instructors/teachers permanently as Rs. 7,000/- per month or Rs. Rs. 8,470/- per month for all times is a kind of forced labour amounting to ‘*Begar*’ which is strictly prohibited under Article 23 of the Constitution.

55. In the present case, the further unilateral reduction of the already low remuneration has placed these part time instructors/teachers in place of economic vulnerability. These instructors’/teachers’ position is worsened by Clause 5 of their employment contract, which explicitly prohibits them from taking up any other employment, part-time or whole-time. This clause, operating in tandem with the State’s unilateral wage reduction, creates a coercive cage. The instructors/teachers are left with no alternative, they cannot seek supplementary income elsewhere due to the contractual bar, and they cannot refuse the reduced wages due to economic necessity. This complete deprivation of choice is the essence of the “force” contemplated in the abovementioned case.
56. Consequently, the State’s actions has created a condition of economic coercion that is inconsistent with the constitutional safeguards against forced labour. The State’s action of withdrawing a legitimately enhanced wage and then allowing honorarium to remain artificially depressed would, in substance, be inconsistent with the spirit of Article 23 of the Constitution which prohibits all forms of forced labour. The State,

Supreme Court Reports

under the guise of contractual management or financial constraint, cannot compel labours/teachers to such coercive circumstances.

57. In view of the above discussion, one thing is very clear that the honorarium fixed for these instructors/teachers under the contract cannot remain stagnant and is revisable suitably on periodical basis and that if once revised and increased cannot be reduced for subsequent periods.
58. Now the issue is the manner and the basis on which the honorarium payable to these instructors/teachers has to be revised and fixed.
59. The *Samagra Shiksha Scheme* subsumed the earlier *Sarva Shiksha Abhiyan* came into being in the year 2018. It is a centrally sponsored scheme which promotes primary education at the State/Union Territory level. It provides for the fund sharing pattern in the following manner *inter se* the Union and the State or Union Territory:
 - (i) For eight North-Eastern States and three Himalayan States, in the ratio of 90:10;
 - (ii) For all other States and Union Territories, in the ratio of 60:40; and
 - (iii) For Union Territories without legislature, it is 100% by the Union.
60. The aforesaid scheme aims for providing additional support to the States and the Union Territories to improve the quality of primary education.
61. The Scheme is implemented at the national level by Governing Council headed by the Minister of Education and then there is a Project Approval Board at the national level which is headed by the Secretary, Department of School Education and Literacy. It is the primary function of the PAB to approve the annual work plan and budget of States and Union Territories. It has full financial powers to approve plans and sanction the budgets for the implementation of the scheme. No other authority has any say in the financial matters and that connected with the budget of the scheme. The aforesaid powers and functions of the PAB and that it is a national level administrative body is duly spelled out in Chapters 14.2.2 and 14.2.4 of the scheme.
62. At the State level, there is a Governing Council headed by the Chief Minister/State Education Minister and then there is an Executive

**U.P. Junior High School Council Instructor Welfare Association v.
State of Uttar Pradesh & Ors.**

Committee headed by the Chief Secretary/Commissioner/Education Secretary of the State/Union Territory. The Governing Council is vested with the power to frame necessary policies and to facilitate Center-State Coordination, whereas, the administrative powers vests with the Executive Committee. However, none of the above two bodies are vested with any financial powers or the power to sanction budget. Therefore, the power to sanction budget remains in the exclusive domain of PAB. It means that under the scheme, it is only the PAB who has the authority to sanction budget and *inter alia* to even fix honorarium of the instructors/teachers.

63. The Act is completely silent with regard to the financial matters and the fixation of honorarium admissible to the instructors/teachers appointed under the scheme. However, Section 24 of the Act provides for the duties of the teachers appointed under the scheme and Section 27 *inter alia* lays down that no teacher shall be deployed for any non-educational purpose other than the work in connection with the decennial population census, disaster relief duties or duties relating to elections to the local authority or the State Legislature or the Parliament, as the case may be. In other words, teachers under the scheme can be deployed in certain non-educational work also.
64. It is only Rule 20 of the Right of Children to Free and Compulsory Education Rules, 2010 framed under the Act which provides for the salary, allowances and conditions of the service of teachers appointed under the scheme. It *inter alia vide* sub-rule 20 (3) provides that the scales of pay and allowance, medical facilities, pension/gratuity/provident fund and other prescribed benefits of teachers shall be at par for similar qualification, work and experience of other teachers. It necessarily means that the instructors/teachers appointed under the scheme for the benefit of the primary education under the Act have been placed at par with other instructors/teachers and that apart from pay, they are entitled to allowances, medical facilities, pension/gratuity/provident fund and similar benefits.
65. In view of the foregoing provisions and the scheme, it is evident that the instructors/teachers appointed under the scheme have to be at par with other instructors/teachers and they have to perform not only the academic duties but certain other non-educational duties as well. They are entitled to honorarium at par with the other

Supreme Court Reports

instructors/teachers. However, under the facts and circumstances of the case, the instructors/teachers appointed under the scheme described as part time contractual instructors/teachers, are being paid fixed honorarium of Rs.7,000/- per month only, which is even lesser than the minimum wages admissible to the workers/labourers. Accordingly, as mentioned earlier, the honorarium payable to these instructors/teachers needs to be revised periodically. This periodic revision has to be done by none other than PAB and its decision is to be treated as final and binding as no other authority or body under the Act or the scheme has any power to sit over its decision and to take a contrary view. In the case at hand, the honorarium initially fixed at Rs.7,000/- per month was revised to Rs.8,470/- and thereafter, the PAB had opined and fixed it at Rs.9,800/- per month for the year 2017-18. Once such a decision had been taken, it was no one's business to intervene and to reduce the honorarium and pay either Rs.8,470/- or Rs.7,000/- per month to these instructors/teachers.

66. It may also be noted that PAB had determined the honorarium of Rs.17,000/- per month for the year 2017-18 but this was not implemented. Therefore, in all earnest, the instructors/teachers appointed under the scheme became entitled for payment of honorarium at the rate of Rs.17,000/- per month for the year 2017-18 and thereafter, till it is suitably revised by the PAB. There is nothing on record to demonstrate that any revision of honorarium has taken place after 2017-18 by the PAB but even then that the honorarium was lowered to the initial one that is Rs.7,000/- per month. Therefore, the payment of honorarium of Rs.7,000/- per month to the instructors/teachers appointed under the scheme from the year 2018-19 onwards is completely illegal, arbitrary and unjustified in the facts and circumstances of the case.
67. In the light of the above discussion, it is most appropriate for us to direct for the payment of honorarium at the rate of Rs.17,000/- per month to all instructors/teachers appointed under the scheme from the year 2017-18 onwards till the same is revised by the appropriate authority i.e., PAB and further that the PAB shall periodically revise the honorarium fixed for these instructors/teachers, if not annually but once in three years.
68. Though, Section 7 of the Act provides for sharing of financial responsibilities between the State/Union Territories and the Central

**U.P. Junior High School Council Instructor Welfare Association v.
State of Uttar Pradesh & Ors.**

Government and casts a liability upon both the Governments to share the financial burden in such percentage as may be determined from time to time by the Central Government in consultation with the State Government. Nonetheless, Section 7 (5) of the Act, in unequivocal terms, saddles the State Government with the responsibility to provide funds for the implementation of the provisions of the Act. The above Sub-section (5) of Section 7 of the Act reads as under :-

“(5) Notwithstanding anything contained in sub-section (4), the State Government shall, taking into consideration the sums provided by the Central Government to a State Government under sub-section (3), and its other resources, be responsible to provide funds for implementation of the provisions of the Act.”

69. A simple reading of the aforesaid provision reveals that the State Government shall take into account not only the sums provided by the Central Government to the State Government but also its other resources and shall be responsible to provide funds for the implementation of the provisions of the Act. Therefore, an onerous duty has been cast upon the State Government to implement the provisions of the Act *vis-à-vis* the payment of honorarium to the instructors/teachers. Therefore, in all earnest, it is primary duty of the State Government to pay honorarium to the instructors/teachers appointed under the Act or the scheme formulated thereunder. In the event, the Central Government fails to contribute its share of finances, the State Government is free to recover it from the Central Government but cannot deny payment to instructors/teachers. The principle of “pay and recover” as such would be attracted and would be applicable.
70. On the basis of the above discussion, we conclude as under :-
- i) The appointment of the part time or contractual instructors/teachers in fact no longer remains contractual in nature once the contract period of eleven months for which they were initially appointed or the extended contract period stood expired;
 - ii) They were not even part time instructors/teachers as they were specifically prohibited for taking any job or part time employment elsewhere during their spare time;

Supreme Court Reports

- iii) In fact, these instructors/teachers having continued continuously for over ten years in a row are deemed to be employed permanently against deemed substantive posts, as with the passage of time and keeping in mind the continuity of the work, such posts stand automatically created;
 - iv) The PAB is the sole central authority to manage budget and finances under the Act and the scheme and to fix honorarium for the instructors/teachers appointed thereunder. No other authority has any say in the matter concerning finance and budget consequently in the fixation of honorarium;
 - v) The PAB having once approved the proposal for fixing Rs.17,000/- per month as honorarium to these instructors/teachers, no authority can sit over such a decision and pass orders contrary to it;
 - vi) The initial burden to pay honorarium to the instructors/teachers is upon the State Government who is free to recover the contribution of the Central Government from the Union of India on the principle of “pay & recover”;
 - vii) The honorarium payable to these instructors/teachers cannot be permitted to remain stagnant and the same is revisable periodically at least once in three years by the PAB or any other authority as may be determined by the Central Government/State Government under the scheme or the modified scheme;
 - viii) Any action of the State/Union Government to employ instructors/teachers on a fixed honorarium of Rs.7,000/- per month as was initially fixed in 2013-14 amounts to ‘*Begar*’ and unfair practice which is violative of Article 23 of the Constitution;
 - ix) The PAB having fixed honorarium to these instructors/teachers at the rate of Rs.17,000/- per month with effect from the year 2017-18, the State Government/Central Government is not justified in paying them at a lesser rate of either Rs.8,470/- or Rs.9,800/- or at the basic rate of Rs.7,000/- per month.
71. In view of the above discussion, the question formulated in paragraph 14 above is answered by holding that part time contractual instructors/

**U.P. Junior High School Council Instructor Welfare Association v.
State of Uttar Pradesh & Ors.**

teachers appointed in the Upper Primary School in the State of U.P. are entitled to revision of their honorarium of Rs.7,000/- per month which was initially fixed for the contract period of eleven months in the year 2013 and that the said revision has to take place, if not annually then periodically as per the discretion of the PAB. Since the PAB for the year 2017-18 had determined the said honorarium to be Rs.17,000/- per month, all instructors/teachers appointed under the scheme are entitled for the payment of the same at the above rate of Rs.17,000/- per month with effect from 2017-18 till further revision takes place.

72. Thus, all these instructors/teachers are entitled to receive honorarium at the rate of Rs.17,000/- per month with effect from 2017-18. The State Government shall start paying honorarium to them at the rate of Rs. 17,000/- per month w.e.f. 01.04.2026 and the arrears of which shall be paid to them by the State Government within a period of six months from today. The State Government may recover the contribution of the Central Government from the Union of India.
73. Accordingly, the Civil Appeals arising out of S.L.P (C) No.9459 of 2023 and S.L.P. (C) Nos.3331-3334 of 2024 filed by the Welfare Association and teachers respectively are allowed whereas the Civil Appeals arising out of S.L.P. (C) Nos. 1744-1749 of 2026 filed by the State of U.P. & Ors. are dismissed in the above terms.

Result of the case: Civil Appeals arising out of S.L.P (C) No.9459 of 2023 and S.L.P. (C) Nos.3331-3334 of 2024 filed by the Welfare Association and teachers respectively are allowed whereas the Civil Appeals arising out of S.L.P. (C) Nos. 1744- 1749 of 2026 filed by the State of U.P. & Ors. are dismissed.

Mohtashem Billah Malik

v.

Sana Aftab

(Civil Appeal No. 771 of 2026)

04 February 2026

[Pankaj Mithal* and S.V.N. Bhatti, JJ.]

Issue for Consideration

Matter pertains to the dispute regarding the custody of two minor sons born to the appellant-husband and the respondent-wife.

Headnotes[†]

Guardians and Wards Act, 1890 – s.25 – Custody of minors – Appellant-husband and respondent-wife, both Indian citizen married under Muslim Personal Law and shifted to Qatar – Matrimonial dispute between them, culminating in divorce and the custody of the minors given to the wife while guardianship given to the husband by the Qatar court – Allegedly, the wife removed the minors from Qatar to India during their academic session, without the knowledge and consent of the husband, without obtaining the original passports, and without prior permission from Qatar Courts – Thereafter, husband filed habeas corpus petition as also petition u/s.25 seeking custody of the minor – Family court granted custody to the father – However, the High Court set aside the same and granted custody to the mother – Correctness:

Held: In matters of custody, the paramount consideration is the welfare of the children but nonetheless there are other factors—conduct of the parties, their financial capacity, their standard of living, as well as the comfort and education of the children which weigh before the court while passing the final order of custody – Thus, not correct on the part of the High Court in holding that such factors not very relevant and that the custody of the minors has to depend upon their welfare alone – High Court while granting the custody to respondent-wife did not consider the effect and

* Author

Mohtashem Billah Malik v. Sana Aftab

impact of the conduct of the respondent-wife having travelled and moved the minors to India without the permission of the Court, and without the consent of the appellant-father, who was guardian and without obtaining the original passports from him but rather by procuring fake or duplicate or fresh passports; failed to consider the order of the Qatar Court revoking the custody order in favour of the respondent-wife; order of the Contempt Court holding the respondent-wife guilty of committing contempt of the court for violation of her own undertaking given to the High Court that she will return to Qatar for the continuation of the minor's education but travelled alone leaving the minors behind in India; the Qatar Court order giving clean chit to husband as regards conviction for assault; and the findings recorded by the Family Court, Srinagar indicating that the minor children had shown inclination to accompany the appellant-father to Qatar as also the mediation report, that both children appearing comfortable with the prospect of being without their mother – While these aspects may not, by themselves, be the sole reason for determining custody, they are nevertheless necessary and relevant factors, and their cumulative effect was at least relevant for determining the custody arrangement – Impugned judgment and order passed by the High Court cannot be sustained in law and is set aside – Matter remanded to the High Court for reconsideration. [Paras 22-33]

List of Acts

Guardians and Wards Act, 1890.

List of Keywords

Custody of two minor sons; Custody of minors; Muslim Personal Law; Matrimonial dispute; Divorce; Guardianship; Qatar court; Original passports; Prior permission from Qatar Courts; *Habeas corpus* petition; Family court; Welfare of the children.

Case Arising From

CIVIL APPELLATE JURISDICTION: Civil Appeal No. 771 of 2026

From the Judgment and Order dated 08.09.2025 of the High Court of Jammu & Kashmir and Ladakh at Srinagar in FAO(MAT) No. 01 of 2025

Supreme Court Reports

Appearances for Parties

Advs. for the Appellant(s):

Ms. Meenakshi Arora, Sr. Adv., Prosenjeet Banerjee, Ms. Nidhi Mohan Parashar, Soayib Qureshi, Vikrant Kumar.

Adv. for the Respondent(s):

Altaf Hussain Naik, Sr. Adv., Mrs. Shamama Anis, Atif Suhrawardy, Syed Mehdi Imam, Tashriq Ahmad, Tabrez Ahmad, Shabir Ahmad Najar, Ms. Saba Altaf, Pankaj Kumar.

Judgment / Order of the Supreme Court

Judgment

Pankaj Mithal, J.

1. Leave granted.
2. This appeal is in relation to an unfortunate dispute regarding the custody of two minor sons namely Malik Karim Billah born on 17.10.2017 and Malik Rahim Billah born on 04.11.2019 to the appellant-husband and the respondent-wife.
3. Both the appellant-husband and the respondent-wife are Indian citizens and are well educated. They were married on 28.07.2015 in Srinagar in accordance with the Muslim Personal Law. As the appellant-husband was serving as an electrical engineer in Qatar since 2013, both of them started residing at Qatar immediately after the marriage where the aforesaid two sons were born to them out of the wedlock.
4. Sometime later, on account of matrimonial discord, both of them preferred separate divorce petitions, namely, Case No.882/2021¹ and Case No.1300/2021² before the Family Court at Qatar. Both the petitions were decided by a common judgment and order dated 29.03.2022 and a decree of judicial divorce based on mutual abuse was granted. The appellant-husband was directed to pay alimony, enjoyment compensation, monthly child support, custodian payment and for payment of custodian accommodation. The custody of the

¹ *Mohtashem Billah Malik Mohamed v. Sanaa Aftab*

² *Sanaa Aftab v. Mohtashem Billah Malek Mohamed*

Mohtashem Billah Malik v. Sana Aftab

minors was given to the respondent-wife while guardianship was given to the appellant-husband. At the same time, the appellant-husband was directed to deliver all personal documents of the minors to the respondent-wife including their IDs, Medical Certificates, Birth Certificates and any evidential documents of the children except the passports which were to remain in the custody of the appellant-husband being the guardian of the minors.

5. However, the respondent-wife travelled to India on 17/18.08.2022 by procuring fresh passports for the children or probably on the basis of duplicate or otherwise and started residing at Srinagar. Allegedly, the respondent-wife removed the minors from Qatar to India during their academic session, without the knowledge and consent of the appellant-husband, and without obtaining the original passports etc. or without prior permission from Qatar Courts.
6. The appellant-husband filed *Habeas Corpus* Writ Petition (Crl) No.636/2022 before the High Court of Jammu & Kashmir and Ladakh at Srinagar alleging that his minor sons are in illegal custody of the respondent-wife.
7. The aforesaid writ petition gave rise to LPA No.216/2022³. The said LPA was disposed of on 01.12.2022 in the light of the statement made by the respondent-wife who was present in court and which was even reduced to writing and placed on record that she will go back to Qatar well before the reopening of the school of the elder son Malik Karim Billah on or before 02.01.2023 so that his education may not suffer and that she will undertake all necessary steps for obtaining residency permit for her younger son Malik Rahim Billah.
8. The aforesaid appeal having been disposed of in terms of the above statement, gave finality to the undertaking of the respondent-wife. The respondent-wife, for reasons best known to her, failed to keep her undertaking. She visited Qatar in the third week of December, 2022 but did not take the minors along with her.
9. In view of the violation of the aforesaid undertaking, the appellant-husband applied for the revocation of the custody of the minors which was given to the respondent-wife before the Qatar court. The said custody order of the minors in favour of the respondent-wife

3 *Mohtashem Billah Malik v. Union of India and Ors.*

Supreme Court Reports

was revoked by the Qatar court on 31.10.2023 and the custody was ordered to be given to the appellant-husband. Thus, the custody of the minors in favour of the respondent-wife was terminated.

10. The appellant-husband simultaneously initiated proceedings for contempt in Srinagar *vide* CCP(D) No.4/2023 against the respondent-wife for violating the undertaking given by her on 01.02.2022 before the Division Bench in the LPA. The Contempt Court *vide* Order dated 06.08.2024 held the respondent-wife to be guilty of not honouring the commitment given by her to the court and for not even expressing any remorse for her conduct. Therefore, the court held her guilty of committing contempt of the court and sentenced her with a token fine of Rs.100/- to be deposited with the Registrar Judicial of the court within one month. She was issued warning to remain careful and conscious in future while making any statement and giving undertaking to the court. Since the LPA was disposed of in terms of the undertaking which has been violated by her, the LPA was ordered to be restored for consideration on merits.
11. This being the background, the appellant-husband initiated fresh proceedings before Family Court, Srinagar under Section 25 of the Guardians and Wards Act, 1890, seeking custody of the two minor children. The Family Court on 02.01.2025 allowed the petition and granted custody of the minors to the appellant-husband. The said order of the Family Court has been reversed by the High Court in appeal preferred by the respondent-wife *vide* judgment and order dated 08.09.2025.
12. Under challenge in this appeal is the aforesaid judgment and order of the High Court dated 08.09.2025 by which the order of the Family Court granting custody of the minors to the appellant-husband has been set aside and the custody has been ordered to be restored to the respondent-wife.
13. We have heard Ms. Meenakshi Arora, senior counsel for the appellant-husband and Mr. Altaf Hussain Naik, senior counsel for the respondent-wife.
14. Ms. Meenakshi Arora, senior counsel appearing for the appellant-husband had argued that the respondent-wife had removed the minors from Qatar in the middle of their academic session. The elder son Malik Karim Billah at the relevant time was studying in

Mohtashem Billah Malik v. Sana Aftab

the Qatar International School⁴ (a Gold Standard British Curriculum School) and the younger son Malik Rahim Billah in the Grandma British Nursery School. They travelled to India leaving their education in between on 17/18th August 2022. The respondent-wife misled the court by alleging that she had admitted the minors in a school i.e. Foundation Word School in Srinagar. She even produced documents claiming that Malik Karim Billah was studying at Alama Iqbal Institute of Education, Srinagar in Class II. However, the admission form of Delhi Public School⁵ reveal that the elder son Malik Karim Billah who was admitted there on 19.03.2024 had last attended QIS, Qatar, before being admitted to DPS in Class I, and the children were never admitted to Alama Iqbal Institute of Education, Srinagar, which happened to be a school run by the relatives of respondent-wife. The very fact that the respondent-wife removed the children from the school at Qatar in between the session and admitted them in DPS only in March 2024, means that for two years the children were not sent to any school.

15. It is also argued that even in DPS the attendance of the children is only about 60% as against the mandatory requirement of 75%. The said conduct of the respondent-wife making the education of the children suffer disentitles her the custody of the minors. A further argument was made that in view of the various precedents of this Court, a parent who is indulging in doing a wrong by removing a child from a school mid-session and shifting to another country cannot take advantage of his/ her own wrongdoing.
16. The second argument of Ms. Meenakshi Arora is that the children, especially the elder one is quite grown up and capable of taking an intelligent decision. Therefore, in view of the report of the counselor of the Family Court submitted in the contempt proceedings who had met the children a number of times and opined that the children had a more comfortable relationship with the father, coupled with the fact that even the witnesses produced by the respondent-wife admitted that the children were not comfortable in Srinagar and were unhappy to continue to live there. The custody ought to be restored to the appellant-father and the minors be allowed to travel to Qatar with him.

4 In short 'QIS'

5 In short 'DPS'

Supreme Court Reports

17. She next argued that not only the conduct of the respondent-wife, but also failure on her part to furnish any plausible explanation for shifting the children mid-session from Qatar to Srinagar, and that too without obtaining the consent of the appellant-husband and the original passports from him, is sufficient enough to disentitle her to the custody of the minors.
18. Lastly, she submitted that the work schedule of the respondent-wife clearly shows that she is required to travel to different parts of India in connection with her work, thereby leaving the children and their education at stake, and hence, tilts the scale of custody of the minors in favour of the appellant-husband, who has a flexible work schedule with an option to work from home enabling him to take care of the minors himself.
19. *Per contra*, Shri Altaf Hussain Naik, senior counsel appearing for the respondent-wife, submitted that there is no error or illegality in the judgement and order passed by the High Court, as in matters of custody the paramount interest is the welfare of the children and the High Court has repeatedly emphasized that the welfare of the children is best served in the hands and care of the respondent-wife. He further submitted that the financial capacity of the appellant-husband or the conduct of the respondent-wife is not very material while deciding the custody of the children, as the welfare and interest of the minors outweighs all these aspects. He lastly submitted that both the children are settled and studying in a reputed school in Srinagar and that their annual progress report is more than satisfactory, and thus it cannot be said that their education is lacking in any manner or is suffering on account of their shifting from Qatar to India.
20. The High Court while passing the impugned judgement has proceeded on the premise that the Family Court had restored the custody of the minors to the appellant-father primarily on the conduct of the parties, the standard of living and income of the parents, and lastly, on the age and gender of the minors and the preference shown by them. The High Court held that none of the above aspects are relevant for deciding the custody of the minors and that the paramount consideration is only the welfare of the children.
21. The High Court further recorded that, although the minors may have exhibited an inclination to stay with their father and to accompany him to Qatar, much importance cannot be attached to such gestures

Mohtashem Billah Malik v. Sana Aftab

of the children, as after the conclusion of the hearing and reserving the judgement, the Court had interacted with the minors in chambers for about 40 minutes (in the absence of the parents) and noticed that the elder child did not express any resentment towards either of the parents. Further, in response to the query as to who would look after him while in Qatar, the elder child responded by saying that probably a maid would do so. As such, the Court went on to hold that the inclination of the children was also not very clear as to whether they wished to accompany the appellant-father to Qatar.

22. We have gone through the entire judgement and order passed by the High Court in the light of the submissions advanced by the parties and have also perused the documents on record. What we clearly notice from the above is that there is no dispute with the proposition that in matters of custody, the paramount consideration is the welfare of the children but nonetheless there are a host of other factors which weigh before the court while passing the final order of custody. These host of factors may include the conduct of the parties, their financial capacity, their standard of living, as well as the comfort and education of the children. Therefore, it may not be entirely correct on the part of the High Court in holding that such factors are not very relevant and that the custody of the minors has to depend upon their welfare alone.
23. The High Court while writing the opinion had referred to the fact that the respondent-wife had travelled and moved the minors to India without the consent of the appellant-father, who was guardian and without obtaining the original passports from him but rather by procuring fake or duplicate or fresh passports while original already existed for travel purposes. However, the court below has not considered the effect and impact of this conduct while granting the custody to the respondent-wife.
24. We are of the opinion that the impact of the aforesaid conduct of the respondent-wife was a material aspect which ought to have been considered by the High Court while passing the order of the custody.
25. Secondly, the High Court completely failed to consider the impact of the judgement and order of the Qatar Court dated 31.10.2023, by which the custody order in favour of the respondent-wife was revoked for the reason that she misconducted herself by removing the children from the jurisdiction of the Court, and that too without

Supreme Court Reports

the consent of the appellant-father and the permission of the Court. The revocation of the order of custody was a crucial material for the purpose of determining the custody of the children. In fact, there was no subsisting order of custody of children in favour of the respondent-wife; rather, there was an order in favour of the appellant-husband appointing him as the guardian of the minors. All these aspects were highly relevant for passing an order of custody of the minors.

26. Thirdly, the Court below also ignored the impact of the order of the Contempt Court holding the respondent-wife guilty of committing contempt of the court for violation of her own undertaking given to the High Court on 01.12.2022 that she will return to Qatar by 02.01.2023 for the continuation of the minor's education but travelled alone leaving the minors behind in India, which had led to the disposal of the LPA without consideration on merits.
27. The aforesaid contempt order has attained finality and is conclusive, and as such, the respondent-wife cannot resile from her guilty conduct.
28. Lastly, in a criminal case regarding abuse and assault filed against the appellant-husband the Qatar Court had given a clean chit to him and there is no subsisting conviction for assault, which clearly demonstrates that the misconduct as alleged against him has not been proved so as to disentitle him from the company of the children.
29. Apart from the above, not only the findings recorded by the Family Court, Srinagar indicate that the minor children had shown inclination to accompany the appellant-father to Qatar, but the mediation report placed before this Court also contains material observations which bear directly on the issue of custody.
30. As per the mediation report, both children expressed an inclination towards joining their father. Though they had limited or no conscious memory of life in Qatar, where they were born, they nonetheless conveyed a desire to explore and reside there. When specifically asked as to who would look after them in Qatar, the elder child stated that the presence of his father would be sufficient and that someone would inevitably be available to care for them. Both children appeared comfortable with the prospect of being without their mother. The younger child repeatedly expressed his wish to go with the father and was visibly distressed during the interaction. It was also recorded that both children speak only English, and found difficulty in conversing with local children.

Mohtashem Billah Malik v. Sana Aftab

31. The High Court has completely ignored the aforesaid material and crucial aspects while passing the impugned order. While these aspects may not, by themselves, be the sole reason for determining custody, they are nevertheless necessary and relevant factors, and their cumulative effect was at least relevant for determining the custody arrangement.
32. In view of the aforesaid facts and circumstances, we are of the opinion that the impugned judgement and order dated 08.09.2025 passed by the High Court of Jammu & Kashmir and Ladakh cannot be sustained in law and is liable to be set aside.
33. Accordingly, it is hereby set aside and the matter is remanded to the High Court for reconsideration on its own merits in accordance with the law most expeditiously, preferably within a period of four months from the day a certified copy of this order is placed before the court concerned.
34. The Civil Appeal is allowed with no order as to costs.

Result of the case: Appeal allowed.

[†]Headnotes prepared by: Nidhi Jain

Rupesh Kumar Meena

v.

Union of India & Others

(Civil Appeal No(s). 11302-11303 of 2016)

04 February 2026

[Rajesh Bindal* and Atul S. Chandurkar, JJ.]

Issue for Consideration

Whether the appellant herein should be allowed to change his cadre from Tamil Nadu to Rajasthan, against the 'insider' vacancy. The selection pertains to the year 2004. The appellant is already in service in Tamil Nadu for more than two decades.

Headnotes[†]

Service Law – Joining of cadre – The first two candidates chose not to join the Rajasthan cadre, offered on the basis of 'insider' vacancy, the appellant staked his claim to be considered for appointment against the same – He filed OA before the Tribunal, which was dismissed – The High Court upheld the same – Review Application was also dismissed – Correctness:

Held: The undisputed facts which emerge from the material on record are that the appellant who belonged to ST Category was selected and appointed to IPS in the Combined Civil Services Examination held in the year 2004 – As per his merit, he was allocated Tamil Nadu Cadre where he is serving ever since his appointment – The first two candidates chose not to join the Rajasthan cadre – By this time, six years had lapsed for the 2004 selection – The appellant who was third in the merit list claimed entitlement to be offered the 'insider' vacancy – Rather, his case is when the second candidate did not join, he should be offered that vacancy – Such a process cannot be adopted – It will result in the process of allocation or change of cadres fluid for all times to come – The result thereof may be, that after shifting of the appellant from Tamil Nadu to Rajasthan, in terms of the merit list for the 2004 Selection, a candidate below the appellant may claim change of cadre, who other wise may have been allocated to some

* Author

Rupesh Kumar Meena v. Union of India & Others

other State – This may also have effect on appointment against any ‘insider’ vacancy – Finality has to be attached to the process of selection – No material has been produced to show that the aforesaid ‘insider’ vacancy for the year 2004 was still lying vacant for the period of more than 20 years that have passed – No merit found in appeals and same are dismissed. [Paras 6, 9, 12, 13]

List of Keywords

Service Law; Cadre; Vacancy; Joining of cadre; Insider vacancy; Selection; Appointment; Combined Civil Services Examination; Tamil Nadu Cadre; Rajasthan cadre; Entitlement; Process of allocation.

Case Arising From

CIVIL APPELLATE JURISDICTION: Civil Appeal No(s). 11302-11303 of 2016

From the Judgment and Order dated 26.08.2011 and 21.10.2011 of the High Court of Delhi at New Delhi in WP No. 6215 of 2011 and RP No. 612 of 2011, respectively

Appearances for Parties

Advs. for the Appellant(s):

Dr. Sarbjit Sharma, Dr. Sumit Sharma, Ms. Manishi Raj, Abhishek Sharma, S. K. Verma.

Adv. for the Respondent(s):

Vinayak Sharma, Ms. Alka Agarwal, Arvind Kumar Sharma, Mrs. Priya Puri.

Judgment / Order of the Supreme Court**Judgment**

Rajesh Bindal, J.

1. The appellant is an IPS Officer of Tamil Nadu Cadre. He was selected against a vacancy meant for Scheduled Tribe (ST) category. He filed the present appeals challenging the orders¹ passed by the High

¹ Dated 26.08.2011 in W.P.(C) No.6215 of 2011 and 21.10.2011 in Review Petition No.612 of 2011

Supreme Court Reports

Court². Vide the order dated 26.08.2011, the High Court upheld the order³ passed by the Tribunal,⁴ by which the application⁵ filed by the appellant was dismissed. Subsequently, review petition filed by the appellant was also dismissed by the High Court.

2. Learned counsel for the appellant submitted that one Rishikesh Meena appeared in Civil Services Examination held in the year 2003. As per the merit list, he was selected in the Indian Police Service (IPS) and was allocated West Bengal cadre. He again appeared in 2004 Civil Services Examination and qualified against the vacancy of an IPS Officer. As he was already serving as an IPS Officer, he never chose to join the 2004 batch, as he was to lose one year seniority. In this batch, he was even offered 'insider' vacancy of IPS cadre in the State of Rajasthan, however, he did not accept the same as well.

2.1 Next Officer in the merit list for 'insider' vacancy in the State of Rajasthan for the batch of 2004, was Rajesh Kumar. His claim was that since Rishikesh Meena did not accept the offer for 'insider' vacancy in the State of Rajasthan, he should be offered the same. His claim was rejected by the Union of India. Otherwise, he was originally allocated to Orissa Cadre. Aggrieved against the rejection of his claim for re-allocation, Rajesh Kumar filed O.A. No.102 of 2007 before the Tribunal. The Tribunal vide order dated 02.01.2008 allowed the aforesaid O.A. and directed that 'insider' vacancy in the State of Rajasthan should be offered to Rajesh Kumar as offer of appointment to Rishikesh Meena had not been accepted by him.

2.2 Aggrieved against the same, Union of India preferred writ petition⁶ before the High Court. As during the pendency of the aforesaid writ petition, Rajesh Kumar was selected in the Indian Administrative Service (IAS), he joined as such and his grievance did not survive. The High Court disposed of the writ petition on 14.09.2010, leaving the question of law open.

2 High of Delhi at New Delhi

3 Dated 08.03.2011

4 Central Administrative Tribunal, Principal Bench, Delhi

5 O.A. No.2326 of 2010

6 Writ Petition No.5221 of 2008

Rupesh Kumar Meena v. Union of India & Others

- 2.3 The appellant/Rupesh Kumar Meena was third in the merit list for insider vacancy in the Rajasthan cadre in the batch of 2004 examination. The moment the first two candidates chose not to join the Rajasthan cadre, offered on the basis of 'insider' vacancy, the appellant staked his claim to be considered for appointment against the same. He filed OA⁷ before the Tribunal, which was dismissed vide order dated 08.03.2011. The High Court upheld the same, vide the order dated 26.08.2011. Even review application was also dismissed vide order dated 21.10.2011. These are the orders impugned before this Court.
3. The argument raised by the learned counsel for the appellant is that, the stand of the respondents that when the vacancy was offered to Rishikesh Meena, the same stood filled, was wrong. He submitted that, ever since the appellant was appointed to IPS and allocated the Tamil Nadu cadre, he has been serving in that State. The only issue for consideration in the present appeal is regarding his allocation to Rajasthan cadre on 'insider' vacancy for which he has a legitimate right, being eligible and entitled to the same, as two other candidates, senior to him in the merit list, had not joined the Rajasthan cadre against that vacancy. It is not a change of cadre rather merely a correction. The situation became clear only in the year 2010 when despite the Tribunal's order in favour of Rajesh Kumar, he did not join to occupy the 'insider' vacancy in the State of Rajasthan, as he was selected in the IAS cadre, during the pendency of the writ petition filed by the Union of India. Immediately thereafter, the appellant had raised his grievance. There is no delay as such. It was further argued that there are numerous examples wherein similar adjustments were made by the Union of India later on, hence, delay does not matter. He further submitted that the said vacancy is still available, as it was not filled up.
4. In response, learned counsel for the Union of India, submitted that, in the case in hand there is no dispute that the appellant was rightly allocated Tamil Nadu Cadre after his selection to IPS. There is huge delay in filing of the application (O.A. No.2326 of 2010) by the appellant before the Tribunal. The allocation to a cadre cannot be kept

Supreme Court Reports

pending for years together for change, in the manner suggested by the appellant. The 'insider' vacancy in the State of Rajasthan pertains to the year 2004. For the first time, issue was raised by the appellant in the year 2010. In fact, prior to that, he did not have any right as the person selected and senior to him, namely, Rajesh Kumar, was available and was also litigating for his claim. If the argument of the appellant is accepted at this stage, this will open a pandora's box. Shifting of appellant from Tamil Nadu cadre to Rajasthan cadre will create a vacancy in the Tamil Nadu cadre for the year 2004. Meaning thereby, reshuffling in the list of the selected candidates in that year. Consequently, someone selected in that year may also claim that, for the vacancy arising on account of the shifting of the appellant from Tamil Nadu to Rajasthan, he may be entitled to Tamil Nadu cadre and so on and so forth. The allocation of cadre will never be final and it will remain fluid for all times to come, leading to a kind of chain reaction.

- 4.1 He further submitted that the definite stand taken by the Union of India before the Tribunal was that once a selected candidate is allocated to a specific cadre (including on insider vacancy), as in the case in hand, the vacancy stands consumed. Meaning thereby, when Rishikesh Meena was allocated to 'insider' vacancy in the State of Rajasthan, the same stood consumed. Hence, appellant cannot raise any claim on that post.
- 4.2 He further submitted that against the order passed by the Tribunal in favour of Rajesh Kumar, the Union of India had filed writ petition and while the matter was sub judice, he got selected to IAS. The High Court while disposing of the writ petition clearly mentioned that the impugned order passed by the Tribunal will not be treated as a precedent and the question of law was kept open. He further submitted that if there is any error in the allocation of cadre, the correction is always done but not in the type of cases the appellant is claiming relief.
5. Heard learned counsel for the parties and perused the paperbook. The arguments in the appeal were heard on 22.01.2026 and the judgement was reserved. Learned counsel for Union of India was permitted to supply copy of the Rules or instructions on the subject on or before 27.01.2026. Nothing has been supplied. The matter cannot be kept pending on that account.

Rupesh Kumar Meena v. Union of India & Others

6. The undisputed facts which emerge from the material on record are that the appellant who belonged to ST Category was selected and appointed to IPS in the Combined Civil Services Examination held in the year 2004. As per his merit, he was allocated Tamil Nadu Cadre where he is serving ever since his appointment.
7. Another candidate, namely, Rishikesh Meena, appeared in the 2003 examination. As per his merit, he was appointed to the IPS Cadre and allocated to the State of West Bengal. Being ambitious, Rishikesh Meena appeared in 2004 Civil Services Examination. He again qualified for IPS as per the merit list. As there would not have been any improvement in his status, he did not join against the selection in 2004 Batch. He even did not accept 'insider' vacancy of IPS Cadre in the State of Rajasthan for 2004 Batch.
8. Rajesh Kumar was next in merit after Rishikesh Meena. He staked his claim for appointment against 'insider' vacancy as Rishikesh Meena did not accept the same. His claim was rejected by the Competent Authority. Aggrieved against the same, he filed OA No. 102 of 2007 before the Tribunal. The same was allowed vide order dated 02.01.2008. Rajesh Kumar was directed to be allocated against 'insider' vacancy in the State of Rajasthan. The aforesaid order was challenged by the Union of India before the High Court. As Rajesh Kumar wanted to progress in his career, he again appeared in Combined Civil Services Examination. During the pendency of the writ petition before the High Court, he was selected to IAS. As a result of which, he was no more interested to join as IPS against 'insider' vacancy in the State of Rajasthan. The writ petition filed by the Union of India before the High Court was disposed of, noticing that the grievance of Rajesh Kumar did not survive any further. However, considering the apprehension of the petitioner before the High Court, it was directed that the order of the Tribunal impugned before the High Court need not be treated as a precedent and the question of law raised therein was left open to be decided in an appropriate case. The aforesaid order was passed on 14.09.2010.
9. By this time, six years had lapsed for the 2004 selection. The appellant who was third in the merit list, claiming to be below Rajesh Kumar and entitled to be offered the 'insider' vacancy in the State of Rajasthan raised his grievance. O.A. was filed before the Tribunal. His submission was that the two persons above him in the merit list,

Supreme Court Reports

having not joined against the 'insider' vacancy for the year 2004, he should be offered the same. The Tribunal did not find any merit in the O.A. and the same was dismissed, finding that the Ministry of Home Affairs has not committed any irregularity in allocation of cadres. Even if candidate had not joined, the next one will not have any right to claim allocation to the same post. The earlier order passed in Rajesh Kumar's case was differentiated. Aggrieved against the aforesaid order, the appellant preferred writ petition before the High Court, which met with the same fate.

10. In the aforesaid undisputed factual matrix, the issue before this Court is, as to whether the appellant should now be allowed to change his cadre from Tamil Nadu to Rajasthan, against the 'insider' vacancy. The selection pertains to the year 2004. The appellant is already in service in Tamil Nadu for more than two decades. During the interregnum, there have been more than 20 selections as Combined Civil Services Examination is an annual process as the effort is always to fill up all the vacancies.
11. It is not a case where the allegation of the appellant is regarding any illegality committed by the Ministry of Home Affairs in the allocation of cadres as per the merit position of the appellant in the 2004 Combined Civil Services Examination. His claim is based on the fact that, candidate senior to him having not accepted the 'insider' vacancy of 2004 Batch in the State of Rajasthan, the same should have been offered to the next candidate. Such a relief having been denied to the next candidate Rajesh Kumar, he raised grievance and succeeded before the Tribunal. However, he having been selected to IAS during the pendency of the writ petition before the High Court, was no more interested against that vacancy. The writ petition was disposed of in the year 2010. It was at this stage that the appellant sought to stake his claim. It was six years down the line as the vacancy pertains to the year 2004.
12. It is not in dispute that the appellant was not the next candidate in the order of merit to be offered the 'insider' vacancy in the State of Rajasthan, in case the first one had not joined. Rather, his case is when the second candidate did not join, he should be offered that vacancy. In our view, such a process cannot be adopted. It will result in the process of allocation or change of cadres fluid for all times to come. The result thereof may be, that after shifting of the appellant

Rupesh Kumar Meena v. Union of India & Others

from Tamil Nadu to Rajasthan, in terms of the merit list for the 2004 Selection, a candidate below the appellant may claim change of cadre, who other wise may have been allocated to some other State. This may also have effect on appointment against any 'insider' vacancy. Finality has to be attached to the process of selection. Before us, no material has been produced to show that the aforesaid 'insider' vacancy for the year 2004 was still lying vacant for the period of more than 20 years that have passed.

13. For the reasons mentioned above, we do not find any merit in the present appeals and same are accordingly dismissed.
14. Pending application(s), if any, shall also stand disposed of.

Result of the case: Appeals dismissed.

[†]Headnotes prepared by: Ankit Gyan

Vinit Bahri and Another
v.
M/s MGF Developers Ltd. and Another

(Civil Appeal No. 6588 of 2023)

04 February 2026

[Prashant Kumar Mishra* and N.V. Anjaria, JJ.]

Issue for Consideration

Whether the NCDRC was right in dismissing the complaint filed by the appellants on the premise that they do not fall under the definition of ‘consumer’ for leasing out the subject property for commercial purposes, falling within the exclusion clause of s.2(1)(d) of the Consumer Protection Act, 1986.

Headnotes[†]

Consumer Protection Act, 1986 – s.2(1)(d) – The respondents launched a group housing project – The appellants in March 2005, deposited Rs.15,00,000/- as the booking amount, and, on 02.09.2005, they were allotted a Unit – The appellants filed the subject complaint alleging deficiency in service and unfair trade practice – The appellants challenged the demand of Rs.30,81,894/- under various heads of EEDC, IDC, Service Tax, etc. and also Rs.4,80,000/- towards deficiency in providing promised fixtures in the flat – Respondent no.1 alleged that appellants have purchased the said flat for commercial purposes and that appellants are not consumers – The NCDRC reached to a conclusion that the appellants do not fall under the definition of ‘consumer’ as they leased the said flat premises – Correctness:

Held: The NCDRC has erred in dismissing the appellants’ complaint – The onus of proving that the appellants fall within the exclusion clause of s.2(1)(d) of the 1986 Act rests upon the respondents, and the respondents have failed to discharge this onus on a preponderance of probabilities – The determinative question is whether the dominant intention or dominant purpose

* Author

Vinit Bahri and Another v. M/s MGF Developers Ltd. and Another

behind purchasing the flat was to facilitate profit generation through commercial activity, and whether there exists a close and direct nexus between the purchase and such profit-generating activity – The respondents have not placed any cogent material on record to establish such nexus – The mere factum of leasing out the flat does not, by itself, demonstrate that the appellants purchased the property with the dominant purpose of engaging in commercial activity – The question of what constitutes ‘commercial purpose’ is a question of fact to be decided in the circumstances of each case based on the purpose to which the goods/properties were purchased – It must be emphasized that the mere act of purchasing immovable property, even multiple units, cannot *ipso facto* attract the exclusion clause of s.2(1)(d) of the 1986 Act unless and until it is proved that the dominant purpose behind such purchase was commercial in nature – In absence of such proof, the appellants cannot be excluded from the definition of ‘consumer’ under the 1986 Act. [Para 17]

Case Law Cited

Lilavati Kirtilal Mehta Medical Trust v. Unique Shanti Developers and Others [2019] 14 SCR 563 : (2020) 2 SCC 265; *Rohit Chaudhary and Another v. Vipul Limited* [2023] 14 SCR 394 : (2024) 1 SCC 8; *Shriram Chits (K) Pvt. Ltd v. Raghachand Associates* [2024] 6 SCR 214 : (2024) 9 SCC 509 – relied on.

IREO Private Ltd. v. Aloke Anand and Others [2022] 2 SCR 411 : (2022) 9 SCC 412; *Synco Textiles Pvt. Ltd. v. Greaves Cotton and Company Ltd.*, 1990 SCC OnLine NCDRC 3; *Laxmi Engineering Works v. P.S.G. Industrial Institute* [1995] 3 SCR 174 : (1995) 3 SCC 583; *National Insurance Co. Ltd. v. Harsolia Motors* [2023] 3 SCR 448 : (2023) 8 SCC 362 – referred to.

List of Acts

Consumer Protection Act, 1986.

List of Keywords

Consumer; s.2(1)(d) of Consumer Protection Act, 1986; Preponderance of probabilities; Dominant intention; Dominant purpose; Profit generation; Leasing; Commercial purpose.

Supreme Court Reports

Case Arising From

CIVIL APPELLATE JURISDICTION: Civil Appeal No. 6588 of 2023

From the Judgment and Order dated 11.05.2023 of the National Consumers Disputes Redressal Commission, New Delhi in CC No. 74 of 2017

Appearances for Parties

Advs. for the Appellant(s):

Krishnamohan K., Ms. Priya, Ms. Dania Nayyar, Mrs. Purna Jain Kala.

Adv. for the Respondent(s):

Ms. Diya Kapoor, Sr. Adv., Yudister Singh, Akhil Sachar, Siddhartha Iyer, Aman Gupta, Ms. Srishti Ghoshal, Tonmoy Talukdar, Ms. Payal Rani, Ms. Sonakshi Malhan.

Judgment / Order of the Supreme Court

Judgment

Prashant Kumar Mishra, J.

- 1) This Appeal assails the impugned judgment dated 11.05.2023 in Consumer Complaint No.74/2017, passed by the National Consumer Disputes Redressal Commission¹ at New Delhi whereby, the NCDRC dismissed the consumer complaint preferred by the appellants.

FACTUAL MATRIX

- 2) Shorn of unnecessary details, the facts stand thus: the appellants filed a complaint before the NCDRC for seeking a direction to the respondents to pay (i) Rs. 1,59,89,994/- being 18% interest; (ii) Rs.50,00,000/- as compensation for mental agony and harassment; (iii) Rs.15,00,000/- as compensation due to the change in location of Tower-C; (iv) Rs.35,61,494/- as excess amount realized towards fixtures and fitting; (v) Rs.2,50,000/- as the litigation costs; and (vi) any other relief which is deemed fit and proper.

¹ For short, 'the NCDRC'

Vinit Bahri and Another v. M/s MGF Developers Ltd. and Another

- 3) The backdrop of the above complaint is that the respondents launched a group housing project in the name of 'The Villas' at Village Sahraul, Sector-25, Gurgaon, in the year 2005. The appellants in March 2005, deposited Rs.15,00,000/- as the booking amount, and, on 02.09.2005, they were allotted Unit No.VP-C/802 located on the ground floor of Tower-C with super built area of 3590 square feet.
- 4) Thereafter, on 12.06.2006, a Flat Buyer's Agreement was executed in favour of the appellants and Clause 9.1 of the Agreement stipulates that the possession of the flat shall be handed over within 36 months from the date of the Agreement, subject to a grace period of 90 days for obtaining the occupation certificate. It is the appellants' case that the due date of possession expired on 11.09.2009 and that the respondents have unilaterally changed the layout plan of Tower-C without informing the buyers. The respondents in their meeting held on 23.04.2009 have admitted the factum of change in the layout plan of Tower-C. The appellants also alleged that, on 06.09.2009, the respondents raised a demand for Rs.10,82,000/- and, subsequently, on multiple occasions, the respondents demanded for payments and the appellants have obliged to the same under protest and have taken possession of the flat on 08.01.2015. The respondents *vide* letter dated 02.01.2015, invited objections against the change of layout plan and the appellants filed their objections against the same. However, Director, Town and Country Planning, Haryana, issued occupation certificate on 14.08.2015.
- 5) On 10.01.2017, the appellants filed the subject complaint alleging deficiency in service and unfair trade practice. The appellants challenged the demand of Rs.30,81,894/- under various heads of EEDC, IDC, Service Tax, etc. and also Rs.4,80,000/- towards deficiency in providing promised fixtures in the flat.
- 6) Before the NCDRC, respondent No.1 filed a written reply wherein it was stated that the appellants have already been paid/adjusted a delay compensation of Rs.12,10,237/- as per clause 9.7 of the Agreement, and the same has been accepted unconditionally. It is also the case of respondent No.1 that the total area of the flat has been increased by 271.08 square feet, and the appellants were liable to pay for subject increase in the area. It is also stated that all the demands raised by the respondents were according to the Flat Buyer's Agreement. Significantly, it is alleged by respondent

Supreme Court Reports

No.1 that the appellants have purchased the said flat for commercial purposes and after taking over the possession, the flat has been let out to one Shri Sunil Raman since March 2015. A lease deed to this effect has been executed on 03.03.2016. Ergo, it is the case of respondent No.1 that the appellants are not consumers and that the appellants' complaint should be dismissed. Respondent No.2 also filed a separate reply wherein it was stated that the said project 'The Villas' was handed over to respondent No.1 through settlement deed dated 19.12.2013 and that respondent No.2 is absolved of all liabilities as respondent No.1 took all the liabilities towards the project through indemnity deed dated 09.03.2016.

- 7) The NCDRC after considering the rival submissions, reached to a conclusion that the appellants do not fall under the definition of '*consumer*' as they leased the said flat premises to Shri Sunil Raman and the said act is considered as commercial purpose.

SUBMISSIONS

- 8) Learned counsel for the appellants contended that the residential unit purchased by the appellants was purely purchased for personal usage and the NCDRC has committed an error in observing that the subject premises were purchased for commercial usage. The sole intent of the appellants behind purchasing the residential unit was to live closer to their parents. To buttress his submissions, the learned counsel for the appellants relied upon the decisions in ***IREO Private Ltd. vs. Alope Anand and Others***²; and ***Synco Textiles Pvt. Ltd. vs. Greaves Cotton and Company Ltd.***³.
- 9) Per contra, learned senior counsel for the respondents supported the impugned judgment and prayed for dismissal of this Appeal.

ANALYSIS

- 10) The pivotal question which falls for our considerations is whether the NCDRC was right in dismissing the complaint filed by the appellants on the premise that they do not fall under the definition of '*consumer*'

2 (2022) 9 SCC 412

3 1990 SCC OnLine NCDRC 3

Vinit Bahri and Another v. M/s MGF Developers Ltd. and Another

for leasing out the subject property for commercial purposes, falling within the exclusion clause of Section 2(1)(d) of the Consumer Protection Act, 1986⁴.

- 11) Before advertizing to the issue of whether the act of the appellants in leasing the subject flat falls under the exclusion clause of Section 2(1)(d) of the 1986 Act, it is necessary to outline the meaning and scope of the term ‘consumer’. The said term has been defined under Section 2(1)(d) of the 1986 Act and the same is reproduced below for ready reference:

“2. Definitions

(1) In this Act, unless the context otherwise requires,-

...

d) “consumer” means any person who,—

(i) buys any goods for a consideration which has been paid or promised or partly paid and partly promised, or under any system of deferred payment and includes any user of such goods other than the person who buys such goods for consideration paid or promised or partly paid or partly promised, or under any system of deferred payment when such use is made with the approval of such person, **but does not include a person who obtains such goods for resale or for any commercial purpose;** or

(ii) hires or avails of any services for a consideration which has been paid or promised or partly paid and partly promised, or under any system of deferred payment and includes any beneficiary of such services other than the person who hires or avails of the services for consideration paid or promised, or partly paid and partly promised, or under any system of deferred payments, when such services are availed of with the approval of the first mentioned person; **but does not include a person who avails of such services for any commercial purpose.**

Explanation.—For the purposes of this clause, “commercial purpose” does not include use by a

4 For Short, ‘the 1986 Act’

Supreme Court Reports

person of goods bought and used by him and services availed by him exclusively for the purposes of earning his livelihood by means of self-employment;”

(Emphasis Supplied)

- 12) A bare perusal of the above provision reveals that the term ‘*consumer*’ encompasses any person who buys goods or avails services for consideration, but excludes a person who obtains such goods for resale or for any commercial purpose. The Explanation to the said clause clarifies that ‘commercial purpose’ does not include use by a person of goods bought and used by him exclusively for the purposes of earning his livelihood by means of self-employment. While the 1986 Act does not exhaustively define ‘commercial purpose’, though the Explanation to Section 2(1)(d) carves out an exception for self-employment and earning livelihood, the dominant intention or dominant purpose of the transaction is determinative of whether the purchaser falls within the exclusion clause.
- 13) This Court in ***Laxmi Engineering Works vs. P.S.G. Industrial Institute***⁵ observed that in absence of a statutory definition, the term ‘commercial’ denotes activities connected with or engaged in commerce, having profit as the main aim, whereas ‘commerce’ means financial transactions, especially buying and selling of merchandise on a large scale. This Court in ***Laxmi Engineering Works*** (supra) approved the view taken by the NCDRC in ***Synco Textiles Pvt. Ltd.*** (supra) wherein the NCDRC held that where a person purchases goods “with a view to using such goods for carrying on any activity on a large scale for the purpose of earning profit” he will not be a ‘consumer’, and that in order for the exclusion clause to apply, there must be a close nexus between the transaction of purchase of goods and the large scale activity carried on for earning profit. This Court in ***Laxmi Engineering Works*** (supra) further observed that the Explanation, being an exception to an exception, clarifies that purchase of goods for ‘commercial purpose’ would not take the purchaser out of the definition of ‘consumer’ if the commercial use is by the purchaser himself for the purpose of earning his livelihood by means of self-employment. The Explanation reduces the question

Vinit Bahri and Another v. M/s MGF Developers Ltd. and Another

of what constitutes ‘commercial purpose’ to a question of fact to be decided in the circumstances of each case, and it is not the value of the goods that matters but the purpose to which the goods bought are put to.

- 14) The interpretation of expression ‘commercial purpose’ was further expounded in ***Lilavati Kirtilal Mehta Medical Trust vs. Unique Shanti Developers and Others***⁶ wherein it was observed thus :

“19. To summarise from the above discussion, though a strait jacket formula cannot be adopted in every case, the following broad principles can be culled out for determining whether an activity or transaction is “for a commercial purpose”:

19.1. The question of whether a transaction is for a commercial purpose would depend upon the facts and circumstances of each case. However, ***ordinarily, “commercial purpose” is understood to include manufacturing/industrial activity or business-to-business transactions between commercial entities.***

19.2. The purchase of the good or service should have a close and direct nexus with a profit-generating activity.

19.3. The identity of the person making the purchase or the value of the transaction is not conclusive to the question of whether it is for a commercial purpose. It has to be seen whether the dominant intention or dominant purpose for the transaction was to facilitate some kind of profit generation for the purchaser and/or their beneficiary.

19.4. If it is found that the dominant purpose behind purchasing the good or service was for the personal use and consumption of the purchaser and/or their beneficiary, or is otherwise not linked to any commercial activity, the question of whether such a purchase was for the purpose of “generating livelihood by means of self-employment” need not be looked into.”

(Emphasis Supplied)

Supreme Court Reports

- 15) The principles laid down in *Lilavati Kirtilal Mehta Medical Trust* (supra) were reiterated in *Rohit Chaudhary and Another vs. Vipul Limited*⁷, wherein this Court observed as under:

“18. Thus, if the dominant purpose of purchasing the goods or services is for a profit motive and this fact is evident from the record, such purchaser would not fall within the four corners of the definition of “consumer”. On the other hand, if the answer is in the negative, namely, if such person purchases the goods or services is not for any commercial purpose and for one’s own use, it cannot be gainsaid even in such circumstances the transaction would be for a commercial purpose attributing profit motive and thereby excluding such person from the definition of “consumer”.

(Emphasis Supplied)

- 16) While the aforesaid decisions elucidate the legal principles for determining what constitutes ‘commercial purpose’, the equally critical question as to who bears the burden of proving whether or not, the transaction falls within the exclusion clause of the term ‘consumer’ was addressed by this Court in *Shriram Chits (India) Private Limited Earlier Known as Shriram Chits (K) Pvt. Ltd vs. Raghachand Associates*⁸, in following words:

“19. As we have shown above, the definition of consumer has three parts. The significance of deconstructing the definition into three parts was for the purpose of explaining on whom lies the onus to prove each of the different parts. There can hardly be any dispute that the onus of proving the first part i.e. that the person had bought goods/availed services for a consideration, rests on the complainant himself. The carve out clause, in the second part, is invoked by the service providers to exclude the complainants from availing benefits under the Act. The onus of proving that the person falls within the carve out must necessarily rest on the service provider and not the complainant.

7 (2024) 1 SCC 8

8 (2024) 9 SCC 509

Vinit Bahri and Another v. M/s MGF Developers Ltd. and Another

This is in sync with the general principle embodied in Sections 101 and 102 of the Evidence Act, 1872 that “*one who pleads must prove*”. Since it is always the service provider who pleads that the service was obtained for a commercial purpose, the onus of proving the same would have to be borne by it. Further, it cannot be forgotten that the Consumer Protection Act is a consumer-friendly and beneficial legislation intended to address grievances of consumers. [*National Insurance Co. Ltd. v. Harsolia Motors*, (2023) 8 SCC 362 : (2023) 4 SCC (Civ) 53] Moreover, a negative burden cannot be placed on the complainant to show that the service available was not for a commercial purpose.

20. Having held that the onus to prove that the service was obtained for a commercial purpose is on the service provider, we may clarify the standard of proof that has to be met in order to discharge the onus. **The standard of proof has to be measured against a “preponderance of probabilities”**. The test to determine whether service obtained qualified as a commercial purpose is no longer res integra in view of this Court’s decision in *Lilavati Kirtilal Mehta case* [*Lilavati Kirtilal Mehta Medical Trust v. Unique Shanti Developers*, (2020) 2 SCC 265 : (2020) 1 SCC (Civ) 320] . Para 19 sets out the principles on which it must be determined whether the onus of proving “*commercial purpose*” has been properly discharged by the service provider.

21. If and only if, **the service provider discharges its onus of showing that the service was availed, in fact for a commercial purpose, does the onus shift back to the complainant to bring its case within the third part** i.e. Explanation (a) to Section 2(7) — to show that the service was obtained exclusively for the purpose of earning its livelihood by means of self-employment.”

(Emphasis Supplied)

- 17) In the light of the aforesaid adjudications and for the reasons discussed hereinbefore, we are of the considered view that the NCDRC has

Supreme Court Reports

erred in dismissing the appellants' complaint. The onus of proving that the appellants fall within the exclusion clause of Section 2(1)(d) of the 1986 Act rests upon the respondents, and the respondents have failed to discharge this onus on a preponderance of probabilities. The determinative question is whether the dominant intention or dominant purpose behind purchasing the flat was to facilitate profit generation through commercial activity, and whether there exists a close and direct nexus between the purchase and such profit-generating activity. The respondents have not placed any cogent material on record to establish such nexus. The mere factum of leasing out the flat does not, by itself, demonstrate that the appellants purchased the property with the dominant purpose of engaging in commercial activity. The question of what constitutes 'commercial purpose' is a question of fact to be decided in the circumstances of each case based on the purpose to which the goods/properties were purchased. It must be emphasized that the mere act of purchasing immovable property, even multiple units, cannot *ipso facto* attract the exclusion clause of Section 2(1)(d) of the 1986 Act unless and until it is proved that the dominant purpose behind such purchase was commercial in nature. In absence of such proof, the appellants cannot be excluded from the definition of 'consumer' under the 1986 Act.

- 18) In our view, the Complaint Case needs consideration on merits by the NCDRC. Accordingly, we set aside the impugned judgment dated 11.05.2023 passed by the NCDRC and restore Consumer Complaint No.74/2017 to its original number to the file of the NCDRC. The NCDRC shall proceed to decide the Consumer Complaint on merits and in accordance with law.
- 19) The Appeal is allowed.

Result of the case: Appeal allowed.

Shashin Patel and Anr.

v.

Uday Dalal and Ors.

(Civil Appeal No. 795 of 2026)

05 February 2026

[Vikram Nath and Sandeep Mehta,* JJ.]

Issue for Consideration

Whether the belated prayer of the appellants in Civil Appeal No. 795 of 2026, being the successors-in-interest of 'NP', to gain membership in the Society by making payment at a highly belated stage, could have been accepted by the Joint Registrar.

Headnotes[†]

Maharashtra Co-operative Societies Act, 1960 – 'NP'- Predecessor-in-interest of the appellants was in occupation of Flat No.7 in the building in the Co-operative Housing Society (Society-respondent No.7) as a tenant thereof – Dispute *inter se* parties pertains to Flat No.7 and the claim of the appellants for grant of membership of the society – Allegedly there was disinclination on the part of 'NP' to make the requisite contribution be admitted as a member thereof and he conveyed his intention to continue as a tenant of the Society – Appellants in Civil Appeal No. 795 of 2026 initiated steps for being admitted as members of the Society and filed an application before the Authorised Officer of the Society – However, the Authorised Officer informed the appellants that he was not empowered to take any policy decision and, therefore, could not decide the appellants' application for membership – Appellants filed appeal before the Deputy Registrar, Co-operative Societies u/s.23(2) – Deputy Registrar directed the Authorised Officer to convene a Special General Body Meeting (SGBM) of the Society for taking a decision on the appellants' application for membership within thirty days – Appellants filed Revision before the Divisional Joint Registrar, allowed and the appellants were *inter alia* directed

* Author

Supreme Court Reports

to be admitted as joint-members of the Society in respect of Flat No.7 – Challenged by three members of the erstwhile society (respondent Nos.1-3 herein), Writ Petition filed before the High Court – In the interregnum, the appellants conveyed the flat in question to one M/s. Capital Mind Advisory Services Private Limited (appellant in Civil Appeal @ SLP (Civil) No.36057 of 2025) – High Court partly allowed the writ petition:

Held: Peaceful possession and occupation of 'NP' and, thereafter, his legal heirs, *i.e.* the appellants in Civil Appeal 795 of 2026, over Flat No.7 has never been in question – The Society, in its AGM held on 30.09.2025, resolved to re-affirm the proceedings and decisions of the AGM dated 11.08.2005, and the membership of the appellants in Civil Appeal 795 of 2026 was accepted by the General Body as being legal and valid – Furthermore, it also accepted and approved the membership of M/s. Capital Mind Advisory Services Private Limited, in respect of Flat No.7 in its AGM held on 30.09.2025 – High Court, while allowing the writ petition filed by respondent Nos.1-3, reasoned that the Joint Registrar had acted in excess of his jurisdiction in directing the Authorised Officer of the society to grant membership to the appellants in Civil Appeal 795 of 2026 – However, such a conclusion cannot be countenanced in view of the fact that the appellants in the said appeal had initially approached the Authorised Officer of the society by way of an application seeking membership, which was refused on the ground that he did not have the jurisdiction to take policy decisions – It was only thereafter that the appellants in the said civil appeal availed of the statutory remedies of appeal and revision provided under the MCS Act, 1960 – Furthermore, in view of the decision taken by the General Body in the AGM dated 30.09.2025, the membership of the appellants in the said civil appeal has already been ratified – Hence, the reasoning adopted by the High Court is unsustainable in law and cannot be upheld – The entitlement of the appellants as members of the Society is recognized – Thus, the subsequent transfer of Flat No.7 in favour of M/s. Capital Mind Advisory Services Private Limited, by a registered Deed of Transfer and the consequential admission of the said transferee as a member of the Society, which has already been ratified by the General Body in its AGM held on 30.09.2025, must necessarily stand recognised in law –

Shashin Patel and Anr. v. Uday Dalal and Ors.

Impugned judgment of the High Court set aside to the extent of Para Nos.58 (ii) to (i). [Paras 42-46]

List of Acts

Maharashtra Co-operative Societies Act, 1960.

List of Keywords

Co-operative Housing Society; Membership in the Co-operative Housing Society; Membership in the Co-operative Housing Society ratified; Members of the Co-operative Housing Society; Delayed payment of the membership fee; Payment at a highly belated stage; General Body in the AGM; Peaceful possession and occupation; Deputy Registrar, Co-operative Societies; Authorised Officer of the Co-operative Housing Society; Joint Registrar of the Co-operative Housing Society; Special General Body Meeting (SGBM) of the Co-operative Housing Society.

Case Arising From

CIVIL APPELLATE JURISDICTION: Civil Appeal No. 795 of 2026

From the Judgment and Order dated 19.11.2025 of the High Court of Judicature at Bombay in WP No. 9470 of 2025

With

Civil Appeal No. 796 of 2026

Appearances for Parties

Advs. for the Appellant(s):

Shyam Divan, Rudreshwar Singh, Balbir Singh, Sr. Advs., Ms. Tushita Ghosh, Aniruddha Choudhury, Rohit, Pranav Deshmukh, Ms. Tanishka, Mahesh Agarwal, Rishi Agrawala, Himanshu Saraswat, Ms. Bedotroyi Gupta, Ms. Pratima Mishra, E. C. Agrawala.

Advs. for the Respondent(s):

Dhruv Mehta, Neeraj Kishan Kaul, Aniruddha Joshi, Sr. Advs., Deeptakirti Verma, Ms. Neha Sharma, Ms. Nishi Sangtani, Subhoday Banerjee, Aayush Agarwala, Yash Dhruva, Shlok Parekh, Aman Shekhar, Deeptakirti Verma, Ms. Neha Sharma, Subhoday Banerjee, Aayush Agarwala, Yash Dhruva, Shlok Parekh, Aman Shekhar, M/s. PBA Legal.

Supreme Court Reports**Judgment / Order of the Supreme Court****Judgment****Mehta, J.**

1. Heard.
2. Leave granted.
3. At the outset, it is apposite to note that Shri Neeraj Kishan Kaul, learned senior counsel representing respondent Nos.1 to 3, namely, Uday Dalal, Ajay Biyani and Rina Pritish Nandy, and Shri Dhruv Mehta, learned senior counsel representing respondent No.7-Malboro House Co-operative Housing Society Limited¹, entered appearance before this Court on caveat and were accordingly heard.
4. Shri Neeraj Kishan Kaul, learned senior counsel representing the contesting respondent Nos. 1-3 (writ petitioners before the High Court), emphatically submitted that the said respondents are not desirous of filing any reply/counter affidavit and that the matter may be heard as it stands. Accordingly, we have heard the arguments advanced by the learned counsel for the appellants as well as learned counsel for the contesting respondents on merits.
5. These two appeals by special leave call into question the judgment dated 19th November, 2025 passed by the learned Single Judge of the High Court of Judicature at Bombay² in Writ Petition No.9470 of 2025. The dispute *inter se* parties pertains to Flat No. 7 situated in the building known as Malboro House, located at 3-D, Dr. Gopalrao Deshmukh Marg, Peddar Road, Mumbai - 400026, and the claim of the appellants for grant of membership of the society.
6. Malboro House Co-operative Housing Society Limited (respondent No.7) stands on a parcel of land situated at 3-D, Dr. Gopalrao Deshmukh Marg, Peddar Road, Mumbai - 400026. The building comprises of seven residential flats. The property was originally owned by Smt. Soonabai Seervai, who conveyed her right, title, and interest therein to M/s. Kamani Brothers Pvt. Ltd. The occupants of

1 Hereinafter, referred to as 'the Society'.

2 Hereinafter, referred to as the "High Court".

Shashin Patel and Anr. v. Uday Dalal and Ors.

all seven flats, including Shri Narendra Patel (predecessor-in-interest of the appellants in Civil Appeal @ SLP(Civil) No. 36106 of 2025), were tenants under M/s. Kamani Brothers Pvt. Ltd.

7. M/s. Kamani Brothers Pvt. Ltd. went into liquidation, and consequential proceedings were initiated before the learned Company Judge of the High Court. The company had outstanding liabilities, particularly towards the KEC International Ltd. Employees' Gratuity Fund, approximately to the tune of Rs.61,36,000/-, which were required to be settled in the course of the liquidation proceedings. The subject building was under charge for recovery of the said amount.
8. The tenants occupying the seven flats collectively resolved to form a cooperative housing society and submitted a proposal before the learned Company Judge seeking conveyance of the said land and building to the society. The proposal was accepted and, pursuant to the order passed by the Company Judge and upon payment of a sum of Rs.15 Lacs by the Society, the Official Liquidator executed a deed of conveyance dated 31st May, 1995 in favour of the Chief promoters, namely, Shri S. Agarwal and Shri Ashwin Parekh of the proposed Kamani House Co-operative Housing Society Limited, which was later rechristened as Malboro House Co-operative Housing Society Limited (respondent No.7).
9. Indisputably, Shri Narendra Patel, being the predecessor-in-interest of the appellants (Shashin Patel and Bhavini Patel) in Civil Appeal @ SLP(Civil) No. 36106 of 2025, was in occupation of Flat No.7 as a tenant thereof. The occupants of the remaining six flats, excluding Shri Narendra Patel, made a collective contribution as mentioned above to be paid to the Official Liquidator towards settlement of the claims of KEC International Ltd. Employee's Gratuity Fund. The Chief Promoter of the Society addressed repeated communications to Shri Narendra Patel, calling upon him to contribute his share, quantified at Rs.5,00,000/-, towards induction in the Society and informing him that upon payment of the said amount, he would be admitted as a member thereof.
10. It is the case of the promoters that Shri Narendra Patel expressed his disinclination to make the requisite contribution and conveyed his intention to continue as a tenant of the Society. This assertion is disputed by the appellants in Civil Appeal @ SLP(Civil) No. 36106 of 2025, being the successors of Shri Narendra Patel, who contend

Supreme Court Reports

that he had expressed readiness and willingness to make the said contribution, subject to the promoters furnishing necessary particulars and justification for the quantification of the amount so demanded.

11. The administration of the Society ran into heavy weather and elections to the Managing Committee were not conducted regularly whereupon, one of the members of the Society namely, Rina Prithish Nandy (respondent No.3 herein), raised a grievance before the Deputy Registrar, Cooperative Societies, D Division, Mumbai, alleging that new committee had not been elected upon expiry of the term of the Managing Committee which was perpetuating itself illegally. The Deputy Registrar, acting on the aforesaid complaint, issued a show cause notice on 17th February, 2025, and eventually passed an order on 28th February, 2025, appointing an Authorised Officer as Administrator to manage the affairs of the Society for the reason that the erstwhile Committee had ceased to function and there was a vacuum in the management. The Authorised Officer was further directed to hold elections for constituting the Managing Committee within a period of three months from the date of the said order.
12. Aggrieved by the aforesaid order, respondent Nos.1 and 2, along with Raghu Palat, another member of the Society, preferred an appeal before the Divisional Joint Registrar under Section 152 of the Maharashtra Co-operative Societies Act, 1960³. The said appeal came to be dismissed by order dated 11th March, 2025 with the Divisional Joint Registrar finding no infirmity in the order passed by the Deputy Registrar, particularly in view of the fact that elections to constitute the Managing Committee had not been held in accordance with the provisions of the MCS Act, the Rules framed thereunder, and the Bye-laws of the Society.
13. In the meanwhile, the appellants in Civil Appeal @ SLP(Civil) No. 36106 of 2025 initiated steps for being admitted as members of the Society and, to that end, filed an application dated 11th March, 2025, before the Authorised Officer of the Society. Cheques drawn towards the share capital, admission fee, and the contribution of Rs.5,00,000/- were enclosed with the said application. However, by a communication dated 17th March, 2025, the Authorised Officer

3 For short, 'MCS Act'.

Shashin Patel and Anr. v. Uday Dalal and Ors.

informed the appellants that he was not empowered to take any policy decision and, therefore, could not decide the appellants' application for membership.

14. Aggrieved thereby, the said appellants preferred an appeal before the Deputy Registrar, Co-operative Societies under Section 23(2) of the MCS Act. By order dated 4th April, 2025, the Deputy Registrar disposed of the said appeal with a direction to the Authorised Officer to convene a Special General Body Meeting (SGBM) of the Society for taking a decision on the appellants' application for membership within a period of thirty days.
15. Dissatisfied with the aforesaid disposition, the appellants preferred Revision Application No.138 of 2025 before the Divisional Joint Registrar under Section 154 of the MCS Act. Upon hearing the appellants and the Authorised Officer appearing for and on behalf of the Society, the Divisional Joint Registrar, by order dated 23rd April, 2025, allowed the revision. While doing so, the Revisional Authority noted, *inter alia*, that the material on record indicated that in the Annual General Meeting (AGM) of the Society held on 11th August, 2005, a resolution had been passed to admit Shri Narendra Patel as a member upon receipt of the requisite payment. It was further observed that the Deputy Registrar had failed to verify the relevant record and had overlooked the fact that the premises of the Society had been acquired for and on behalf of the tenants. For these reasons, the Divisional Joint Registrar concluded that the appellants, being the *bona fide* occupants of Flat No. 7, were entitled to be admitted as members of the Society. Consequently, the appellants, namely, Shashin Patel and Bhavini Patel were directed to be admitted as joint-members of the Society in respect of Flat No.7, and the Respondent No. 7-Society/Authorised Officer was directed to issue the share certificate in their favour by making the requisite entries in the "I" and "J" Registers and other relevant books and records of the Society.
16. It would be apposite to mention here that after the order dated 23rd April, 2025, passed by the Divisional Joint Registrar allowing the revision filed by appellants in Civil Appeal @ SLP(Civil) No. 36106 of 2025, respondent Nos. 1 to 3 also instituted an eviction suit, being RAE No. 590 of 2025 in the Court of Small Causes, Mumbai, praying for a decree of eviction and injunction. The foundation of

Supreme Court Reports

the said suit was allegedly a forged and fabricated letter, written by Shri Narendra Patel way back in 1995, which stated that he had declined to accept the membership and expressed his willingness to continue as a tenant. The appellants claim that they became aware of these facts only upon receipt of the copy of the plaint and the accompanying documents. The said suit is still pending before the Court of Small Causes, Mumbai.

17. Being aggrieved by the orders dated 11th March, 2025 and 23rd April, 2025 passed by the Divisional Joint Registrar, three members of the erstwhile society, namely, Uday Dalal, Ajay Biyani and Rina Prithvi Nandy (respondent Nos. 1-3 herein) filed the captioned Writ Petition No. 9470 of 2025 before the High Court impleading the Divisional Joint Registrar, the Deputy Registrar, Malboro House Co-operative Housing Society Limited, the Administrator, and the appellants (Shashin Patel and Bhavini Patel) as party respondents.
18. It may also be noted that, in the interregnum, the appellants (Shashin Patel and Bhavini Patel) conveyed the flat in question to M/s. Capital Mind Advisory Services Private Limited (appellant in Civil Appeal @ SLP (Civil) No.36057 of 2025) by a registered sale deed. The No Objection Certificate of the Society for the said transfer was obtained by the appellants through the Administrator by communication/letter dated 26th May, 2025.
19. The High Court, by the impugned order dated 19th November, 2025, partly allowed the writ petition in the following terms: -
 - “Hence, the following order:
 - (i) The Petition stands partly allowed.
 - (ii) The impugned order dated 23rd April 2025 passed by the Joint Registrar in Revision Application No. 138 of 2025 admitting the Respondent Nos. 6 and 7 jointly as member of the Society (R4) stands quashed and set aside.
 - (iii) All consequential actions taken pursuant to the aforesaid order dated 23rd April 2025 also stand quashed and set aside.
 - (iv) The order passed by the Deputy Registrar in the Appeal No. 34 of 2025 dated 4 April 2025 stands restored.

Shashin Patel and Anr. v. Uday Dalal and Ors.

(v) A Special General Meeting of the Society (R4) be convened by the Authorised Officer and the Society (R4) shall take a decision on the Application of the Respondent Nos. 6 and 7 to grant the membership of the society (R-4), within a period of four weeks from today.

(vi) The said meeting shall be presided over by the Authorised Officer. However, only the members of the society (R4) shall be entitled to vote in the said meeting. Respondent Nos. 6 and 7 jointly or Respondent No. 9 shall not be eligible to participate in the said Special General Body Meeting.

(vii) The challenge to the order dated 11th March 2025 in Appeal No. 69 of 2025 stands dismissed.

(vii) The original Minute Book produced by the Assistant Registrar/Authorised Officer, be returned to the Authorised Officer after keeping a true copy of the Resolution dated 11th August 2005 on record.

(ix) Rule made absolute to the aforesaid extent.

No costs.”

20. The aforesaid order dated 19th November, 2025 passed by the learned Single Judge of the High Court is the subject matter of challenge in Civil Appeal @ SLP (Civil) No.36106 of 2025 preferred by the original respondent Nos.6 and 7 before the High Court, namely, Shashin Patel and Bhavini Patel, and Civil Appeal @ SLP (Civil) No.36057 of 2025 preferred by the subsequent purchaser M/s. Capital Mind Advisory Services Private Limited.

Submission on behalf of the appellants

21. Learned counsel appearing on behalf of the appellants in Civil Appeal @ SLP (Civil) No.36106 of 2025, being the legal heirs of late Shri Narendra Patel, vehemently and fervently urged that the Society had already taken a decision on 11th August, 2005, to admit Shri Narendra Patel, the original occupier of Flat No.7 and predecessor-in-interest of the appellants as a member of the society. He was at all times ready and willing to make the requisite contribution towards acquiring membership of the Society. It was urged that the *bona fide* request

Supreme Court Reports

made by Shri Narendra Patel for being furnished the particulars and basis of calculation of the amount demanded was not acceded to by the chief promoters and, as a result, the payment could not be made.

22. It was urged that although the High Court noticed the aforesaid contentions, it failed to appreciate the same in the correct perspective. It was further submitted that the factum of mismanagement in the affairs of the Society is not in dispute and, in fact, stands affirmed in the impugned judgment. Attention of the Court was drawn to the complaint lodged by one of the members of the Society, namely, Rina Prithish Nandy (respondent No.3), to the Deputy Registrar, alleging that despite the expiry of the term of the Managing Committee, elections were not being conducted and that the existing members were illegally continuing to run the affairs of the Society. Acting thereon, the Deputy Registrar issued a show cause notice and, upon conducting an enquiry, found the allegations to be substantiated. Consequently, by order dated 28th February, 2025, an Authorised Officer was appointed to manage the affairs of the Society. These findings have been affirmed by the High Court. It was, therefore, contended on behalf of the appellants that in view of the mismanagement by those at the helm of the affairs of the Society and failure to furnish the requisite details to Shri Narendra Patel, the amount demanded towards securing membership in respect of Flat No.7 could not be deposited.
23. It was submitted that the appellants in Civil Appeal @ SLP (Civil) No.36106 of 2025, being the legal heirs of late Shri Narendra Patel, approached the Authorised Officer seeking permission to deposit the requisite amount towards share money and admission fee. Upon the Authorised Officer expressing his inability to take a decision on the issue, the appellants approached the Deputy Registrar by preferring an appeal under Section 23(2) of the MCS Act.
24. The Deputy Registrar disposed of the said appeal by order dated 4th April, 2025, issuing a positive direction to the Authorised Officer to convene a Special General Board Meeting of the Society for taking a decision on the appellants' application seeking the grant of membership. However, the fact remains that the affairs of the Society were in a disarray, and the meeting could not be convened. Thus, aggrieved, the appellants preferred a revision before the Divisional Joint Registrar, which came to be allowed by order dated 23rd April, 2025, taking note of the fact that the AGM of the Society held on

Shashin Patel and Anr. v. Uday Dalal and Ors.

11th August, 2005 had already resolved to admit Shri Narendra Patel as a member.

25. It was urged by learned counsel for the appellants in Civil Appeal @ SLP (Civil) No.36106 of 2025 that once the Society itself had drawn a conscious and considered resolution dated 11th August, 2005, to admit Shri Narendra Patel as a member, and since the said resolution had never been revoked, recalled or challenged before any forum, the delay in depositing the requisite amount could not be used to defeat the rights flowing therefrom. It was further submitted that the appellants have already deposited the amount of Rs.5,00,000/- along with interest calculated at the rate of 9% per annum and, as a consequence, their membership in the Society stood duly affirmed.
26. It was also contended that the objections raised by the writ petitioners and certain other members of the Society to the admission of the appellants as members were misconceived and legally untenable. It was urged that, at the highest, the Society could only seek payment of some additional amount or enhanced interest from the said appellants in order to compensate for the delay in making the payment.
27. Shri Balbir Singh, learned senior counsel appearing on behalf of the appellant-M/s. Capital Mind Advisory Services Private Ltd. (subsequent purchaser) in Civil Appeal @ SLP (Civil) No.36057 of 2025, contended that, indisputably, Shri Narendra Patel had been in occupation of Flat No.7 as a tenant under M/s. Kamani Brothers Private Limited for several decades and, therefore, his right to seek admission to membership of the Society could not be defeated merely on the ground that he had sought particulars of calculation of the amount of Rs.5,00,000/- demanded from him.
28. It was further submitted on behalf of the appellants in both the civil appeals that by effect of the order of the High Court, the registered sale deed executed in favour of M/s. Capital Mind Advisory Services Private Limited (the appellant in Civil Appeal @ SLP(Civil) No. 36057 of 2025) has been nullified, a consequence which cannot be countenanced in the eyes of law.
29. Learned counsel for the appellants vehemently contended that the factum of the eviction suit filed before the Court of Small Causes, Mumbai, was not disclosed by respondent Nos.1-3 (writ petitioners before the High Court) in the pleadings of the writ petition, and on this ground alone, the writ petition ought to have been dismissed.

Supreme Court Reports

Without prejudice to the above contention, it was further submitted that the issues relating to the status of Shri Narendra Patel, his legal heirs, and the subsequent purchaser of Flat No.7 ought to have been adjudicated in the eviction suit itself, which would necessarily have to be decided on the basis of evidence led by the parties therein. It was argued that the High Court was not justified in entertaining the writ petition involving serious disputed questions of fact, which required evidence to be adduced by the parties, and therefore, the impugned order is unsustainable in the eyes of the law.

30. It was, thus, urged by the learned counsel for the appellants that the impugned order is arbitrary and unjust, as the same fails to strike a balance in equities. On these grounds, they implored the Court to set aside the impugned order and allow the appeals.

Submission on behalf of the respondents

31. *Per contra*, Shri Neeraj Kishan Kaul, learned senior counsel appearing on behalf of respondent Nos.1 to 3, being the writ petitioners before the High Court, vehemently and strenuously contested and countered the submissions advanced on behalf of the appellants. He submitted that the case set up by the appellants is full of falsehoods and is tainted by concealment of material facts. It was urged that Shri Narendra Patel, the original occupant of Flat No.7 and predecessor-in-interest of the appellants in Civil Appeal @ SLP (Civil) No.36106 of 2025, had consciously avoided depositing the contribution amount, which had been equitably apportioned amongst the flat-occupants towards acquisition of the building through the Society. The argument raised that the amount was not paid as the account details had not been provided, is flimsy, far-fetched, and untenable.
32. It was further urged that since Shri Narendra Patel did not deposit his contribution to gain membership of the society, the remaining six members of the Society were constrained to contribute amounts in excess of their respective shares for the purpose of acquiring the building which they were occupying as tenants of the Company M/s. Kamani Brothers Private Limited, which had gone into liquidation. These six members acted in a *bona fide* manner to save the building which faced imminent likelihood of being auctioned for recovery of the statutory dues of the company. It was contended that Shri Narendra Patel tried to wriggle out his obligations towards the collective

Shashin Patel and Anr. v. Uday Dalal and Ors.

contribution by using a subterfuge of seeking the account details and, in that manner, avoided payment of the amount for induction as a member of the Society for over two decades.

33. Shri Kaul further submitted that the grant of membership to the appellants by the Revisional Authority virtually tantamounts to encroachment on the autonomy of the Society and grants immunity to the fraudulent stand of Shri Narendra Patel, who continued to remain in occupation of Flat No.7 without contributing a dime towards his share in the collective acquisition of the property, the burden whereof was borne by the remaining members under compulsion. It was urged that the belated attempt on the part of the appellants to deposit the originally quantified amount of Rs.5,00,000/- towards gaining membership ought to have been repelled outright, as such payment was made only with a view to secure and safeguard their future interest in the property and to keep alive a speculative claim over the same, rather than in *bona fide* compliance with the demand raised in the year 2005. He submitted that the cost of the property has risen exponentially over the years and thus, the appellants cannot be allowed to walk away with the membership of the Society by merely making payment of the original amount of Rupees Five Lakhs with paltry interest.
34. He urged that the Joint Registrar lacked jurisdiction to grant membership to the appellants in Civil Appeal @ SLP (Civil) No.36106 of 2025, the same being a matter falling exclusively within the domain of the Society. It was further submitted that the judgment rendered by the High Court, whereby the order passed by the Joint Registrar was set aside, is just and proper and does not call for any interference in exercise of the extraordinary jurisdiction conferred upon this Court under Article 136 of the Constitution of India.
35. Shri Kaul, responding to the plea set up by the appellant-M/s. Capital Mind Advisory Services Private Ltd. in Civil Appeal @ SLP(Civil) No.36057 of 2025 submitted that the said appellant is nothing but a speculative property dealer and had consciously purchased the property under litigation with full knowledge of the pending disputes in relation to the membership of the Society. It was contended that the belated and time-barred deposit of the membership amount was made at the instance of the said appellant and, in these circumstances, it could not claim any equitable relief to validate the sham transaction.

Supreme Court Reports

36. Respondent No.7-Society, acting through the Administrator, is represented by Shri Dhruv Mehta, learned senior counsel, who on instructions, fully supported the cause of the appellants. Shri Mehta urged that there was no illegality in the order admitting the successors of Shri Narendra Patel as members of the Society and, as a consequence thereof, the conveyance deed dated 26th May, 2025, executed by Shashin Patel and Bhavini Patel in favour of M/s. Capital Mind Advisory Services Private Limited is valid in the eyes of law.
37. He further submitted that, as law does not prohibit admission of the appellants as members at a belated stage, the Society may raise a claim for higher interest or penal charges on the amount originally determined in the year 1995 for the grant of membership. Since the appellants in Civil Appeal @ SLP (Civil) No.36106 of 2025 have already deposited the membership amount, calculating interest at the rate of 9%, there is no difficulty in accepting their membership claim. He urged that, at best, the members of the Society, objecting to the claim for membership made by the said appellants, may have a cause to agitate for enhanced interest on the delayed payment of the membership fee. Such issues can be raised and settled in the AGM of the Society.

Discussion and Analysis

38. We have given our thoughtful consideration to the submissions advanced at bar and have gone through the material placed on record. We have also carefully perused the impugned judgment.
39. The short controversy which falls for consideration of this Court in these appeals is whether the belated prayer of the appellants in Civil Appeal @ SLP (Civil) No.36106 of 2025, being the successors-in-interest of Shri Narendra Patel, to gain membership in the Society by making payment at a highly belated stage, could have been accepted by the Joint Registrar.
40. The fact that the said appellants are the legal heirs of Shri Narendra Patel, who was admittedly in occupation of Flat No.7 for several decades, is not in dispute. It is also undisputed that in the year 1995, occupants of the flats, being the erstwhile tenants of M/s. Kamani Brothers, collectively resolved to form a co-operative housing society to stake a claim of ownership on the building. They filed an application

Shashin Patel and Anr. v. Uday Dalal and Ors.

to that effect before the learned Company Judge of the Bombay High Court, before whom the liquidation proceedings were pending.

41. The said application was accepted, and the Society was conveyed the right, title, and interest in the building in question in accordance with law. Shri Narendra Patel, however, did not make payment of the contribution derived towards his induction as a member of the society in respect of Flat No.7 and took shelter behind a plea that the necessary particulars and justification for the quantification of the amount were not provided. For the present, it is not necessary to delve into the merits of the said contention. The crucial fact which remains undisputed is that the peaceful possession and occupation of Shri Narendra Patel and, thereafter, his legal heirs, i.e., Shashin Patel and Bhavini Patel, the appellants in Civil Appeal @ SLP (Civil) No.36106 of 2025, over Flat No.7 has never been in question. The erstwhile members of the Society issued a letter dated 13th June, 1995 to Shri Narendra Patel offering him admission to the society membership subject to payment of Rs.5,00,000/-. The said offer letter is undisputed and does not appear to have ever been withdrawn. Further, at the Annual General Meeting (AGM) of the Society held on 11th August 2005, a resolution was passed resolving to admit Shri Narendra Patel, the original occupier of Flat No. 7 and predecessor-in-interest of the appellants in Civil Appeal @ SLP (Civil) No.36106 of 2025, as a member of the Society upon receipt of the requisite payment.
42. In such a situation, the determinative issue would be whether the appellants in Civil Appeal @ SLP(Civil) No. 36106 of 2025 could be denied the benefit of seeking membership of the Society while continuing to remain in occupation of the premises. It is not the case of the writ petitioners before the High Court (respondent Nos.1 to 3 herein) that the occupation of Shri Narendra Patel or that of his successors, namely, the appellants herein, in respect of Flat No.7 is illegal, nor is it their case that any proceedings were initiated by the Society before any competent forum prior to 2025 for evicting them from the premises. In this backdrop, denial of the appellants' request for grant of membership would create a serious anomaly inasmuch as the appellants would continue to occupy Flat No.7 without being conferred membership of the Society, creating a subsisting tussle and friction with the remaining occupants of the building/members of the Society.

Supreme Court Reports

43. It is apposite to mention here that the Society, in its AGM held on 30th September, 2025, resolved to re-affirm the proceedings and decisions of the AGM dated 11th August, 2005, and that the membership of the appellants in Civil Appeal @ SLP(Civil) No. 36106 of 2025, i.e., Shashin Patel and Bhavini Patel was accepted by the General Body as being legal and valid. It was further resolved that the appellants in Civil Appeal @ SLP(Civil) No. 36106 of 2025 had thereafter transferred Flat No. 7 to M/s. Capital Mind Advisory Services Private Limited (appellant in Civil Appeal @ SLP(Civil) No. 36057 of 2025) under a duly registered Deed of Transfer, pursuant to which M/s. Capital Mind Advisory Services Private Limited was admitted as a member of the Society. The General Body recorded that the said transfer and admission were in accordance with the Society's bye-laws and the provisions of the MCS Act, and accordingly accepted and approved the membership of M/s. Capital Mind Advisory Services Private Limited, in respect of Flat No. 7. We have not been informed about the minutes of the AGM dated 30th September, 2025, being challenged before any forum.
44. The High Court, while allowing the writ petition filed by respondent Nos. 1-3, reasoned that the Joint Registrar had acted in excess of his jurisdiction in directing the Authorised Officer of the society to grant membership to the appellants in Civil Appeal @ SLP (C) No.36106 of 2025. However, such a conclusion cannot be countenanced in view of the fact that the appellants in the said appeal had initially approached the Authorised Officer of the society by way of an application seeking membership, which came to be refused on the ground that he did not have the jurisdiction to take policy decisions. It was only thereafter that the appellants in the said civil appeal availed of the statutory remedies of appeal and revision provided under the MCS Act, 1960. Furthermore, in view of the decision taken by the General Body in the AGM dated 30th September, 2025, the membership of the appellants in the said civil appeal has already been ratified. Hence, the reasoning adopted by the High Court is unsustainable in law and cannot be upheld.
45. In this backdrop, the only equitable solution would be to recognise the entitlement of Shashin Patel and Bhavini Patel as members of the Society. Once such entitlement is recognised, the subsequent transfer of Flat No.7 in favour of M/s. Capital Mind Advisory Services Private Limited, by a registered Deed of Transfer and the consequential

Shashin Patel and Anr. v. Uday Dalal and Ors.

admission of the said transferee as a member of the Society, which has already been ratified by the General Body in its AGM held on 30th September, 2025, must necessarily stand recognised in law.

46. In the wake of the discussion made hereinabove, we hereby set aside the impugned judgment of the High Court to the extent of Para Nos. 58 (ii) to (vi).
47. We, however, provide that the aggrieved members of the Society, if so advised, would be at liberty to move an application before the appropriate authority/body for the determination of a suitable additional amount payable by the appellants by way of enhanced interest, as may be determined, having regard to the significant delay in making payment of the contribution for the acquisition of membership in the Society. If any challenge is laid to the decision taken in the AGM dated 30th September, 2025, as to the membership of the appellants, the same would be examined as per law without being prejudiced by the above observations.
48. It is further made clear that the parties will be at liberty to work out their remedies before the appropriate forum(s) in accordance with law.
49. The appeals are partly allowed in these terms. No order as to costs.
50. Pending applications, if any, shall also stand disposed of.

Result of the case: Appeals partly allowed.

†Headnotes prepared by: Divya Pandey

Reginamary Chellamani
v.
State Rep by Superintendent of Customs

(Criminal Appeal No. 701 of 2026)

05 February 2026

[Sanjay Kumar and K. Vinod Chandran, JJ.]

Issue for Consideration

Issue pertains to grant of bail to the appellant for commission of offence punishable u/s.8(c) r/w ss.20(b)(ii)(C), 22(c), 23, 28 and 29 of the NDPS Act r/w s.135 of the Customs Act; and the right of the accused to free legal aid counsel.

Headnotes[†]

Narcotic Drugs and Psychotropic Substances Act, 1985 – s.8(c) r/w ss.20(b)(ii)(C), 22(c), 23, 28 and 29 – Customs Act, 1962 – s.135 – Bail – Grant of – Case registered against the appellant for the offences punishable u/s.8(c) r/w ss.20(b)(ii)(C), 22(c), 23, 28 and 29 of the NDPS Act r/w s.135 of the Customs Act, on account of seizure of contraband substance from the person of the appellant above the commercial quantity prescribed – Denial of regular bail by the High Court – Challenge to:

Held: Given the length of incarceration that the appellant has already suffered-4 years 1 month and 28 days, and as an identically situated accused person, who was travelling along with the appellant, on the same flight, has been granted bail by this Court, the appellant granted bail at this stage on stringent terms and conditions to be fixed by the trial court – Impugned order set aside. [Paras 3-6]

Legal aid – Free legal aid – Right of the accused to legal representation – Trial courts dealing with criminal proceedings, to inform the accused of their right to legal representation and their entitlement to be represented by legal aid counsel in the event they cannot afford a counsel – Trial courts to record the offer made to the accused, their response to such offer and also the action taken in their orders, before commencing examination of the witnesses – This procedure to be adopted and put in practice scrupulously – Order to be communicated

Reginamary Chellamani v. State Rep by Superintendent of Customs

to the Chief Justices of all the High Courts to enable suitable instructions being issued in this regard to all the concerned trial courts within the State. [Paras 11-13]

List of Acts

Narcotic Drugs and Psychotropic Substances Act, 1985; Customs Act, 1962.

List of Keywords

Grant of bail; Right of the accused to free legal aid counsel; Contraband substance; Denial of regular bail; Length of incarceration; Identically situated accused person; Legal aid; Free legal aid.

Case Arising From

CRIMINAL APPELLATE JURISDICTION: Criminal Appeal No. 701 of 2026

From the Judgment and Order dated 24.07.2025 of the High Court of Judicature at Madras in CRLOP No. 7857 of 2025

Appearances for Parties

Advs. for the Appellant(s):

Raghenth Basant, Sr. Adv., Swastik Dalai, M. Srinivasan, Ms. Kaushitaki Sharma, Ms. Bagavathy Vennimalai, E. Shanthakumar, T. Yuvaresh.

Advs. for the Respondent(s):

S.D. Sanjay, A.S.G., Ms. Navroop Jawanda, Ms. Parthvi Ahuja, Khushal Kolwar, Ms. Disha Thakkar, Gurmeet Singh Makker, Rajat Nair, Ms. Aastha Singh, Ms. Mili Baxi, Alankar Gupta, Raman Yadav.

Judgment / Order of the Supreme Court**Order**

1. Leave granted.
2. The appellant, Reginamary Chellamani, is aggrieved by the denial of regular bail by the High Court of Judicature at Madras, *vide* order dated 24.07.2025 passed in Crl.O.P. No. 7857/2025, in relation

Supreme Court Reports

to Case R.R. No. 41/2021 (C.C. No. 225/2022 on the file of the learned Principal Special Judge under EC and NDPS Act Cases, Chennai), for the offences punishable under Section 8(c) read with Sections 20(b)(ii)(C), 22(c), 23, 28 and 29 of the Narcotic Drugs and Psychotropic Substances Act, 1985¹ read with Section 135 of the Customs Act, 1962.

3. The amount of contraband substance allegedly seized from the person of the appellant, Reginamary Chellamani, is stated to be above the commercial quantity prescribed in that regard under the aforestated enactment. We, however, find that the appellant, Reginamary Chellamani, has been in custody for 4 years 1 month and 28 days as on date.
4. Given the length of incarceration that the appellant has already suffered and as an identically situated accused person, who was travelling along with the appellant, Reginamary Chellamani, on the same flight, has been granted bail by this Court, we are inclined to grant the same relief to the appellant at this stage.
5. The appeal is accordingly allowed, setting aside the impugned order dated 24.07.2025.
6. The appellant, Reginamary Chellamani, is directed to be released on bail in connection with the aforestated NDPS case, on stringent terms and conditions to be fixed by the trial Court. In addition, the appellant, Reginamary Chellamani, shall surrender her passport before the trial Court.
7. The appellant, Reginamary Chellamani, shall cooperate during the course of the trial and shall not take unnecessary adjournments.
8. The trial Court shall endeavour to conclude the trial at the earliest.
9. We clarify that we have not made any observations/comments on the merits of the case and any observation made in this order is meant only for the limited purpose of grant of bail.
10. We may also note at this stage that the appellant did not cross examine the witnesses at the initial stage and it was only after she engaged her own counsel and her application for re-examining those witnesses was allowed that she was permitted to do so.

1 "NDPS Act", for short

Reginamary Chellamani v. State Rep by Superintendent of Customs

11. It is incumbent upon the trial Courts dealing with criminal proceedings, faced with such situations, to inform the accused of their right to legal representation and their entitlement to be represented by legal aid counsel in the event they cannot afford a counsel. The trial Courts shall record the offer made to the accused in this regard, the response of the accused to such offer and also the action taken thereupon in their orders, before commencing examination of the witnesses.
12. This procedure requires to be adopted and put in practice scrupulously.
13. This order shall be communicated to the Chief Justices of all the High Courts to enable suitable instructions being issued in this regard to all the concerned trial Courts within the State.
14. Pending application(s), if any, shall stand disposed of.

Result of the case: Appeal allowed.

†Headnotes prepared by: Nidhi Jain

Amit Kumar & Ors.

v.

Union of India & Ors.

(Interlocutory Application No. 25652 of 2026)

In

(Criminal Appeal No. 1425 of 2025)

06 February 2026

[J.B. Pardiwala and R. Mahadevan, JJ.]

Issue for Consideration

Interlocutory application was filed seeking direction as regards the appointment of Dr. T.C.A. Anant, former Chief Statistician of India, as Technical Consultant to the National Task Force for comprehensive and scientific analysis of the survey data and; direction to the Ministry of Education to extend all necessary administrative support, infrastructure, data access, and to provide appropriate remuneration/honorarium to Dr. Anant, as per prevalent norms or as may be fixed by the Court.

Headnotes[†]

Interlocutory Application – Interlocutory application filed for the appointment of Dr. T.C.A. Anant, former Chief Statistician of India, as Technical Consultant to the National Task Force for comprehensive and scientific analysis of the survey data and; direction to the Ministry of Education, Union of India, to extend all necessary administrative support, infrastructure, data access, and to provide appropriate remuneration/honorarium to Dr. Anant, as per prevalent norms or as may be fixed by the Court:

Held: Dr. T.C.A. Anant, former Chief Statistician of India is appointed as Technical Consultant to the National Task Force for the purpose of comprehensive and scientific analysis of the survey data – Ministry of Education, Union of India shall pass an order of his appointment at the earliest – Ministry to extend all necessary administrative support, more particularly the infrastructure & data access and to provide appropriate remuneration/honorarium to Dr. Anant in accordance with prevalent norms. [Para 3]

Amit Kumar & Ors. v. Union of India & Ors.**List of Keywords**

National Task Force; National Task Force to address the mental health concerns of students and prevent the commission of suicides in Higher Educational Institutions; Technical Consultant to the National Task Force; Comprehensive and scientific analysis of the survey data; Direction to the Ministry of Education, Union of India, Administrative support; Data access; Appropriate remuneration/honorarium.

Case Arising From

CRIMINAL APPELLATE JURISDICTION: Interlocutory Application No. 25652 of 2026 in Criminal Appeal No. 1425 of 2025

From the Judgment and Order dated 30.01.2024 of the High Court of Delhi at New Delhi in WPCRL No. 2945 of 2023

Appearances for Parties

Ms. Aparna Bhat Sr. Adv./Amicus Curiae.

Advs. for the Appellant(s):

Mehmood Pracha, R. H. A. Sikander, Jatin Bhatt, Sanawar, Kshitij Singh, Ms. Nujhat Naseem, Sikander Raza, Faisal Mohammad, Kumail Abbas, Mayank Sapra, Ms. Karishma Maria, Ms. Lalima Das.

Advs. for the Respondent(s):

K.M. Nataraj, Brijender Chahar, A.S.G.s., Lokesh Sinhal, Sr. A.A.G., Shiv Mangal Sharma, Ms. Karishma Malani, Anil Shrivastav, Aman Panwar, A.A.G.s., Rudratiya Khare, D.A.G., Chitransh Sharma, Vatsal Joshi, Anuj Srinivas Udupa, Ms. Ruchi Kohli, Arvind Kumar Sharma, Ms. Mrinal Gopal Elker, Mukesh Kumar Maroria, Amit Sharma li, Mrs. Bani Dikshit, Varun Chugh, Gaurang Bhushan, Jagdish Chandra, Ms. Swati Ghildiyal, Ms. Neha Singh, Ms. K. Enatoli Sema, Amit Kumar Singh, Ms. Chubalemla Chang, Prang Newmai, Ms. Yanmi Phazang, Ms. Vidushi Bajpai, Samar Vijay Singh, Ms. Sabarni Som, Aman Dev Sharma, Nikunj Gupta, Sarthak Arya, Gaj Singh, Ms. Ishika Gupta, Vikramaditya Chauhan, Subrata Chakraborty, Sourabh Dahiya, Amith Krishnan H, Parmanand Gaur, Ms. Megha Gaur, Vibhav Mishra, Ms. Shalini Singh, Ms. Nidhi Jaswal, Gautam Singh, Parth Awasthi, Pashupathi Nath Razdan, Mahesh Agarwal, Rishi Agrawala, Ms. Madhavi Agarwal, Sanjeevi Seshadri, Akshay Agarwal, Manish Sharma, E. C. Agrawala, Akshay

Supreme Court Reports

Amritanshu, Nikunj Gupta, Ms. Ishika Gupta, Sarthak Srivastava, Mayur Goyal, Sarthak Arya, Ms. Seema Sindhu, Abhay Nair, Ms. Harsh Rekha, Ms. Disha Singh, Ms. Eliza Bar, Ms. Swati Ghildiyal, Ms. Neha Singh, Sanchit Garga, Abhinav Kumar, Manav Kaushik, Kunal Rana, Shashwat Jaiswal, Bhanu Pratap Singh, Ms. Diksha Arora, Kaushal Gautam, Ms. Snehpreet Kaur, Prashant Alai, Kunal Mimani, Shrirang B. Varma, Siddharth Dharmadhikari, Aaditya Aniruddha Pande, Avijit Mani Tripathi, Upendra Mishra, P.S. Negi, T.K. Nayak, Ms. Marbiang Khongwir, Nishe Rajen Shonker, Mrs. Anu K Joy, Santhosh K, Alim Anvar, Mrs. Devika A.I., Ms. Shashi Bala, Praveen Chaudhary, Sanpreet Singh Ajmani, Amit Kumar, Ms. Amitoz Kaur, Ms. Shivani Agrahari, Mohit Kumar Gupta, Ms. Misha Rohatgi, Nakul Mohta, Amulya Upadhyay, Ayush Kashyap, Sameer Abhyankar, Aryan Srivastava, Krishna Rastogi, Sudarshan Lamba, Abhijeet Pandove, Amit Sharma B, Gaurang Bhushan, Ms. Bani Dikshit, Jagdish Chandra, Karan Chahar, Rajbahadur Yadav, Aor, Pukhrambam Ramesh Kumar, Karun Sharma, Ms. Anupama Ngangom, Ms. Rajkumari Divyasana.

Judgment / Order of the Supreme Court

Order

1. Heard Ms. Aparna Bhat, the learned Amicus Curiae and Mr. K.M. Nataraj, the learned Additional Solicitor General for the Union of India.
2. By this application the following has been prayed for:-
 - “a) Direct the appointment of Dr. T.C.A. Anant, former Chief Statistician of India, as Technical Consultant to the National Task Force for comprehensive and scientific analysis of the survey data;*
 - b) Direct the Ministry of Education, Union of India, to extend all necessary administrative support, infrastructure, data access, and to provide appropriate remuneration / honorarium to Dr. Anant, as per prevalent norms or as may be fixed by this Hon’ble Court.”*
3. We direct that :-
 - (i) Dr. T.C.A. Anant, former Chief Statistician of India be appointed as Technical Consultant to the National Task Force for the

Amit Kumar & Ors. v. Union of India & Ors.

purpose of comprehensive and scientific analysis of the survey data.

- (ii) The Ministry of Education, Union of India shall pass an order of appointment of Dr. T.C.A. Anant at the earliest.
 - (iii) We also direct the Ministry of Education, Union of India to extend all necessary administrative support, more particularly the infrastructure & data access and to provide appropriate remuneration/honorarium to Dr. Anant in accordance with prevalent norms.
4. With the aforesaid directions, this interlocutory application stands disposed of accordingly.

Result of the case: Interlocutory application disposed of.

[†]Headnotes prepared by: Divya Pandey

**M/s. Nav Nirman Builders & Developers Pvt. Ltd. Through
its Managing Director, Naveen Singh**

v.

**The Union of India Through Deputy Director, Directorate of
Enforcement, Govt of India Ranchi, Jharkhand**

(Criminal Appeal No. 729 of 2026)

06 February 2026

[M.M. Sundresh* and Nongmeikapam Kotiswar Singh, JJ.]

Issue for Consideration

In the instant case, this Court is concerned with the decision-making process adopted by the Special Court. Instead of deferring the application filed u/s.8(7) of the Prevention of Money-Laundering Act, 2002 (PMLA), and awaiting the adjudication by the Appellate Tribunal u/s.26 of the PMLA, the Special Court has allowed the said application.

Headnotes[†]

Prevention of Money-Laundering Act, 2002 – ss.8(7) and s.8(8):

Held: Section 8(7) and Section 8(8) of the PMLA are stand-alone provisions. [Para 52]

Prevention of Money-Laundering Act, 2002 – s.8(7) – When attracted:

Held: s.8(7) of the PMLA gets attracted only in case of a contingency and an application under the said provision can be decided by the Special Court only once the confirmation order attains finality. [Para 52]

Prevention of Money-Laundering Act, 2002 – ss.8(3) and 8(7) – Import of the expression “material before it” occurring in s.8(7) of the PMLA:

Held: The expression “material before it” occurring in s.8(7) of the PMLA has a limited import to the extent of showing the contingency and the entitlement to possession as regards the Director or any

* Author

M/s. Nav Nirman Builders & Developers Pvt. Ltd. Through its Managing Director, Naveen Singh v. The Union of India Through Deputy Director, Directorate of Enforcement, Govt of India Ranchi, Jharkhand

third party – In case of a party who has suffered an adverse order u/s.8(3) of the PMLA, relief u/s.8(7) of the PMLA can be sought for, provided there is new material that was not placed before or considered by the Adjudicating Authority u/s.8(3) of the PMLA, or by the higher forums, if so challenged. [Para 52]

Prevention of Money-Laundering Act, 2002 – Second proviso to s.8(8) – Prevention of Money-laundering (Restoration of Confiscated Property) Rules, 2016 – rr.2(b) and 3A – When can an application under the second proviso to s.8(8) of the PMLA be filed:

Held: An application under the second proviso to s.8(8) of the PMLA can only be filed subject to satisfying the essential conditions laid down by Rules 2(b) and 3A of the 2016 Rules. [Para 52]

Prevention of Money-Laundering Act, 2002 – ss.5(1), 8(3), 8(7), 8(8), 26 – Prevention of Corruption Act, 1988 – s.13(2) r/w. s.13(1)(d) – An FIR was registered for the various offences punishable under the IPC along with s.13(2) r/w. s.13(1)(d) of the Prevention of Corruption Act, 1988 (predicate offence) – A Provisional Attachment Order (PAO) was passed by the respondent, u/s.5(1) of the PMLA, on 17.12.2017, attaching two pieces of land purchased by the appellant in the years 2012 and 2014, in lieu of the amount allegedly received fraudulently by the firm – The Adjudicating Authority passed a confirmation order u/s.8(3) of the PMLA – Aggrieved, an appeal was filed by the appellant u/s.26 of the PMLA – In the meantime, a Prosecution Complaint was filed by the respondent u/s.45 of the PMLA – Charges were framed by the Special Court – Respondent filed application invoking s.8(7) of the PMLA – Thereafter, appellant filed an application invoking s.8(8) of the PMLA – The Special Court considered both the applications together, notwithstanding the pendency of the appeal filed u/s.26 of the PMLA – The Special Court allowed application u/s.8(7) of the PMLA and dismissed application u/s.8(8) of PMLA – Resultantly, the confiscation of the attached properties, as sought by the respondent, was ordered – The order passed by the Special Court allowing the application u/s.8(7) of the PMLA, was confirmed by the High Court – Correctness:

Supreme Court Reports

Held: Admittedly, the appellant company, having suffered an order u/s.8(3) of the PMLA, had preferred an appeal u/s.26 of the PMLA which was pending on the file of the Appellate Tribunal even at the time of filing of the applications u/ss.8(7) and 8(8) of the PMLA – The fact that the said appeal was pending before the Appellate Tribunal, for want of *coram*, is not in dispute – Once an order under s.8(3) of the PMLA is challenged before a higher forum, a deemed embargo operates on the conclusion of the proceedings u/s.8(7) of the PMLA – Hence, the Special Court cannot go into the issues which the higher forums have been entrusted with – When an appeal is provided for under the statute, it gives a vested right to any aggrieved person to exhaust the same – Instead of deferring the application filed u/s.8(7) of the PMLA, and awaiting the adjudication by the Appellate Tribunal u/s.26 of the PMLA, the Special Court has allowed the said application, for which exhaustive reasons have been given independently on merits – The Special Court has, in effect, rendered the appeal u/s.26 of the PMLA infructuous – The said action at the instance of the Special Court is totally impermissible in law – Thus, the order passed by the Special Court allowing the application u/s.8(7) of the PMLA, as confirmed by the High Court in the impugned order is set aside. [Paras 45, 46, 50]

Case Law Cited

Vijay Madanlal Chaudhary and Ors. v. Union of India and Ors. [2022] 6 SCR 382 : (2023) 12 SCC 1 – relied on.

Attorney General for India v. Amratlal Prajivandas [1994] Supp. 1 SCR 1 : (1994) 5 SCC 54; *Raman Tech. & Process Engg. Co. v. Solanki Traders* [2007] 12 SCR 409 : (2008) 2 SCC 302 – referred to.

Directorate of Enforcement of Delhi v. Axis Bank & Ors., 2019 SCC Online Del 7854 – referred to.

List of Acts

Prevention of Money-Laundering Act, 2002; Prevention of Corruption Act, 1988; Penal Code, 1860; Prevention of Money-laundering (Restoration of Confiscated Property) Rules, 2016; Smugglers and Foreign Exchange Manipulators (Forfeiture of Property) Act, 1976.

M/s. Nav Nirman Builders & Developers Pvt. Ltd. Through its Managing Director, Naveen Singh v.
The Union of India Through Deputy Director, Directorate of Enforcement, Govt of India Ranchi, Jharkhand

List of Keywords

Proceeds of crime; Section 8(3) of Prevention of Money-Laundering Act, 2002; Section 8(7) Prevention of Money-Laundering Act, 2002; Section 8(8) of Prevention of Money-Laundering Act, 2002; Doctrine of Merger; Finality of Attachment; Third-Party Claimant; Confirmation order; Confiscation of properties; Money-laundering; Restoration of properties; Section 35 of Prevention of Money-Laundering Act, 2002; Section 26 of Prevention of Money-Laundering Act, 2002; Procedure and Powers of Appellate Tribunal; Entitlement to possession; 'Materials before it' occurring in s.8(7) of Preventive of Money-Laundering Act, 2002.

Case Arising From

CRIMINAL APPELLATE JURISDICTION: Criminal Appeal No. 729 of 2026

From the Judgment and Order dated 27.02.2023 of the High Court of Jharkhand at Ranchi in CRMP No. 3608 of 2022

Appearances for Parties

Advs. for the Appellant(s):

Ajay Vikram Singh, Anshuman Sinha, Vijay Kumar Pandey, Vinay Prakash, Ms. Pragya Sharma, Udayan Sinha, Prakhar Prakash, Hemant Mour.

Advs. for the Respondent(s):

Zoheb Hussain, Annam Venkatesh, Arkaj Kumar, Ms. Sairica S Raju, Arvind Kumar Sharma.

Judgment / Order of the Supreme Court

Judgment

M.M. Sundresh, J.

1. Leave granted.
2. An interesting question of law has arisen in this appeal, on the interpretation of Section 8 of the Prevention of Money-Laundering Act, 2002 (hereinafter referred to as the "**PMLA**").
3. We have heard the learned counsel for the appellant and the learned counsel for the respondent - Union of India. We have also perused the written submissions and the documents filed by both sides, in respect of their contentions.

Supreme Court Reports

BRIEF FACTS

4. We are only recording brief facts, as the issues relating thereto are not required to be examined for deciding the present appeal.
5. A partnership firm, by the name M/s. Nav Nirman Builders (hereinafter referred to as the **“firm”**) was constituted on 01.04.1993 with Dharamveer Bhadoria (since deceased) as its Managing Partner. After more than a decade from its constitution, the appellant company was incorporated with the earlier partners of the firm, including Dharamveer Bhadoria who was made its Managing Director. The firm secured a work order from the Executive Engineer (RCD), Chaibasa, on 23.02.2007. Upon completion of the work, a payment of approximately Rs. 79,11,559/- was made to the firm.
6. Two years thereafter, a First Information Report (FIR) was registered for the offences punishable under Sections 120B, 420, 467, 468, and 471 of the Indian Penal Code, 1860 along with Sections 13(2) read with 13(1)(d) of the Prevention of Corruption Act, 1988 (hereinafter referred to as the **“predicate offence”**), against the Executive Engineer, the firm, and unknown others.
7. The sum and substance of the allegations in the FIR dated 22.10.2009 and the consequential charge sheet dated 03.12.2010 is that the firm, despite being required to procure bitumen from oil companies of the Government of India, under the terms and conditions of the work order, did not do so, and the accused - public servants fraudulently cleared the bills of the firm and facilitated their payment. To cover up the said act, the firm submitted 37 invoices, claiming to have procured bitumen from Indian Oil Corporation Limited Depot, Tatanagar, of which 6 were forged and fabricated, and the remaining pertained to some other work.
8. Based upon the materials revealed during the investigation of the predicate offence, proceedings were initiated under the PMLA, on 13.03.2012, against the firm and Dharamveer Bhadoria. It is pertinent to note that the appellant was not arrayed as an accused in these proceedings. Perhaps, taking a wind of the proceedings initiated under the PMLA, the appellant company underwent a reconstitution on 08.06.2015.
9. A Provisional Attachment Order (PAO) was passed by the respondent, under Section 5(1) of the PMLA, on 17.12.2017, attaching two pieces

M/s. Nav Nirman Builders & Developers Pvt. Ltd. Through its Managing Director, Naveen Singh v. The Union of India Through Deputy Director, Directorate of Enforcement, Govt of India Ranchi, Jharkhand

of land purchased by the appellant in the years 2012 and 2014, in lieu of the amount allegedly received fraudulently by the firm. Thereafter, the respondent filed Original Complaint No. 760/2017 before the Adjudicating Authority, seeking confirmation of the PAO. Accordingly, proceedings were initiated under Section 8(1) of the PMLA.

10. An impleadment application was filed by the appellant in the aforesaid proceedings, since properties purchased by it were provisionally attached. The said application was allowed, arraying the appellant as Defendant No. 8. After hearing all the parties, including the appellant, the Adjudicating Authority passed a confirmation order under Section 8(3) of the PMLA. Aggrieved, an appeal was filed by the appellant under Section 26 of the PMLA before the Appellate Tribunal, in which an order of *status quo* dated 12.07.2018 was passed.
11. In the meantime, a Prosecution Complaint was filed by the respondent under Section 45 of the PMLA, on 31.03.2018, against Dharamveer Bhadoria and the firm. The sum and substance of the said complaint is that the accused persons have utilised the proceeds of crime in the purchase of immovable properties in the name of the appellant. It is precisely on this ground that the Adjudicating Authority had confirmed the PAO.
12. Charges were framed by the Special Court on 17.11.2018, against Dharamveer Bhadoria and the firm. On account of his death, on 02.05.2021, the proceedings against him, in both the predicate offence and the one under PMLA, were dropped. In view of the above, the respondent filed an application invoking Section 8(7) of the PMLA. Nearly two months thereafter, the appellant filed an application invoking Section 8(8) of the PMLA, *inter alia*, contending that the properties attached are its own.
13. The Special Court considered both the applications together, notwithstanding the pendency of the appeal filed under Section 26 of the PMLA, and allowed the application filed under Section 8(7) of the PMLA, on merits. Consequently, the application filed by the appellant under Section 8(8) of the PMLA was dismissed. Resultantly, the confiscation of the attached properties, as sought by the respondent, was ordered. While doing so, the Special Court was also pleased to hold that the proceedings initiated against the accused firm under the PMLA are liable to be dropped. The challenge made by the appellant before the High Court under Section 482 of the

Supreme Court Reports

Code of Criminal Procedure, 1973 to the order of confiscation under Section 8(7) of the PMLA also met with the same fate. Aggrieved, the present appeal has been filed.

14. At this juncture, we may note that the appeal filed by the appellant under Section 26 of the PMLA has been dismissed as infructuous, on 23.08.2023, during the pendency of the present appeal.

SUBMISSIONS ON BEHALF OF THE APPELLANT

15. Learned counsel appearing for the appellant submitted that the attached properties belong to the appellant company which is an independent entity and has not been arraigned as an accused. Neither the Special Court nor the High Court have gone into the merits of the application filed by the appellant under Section 8(8) of the PMLA. The fact that the appeal against the confirmation order passed by the Adjudicating Authority under Section 8(3) of the PMLA was pending before the Appellate Tribunal for a long time due to want of coram, was brought to the notice of the Special Court. Yet, the Special Court decided the application under Section 8(7) of the PMLA on merits. The appellant cannot be made to suffer for the same. Even as per the case of the respondent, the properties attached are not the proceeds of crime, and are only alternate property in value thereof. Despite the sources and the bank trail for the purchase of the said properties having been clearly furnished, the Special Court has not engaged with it in substance. The principle of 'lifting the corporate veil' cannot be used unilaterally against the appellant's properties. Accordingly, the learned counsel submitted that the impugned order passed by the High Court requires interference.

SUBMISSIONS ON BEHALF OF THE RESPONDENT

16. The facts as noted by the Special Court and the High Court would reveal that the proceeds of crime to the tune of Rs. 79,11,559/-, were first placed in the banking system by the firm and, thereafter, layered and laundered by investing in immovable properties on behalf of the appellant which shared the same name and address as that of the firm. Dharamveer Bhadoria suppressed material facts, including the existence of the appellant company and his role in the same. It was discovered during the course of investigation that the entire share capital of the appellant was owned and controlled by the

M/s. Nav Nirman Builders & Developers Pvt. Ltd. Through its Managing Director, Naveen Singh v. The Union of India Through Deputy Director, Directorate of Enforcement, Govt of India Ranchi, Jharkhand

partners of the firm, who were either the Managing Director, Director, or Shareholder in the appellant company. The reconstitution of the appellant has been done after the initiation of proceedings under the PMLA and, thus, cannot come to its rescue. The facts make it clear that the appellant is a mere frontal and sham entity created to divert the money obtained by fraudulent means. The subject properties, having been purchased through the proceeds of crime, were attached and, thereafter, confiscated, being the ‘value thereof’ of the proceeds of crime. Section 2(1)(u) of the PMLA is expansive enough to deal with such a situation, as has been discussed in **Vijay Madanlal Chaudhary and Ors. v. Union of India and Ors., (2023) 12 SCC 1.**

17. The pendency of the appeal preferred by the appellant before the Appellate Tribunal under Section 26 of the PMLA would not come in the way of deciding the application under Section 8(7) of the PMLA. Reliance is placed on the decision of the Delhi High Court in **Deputy Director, Directorate of Enforcement of Delhi v. Axis Bank & Ors. 2019 SCC Online Del 7854** in this regard. In any case, the aforesaid appeal has been dismissed, though subsequently. It is further submitted that the appellant has failed to discharge the burden of proof under Section 24 of the PMLA, as it failed to show the legitimate source for purchasing the attached properties. It is well-settled that the Courts are empowered to pierce the corporate veil and find out the truth if criminal offences are sought to be committed under the garb of corporate personality. Thus, the impugned order passed by the High Court confirming the order passed by the Special Court under Section 8(7) of the PMLA does not warrant any interference.

LEGAL DISCUSSION

18. We now proceed to discuss the relevant statutory provisions.

Section 2(1)(u) of the PMLA

“2. **Definitions.**—(1) In this Act, unless the context otherwise requires,—

xxx xxx xxx

(u) **“proceeds of crime” means any property derived or obtained, directly or indirectly, by any person as**

Supreme Court Reports

a result of criminal activity relating to a scheduled offence or the value of any such property or where such property is taken or held outside the country, then the property equivalent in value held within the country or abroad;

Explanation.—For the removal of doubts, it is hereby clarified that “proceeds of crime” include property not only derived or obtained from the scheduled offence but also any property which may directly or indirectly be derived or obtained as a result of any criminal activity relatable to the scheduled offence;”

(emphasis supplied)

19. The definition of “proceeds of crime” under Section 2(1)(u) of the PMLA is wide enough to include a property which is equivalent in value to the property that is directly or indirectly obtained from a criminal activity relating to the scheduled offence. Thus, such a property can also be attached if the proceeds of crime, as such, are not otherwise available. Section 2(1)(u) of the PMLA, despite being a definition clause, indicates the very objective of the enactment to secure proceeds of crime in any form. The scope and applicability of this provision have been succinctly dealt with by this Court, in the case of **Vijay Madanlal Choudhary (supra)**, in the following manner:

“**105.** The other relevant definition is “proceeds of crime” in Section 2(1)(u) of the 2002 Act. This definition is common to all actions under the Act, namely, attachment, adjudication and confiscation being civil in nature as well as prosecution or criminal action. The original provision prior to amendment vide the Finance Act, 2015 and Finance (No. 2) Act, 2019, took within its sweep any property mentioned in Section 2(1)(v) PMLA derived or obtained, directly or indirectly, by any person “as a result of” criminal activity “relating to” a scheduled offence mentioned in Section 2(1)(y) read with Schedule to the Act or the value of any such property. Vide the Finance Act, 2015, it further included such property (being proceeds of crime) which is taken or held outside the country, then the property equivalent in value held within the country and by further amendment vide Act 13 of 2018, it

M/s. Nav Nirman Builders & Developers Pvt. Ltd. Through its Managing Director, Naveen Singh v.
The Union of India Through Deputy Director, Directorate of Enforcement, Govt of India Ranchi, Jharkhand

also added property which is abroad. By further amendment vide Finance (No. 2) Act, 2019, Explanation has been added which is obviously a clarificatory amendment. That is evident from the plain language of the inserted Explanation itself. **The fact that it also includes any property which may, directly or indirectly, be derived as a result of any criminal activity relating to scheduled offence does not transcend beyond the original provision. In that, the word “relating to” (associated with/has to do with) used in the main provision is a present participle of word “relate” and the word “relatable” is only an adjective. The thrust of the original provision itself is to indicate that any property is derived or obtained, directly or indirectly, as a result of criminal activity concerning the scheduled offence, the same be regarded as proceeds of crime. In other words, property in whatever form mentioned in Section 2(1)(v), is or can be linked to criminal activity relating to or relatable to scheduled offence, must be regarded as proceeds of crime for the purpose of the 2002 Act. It must follow that the Explanation inserted in 2019 is merely clarificatory and restatement of the position emerging from the principal provision [i.e. Section 2(1)(u).**

106. The “proceeds of crime” being the core of the ingredients constituting the offence of money laundering, that expression needs to be construed strictly. In that, all properties recovered or attached by the investigating agency in connection with the criminal activity relating to a scheduled offence under the general law cannot be regarded as proceeds of crime. There may be cases where the property involved in the commission of scheduled offence attached by the investigating agency dealing with that offence, cannot be wholly or partly regarded as proceeds of crime within the meaning of Section 2(1)(u) of the 2002 Act — so long as the whole or some portion of the property has been derived or obtained by any person “as a result of” criminal activity relating to the stated scheduled offence. To be proceeds of crime, therefore,

Supreme Court Reports

the property must be derived or obtained, directly or indirectly, “as a result of” criminal activity relating to a scheduled offence. To put it differently, the vehicle used in commission of scheduled offence may be attached as property in the case (crime) concerned, it may still not be proceeds of crime within the meaning of Section 2(1) (u) of the 2002 Act. Similarly, possession of unaccounted property acquired by legal means may be actionable for tax violation and yet, will not be regarded as proceeds of crime unless the tax legislation concerned prescribes such violation as an offence and such offence is included in the Schedule to the 2002 Act. **For being regarded as proceeds of crime, the property associated with the scheduled offence must have been derived or obtained by a person “as a result of” criminal activity relating to the scheduled offence concerned.** This distinction must be borne in mind while reckoning any property referred to in the scheduled offence as proceeds of crime for the purpose of the 2002 Act. Dealing with proceeds of crime by way of any process or activity constitutes offence of money laundering under Section 3 PMLA.

107. Be it noted that the definition clause includes any property derived or obtained “indirectly” as well. This would include property derived or obtained from the sale proceeds or in a given case in lieu of or in exchange of the “property” which had been directly derived or obtained as a result of criminal activity relating to a scheduled offence. In the context of the Explanation added in 2019 to the definition of the expression “proceeds of crime”, it would inevitably include other property which may not have been derived or obtained as a result of any criminal activity relating to the scheduled offence. As noticed from the definition, it essentially refers to “any property” including abroad derived or obtained directly or indirectly. The Explanation added in 2019 in no way travels beyond that intent of tracking and reaching up to the property derived or obtained directly or indirectly as a result of criminal activity relating to a scheduled offence. Therefore, the Explanation

M/s. Nav Nirman Builders & Developers Pvt. Ltd. Through its Managing Director, Naveen Singh v.
The Union of India Through Deputy Director, Directorate of Enforcement, Govt of India Ranchi, Jharkhand

is in the nature of clarification and not to increase the width of the main definition of “proceeds of crime”. The definition of “property” also contains Explanation which is for the removal of doubts and to clarify that the term property includes property of any kind used in the commission of an offence under the 2002 Act or any of the scheduled offences.

108. In the earlier part of this judgment, we have already noted that every crime property need not be termed as proceeds of crime but the converse may be true. **Additionally, some other property if purchased or derived from the proceeds of crime even such subsequently acquired property must be regarded as tainted property and actionable under the Act. For, it would become property for the purpose of taking action under the 2002 Act which is being used in the commission of offence of money laundering. Such purposive interpretation would be necessary to uphold the purposes and objects for enactment of the 2002 Act.**

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172. It was also urged before us that the attachment of property must be equivalent in value of the proceeds of crime only if the proceeds of crime are situated outside India. This argument, in our opinion, is tenuous. **For, the definition of “proceeds of crime” is wide enough to not only refer to the property derived or obtained as a result of criminal activity relating to a scheduled offence, but also of the value of any such property. If the property is taken or held outside the country, even in such a case, the property equivalent in value held within the country or abroad can be proceeded with. The definition of “property” as in Section 2(1)(v) is equally wide enough to encompass the value of the property of proceeds of crime. Such interpretation would further the legislative intent in recovery of the proceeds of crime and vesting it in the Central Government for effective prevention of money laundering.**

Supreme Court Reports

173. We find force in the stand taken by the Union of India that the objectives of enacting the 2002 Act was the attachment and confiscation of proceeds of crime which is the quintessence so as to combat the evil of money laundering. The second proviso, therefore, addresses the broad objectives of the 2002 Act to reach the proceeds of crime in whosoever's name they are kept or by whosoever they are held. To buttress this argument, reliance has been placed on the dictum in *Attorney General for India v. Amratlal Prajivandas*, (1994) 5 SCC 54 : 1994 SCC (Cri) 1325] and *Raman Tech. & Process Engg. Co. v. Solanki Traders* (2008) 2 SCC 302 : (2008) 1 SCC (Civ) 539].”

(emphasis supplied)

20. Chapter – III of the PMLA deals with attachment, adjudication and confiscation of property, with one following the other. We wish to extract relevant provisions of the said Chapter, for the sake of convenience.

Section 8 of the PMLA

“8. Adjudication.— (1) On receipt of a complaint under sub-section (5) of Section 5, or applications made under sub-section (4) of Section 17 or under sub-section (10) of Section 18, if the Adjudicating Authority has reason to believe that any person has committed an offence under Section 3 or is in possession of proceeds of crime, it may serve a notice of not less than thirty days on such person calling upon him to indicate the sources of his income, earning or assets, out of which or by means of which he has acquired the property attached under sub-section (1) of Section 5, or, seized or frozen under Section 17 or Section 18, the evidence on which he relies and other relevant information and particulars, and to show cause why all or any of such properties should not be declared to be the properties involved in money-laundering and confiscated by the Central Government:

Provided that where a notice under this sub-section specifies any property as being held by a person on behalf

M/s. Nav Nirman Builders & Developers Pvt. Ltd. Through its Managing Director, Naveen Singh v.
The Union of India Through Deputy Director, Directorate of Enforcement, Govt of India Ranchi, Jharkhand

of any other person, a copy of such notice shall also be served upon such other person:

Provided further that where such property is held jointly by more than one person, such notice shall be served to all persons holding such property.

(2) The Adjudicating Authority shall, after—

- (a) considering the reply, if any, to the notice issued under sub-section (1);
- (b) hearing the aggrieved person and the Director or any other officer authorised by him in this behalf; and
- (c) taking into account all relevant materials placed on record before him,

by an order, record a finding whether all or any of the properties referred to in the notice issued under sub-section (1) are involved in money-laundering:

Provided that if the property is claimed by a person, other than a person to whom the notice had been issued, such person shall also be given an opportunity of being heard to prove that the property is not involved in money-laundering.

(3) Where the Adjudicating Authority decides under sub-section (2) that any property is involved in money-laundering, he shall, by an order in writing, confirm the attachment of the property made under sub-section (1) of Section 5 or retention of property or record seized or frozen under Section 17 or Section 18 and record a finding to that effect, whereupon such attachment or retention or freezing of the seized or frozen property or record shall—

- (a) continue during [investigation for a period not exceeding three hundred and sixty-five days or the pendency of the proceedings relating to any offence under this Act before a court or under the corresponding law of any other country, before the competent**

Supreme Court Reports

court of criminal jurisdiction outside India, as the case may be; and

- (b) become final after an order of confiscation is passed under sub-section (5) or sub-section (7) of Section 8 or Section 58-B or sub-section (2-A) of Section 60 by the Special Court.

***Explanation.*—For the purposes of computing the period of three hundred and sixty-five days under clause (a), the period during which the investigation is stayed by any court under any law for the time being in force shall be excluded.**

(4) Where the provisional order of attachment made under sub-section (1) of Section 5 has been confirmed under sub-section (3), the Director or any other officer authorised by him in this behalf shall forthwith take the possession of the property attached under Section 5 or frozen under sub-section (1-A) of Section 17, in such manner as may be prescribed:

Provided that if it is not practicable to take possession of a property frozen under sub-section (1-A) of Section 17, the order of confiscation shall have the same effect as if the property had been taken possession of.

(5) Where on conclusion of a trial of an offence under this Act, the Special Court finds that the offence of money-laundering has been committed, it shall order that such property involved in the money-laundering or which has been used for commission of the offence of money-laundering shall stand confiscated to the Central Government.

(6) Where on conclusion of a trial under this Act, the Special Court finds that the offence of money-laundering has not taken place or the property is not involved in money-laundering, it shall order release of such property to the person entitled to receive it.

(7) Where the trial under this Act cannot be conducted by reason of the death of the accused or the accused

M/s. Nav Nirman Builders & Developers Pvt. Ltd. Through its Managing Director, Naveen Singh v.
The Union of India Through Deputy Director, Directorate of Enforcement, Govt of India Ranchi, Jharkhand

being declared a proclaimed offender or for any other reason or having commenced but could not be concluded, the Special Court shall, on an application moved by the Director or a person claiming to be entitled to possession of a property in respect of which an order has been passed under sub-section (3) of Section 8, pass appropriate orders regarding confiscation or release of the property, as the case may be, involved in the offences of money-laundering after having regard to the material before it.

(8) Where a property stands confiscated to the Central Government under sub-section (5), the Special Court, in such manner as may be prescribed, may also direct the Central Government to restore such confiscated property or part thereof of a claimant with a legitimate interest in the property, who may have suffered a quantifiable loss as a result of the offence of money laundering:

Provided that the Special Court shall not consider such claim unless it is satisfied that the claimant has acted in good faith and has suffered the loss despite having taken all reasonable precautions and is not involved in the offence of money laundering

Provided further that the Special Court may, if it thinks fit, consider the claim of the claimant for the purposes of restoration of such properties during the trial of the case in such manner as may be prescribed.”

(emphasis supplied)

Section 9 of the PMLA

“9. Vesting of property in Central Government. — Where an order of confiscation has been made under sub-section (5) or sub-section (7) of Section 8 or Section 58-B or sub-section (2-A) of Section 60 in respect of any property of a person, all the rights and title in such property shall vest absolutely in the Central Government free from all encumbrances:

Supreme Court Reports

Provided that where the Special Court or the Adjudicating Authority, as the case may be, after giving an opportunity of being heard to any other person interested in the property attached under this Chapter, or seized or frozen under Chapter V, is of the opinion that any encumbrance on the property or lease-hold interest has been created with a view to defeat the provisions of this Chapter, it may, by order, declare such encumbrances or lease-hold interest to be void and thereupon the aforesaid property shall vest in the Central Government free from such encumbrances or lease-hold interest:

Provided further that nothing in this section shall operate to discharge any person from any liability in respect of such encumbrances which may be enforced against such person by a suit for damages.”

(emphasis supplied)

Confirmation of a Provisional Attachment Order

21. Section 8 of the PMLA gets attracted upon filing of a complaint under Section 5(5) of the PMLA after a PAO is passed by the Director or any other officer, or when applications are made under Section 17(4) or Section 18(10) of the PMLA pursuant to the retention of property or record seized or frozen under Section 17 or Section 18 of the PMLA. Under Section 8(1) of the PMLA, the Adjudicating Authority, after satisfying itself that there exist reasons to believe that a person has committed an offence under Section 3 of the PMLA or is in possession of the proceeds of crime, is expected to serve notice on such a person calling upon him to indicate the sources of his income, earning or assets, out of which or by means of which he has acquired the property attached under Section 5(1) of the PMLA or, seized or frozen under Section 17 or Section 18 of the PMLA.
22. The expression “any person” used in Section 8(1) of the PMLA, gives a wide power of examination to the Adjudicating Authority for the purpose of taking a decision *qua* confirming a PAO under Section 5(1) of the PMLA or the retention of property or record seized or frozen under Section 17 or Section 18 of the PMLA.

M/s. Nav Nirman Builders & Developers Pvt. Ltd. Through its Managing Director, Naveen Singh v.
The Union of India Through Deputy Director, Directorate of Enforcement, Govt of India Ranchi, Jharkhand

23. The proviso to Section 8(2) of the PMLA facilitates 'any other person' claiming the property, in respect of which a notice has been issued under Section 8(1) of the PMLA, to be heard, in order to prove that the said property is not involved in money-laundering. Thus, while exercising the power of confirmation under Section 8(3) of the PMLA, the Adjudicating Authority is expected to conduct a proper inquiry into the question of whether the property is involved in money-laundering.
24. Upon confirmation of the PAO under Section 8(3) of the PMLA, the designated officer of the prosecuting agency shall forthwith take possession under Section 8(4) of the PMLA. The decision of the Adjudicating Authority, in confirming the attachment, is subject to a challenge, if any, before the higher forums under the PMLA.
25. Section 8(3)(b) of the PMLA gives an element of finality to a confirmation order once an order of confiscation is passed by the Special Court under Section 8(5) or Section 8(7) or Section 58B or Section 60(2A) of the PMLA. Therefore, the confirmation of attachment under Section 8(3) of the PMLA would be subject to confiscation under the aforementioned provisions. In other words, though the attachment continues after its confirmation, it is only meant to be so till an order of confiscation is passed.

Confiscation/Release of properties upon conclusion of the trial

26. Once the Special Court, after conclusion of the trial, holds that the offence of money-laundering has been committed, Section 8(5) of the PMLA mandates the Special Court to confiscate the property to the Central Government. Alternatively, if the Special Court concludes that the offence of money-laundering has not been committed, then Section 8(6) of the PMLA gets attracted, leading to the release of the property to the person entitled to receive it.

Confiscation/Release of properties due to non-conduct of the trial

27. Section 8(7) of the PMLA allows confiscation of properties in the event of non-conduct of the trial, and is a complete provision by itself. A *sine qua non* for the Special Court to decide an application under Section 8(7) of the PMLA is an order of confirmation of the PAO by the Adjudicating Authority under Section 8(3) of the PMLA.

Supreme Court Reports

28. Section 8(7) of the PMLA can only be pressed into service in case of a contingency, on an application to be moved either by the Director of the prosecuting agency or a person claiming to be entitled to possession of the property. The said contingency would include situations such as when the trial cannot be conducted by reason of the death of the accused, or if the accused is declared as a proclaimed offender, or for any other reason, or the trial having commenced but could not be concluded. The expression “any other reason or having commenced but could not be concluded” must be read in conjunction with either the death of the accused, or the declaration of the accused as a proclaimed offender, in view of the principle of *ejusdem generis*.
29. Circumstances aforesaid must be evident and in existence and, hence, the expression “material before it,” occurring in Section 8(7) of the PMLA, must be understood in the context of demonstrating the same, as the scope of inquiry under Section 8(7) of the PMLA is rather limited and the Special Court does not have the power to review a decision under Section 8(3) of the PMLA.

Expression “material before it” vis-à-vis Section 8(7) of the PMLA

30. The expression “material before it” can also be understood from the standpoint of a person who was not a party to the proceedings under Section 8(3) of the PMLA before the Adjudicating Authority. Law does not necessarily bind a party *qua* an order passed by a statutory authority in his absence. Therefore, such a party can certainly invoke Section 8(7) of the PMLA, provided that the circumstances mentioned thereunder are available, coupled with entitlement to possession of the property in respect of which an order has been passed under Section 8(3) of the PMLA, in which case, the Special Court is expected to consider such material placed before it.
31. A limited caveat is, however, necessary in the case of a person who has suffered an adverse order before the Adjudicating Authority under Section 8(3) of the PMLA. Such a person cannot, as a matter of right, invoke Section 8(7) of the PMLA. However, by way of exception, such relief may be sought only on the basis of any new material placed for the first time before the Special Court. Such an interpretation would give meaningful effect to the expression “material before it” occurring in Section 8(7) of the PMLA. Any other interpretation would vest the Special Court with a power of review over an order passed under

M/s. Nav Nirman Builders & Developers Pvt. Ltd. Through its Managing Director, Naveen Singh v. The Union of India Through Deputy Director, Directorate of Enforcement, Govt of India Ranchi, Jharkhand

Section 8(3) of the PMLA which is clearly not contemplated under the scheme of the PMLA. The restriction, therefore, is that the material relied upon by such a party in proceedings under Section 8(7) of the PMLA must not have been considered by any forum exercising jurisdiction under Section 8(3) of the PMLA.

32. As iterated while discussing Section 8(3)(b) of the PMLA, an order of confiscation by the Special Court under Section 8(7) of the PMLA gives finality to a confirmation order.

Procedure and Powers of the Appellate Tribunal

33. As against the order passed by the Adjudicating Authority under Section 8(3) of the PMLA, an appeal lies to the Appellate Tribunal under Section 26 of the PMLA. Section 25 of the PMLA states that the Appellate Tribunal under the PMLA shall be the one constituted under Section 12 of the Smugglers and Foreign Exchange Manipulators (Forfeiture of Property) Act, 1976 (hereinafter referred to as the “SAFEMA”).

Section 25 of the PMLA

“25. Appellate Tribunal.—The Appellate Tribunal constituted under sub-section (1) of Section 12 of the Smugglers and Foreign Exchange Manipulators (Forfeiture of Property) Act, 1976 (13 of 1976) shall be the Appellate Tribunal for hearing appeals against the orders of the Adjudicating Authority and the other authorities under this Act.”

(emphasis supplied)

Section 12 of the SAFEMA

“12. Constitution of Appellate Tribunal.—(1) The Central Government may, by notification in the Official Gazette, constitute an Appellate Tribunal consisting of a Chairman and such number of other members (being officers of the Central Government not below the rank of a Joint Secretary to the Government) as the Central Government thinks fit, to be appointed by the Government for hearing appeals against the orders made.

Supreme Court Reports

- (a) under Section 7, sub-section (1) of Section 9 or Section 10;
- (b) under Section 68-F, Section 68-I, sub-section (1) of Section 68-K or Section 68-L of the Narcotic Drugs and Psychotropic Substances Act, 1985 (61 of 1985);
- (c) by the Adjudicating Authority or any other authority under the Prevention of Money-laundering Act, 2002 (15 of 2003);
- (d) by the Adjudicating Authorities, Competent Authorities and the Qualifications, Special Director (Appeals) under the Foreign Exchange Management Act, 1999 (42 of 1999).

(2) The Chairman of the Appellate Tribunal shall be a person who is or has been a Judge of the Supreme Court or of a High Court.”

xxx xxx xxx

(emphasis supplied)

Section 26 of the PMLA

“26. Appeal to Appellate Tribunal.—(1) Save as otherwise provided in sub-section (3), the Director or any person aggrieved by an order made by the Adjudicating Authority under this Act, may prefer an appeal to the Appellate Tribunal.

(2) Any reporting entity aggrieved by any order of the Director made under sub-section (2) of Section 13, may prefer an appeal to the Appellate Tribunal.

(3) Every appeal preferred under sub-section (1) or sub-section (2) shall be filed within a period of forty-five days from the date on which a copy of the order made by the Adjudicating Authority or Director is received and it shall be in such form and be accompanied by such fee as may be prescribed:

M/s. Nav Nirman Builders & Developers Pvt. Ltd. Through its Managing Director, Naveen Singh v.
The Union of India Through Deputy Director, Directorate of Enforcement, Govt of India Ranchi, Jharkhand

Provided that the Appellate Tribunal may, after giving an opportunity of being heard, entertain an appeal after the expiry of the said period of forty-five days if it is satisfied that there was sufficient cause for not filing it within that period.

(4) On receipt of an appeal under sub-section (1), or sub-section (2), the Appellate Tribunal may, after giving the parties to the appeal an opportunity of being heard, pass such orders thereon as it thinks fit, confirming, modifying or setting aside the order appealed against.

(5) The Appellate Tribunal shall send a copy of every order made by it to the parties to the appeal and to the Adjudicating Authority or the Director concerned, as the case may be.

(6) The appeal filed before the Appellate Tribunal under sub-section (1) or sub-section (2) shall be dealt with by it as expeditiously as possible and endeavour shall be made by it to dispose of the appeal finally within six months from the date of filing of the appeal.”

(emphasis supplied)

Section 35 of the PMLA

“35. Procedure and powers of Appellate Tribunal.—

(1) The Appellate Tribunal shall not be bound by the procedure laid down by the Code of Civil Procedure, 1908 (5 of 1908), but shall be guided by the principles of natural justice and, subject to the other provisions of this Act, the Appellate Tribunal shall have powers to regulate its own procedure.

(2) The Appellate Tribunal shall have, for the purposes of discharging its functions under this Act, the same powers as are vested in a civil court under the Code of Civil Procedure, 1908 (5 of 1908) while trying a suit,
in respect of the following matters, namely:—

- (a) summoning and enforcing the attendance of any person and examining him on oath;

Supreme Court Reports

- (b) requiring the discovery and production of documents;
- (c) receiving evidence on affidavits;
- (d) subject to the provisions of sections 123 and 124 of the Indian Evidence Act, 1872 (1 of 1872, requisitioning any public record or document or copy of such record or document from any office;
- (e) issuing commissions for the examination of witnesses or documents;
- (f) reviewing its decisions;
- (g) dismissing a representation for default or deciding it *ex parte*;
- (h) setting aside any order of dismissal of any representation for default or any order passed by it *ex parte*; and
- (i) any other matter, which may be, prescribed by the Central Government.

(3) An order made by the Appellate Tribunal under this Act shall be executable by the Appellate Tribunal as a decree of civil court and, for this purpose, the Appellate Tribunal shall have all the powers of a civil court.

(4) Notwithstanding anything contained in sub-section (3), the Appellate Tribunal may transmit any order made by it to a civil court having local jurisdiction and such civil court shall execute the order as if it were a decree made by that court.

(5) All proceedings before the Appellate Tribunal shall be deemed to be judicial proceedings within the meaning of sections 193 and 228 of the Indian Penal Code (45 of 1860) and the Appellate Tribunal shall be deemed to be a civil court for the purposes of sections 345 and 346 of the Code of Criminal Procedure, 1973 (2 of 1974)."

(emphasis supplied)

M/s. Nav Nirman Builders & Developers Pvt. Ltd. Through its Managing Director, Naveen Singh v.
The Union of India Through Deputy Director, Directorate of Enforcement, Govt of India Ranchi, Jharkhand

34. Section 12(2) of the SAFEMA, 1976 provides that the Appellate Tribunal shall be headed by either a sitting or retired Judge of the High Court or the Supreme Court which by virtue of Section 25 of the PMLA becomes the Appellate Tribunal under the PMLA. Proceedings before it are akin to trying a suit, with the same powers as those vested in a civil Court. These proceedings are deemed to be judicial in nature and orders passed by the Appellate Tribunal have the trappings of a decree of a civil Court. As per Section 35(1) of the PMLA, the Appellate Tribunal can regulate its own procedure, not bound by the procedural constraints laid down by the Code of Civil Procedure, 1908. Thus, the Appellate Tribunal has additional powers which may otherwise not be available with a civil Court. Any person aggrieved by any decision or order of the Appellate Tribunal may further file an appeal to the High Court under Section 42 of the PMLA.
35. The fact that a robust mechanism is provided for by fixing a higher qualification for the constitution of the Appellate Tribunal is a clear indicator that a decision under Section 8(3) of the PMLA is not meant to be brought under the judicial scrutiny of the Special Court. We also take note of the time limit prescribed under Section 26(6) of the PMLA for the Appellate Tribunal to dispose of an appeal filed before it as expeditiously as possible, and make an endeavour to do so within a period of six months. This provision not only indicates the urgency for disposal, but also recognises that the right of a party to invoke Section 8(7) of the PMLA, in a given case, cannot be kept in suspense for a long time.
36. Thus, when an appeal or a further challenge is pending before the Appellate Tribunal or the concerned higher forum against an order passed under Section 8(3) of the PMLA, the Special Court is expected to refrain from dealing with an application filed under Section 8(7) of the PMLA, without awaiting the disposal of such appeal or further challenge. We also say so in view of the doctrine of merger.

Doctrine of merger *vis-à-vis* an order under Section 8(3) of the PMLA

37. When a challenge is made to an order passed by the Adjudicating Authority under Section 8(3) of the PMLA before the Appellate Tribunal under Section 26 of the PMLA, or the High Court under Section 42

Supreme Court Reports

of the PMLA, or the Supreme Court thereafter, the order passed by such higher forum supersedes and replaces the earlier confirmation order, in view of the doctrine of merger. Thus, there can be only one order under Section 8(3) of the PMLA. Once an order under Section 8(3) of the PMLA is challenged, a deemed embargo operates on the conclusion of the proceedings under Section 8(7) of the PMLA. Thus, there is a deemed stay on the proceedings under Section 8(7) of the PMLA until the confirmation order attains finality.

Restoration of properties under Section 8(8) of the PMLA

38. Section 8(8) of the PMLA deals with the consequential action that the Special Court is expected to undertake after a property stands confiscated to the Central Government under Section 8(5) of the PMLA. Section 8(8) of the PMLA restricts the power of the Special Court in considering a claim for restoration, only to a case where the claimant has a legitimate interest in the property and has also suffered a quantifiable loss as a result of the offence of money-laundering. This is subject to the further restriction that such a claimant has acted in good faith, is not involved in the offence of money-laundering and, despite taking all reasonable precautions, has suffered the loss. Therefore, the onus is heavily placed on the claimant, wherein he is required to prove his *bona fides*.
39. The second proviso to Section 8(8) of the PMLA is an exception to Section 8(8) of the PMLA which facilitates a claimant to make a claim for restoration of properties during the pendency of the trial. The circumstances under which such a power can be exercised is on the basis of a prescription in the form of rules. Therefore, the provision itself facilitates rules to be prescribed on the manner in which the aforesaid claim may be considered. This proviso must be read in consonance with Sections 73 and 74 of the PMLA which empowers the Central Government to make the requisite rules that are to be laid before the Parliament before it comes into the statute. The relevant rules in this regard are the Prevention of Money-laundering (Restoration of Confiscated Property) Rules, 2016 (hereinafter referred to as the “**2016 Rules**”), as amended in 2019.
40. At this juncture, we take note of the fact that the second proviso to Section 8(8) of the PMLA, having been introduced by way of a subsequent amendment, is meant to give adequate relief to a claimant.

M/s. Nav Nirman Builders & Developers Pvt. Ltd. Through its Managing Director, Naveen Singh v.
The Union of India Through Deputy Director, Directorate of Enforcement, Govt of India Ranchi, Jharkhand

In other words, a claimant need not wait for the conclusion of a trial under the PMLA if he is able to satisfy the requisite parameters as stipulated under the 2016 Rules.

Rule 2 of the 2016 Rules

“2. Definitions.—In these rules, unless the context otherwise requires,—

xxx xxx xxx

- (b) **“claimant” means a person who has acted in good faith and has suffered a quantifiable loss as a result of the offence of Money-laundering despite having taken all reasonable precautions, and is not involved in the offence of money-laundering;”**

(emphasis supplied)

Rule 3A of 2016 Rules

“3A. Manner of restoration of property during trial. —(1) The Special Court, after framing of the charge under section 4 of the Act, on the basis of an application moved for restoration of a property attached under sub-section (1) of section 5, or, seized or frozen under section 17 or section 18 of the Act prior to confiscation, if it thinks fit, may, for the purposes of the second proviso to sub-section (8) of section 8 of the Act, cause to be published a notice in two daily newspapers, one in English language and one in vernacular language, having sufficient circulation in the locality where such property is situated calling upon the claimants, who claim to have a legitimate interest in such property or part thereof, to submit and establish their claims, if any, for obtaining restoration of such property or part thereof.”

(emphasis supplied)

41. Though the PMLA does not define a claimant, Rule 2(b) of the 2016 Rules defines a ‘claimant’ as one who has acted in good faith and has suffered a quantifiable loss, pursuant to an offence of money-

Supreme Court Reports

laundering, even after taking all necessary precautions. An essential condition is that he should not be involved in the offence of money-laundering. Thus, a 'claimant,' as mentioned under the proviso, has to be understood on the touchstone of Rule 2(b) of the 2016 Rules. As a necessary corollary, such a person can only be a third party who is not arraigned as an accused, and his entitlement is subject to the conditions imposed by the definition under Rule 2(b) read with Rule 3A of the 2016 Rules.

42. Rule 3A of the 2016 Rules deals with the manner in which restoration of a property can be ordered for during the trial. For the exercise of such power, it is mandatory for the charges under Section 4 of the PMLA to have already been framed. Only then can an application under the second proviso to Section 8(8) of the PMLA be filed. Such an application may be for restoration of a property attached under Section 5(1) of the PMLA, or seized or frozen under Sections 17 or 18 of the PMLA which are obviously prior to confiscation, after which due publication will have to be made. Under this Rule, the Special Court will have to satisfy itself that a 'claimant' has established his legitimate interest in the property which would obviously be a question of fact. Thus, the second proviso to Section 8(8) of the PMLA has to be understood and read along with Rule 2(b) and Rule 3A of 2016 Rules.

Vesting of Confiscated properties with the Central Government

43. Once an order of confiscation has been made either under Section 8(5), or Section 8(7), or Section 58B, or Section 60(2A) of the PMLA, the confiscated properties vest in favour of the Central Government, as provided under Section 9 of the PMLA. Resultantly, any right or title over the property, *qua* a third party, gets extinguished, since such a vesting becomes absolute. By the operation of law, the Central Government gets ownership of the property, free from any encumbrances. Hence, this provision clearly delineates the final consequence of a confiscation order.
44. To sum up, Chapter – III of the PMLA provides a comprehensive picture of how properties involved in the offence of money-laundering are to be dealt with. With the aforesaid discussion, we shall now proceed to analyse the facts of the instant appeal.

M/s. Nav Nirman Builders & Developers Pvt. Ltd. Through its Managing Director, Naveen Singh v.
The Union of India Through Deputy Director, Directorate of Enforcement, Govt of India Ranchi, Jharkhand

ANALYSIS

45. Admittedly, the appellant company, having suffered an order under Section 8(3) of the PMLA, had preferred an appeal under Section 26 of the PMLA which was pending on the file of the Appellate Tribunal even at the time of filing of the applications under Sections 8(7) and 8(8) of the PMLA. The fact that the said appeal was pending before the Appellate Tribunal, for want of coram, is not in dispute. The decision of the Adjudicating Authority under Section 8(3) of the PMLA is subject to the outcome of any further challenge to the same.
46. As discussed, the powers of the Appellate Tribunal are rather wide and exhaustive. What is referred to under Section 8(7) of the PMLA is a confirmation order which has attained finality. At the cost of repetition, once an order under Section 8(3) of the PMLA is challenged before a higher forum, a deemed embargo operates on the conclusion of the proceedings under Section 8(7) of the PMLA. Hence, the Special Court cannot go into the issues which the higher forums have been entrusted with. When an appeal is provided for under the statute, it gives a vested right to any aggrieved person to exhaust the same.
47. In the present case, we are concerned with the decision-making process adopted by the Special Court, as confirmed by the High Court. Instead of deferring the application filed under Section 8(7) of the PMLA, and awaiting the adjudication by the Appellate Tribunal under Section 26 of the PMLA, the Special Court has allowed the said application, for which exhaustive reasons have been given independently on merits. The Special Court has, in effect, rendered the appeal under Section 26 of the PMLA infructuous. The said action at the instance of the Special Court is totally impermissible in law.
48. We have already discussed the scope and ambit of the proceedings under Section 8(7) of the PMLA which is predicated upon an order under Section 8(3) of the PMLA that has attained finality. The Special Court is required to act in furtherance of the order passed under Section 8(3) of the PMLA, including those which may be passed by the higher forums, upon being challenged before them. Hence, the aforesaid decision-making process adopted by the Special Court is legally untenable.

Supreme Court Reports

49. Insofar as the application filed by the appellant under Section 8(8) of the PMLA is concerned, we find that it has been correctly dismissed by the Special Court. Having preferred an appeal under Section 26 of the PMLA against the order suffered under Section 8(3) of the PMLA, and not having demonstrated that it suffered a quantifiable loss as a result of the offence of money-laundering, the necessary conditions under Section 8(8) of the PMLA have not been satisfied by the appellant company.
50. In such view of the matter, we set aside the order passed by the Special Court allowing the application under Section 8(7) of the PMLA, as confirmed by the High Court in the impugned order. We are also conscious of the fact that after filing the present appeal, the Appellate Tribunal has dismissed the appeal under Section 26 of the PMLA, as having become infructuous.
51. Hence, the interest of justice would require that the order passed by the Appellate Tribunal under Section 26 of the PMLA also be set aside, as merits have not been gone into by the Appellate Tribunal for no fault of the appellant. It would only be fair and just to restore the said appeal for a decision on merits.

CONCLUSION

52. On the basis of the interpretation given by us in this judgment, we conclude as follows:
- Section 8(7) and Section 8(8) of the PMLA are stand-alone provisions.
 - Section 8(7) of the PMLA gets attracted only in case of a contingency and an application under the said provision can be decided by the Special Court only once the confirmation order attains finality.
 - The expression “material before it” occurring in Section 8(7) of the PMLA has a limited import to the extent of showing the contingency and the entitlement to possession as regards the Director or any third party. In case of a party who has suffered an adverse order under Section 8(3) of the PMLA, relief under Section 8(7) of the PMLA can be sought for, provided there is new material that was not placed before or considered by the

M/s. Nav Nirman Builders & Developers Pvt. Ltd. Through its Managing Director, Naveen Singh v.
The Union of India Through Deputy Director, Directorate of Enforcement, Govt of India Ranchi, Jharkhand

Adjudicating Authority under Section 8(3) of the PMLA, or by the higher forums, if so challenged.

- An application under the second proviso to Section 8(8) of the PMLA can only be filed subject to satisfying the essential conditions laid down by Rules 2(b) and 3A of the 2016 Rules.

53. For the foregoing reasons, we set aside the order dated 15.09.2022 passed by the Special Court allowing the application filed by the respondent under Section 8(7) of the PMLA, as confirmed by the High Court vide the impugned order dated 27.02.2023. The application filed by the appellant under Section 8(8) of the PMLA was not maintainable.

DIRECTIONS

54. Consequently, the following directions are issued:

- (i) The Appellate Tribunal is directed to take up the appeal filed by the appellant under Section 26 of the PMLA on its file, notwithstanding its earlier order passed on 23.08.2023, and decide it on its own merits, within a period of 4 weeks from the date of receipt of a copy of this judgment.
- (ii) The application filed by the respondent under Section 8(7) of the PMLA is directed to be kept pending and be taken up after the disposal of the challenge to the order under Section 8(3) of the PMLA by the higher forum(s).

55. We make it clear that our factual observations, being *prima facie* in nature, shall have no bearing on the further proceedings.

56. The appeal stands allowed, accordingly.

57. Pending application(s), if any, shall stand disposed of.

Result of the case: Appeal allowed.

V. Pathmavathi & Ors.

v.

Bharthi Axa General Insurance Co. Ltd & Anr.

(Civil Appeal No. 833 of 2026)

06 February 2026

[Dipankar Datta* and Satish Chandra Sharma, JJ.]

Issue for Consideration

Issue as regards the assessment of the income of the victim and the denial of any amount towards future prospects; and the grant of compensation under the head “loss of love and affection”.

Headnotes[†]

Motor Vehicles Act, 1988 – Just Compensation – Assessment of income of victim and grant of future prospects – Fatal road accident – Victim aged about 37 years died instantly when his two-wheeler was hit by a tanker lorry insured with the respondent-insurance company, which was driven in a rash and negligent manner – Claimants (the widow of the victim, their two minor children and the victim’s parents) filed claim petition claiming compensation of Rs.20,00,000/- stating that the victim, a driver was earning a regular monthly income of Rs.10,000/- – MACT held that the accident occurred due to the negligence of the offending vehicle; however, took the victim’s monthly income at Rs.6,000/- and awarded compensation of Rs.9,37,000/- with interest @7.5% – Claimants filed appeal before High Court which affirmed the finding on negligence; enhanced the compensation payable by the insurer to Rs.10,51,000/- with interest @7.5% by taking the monthly salary of the victim as Rs.7,000/- – Interference with:

Held: Determination of income must be founded on proof placed on record and cannot rest on conjecture or assumptions divorced from evidence – In view of the cogent and relevant evidence (the salary certificate issued by the employer of the victim (Exbt.P 14) which records that the victim was employed as a driver on a fixed monthly salary of Rs.10,000/-) which was not impeached by the

* Author

V. Pathmavathi & Ors. v. Bharthi Axa General Insurance Co. Ltd & Anr.

insurer, the monthly income of the victim has to be reckoned as Rs.10,000/- – Further, the High Court omitted to consider grant of any amount towards future prospects – Victim was 37 years of age at the time of the accident and was earning a fixed monthly income – Once these foundational facts are established, the addition towards future prospects follows as a necessary consequence – High Court, in declining such addition, failed to apply the binding precedent of this Court, thereby committing a manifest error of law – Accordingly, the income of the victim being fixed at Rs.10,000/- per month, an addition of 40% towards future prospects is warranted which brings the monthly income to Rs.14,000/- – After deducting one-fourth towards personal and living expenses, the monthly contribution to the family would be Rs.10,500/- – Applying the multiplier of 15, as applicable to the age group of the victim, the total loss of dependency is computed at Rs.18,90,000/- ($\text{Rs.}10,500 \times 12 \times 15$) – Further, this Court is bound by the law declared by the Constitution Bench in *Pranay Sethi*, which does not countenance “loss of love and affection” as a distinct head of compensation – As subsequently clarified in *Satinder Kaur*, referring to both *Pranay Sethi* and *Magma General Insurance*, the non-pecuniary loss arising from deprivation of love and affection is comprehended within the broader head of “consortium” – Thus, no separate award under the head of loss of love and affection is warranted – Total compensation of Rs.20,80,000/- awarded with interest @9% p.a. to be paid from the date of filing the claim petition, till realization. [Paras 16, 17, 19, 29, 32]

Motor Vehicles Act, 1988 – Just Compensation – Assessment of income of victim and grant of future prospects not matters of judicial discretion:

Held: Assessment of income and the grant of future prospects are not matters of judicial discretion in the abstract but are now firmly structured by authoritative precedents – Constitution Bench in *Pranay Sethi* clarified therein that the concept of future prospects is an integral component of “just compensation” and is not confined only to those in permanent government employment – Where the deceased is self-employed or on a fixed salary and below the age of 40 years, an addition of 40% of the established income towards future prospects is compulsory – This is not a matter of choice,

Supreme Court Reports

but a binding norm flowing from Article 141 of the Constitution – In the present case, the victim was 37 years of age at the time of the accident and was earning a fixed monthly income – Once these foundational facts are established, the addition towards future prospects follows as a necessary consequence – High Court, in declining such addition, failed to apply the binding precedent of this Court, thereby committing a manifest error of law. [Paras 17, 18]

Motor Vehicles Act, 1988 – Grant of compensation under the head “loss of love and affection” – Judicial discipline *vis-à-vis* substantive justice – In *Rajesh v. Rajbir*, this Court recognised “loss of love and affection” as a distinct head of compensation, reflecting the non-pecuniary deprivation suffered by family members upon the untimely death of a loved one – However, the Constitution Bench in *Pranay Sethi* expressly disapproved this approach holding that *Rajesh* was rendered *per incuriam* and that compensation should be confined to three conventional heads, *i.e.*, loss of estate, loss of consortium and funeral expenses in order to preserve consistency and certainty in awards:

Held: Judicial discipline demands that a Constitution Bench decision must prevail over a judgment of a Bench of lesser strength – However, it is difficult to ignore the conceptual tension that underlies this exclusion – The head of “future prospects” itself is a creation of judicial interpretation, evolved to respond to socio-economic realities and the legitimate expectations of dependents – If the law is capable of recognising anticipated economic progression as a valid loss, it is not too clear why emotional deprivation manifested in loss of love and affection must be viewed as an impermissible head, especially when Chapter XII of the Act is a beneficial piece of legislation meant to help people in distress arising out of road accidents – Consistency, though desirable, cannot be elevated to a point where it eclipses the core objective of awarding “just compensation” – The law must remain responsive to lived human realities, especially in cases involving the sudden rupture of familial bonds – In *Magma General Insurance*, the ambit of “consortium” was expanded to include parental and filial consortium, implicitly acknowledging the emotional and relational loss suffered by children and parents alike – This doctrinal expansion suggests that the distinction between “consortium” and “loss of love and affection”

V. Pathmavathi & Ors. v. Bharthi Axa General Insurance Co. Ltd & Anr.

may be one of form rather than substance – Furthermore, in *United India Insurance Co. Ltd. v. Satinder Kaur*, a three-Judge Bench of this Court harmonised the principles laid down in *Pranay Sethi* and *Magma General Insurance* to ensure uniformity in the award of compensation under conventional heads – Consistent with the position taken therein but notwithstanding the reservations noted, this Court is bound by the law declared by the Constitution Bench in *Pranay Sethi*, which does not countenance “loss of love and affection” as a distinct head of compensation – As subsequently clarified in *Satinder Kaur*, referring to both *Pranay Sethi* and *Magma General Insurance*, the non-pecuniary loss arising from deprivation of love and affection is comprehended within the broader head of “consortium”. [Para 24-26, 28, 29]

Motor Vehicles Act, 1988 – s.166 r/w s.168 – Award of compensation under – Purpose – “Just compensation”, determination to be fair and reasonable – Discussed.
[Paras 12-14]

Case Law Cited

National Insurance Co. Ltd. v. Pranay Sethi [2017] 13 SCR 100 : (2017) 16 SCC 680 – followed.

United India Insurance Co. Ltd. v. Satinder Kaur [2020] 5 SCR 669 : (2021) 11 SC 780 – relied on.

Rajesh v. Rajbir [2013] 5 SCR 961 : (2013) 9 SCC 54; *Reshma Kumari v. Madan Mohan* [2013] 2 SCR 706 : (2013) 9 SCC 65; *Sarla Verma v. DTC* [2009] 5 SCR 1098 : (2009) 6 SCC 121; *Santosh Devi v. National Insurance Co. Ltd* [2012] 3 SCR 1178 : (2012) 2 SCC 421; *Magma General Insurance Co. Ltd. v. Nanu Ram* [2018] 11 SCR 664 : (2018) 18 SCC 130 – referred to.

List of Acts

Motor Vehicles Act, 1988.

List of Keywords

Just Compensation; Fair and reasonable Compensation; Fatal road accident; Assessment of the income of victim; Denial of amount towards future prospects; Denial of grant of compensation under the head “loss of love and affection”; “Loss of love and affection” not a

Supreme Court Reports

distinct head of compensation; *Satinder Kaur*; *Pranay Sethi*; *Magma General Insurance*; Non-pecuniary loss arising from deprivation of love and affection comprehended within the broader head of “consortium”; No separate award under the head of loss of love and affection warranted; Determination of income; Driver; Fixed monthly salary not impeached by insurer; Monthly income of the victim; Assessment of income; Grant of future prospects; Emotional deprivation; Legitimate expectations; Ambit of “consortium” .

Case Arising From

CIVIL APPELLATE JURISDICTION: Civil Appeal No. 833 of 2026

From the Judgment and Order dated 31.01.2020 of the High Court of Judicature at Madras in CMA No. 2806 of 2013

Appearances for Parties

Adv. for the Appellant(s):

T. Harish Kumar.

Advs. for the Respondent(s):

Sandeep Jha, Ram Ekbal Roy, Ms. Priyanka Das, Ms. Neha Das, Aman Nihal, Sanjay Kumar Singh, Binay Kumar Das.

Judgment / Order of the Supreme Court

Judgment

Dipankar Datta, J.

1. Leave granted.

THE APPEAL

2. The present appeal assails the judgment and order dated 31.01.2020¹ passed by the High Court of Judicature at Madras² in C.M.A. No. 2806 of 2013, whereby the High Court partly allowed the appeal filed by the claimants (heirs of the deceased) and modified the award dated 08.11.2012³, passed by the Motor Accidents Claims Tribunal,

¹ impugned order

² High Court

³ award

V. Pathmavathi & Ors. v. Bharthi Axa General Insurance Co. Ltd & Anr.

Chennai⁴ while deciding a claim petition under Section 166 of the Motor Vehicles Act, 1988⁵. It is at the instance of the claimants/appellants before the High Court⁶.

FACTUAL BACKGROUND

3. Facts, in brief, are that on 09.06.2011, D. Velu⁷, aged about 37 years⁸ as noted by the High Court, was riding a two-wheeler. A tanker lorry⁹ insured with the respondent—insurance company¹⁰, which was driven in a rash and negligent manner, hit the two-wheeler and as a result thereof the victim died instantly.
4. The claimants, viz. the widow of the victim, their two minor children and the victim's parents lodged a claim petition¹¹ before the MACT, claiming compensation of Rs. 20,00,000/- on account of loss of dependency and other conventional heads. It was claimed that the victim, employed as a driver at the material time, was earning a regular monthly income of Rs.10,000/- and since the accident occurred solely due to the rash and negligent driving of the offending vehicle, they were entitled to "just compensation". Before the MACT, the insurer contested the claim, *inter alia*, disputing negligence, the income of the victim, and the quantum of compensation claimed.
5. Upon appreciation of the oral and documentary evidence on record, the MACT, by its award, held that the accident occurred due to the negligence of the offending vehicle; however, in view of lack of supporting documentary evidence, the victim's monthly salary was reckoned as Rs. 6,000/-. Accordingly, the compensation payable was assessed as follows: the victim's monthly income was taken at Rs. 6,000/-; and, after deducting one-fourth towards personal expenses, i.e., Rs. 1,500/-, the notional monthly contribution

4 MACT

5 Act

6 claimants

7 victim

8 MACT recorded the age of the victim as 36 years. As the marginal variation in age does not materially affect the computation of compensation payable to the claimants, we deem it appropriate to consider the age of the victim as 37 years, as recorded by the High Court, for the limited purpose of determining the quantum of compensation.

9 offending vehicle

10 insurer

11 M.C.O.P. No. 4026 of 2011

Supreme Court Reports

to the family was calculated at Rs. 4,500/-; then, applying the multiplier of 16, the loss of income was computed at Rs. 8,64,000/- (Rs. 4,500 × 12 × 16). In addition, a sum of Rs. 2,000/- was awarded towards transport charges; Rs. 25,000/- towards loss of consortium to the widow of the victim; Rs. 5,000/- towards funeral expenses; Rs. 40,000/- towards loss of love and affection to the parents and children at Rs. 10,000/- each; and Rs. 1,000/- towards damages. No amount was awarded under the head of loss of estate. Thus, the total compensation payable was determined at Rs. 9,37,000/- with interest @7.5%.

- 6. Aggrieved by the quantum of compensation awarded, the claimants preferred an appeal before the High Court under Section 173 of the Act.
- 7. The High Court, by the impugned order, affirmed the finding on negligence; however, it modified the award by enhancing the quantum of compensation payable by the insurer from Rs. 9,37,000/- to Rs. 10,51,000/-. In computing the quantum of compensation payable, the High Court reckoned the monthly salary of the victim as Rs. 7,000/-. The insurer was directed to deposit the enhanced compensation with interest @ 7.5% per annum from the date of the claim petition till the date of payment and with proportionate cost. The following is the break-up of compensation granted by the High Court:

Serial Number	Description Age: 37 Years	Compensation Fixed by the High Court
1.	Income Deduction for Personal Expenses (1/4 th) Notional Income Multiplier Loss of Income	Rs. 7,000/- Rs. 1,750- Rs. 5,250/- 15 Rs. 9,45,000/- (5250 x 12 x 15)
2.	Transport Charge	Rs. 10,000/-
3.	Loss of Estate	Nil
4.	Loss of Consortium (widow of the victim)	Rs. 25,000/-

V. Pathmavathi & Ors. v. Bharthi Axa General Insurance Co. Ltd & Anr.

5.	Funeral Expenses	Rs. 10,000/-
6.	Loss of Love and Affection (parents - Rs. 10,000/- each) (children - Rs. 20,000/- each)	Rs. 60,000/-
7.	Damages to clothing	Rs. 1,000/-
	Total	Rs. 10,51,000/-

8. Dissatisfied with the minor modification of compensation and, in particular, the denial of future prospects despite the settled law laid down by this Court, the claimants are now before us seeking further enhancement.

ISSUES INVOLVED

9. While the claimants contend that the High Court erred on two counts [(i) not reckoning the victim's monthly salary as Rs.10,000/- and (ii) not awarding future prospects in line with the decision in **National Insurance Co. Ltd. v. Pranay Sethi**¹²], the insurer claims that the High Court was right in not accepting the claim of Rs.10,000/- being the monthly salary of the victim in the absence of supporting evidence. However, while omission of the High Court not to grant any amount for future prospects has not been seriously contested, the insurer has claimed, relying on **Pranay Sethi** (supra), that the High Court erred in granting Rs.60,000/- on account of loss and affection for the parents and the children of the victim. Pointed reference has been made to **Pranay Sethi** (supra) overruling the decision in **Rajesh v. Rajbir**¹³, which had provided compensation under such head.
10. We have heard learned counsel for the parties and perused the materials on record.
11. The controversy in the present appeal lies in a narrow compass and relates primarily to:
- the assessment of the income of the victim and the denial of any amount towards future prospects; and
 - the grant of compensation under the head "loss of love and affection".

¹² (2017) 16 SCC 680

¹³ (2013) 9 SCC 54

Supreme Court Reports

ANALYSIS

12. We ought to remind ourselves, at the outset, that when an individual dies as a result of a fatal road accident and his distressed dependents apply for compensation either from the owner of the vehicle responsible for the death or the insurance company with whom such vehicle is insured, no amount of money can truly compensate for the loss. Compensation is nothing but a rough estimate, being a token attempt to ease the financial burden on the dependents. Take consortium, for example. It is impossible to put a price on the loss of a loved one's companionship. Spousal, filial or parental compensation are all about acknowledging the emotional void but the payout can never be more than a rough approximation. It is like trying to measure the immeasurable. Considering the income of the deceased, the needs of his dependents and the emotional toll of the loss, the best that can be ensured is that the compensation is fair and reasonable, without being either arbitrary or niggardly. This would be in accord with the foundational principle governing the determination of "just compensation" under Section 168 of the Act.
13. In ***Reshma Kumari v. Madan Mohan***¹⁴, a three-Judge Bench of this Court held that the purpose of award of compensation under section 166 read with section 168 of the Act is to place the distressed dependents of the victim of a fatal road accident, if the victim had been the sole bread earner, in almost the same position financially if he lived his natural span of life. It is obviously not intended to put such distressed dependents in a better financial position in which they would otherwise have been if the accident had not occurred. At the same time, the determination of compensation is not an exact science and the exercise involves an assessment based on estimation and conjectures, here and there, as many imponderable factors and unpredictable contingences have to be taken into consideration. Obviously, award of damages in each case would depend on the particular facts and circumstances of the case but the element of fairness in the amount of compensation so determined is the ultimate guiding factor.
14. What follows is that the amount of compensation should be "just", i.e., it implies that the determination is fair, reasonable and equitable

V. Pathmavathi & Ors. v. Bharthi Axa General Insurance Co. Ltd & Anr.

by accepted legal standards and is not a bonanza. Though “just” compensation can never be perfect or absolute compensation, since loss of human life can never be compensated by monetary terms, the principle of awarding “just” compensation and assessing the extent of dependency would depend on examination of the unique situation of each individual case.

ISSUE 1:

15. Bearing the aforesaid well-settled principles in mind, we now move on to decide the first issue.
16. In the present case, the MACT proceeded on the premise that the monthly income of the victim was Rs. 6,000/-. This was subsequently enhanced by the High Court to Rs. 7,000/-, albeit without recording any reason. However, learned counsel appearing for the claimants has rightly drawn our attention to the salary certificate issued by the employer of the victim, marked Exhibit P-14, which unequivocally records that the victim was employed as a driver on a fixed monthly salary of Rs. 10,000/-. This documentary evidence is further corroborated by the affidavit sworn by the victim’s employer (PW-3). On the face of such cogent and relevant evidence, which was not impeached by the insurer, it would be wholly impermissible to assess the income at a lower figure. The determination of income must be founded on proof placed on record and cannot rest on conjecture or assumptions divorced from evidence. Accordingly, for the purposes of re-computation, the monthly income of the victim has to be reckoned as Rs. 10,000/-.
17. Equally significant is the High Court’s omission to consider grant of any amount towards future prospects. Assessment of income and the grant of future prospects are not matters of judicial discretion in the abstract but are now firmly structured by authoritative precedents. Having regard to the decision in **Pranay Sethi** (supra), the law on this aspect is no longer *res integra*. The Constitution Bench clarified therein that the concept of future prospects is an integral component of “just compensation” and is not confined only to those in permanent government employment. While this Court in **Sarla Verma v. DTC**¹⁵ adopted a structured approach, **Santosh Devi v. National Insurance**

Supreme Court Reports

Co. Ltd⁶ marked a jurisprudential shift by recognising the economic realities faced by self-employed persons and those on fixed salaries. Although **Santosh Devi** (supra) was later held not to be a binding precedent on account of judicial discipline, the Constitution Bench in **Pranay Sethi** (supra) itself incorporated, refined and standardised the principle of future prospects for such categories by holding as follows:

59.1. The two-Judge Bench in *Santosh Devi* [*Santosh Devi v. National Insurance Co. Ltd.*, (2012) 6 SCC 421] should have been well advised to refer the matter to a larger Bench as it was taking a different view than what has been stated in *Sarla Verma* [*Sarla Verma v. DTC*, (2009) 6 SCC 121], a judgment by a coordinate Bench. It is because a coordinate Bench of the same strength cannot take a contrary view than what has been held by another coordinate Bench.

59.2. As *Rajesh* [*Rajesh v. Rajbir Singh*, (2013) 9 SCC 54] has not taken note of the decision in *Reshma Kumari* [*Reshma Kumari v. Madan Mohan*, (2013) 9 SCC 65], which was delivered at earlier point of time, the decision in *Rajesh* [*Rajesh v. Rajbir Singh*, (2013) 9 SCC 54] is not a binding precedent.

59.3. While determining the income, an addition of 50% of actual salary to the income of the deceased towards future prospects, where the deceased had a permanent job and was below the age of 40 years, should be made. The addition should be 30%, if the age of the deceased was between 40 to 50 years. In case the deceased was between the age of 50 to 60 years, the addition should be 15%. Actual salary should be read as actual salary less tax.

59.4. In case the deceased was self-employed or on a fixed salary, an addition of 40% of the established income should be the warrant where the deceased was below the age of 40 years. An addition of 25% where the deceased was between the age of 40 to 50 years and 10% where the

V. Pathmavathi & Ors. v. Bharthi Axa General Insurance Co. Ltd & Anr.

deceased was between the age of 50 to 60 years should be regarded as the necessary method of computation. The established income means the income minus the tax component.

59.5. For determination of the multiplicand, the deduction for personal and living expenses, the tribunals and the courts shall be guided by paras 30 to 32 of *Sarla Verma* [*Sarla Verma v. DTC*, (2009) 6 SCC 121] which we have reproduced hereinbefore.

59.6. The selection of multiplier shall be as indicated in the Table in *Sarla Verma* [*Sarla Verma v. DTC*, (2009) 6 SCC 121] read with para 42 of that judgment.

59.7. The age of the deceased should be the basis for applying the multiplier.

59.8. Reasonable figures on conventional heads, namely, loss of estate, loss of consortium and funeral expenses should be Rs 15,000, Rs 40,000 and Rs 15,000 respectively. The aforesaid amounts should be enhanced at the rate of 10% in every three years.

18. Paragraph 59.4 of ***Pranay Sethi*** (supra) unequivocally mandates that where the deceased was self-employed or on a fixed salary and below the age of 40 years, an addition of 40% of the established income towards future prospects is compulsory. This is not a matter of choice, but a binding norm flowing from Article 141 of the Constitution.
19. In the present case, the victim was 37 years of age at the time of the accident and was earning a fixed monthly income. Once these foundational facts are established, the addition towards future prospects follows as a necessary consequence. The High Court, in declining such addition, failed to apply the binding precedent of this Court, thereby committing a manifest error of law.
20. Accordingly, the income of the victim being fixed at Rs. 10,000/- per month, an addition of 40% towards future prospects is warranted which brings the monthly income to Rs. 14,000/-. After deducting one-fourth towards personal and living expenses, the monthly contribution to the family would be Rs. 10,500/-. Applying the multiplier of 15, as applicable to the age group of the victim, the total loss of dependency is computed at Rs. 18,90,000/- (Rs. 10,500 × 12 × 15).

Supreme Court Reports

ISSUE 2: GRANT OF COMPENSATION UNDER THE HEAD “LOSS OF LOVE AND AFFECTION”

21. The second issue raises a question that lies at the intersection of judicial discipline and substantive justice.
22. In **Rajesh** (supra), this Court recognised “loss of love and affection” as a distinct head of compensation, reflecting the non-pecuniary deprivation suffered by family members upon the untimely death of a loved one. However, the Constitution Bench in **Pranay Sethi** (supra) expressly disapproved this approach holding that **Rajesh** (supra) was rendered *per incuriam* and that compensation should be confined to three conventional heads, i.e., loss of estate, loss of consortium and funeral expenses in order to preserve consistency and certainty in awards. Observing disagreement, **Pranay Sethi** (supra) held thus:

52. As far as the conventional heads are concerned, we find it difficult to agree with the view expressed in **Rajesh** [**Rajesh v. Rajbir Singh**, (2013) 9 SCC 54]. It has granted Rs 25,000 towards funeral expenses, Rs 1,00,000 towards loss of consortium and Rs 1,00,000 towards loss of care and guidance for minor children. The head relating to loss of care and minor children does not exist. Though **Rajesh** [**Rajesh v. Rajbir Singh**, (2013) 9 SCC 54] refers to **Santosh Devi** [**Santosh Devi v. National Insurance Co. Ltd.**, (2012) 6 SCC 421], it does not seem to follow the same. The conventional and traditional heads, needless to say, cannot be determined on percentage basis because that would not be an acceptable criterion. Unlike determination of income, the said heads have to be quantified. Any quantification must have a reasonable foundation. There can be no dispute over the fact that price index, fall in bank interest, escalation of rates in many a field have to be noticed. The court cannot remain oblivious to the same. There has been a thumb rule in this aspect. Otherwise, there will be extreme difficulty in determination of the same and unless the thumb rule is applied, there will be immense variation lacking any kind of consistency as a consequence of which, the orders passed by the tribunals and courts are likely to be unguided. Therefore, we think it seemly

V. Pathmavathi & Ors. v. Bharthi Axa General Insurance Co. Ltd & Anr.

to fix reasonable sums. It seems to us that reasonable figures on conventional heads, namely, loss of estate, loss of consortium and funeral expenses should be Rs 15,000, Rs 40,000 and Rs 15,000 respectively. The principle of revisiting the said heads is an acceptable principle. But the revisit should not be fact-centric or quantum-centric. We think that it would be condign that the amount that we have quantified should be enhanced on percentage basis in every three years and the enhancement should be at the rate of 10% in a span of three years. We are disposed to hold so because that will bring in consistency in respect of those heads.

23. There can be no quarrel with the binding nature of ***Pranay Sethi*** (supra). Judicial discipline demands that a Constitution Bench decision must prevail over a judgment of a Bench of lesser strength. Accordingly, this Court is constrained to follow the law declared therein.
24. That said, it is difficult to ignore the conceptual tension that underlies this exclusion. The head of “future prospects” itself is a creation of judicial interpretation, evolved to respond to socio-economic realities and the legitimate expectations of dependents. If the law is capable of recognising anticipated economic progression as a valid loss, it is not too clear why emotional deprivation manifested in loss of love and affection must be viewed as an impermissible head, especially when Chapter XII of the Act is a beneficial piece of legislation meant to help people in distress arising out of road accidents.
25. The concern expressed in ***Pranay Sethi*** (supra) was primarily one of consistency and avoidance of unguided discretion. However, consistency, though desirable, cannot be elevated to a point where it eclipses the core objective of awarding “just compensation”. The law must remain responsive to lived human realities, especially in cases involving the sudden rupture of familial bonds.
26. It is in this context that the subsequent decision of this Court in ***Magma General Insurance Co. Ltd. v. Nanu Ram***¹⁷ assumes significance. This Court expanded the ambit of “consortium” to include parental

Supreme Court Reports

and filial consortium, implicitly acknowledging the emotional and relational loss suffered by children and parents alike. This doctrinal expansion suggests that the distinction between “consortium” and “loss of love and affection” may be one of form rather than substance. The coordinate Bench ruled as follows:

21. A Constitution Bench of this Court in *Pranay Sethi* [*National Insurance Co. Ltd. v. Pranay Sethi*, (2017) 16 SCC 680] dealt with the various heads under which compensation is to be awarded in a death case. One of these heads is loss of consortium. In legal parlance, “consortium” is a compendious term which encompasses “spousal consortium”, “parental consortium”, and “filial consortium”. The right to consortium would include the company, care, help, comfort, guidance, solace and affection of the deceased, which is a loss to his family. With respect to a spouse, it would include sexual relations with the deceased spouse: [*Rajesh v. Rajbir Singh*, (2013) 9 SCC 54].

21.1. Spousal consortium is generally defined as rights pertaining to the relationship of a husband-wife which allows compensation to the surviving spouse for loss of “company, society, cooperation, affection, and aid of the other in every conjugal relation”. [*Black’s Law Dictionary* (5th Edn., 1979).]

21.2. Parental consortium is granted to the child upon the premature death of a parent, for loss of “parental aid, protection, affection, society, discipline, guidance and training”.

21.3. Filial consortium is the right of the parents to compensation in the case of an accidental death of a child. An accident leading to the death of a child causes great shock and agony to the parents and family of the deceased. The greatest agony for a parent is to lose their child during their lifetime. Children are valued for their love, affection, companionship and their role in the family unit.

22. Consortium is a special prism reflecting changing norms about the status and worth of actual relationships. Modern

V. Pathmavathi & Ors. v. Bharthi Axa General Insurance Co. Ltd & Anr.

jurisdictions world-over have recognised that the value of a child's consortium far exceeds the economic value of the compensation awarded in the case of the death of a child. Most jurisdictions therefore permit parents to be awarded compensation under loss of consortium on the death of a child. The amount awarded to the parents is a compensation for loss of the love, affection, care and companionship of the deceased child.

23. The Motor Vehicles Act is a beneficial legislation aimed at providing relief to the victims or their families, in cases of genuine claims. In case where a parent has lost their minor child, or unmarried son or daughter, the parents are entitled to be awarded loss of consortium under the head of filial consortium. Parental consortium is awarded to children who lose their parents in motor vehicle accidents under the Act. A few High Courts have awarded compensation on this count [Rajasthan High Court in *Jagmala Ram v. Sohi Ram*, 2017 SCC OnLine Raj 3848; Uttarakhand High Court in *Rita Rana v. Pradeep Kumar*, 2013 SCC OnLine Utt 2435; Karnataka High Court in *Lakshman v. Susheela Chand Choudhary*, 1996 SCC OnLine Kar 74]. However, there was no clarity with respect to the principles on which compensation could be awarded on loss of filial consortium.

24. The amount of compensation to be awarded as consortium will be governed by the principles of awarding compensation under "loss of consortium" as laid down in *Pranay Sethi*. In the present case, we deem it appropriate to award the father and the sister of the deceased, an amount of Rs.40,000 each for loss of filial consortium.

27. Interestingly, we find from paragraph 25 of ***Magma General Insurance*** (supra) that apart from Rs. 80,000/- awarded on account of filial consortium, this Court awarded Rs. 1,00,000/- on account of loss and affection in addition.
28. More recently, in the case of ***United India Insurance Co. Ltd. v. Satinder Kaur***¹⁸, a three-Judge Bench of this Court harmonised

Supreme Court Reports

the principles laid down in ***Pranay Sethi*** (supra) and ***Magma General Insurance*** (supra) to ensure uniformity in the award of compensation under conventional heads. Reaffirming the binding nature of ***Pranay Sethi*** (supra), this Court held that compensation in death cases is confined to three conventional heads, i.e., loss of estate, loss of consortium and funeral expenses. At the same time, drawing upon ***Magma General Insurance*** (supra), this Court clarified that consortium is a compendious concept encompassing spousal, parental and filial consortium. It was further held that loss of love and affection is subsumed within loss of consortium and cannot be awarded as a separate head. This Court held as follows:

34. At this stage, we consider it necessary to provide uniformity with respect to the grant of consortium, and loss of love and affection. Several Tribunals and the High Courts have been awarding compensation for both loss of consortium and loss of love and affection. The Constitution Bench in *Pranay Sethi* [*National Insurance Co. Ltd. v. Pranay Sethi*, (2017) 16 SCC 680], has recognised only three conventional heads under which compensation can be awarded viz. loss of estate, loss of consortium and funeral expenses. In *Magma General* [*Magma General Insurance Co. Ltd. v. Nanu Ram*, (2018) 18 SCC 130], this Court gave a comprehensive interpretation to consortium to include spousal consortium, parental consortium, as well as filial consortium. Loss of love and affection is comprehended in loss of consortium.

35. The Tribunals and the High Courts are directed to award compensation for loss of consortium, which is a legitimate conventional head. There is no justification to award compensation towards loss of love and affection as a separate head.

29. Consistent with the aforesaid position but notwithstanding the reservations noted earlier, this Court is bound by the law declared by the Constitution Bench in ***Pranay Sethi*** (supra), which does not countenance “loss of love and affection” as a distinct head of compensation. As subsequently clarified in ***Satinder Kaur*** (supra), referring to both ***Pranay Sethi*** (supra) and ***Magma General Insurance*** (supra), the non-pecuniary loss arising from deprivation

V. Pathmavathi & Ors. v. Bharthi Axa General Insurance Co. Ltd & Anr.

of love and affection is comprehended within the broader head of “consortium”. Consequently, no separate award under the head of loss of love and affection is warranted.

30. In light of the aforesaid discussion, the claimants are awarded compensation as follows:

Serial Number	Description Age: 37 Years	Compensation Fixed by this Court
1.	Income Addition for future prospects (40% of the fixed monthly salary) Deduction for Personal Expenses (1/4 th) Notional Income Multiplie Loss of Income	Rs. 10,000/- Rs. 14,000/- Rs. 3,500/- Rs. 10,500/- 15 Rs. 18,90,000/- (10,500 x 12 x 15)
2.	Transport Charge	Rs. 10,000/-
3.	Loss of Estate	Nil
4.	Loss of Consortium i. Spousal Consortium ii. Parental Consortium (Rs. 40,000/- each) iii. Filial Consortium	Rs. 50,000/- Rs. 80,000/- Rs. 40,000/- ¹⁹
5.	Funeral Expenses	Rs. 10,000/-
	Total	Rs. 20,80,000/-

31. If any amount on account of compensation as awarded by the MACT, since enhanced by the High Court has been paid to the claimants,

¹⁹ since the father of the victim passed away on 12.11.2019, filial consortium is granted only to the mother of the victim.

Supreme Court Reports

the insurer is directed to pay the balance amount of compensation within a period of twelve weeks from the date of this order.

32. The victim passed away on 09.07.2011. His dependants have been pursuing legal proceedings for grant of compensation since the past 15 years. As a consequence, we deem it appropriate to direct that interest @ 9% p.a. be paid on the total compensation awarded, from the date of filing the claim petition, till realization.
33. The civil appeal, thus, stands disposed of on the aforesaid terms.
34. Connected applications, if any, shall stand closed.

Result of the case: Appeal disposed of.

[†]Headnotes prepared by: Divya Pandey

ITC Limited

v.

Aashna Roy

(Civil Appeal No. 3318 of 2023)

06 February 2026

[Rajesh Bindal* and Manmohan, JJ.]

Issue for Consideration

Issue arose whether the National Commission was justified in awarding a compensation of ₹2 crores to the respondent-model for a faulty haircut she took at the beauty salon in the appellant's Hotel.

Headnotes[†]

Consumer Protection Act, 1986 – Deficiency in service – Allegation of faulty haircut – Respondent-model visited the beauty salon in the appellant's hotel for haircut – Dissatisfied with the services rendered, she filed complaint before National Commission – Commission awarded a compensation of ₹2 crores to the respondent holding the appellant guilty of the deficiency in service and medical negligence – In an appeal thereagainst, this Court upheld the finding of fact recorded by the Commission regarding deficiency in service, however, set aside the amount of compensation awarded to the respondent since no material placed on record to justify the claim, and remitted the matter to the Commission and the sum of ₹25 lakhs deposited by the appellant before this Court was to be transmitted to the Commission – Review petition and Curative petition filed, which were dismissed – After remand, respondent enhanced her claim to ₹5.20 crores and produced documents on record before the Commission to substantiate her claim, while the appellant filed applications praying for production of original documents; and seeking permission to cross-examine the respondent which was not given – However, the Commission, again awarded ₹2 crores as compensation, and directed release of ₹25 lakhs in favor of the respondent – Correctness:

* Author

Supreme Court Reports

Held: From the evidence placed on record, case not made out for such a huge compensation to the respondent – Damages cannot be awarded merely on presumptions or whims and fancies of the complainant – To make out a case for award of damages, especially when the claim is to the tune of crores of rupees, some trustworthy and reliable evidence has to be led – It is not a case where the Commission could award compensation by applying a thumb rule – Claim of compensation was for crores of rupees, for which some loss suffered by the respondent because of deficiency in service was required to be established – This could not be established by merely producing photocopies of the documents, wherein even discrepancies have been noticed – Even after remand, respondent not been able to make out a case for award of such huge compensation – On the basis of photocopies of the documents placed on record by the respondent, the Commission erred in awarding huge amount of compensation of ₹2 crores, which cannot be justified – Observation made by the Commission that because of the trauma suffered by the respondent, she may not have maintained the originals of the documents produced before the Commission, hence, reliance could be placed on mere photocopies, cannot be a justification for awarding such a huge compensation – Even if the photocopies were to be produced, there are other ways and means to justify the claim made on that basis – Even if the Code of Civil Procedure may not be strictly applicable, the Commission did not assess as to how the respondent suffered loss to the tune of ₹2 crores – Impugned order passed by the Commission modified to the extent that the amount of compensation, to which the respondent is entitled to, be restricted to the amount of ₹25 lakhs already released in her favor. [Paras 19-24]

Case Law Cited

Chief Administrator, HUDA v. Shakuntala Devi (2017) 2 SCC 301; *Charan Singh v. Healing Touch Hospital* [2000] Supp. 3 SCR 337 : (2000) 7 SCC 668; *Nizam's Institute of Medical Sciences v. Prasanth S. Dhanaka* [2009] 9 SCR 313 : (2009) 6 SCC 1; *Malay Kumar Ganguly v. Dr. Sukumar Mukherjee and Others* [2009] 13 SCR 1 : (2009) 9 SCC 221; *Dr. J.J. Merchant and others v. Shrinath Chaturvedi* [2002] Supp. 1 SCR 469 : (2002) 6 SCC 635; *R.V.E. Venkatachala Gounder v. Arulmigu Viswesaraswami & V.P. Temple and Another* [2003] Supp. 4 SCR 450 : (2003) 8 SCC 752 – referred to.

ITC Limited v. Aashna Roy**List of Acts**

Consumer Protection Act, 1986; Evidence Act, 1872; Bharatiya Sakshya Adhiniyam, 2023.

List of Keywords

Award of compensation of ₹2 crores by National Commission; Faulty haircut; Deficiency in service; Medical negligence; Merely producing photocopies of the documents; Award of compensation of ₹25 lakhs.

Case Arising From

CIVIL APPELLATE JURISDICTION: Civil Appeal No. 3318 of 2023

From the Judgment and Order dated 25.04.2023 of the National Consumers Disputes Redressal Commission, New Delhi in CC No. 1619 of 2018

Appearances for Parties

Advs. for the Appellant(s):

Dr. A.M. Singhvi, Sr. Adv., M/s Dua Associates, L.K. Bhushan, Ms. Raashi Beri.

Caveator-in-person.

Judgment / Order of the Supreme Court**Judgment**

Rajesh Bindal, J.

1. Challenge in the present appeal is to the order¹ passed by the Commission² in the Complaint³ filed by the respondent whereby compensation of ₹2,00,00,000/- was awarded to her on account of deficiency in service.
2. Briefly, the facts available on record are that the respondent visited the beauty salon in the appellant's ITC Maurya Hotel at New Delhi

¹ Dated 25.04.2023

² National Consumer Disputes Redressal Commission

³ Consumer Case No.1619 of 2018

Supreme Court Reports

on 12.04.2018 for her haircut. Being dissatisfied with the service rendered, the respondent filed a complaint before the Commission in July 2018. Vide order dated 21.09.2021, the Commission found the appellant guilty of the deficiency in service and medical negligence. A sum of ₹2,00,00,000/- was awarded as compensation to the respondent.

2.1 Aggrieved against the aforesaid order, the appellant preferred appeal⁴ before this Court. Vide judgement dated 07.02.2023, the aforesaid appeal was disposed of by this Court, while not interfering with the finding of fact recorded by the Commission regarding deficiency in service. However, the amount of compensation awarded to the respondent was set aside and the matter was remitted back to the Commission so far as quantum of computation was concerned. It was for the reason that there was no material placed on record by the respondent to justify her claim. In case any evidence was to be produced on record by the respondent before Commission, the appellant was entitled to rebut the same. A sum of ₹25,00,000/- deposited by the appellant before this Court was directed to be transmitted to the Commission. The appellant filed review petition⁵ against the aforesaid order. The same was dismissed by this Court on 11.07.2023. To complete the narration of fact recorded in the earlier round of litigation, it needs to be mentioned that the Curative Petition⁶ filed by the appellant was also dismissed on 30.01.2024.

2.2 After remand, the respondent enhanced her claim from ₹2,00,00,000/- to ₹5,20,00,000/- and produced certain documents on record before the Commission to substantiate her claim. The Commission, after consideration of the material produced on record by the parties, again awarded⁷ ₹2,00,00,000/- as compensation to the respondent along with interest @ 9% per annum from the date of filing of the complaint till payment is made.

4 Civil Appeal No.6391 of 2021

5 Review Petition Diary No.9795 of 2023 in C.A. No.6391 of 2021

6 Curative Petition (Civil) No.392/2023.

7 Vide Order dated 25.04.2023

ITC Limited v. Aashna Roy

- 2.3 Aggrieved against the aforesaid order dated 25.04.2023 passed by the Commission, the present appeal has been filed by the appellant before this Court.

ARGUMENTS OF THE APPELLANT

3. Learned counsel for the appellant submitted that in the first round of litigation, no doubt, this Court upheld the finding of the Commission insofar as deficiency in service is concerned, but the quantum of compensation was set aside while recording a finding that there was no material placed on record by the respondent to justify the claim. After remand, the respondent produced photocopies of certain documents in her evidence before the Commission on 21.02.2023. To the aforesaid application filed by the respondent seeking to produce photocopies of certain documents in evidence, the appellant filed affidavit dated 16.03.2023 wherein the documents filed by the respondent were denied. Additionally, in the reply filed by the appellant to the respondent's aforesaid application, it was stated that most of the documents were dim or illegible and were mere photocopies. It was also stated that respondent is improving her case by adducing evidence and adding pleadings that were not present in her original complaint.
- 3.1 Along with the aforesaid affidavit, two other applications were also filed; one was for production of original documents, photocopies of which were sought to be produced by the respondent in evidence, and another for seeking permission of the Commission to cross-examine the respondent. Without considering the aforesaid applications filed by the appellant and despite the fact that all the documents produced by the respondent were categorically denied by the appellant, the Commission reiterated the earlier order while awarding the same amount of compensation to the respondent as was awarded in the first round of litigation.
- 3.2 It was a case of complete violation of principles of natural justice and the law for production and appreciation of evidence produced on record. All what the respondent had produced before the Commission along with an application, were photocopies of certain documents with no authenticity. The authors of those documents were not produced in evidence to

Supreme Court Reports

endorse the genuineness thereof. This deprived the appellant of an opportunity to cross-examine those persons. Even the respondent did not enter witness box to state on oath and provide an opportunity to the appellant to cross-examine her. In this view of the matter, the impugned order passed by the Commission deserves to be set aside.

- 3.3 It was further argued that the amount of compensation claimed by the respondent was totally imaginary with no loss shown to have been suffered by her in any manner. Even from the photocopies of the documents produced on record by her, the amount of compensation claimed could not possibly be justified. It was merely a case of deficiency on account of alleged error in hair cutting, which in fact was not there. From the material placed on record by the appellant it was established that the respondent was satisfied with the services. The same was also evident from the appearance captured in the CCTV when she entered and left the hotel. The grievance raised by the respondent was not significant and even otherwise, the same was taken care of to her satisfaction.
- 3.4 Pointing out the defects in the evidence or non-reliability thereof as produced by the respondent, learned counsel for the appellant submitted that from two pay slips produced on record by the respondent for the months of April 2018 and May 2018 from M/s. AMC Marketing Research Associates, it is evident that before and after the alleged deficiency in service regarding faulty haircut, the respondent remained in service on the same pay package.
- 3.5 With reference to photocopy of the email from Pavan Goenka for some senior level position at Delhi, the submission is that it was not a job for modelling, there was nothing pointed out to show that because of alleged faulty haircut in April 2018, the respondent had lost that job opportunity. Even with respect to the photocopy of letter dated 09.04.2018 placed on record, it was argued that the same may be fabricated email as nothing transpired subsequently, as was disclosed by the respondent. No certificate under Section 65-B of the Indian Evidence Act, 1872 was produced to substantiate authenticity of the letter, only a printout of which was taken out from the computer has been produced.

ITC Limited v. Aashna Roy

- 3.6 With regard to the modelling assignment certain photographs were attached by the respondent. However, the same do not depict as to which period those relate to. Nothing was produced on record regarding the signing amount paid to the respondent for the aforesaid assignment.
- 3.7 Further, a photocopy of the certificate of one Glitz Modelling and Production Pvt. Ltd. was produced by the respondent to indicate that she had been doing modelling assignment from 2015 to 2018 and was also offered role in a feature film. These also do not substantiate the claim of the respondent for the reason that the said certificate does not mention any date and no monetary aspects have been detailed out. Moreover, the existence of the said company may also be doubtful.
- 3.8 Similar is the position with reference to the photocopy of a certificate dated 11.12.2017 from Glitz Modelling and Production Pvt. Ltd. proposing a second lead role to the respondent in a feature film for which remuneration of ₹60 lakhs was shown. The aforesaid photocopy of the letter also did not substantiate the case of the respondent. She had never claimed that she had any experience of working in a movie. The aforesaid offer is said to be of 11.12.2017 and the alleged faulty haircut was on 12.04.2018. Nothing was placed on record to show that any developments had taken place in the intervening four months. Nothing was produced on record that the said film ever went on floor.
- 3.9 Photocopy of a letter dated 02.02.2018 from Jeet Surendranath, Partner, FAR Commercials, offering the respondent annual modelling assignment with a reputed haircare brand and other brand campaigns for ₹50 lakhs also does not take the case of the respondent any further as there is nothing to show that the aforesaid offer, if made to the respondent, was ever accepted by her. She continued to work with AMC Marketing Research Associates till May 2018, as per the letters produced on record by her. Moreover, the aforesaid letter was not on letterhead of the company, rather it was on a plain paper.
- 3.10 Similar is the position with regard to a certificate dated 11.07.2018 produced by the respondent from Dr. Ranajit Kumar Das. It was sought to be claimed that the respondent

Supreme Court Reports

suffered from mental trauma, depression and anxiety. However, the fact remains that photocopy of the documents produced does not show that the aforesaid doctor is an expert on the subject. His qualifications are not even mentioned in the certificate. This document was not produced in the first round of litigation.

- 3.11 Photocopy of the certificate dated 13.02.2023 also cannot be relied on as the same is as vague as possible, not printed on any letter head and does not contain the payment details. It is a document dated 13.02.2023, i.e. almost after five years of alleged haircut. Though it is stated in the aforesaid certificate that the respondent had worked in a short film titled 'Japanese Wife', however, her name does not feature in that film. In any case, it coincides with her earlier employment. Performance in any film is a full-time job and it cannot be possible or permitted in case the respondent was working in another establishment at a senior position with handsome salary.
- 3.12 Even otherwise photocopies of the documents produced by the respondent, as referred to above, could not possibly be produced in the evidence on the basis of which an order could be passed. The authenticity and genuineness of the documents produced was required to be proved.
- 3.13 The appellant had produced an affidavit regarding spa in the Hotel stating that as per the requirement of the respondent, her hair was trimmed 4 inches from bottom. It was up to the satisfaction of the respondent. In the earlier WhatsApp chats, there was no mention of loss or agony suffered by the respondent; the minor issue raised by her was corrected. None of the documents produced in the second round of litigation was placed on record in the earlier round of litigation. In the first round of litigation, the amount of compensation claimed was ₹3,00,00,000/- which was enhanced to ₹5,20,00,000/- in the second round of litigation.
- 3.14 Learned counsel for the appellant further submitted that before the Commission, the appellant had produced a chart showing as to how much compensation was assessed in different types of case pertaining to deficiency in service.

ITC Limited v. Aashna Roy

- 3.15 All these factors could be thrashed out by the appellant, had they been given an opportunity to cross-examine the respondent.
- 3.16 Summing up the arguments, it was submitted that the entire findings recorded by the Commission were based on conjectures and surmises with no admissible evidence on record. In support of his plea, reliance was placed by the learned senior counsel for the appellant on the judgments of this Court in ***Chief Administrator, HUDA v. Shakuntala Devi⁸, Charan Singh v. Healing Touch Hospital⁹ and Nizam's Institute of Medical Sciences v Prasanth S. Dhanaka¹⁰***.

ARGUMENTS OF THE RESPONDENT

4. In response, the respondent who appeared in-person, submitted that she is a highly educated woman, being a management post-graduate from I.I.M., Calcutta and also Diploma in Mass Communication. All what has been stated by the appellant is a bundle of lies. In the first round of litigation, this Court had upheld the findings of the Commission regarding deficiency in service. The matter was remanded back only for assessment of compensation. The respondent, being not legally trained, should not be deprived of amount of compensation for the financial loss and mental agony suffered by her on account of deficiency in service by the appellant. She had a prosperous career ahead, which was derailed by the appellant. Length and style of haircut of a woman always has relation with her confidence, which may be relevant for any managerial job on which she was working or for any meeting with officers and also for role in any movie or modelling assignment. There is nothing wrong in the evidence produced by the respondent before the Commission which has rightly been relied upon for assessment of compensation payable to her.
- 4.1 It was further argued that the respondent is running from pillar to post for the last 7 years and has still not been compensated adequately on account of deficiency in service. It is a lapse on the part of the appellant, who have not summoned and cross-

8 (2017) 2 SCC 301

9 (2000) 7 SCC 668

10 (2009) 6 SCC 1

Supreme Court Reports

examined the employers and agencies who had offered her role in film or modelling assignment, in order to challenge the credibility of the documents produced by her. It is too late for the appellant to now claim that they had not been offered the opportunity once they had missed the bus. She also alleges that none of the copies of the applications filed by the appellant was received by her.

- 4.2 It is further argued that when the respondent had gone for haircut on 12.04.2018, she was working with AMC Marketing Research Associates. She had to quit the job in June 2018 on account of faulty haircut which led to loss of confidence in the corporate job. The submission is that mere technicalities should not come in the way for compensating the respondent for the loss and agony suffered by her. The consumer courts are not meant to strictly go in that aspect as they have been created to be consumer friendly.

RESPONSE OF THE APPELLANT

5. In response, learned counsel for the appellant submitted that to justify her claim of huge compensation of ₹5,20,00,000/-, the respondent has not placed on record any income-tax return which could have shown her income prior to the incident and thereafter.
6. Heard learned counsel for the parties and perused the relevant referred record.

DISCUSSION

FIRST ROUND OF LITIGATION

7. This Court in the earlier round of litigation vide Judgment dated 07.02.2023 upheld the findings of the National Commission regarding deficiency of service. The next issue arose as to the compensation to which the respondent may be entitled to on account of deficiency in service. In para 12 of the aforesaid judgment, this Court observed that the respondent was repeatedly requested to refer to any material placed before the Commission justifying her claim for compensation. It was regarding her advertisement and modelling assignments in past or for which she entered into contract for the present or the future. As the respondent had failed to refer to any material produced before

ITC Limited v. Aashna Roy

the Commission in support of her claim, this Court did not find any justification in awarding huge compensation of ₹2,00,00,000/- under the head of 'pain, suffering and trauma'. There being no evidence produced in support of her claim, this Court had set aside the award of the Commission.

- 7.1 It was also noticed that as the respondent was appearing in-person, as also in the case of present proceedings, she was offered free legal aid which she refused to accept. Finally, in paras 15 and 16 it was observed that the respondent should be given opportunity to produce any material to substantiate her claim in case she has. Once deficiency in service is proved, the respondent is entitled to be suitably compensated. With respect to the question of quantum, the matter was remitted back to the Commission for affording opportunity to the respondent to lead evidence with regard to her claim. In case any evidence is led by the respondent, the appellant was also to be given adequate right to rebut the same. On the basis of the evidence so led, the Commission was to re-examine the matter afresh.
8. It is in the light of the aforesaid observations made by this Court that the evidence led by the respondent to justify her claim is to be examined.
9. It may be relevant to add here that in the complaint filed by the respondent initially, her claim was to the extent of ₹3,00,00,000/-. However, after the matter was remitted back to the Commission the claim of compensation was increased to ₹5,20,00,000/-.

SECOND ROUND OF LITIGATION

10. After the matter was remanded back to the Commission, the respondent filed the affidavit dated 21.02.2023. We deem it appropriate to extract the contents of the same:

"I, AASHNA ROY D/O LATE SH. ANANTA LAL ROY
R/O DDA HOUSING SOCIETY SECTOR E1, BLOCK
F1 FLAT 64, 6TH FLOOR, VAANT KUNJ, NEW DELHI –
110071, do hereby solemnly affirm & declare as under:-

1. That I am the deponent of the above said matter and I am well conversant with the fact and circumstances of the case and I am fully competent to swear the present affidavit of my behalf.

Supreme Court Reports

2. I. say that the accompanying applications has been drafted by me and along with all the evidence and the contents of the same true to my knowledge and belief.”

11. A perusal of the aforesaid affidavit shows that it was a standard declaration made in isolation. Along with the aforesaid affidavit, the respondent had placed on record photocopies of the following documents:

- i. Email dated 08.02.2023 addressed by Mr. Goenka Pawan of Mahindra and copy of reply Email dated 10.03.2018 addressed by the respondent.
- ii. 12 Messages between Mr. Rajeev Dubey, Mahindra and the respondent.
- iii. Photo of the respondent after haircut (undated).
- iv. Brief profile of Goenka who joined Mahindra in October 1993 as General Manager, R & D.
- v. Additional Affidavit filed before the Supreme Court in compliance of Order dated 23.08.2022 in C.A. No.6391 of 2021 showing her loss under the different heads owing to the negligence of the appellant.
- vi. Advertisement of Panteen in which picture of respondent appeared.
- vii. Advertisement of VLCC in which picture of respondent appeared.
- viii. Letter on plain paper addressed by Pranav Awasti, Director, Glitz Modelling & Production Pvt. Ltd. (undated) certifying that the respondent was offered feature films and has been modelled from 2015-2018.
- ix. Letter on plain paper addressed by Mr. Jeet Surendranath, Partner Far Commercials, dated 02.02.2018 to the respondent, offering haircare modelling assignment (Rs.50,00,000/- per annum) with a reputed haircare brand and for Fashion Features and Brand endorsements for a fees of Rs.20 lakhs.
- x. Letter on plain paper addressed by Pranavi Awasti, Director, Glitz Modelling & Production Pvt. Ltd., dated

ITC Limited v. Aashna Roy

11.12.2017 to the respondent, offering proposal for Feature Film on remuneration of Rs.60,00,000/- for the second lead role.

- xi. Prescription in the form of Letter dated 11.07.2018 addressed by Dr. Ranajit Kumar Das where he stated that the respondent was suffering from mental trauma, depression and anxiety and also advised rest of duties for 30 working days in addition to prescription of medicines.
 - xii. Letter on plain paper addressed by Mr. Jeet Surendranath, Partner Far Commercials, dated 13.02.2023 certifying that the respondent has performed as model in Pantene and VLCC in the year 2017 and 2018, featured in the short film “The Japanese Wife” and the respondent had been offered many fashion related projects and hair care advertisements.
 - xiii. Pay Slip for the month of May, 2018 of the respondent issued by A.M.C. Marketing Research Associates reflecting her designation as Sr. Director at a gross salary of Rs.4,67,468.
 - xiv. Pay Slip for the month of April, 2018 of the respondent issued by A.M.C. Marketing Research Associates reflecting her designation as Sr. Director at a gross salary of Rs.4,67,468.
 - xv. Certificate (undated) issued by the Glitz Modelling and Productions Pvt. Ltd. endorsing her affiliation with them and her work in well-known brands for advertisement and fashion shows and offer of feature films.”
12. The appellant replied to the aforesaid affidavit vide its affidavit dated 16.03.2023, which contains a statement of denial of all documents filed by the respondent.
13. Going in detail, though there was no pleading with reference to the documents annexed by the respondent in the affidavit filed by her, the appellant in the affidavit filed in response pleaded as under:

Supreme Court Reports

"5. That the Opposite Party herein is filing the present reply to the application and the documents filed by the Complainant without prejudice to the fact that most of the documents supplied to the Opposite Party are dim and illegible, and without prejudice to the rights and contentions taken in the Review Petition filed in the Hon'ble Supreme Court, and subject to the outcome of the said Review Petition. The Opposite. Party reserves its rights to add to or alter its. response and file a detailed reply and additional documents, if required. It is submitted that the documents filed by the Complainant and supplied to the Opposite Party herein are mere photocopies and it is prayed that this Hon'ble Commission may be pleased to direct the Complainant to produce the originals of the documents filed by her before this Hon'ble Commission and an inspection thereof may be permitted to the Opposite Party.

X X X

8. It is submitted that the Complainant has sought to constantly improve her case and pleadings over the course of the proceedings in the present matter. In the original complaint and the rejoinder filed before this Hon'ble Commission, there were no pleadings, averments or allegations by the Complainant regarding any loss caused to the Complainant at all on any account whatsoever. The only allegation in the complaint was that the hair of the Complainant was cut short by the Opposite Party herein for commercial gain as the attempt was to sell the hair by the Opposite Party. It is submitted that the Complainant, having not even pleaded any loss in her complaint as is sought to be made out now, has subsequently sought to improve her case and has now filed certain documents pertaining to her alleged loss. It is the submission of the Opposite Parties herein that any evidence or document filed by the Complainant which is outside the scope of the original pleadings in the complaint is liable to be ignored and/or not permitted on the record of the case by this Hon'ble Commission."

14. Learned counsel for the appellant had also referred to two applications filed by them before the Commission:

ITC Limited v. Aashna Roy

- (i) praying for production of original documents;
 - (ii) seeking permission to cross-examine the respondent.
15. We had summoned the record of the Commission and found that the aforesaid two applications are available on record.
 16. The National Commission exercises original jurisdiction under Section 22 of the 1986 Act. This section provides that the provisions of Sections 12, 13 and 14 of the Act and the Rules framed thereunder for disposal of complaints by the District Forum, with such modifications as may be considered necessary by the National Commission, will be applicable for disposal of disputes by the National Commission. Section 13 thereof deals with the procedure on admission of complaints before the District Forum.
 17. It is well-settled that the provisions of the Indian Evidence Act, 1872 (Bharatiya Sakshya Adhiniyam, 2023) are not strictly applicable for proceedings under the 1986 Act. The Commission is, however, bound to comply with the Principles of Natural Justice, save and except as laid down in sub-section (4) of Section 13 of the 1986 Act. Reference can be made to para 43 of the judgment of this Court in **Malay Kumar Ganguly v. Dr. Sukumar Mukherjee and others**¹¹:

“43. Apart from the procedures laid down in Sections 12 and 13 as also the Rules made under the Act, the Commission is not bound by any other prescribed procedure. The provisions of the Evidence Act are not applicable. The Commission is merely to comply with the principles of natural justice, save and except the ones laid down under sub-section (4) of Section 13 of the 1986 Act. The proceedings before the National Commission are although judicial proceedings, but at the same time it is not a civil court within the meaning of the provisions of the Code of Civil Procedure. It may have all the trappings of the civil court but yet it cannot be called a civil court. (See *Bharat Bank Ltd. v. Employees and Nahar Industrial Enterprises Ltd. v. Hong Kong & Shanghai Banking Corpn.*)”

11 (2009) 9 SCC 221

Supreme Court Reports

- 17.1 Judgment of this Court in **Dr. J.J. Merchant and others v. Shrinath Chaturvedi**¹² deals with the issue as to how evidence is to be recorded before the Commission under the 1986 Act. The idea behind is that in the process, the proceedings should not be delayed. While trying a complaint the evidence of the parties could be taken on affidavits as provided in Section 13(4) (iii). The Commission is also empowered to issue commission for examination of any witnesses in terms of Section 13(4) (v) of the 1986 Act. It is akin to Order XVIII Rule 4 CPC, which also provides that in every case examination-in-chief of the witness shall be on affidavit. Further, witness could be examined by the court or the Commissioner appointed by it. The Commission also needs to follow the same system. In case the facts are taken in evidence and cross-examination is sought by the other side, the Commission can easily evolve a procedure permitting the other side to cross-examine the witnesses. The same can be done by putting certain questions in writing or through video conferencing or by appointment of a Commission. Relevant para 19 thereof is extracted below:

“19. It is true that it is the discretion of the Commission to examine the experts if required in an appropriate matter. It is equally true that in cases where it is deemed fit to examine experts, recording of evidence before a Commission may consume time. The Act specifically empowers the Consumer Forums to follow the procedure which may not require more time or delay the proceedings. The only caution required is to follow the said procedure strictly. Under the Act, while trying a complaint, evidence could be taken on affidavits [under Section 13(4)(iii)]. It also empowers such Forums to issue any commission for examination of any witness [under Section 13(4)(v)]. It is also to be stated that Rule 4 in Order 18 CPC is substituted which *inter alia* provides that in every case, the examination-in-chief of a witness shall be on affidavit and copies thereof shall be supplied to the opposite party by the party who calls him for evidence. It

ITC Limited v. Aashna Roy

also provides that witnesses could be examined by the court or the Commissioner appointed by it. As stated above, the Commission is also empowered to follow the said procedure. Hence, we do not think that there is any scope of delay in examination or cross-examination of the witnesses. The affidavits of the experts including the doctors can be taken as evidence. Thereafter, if cross-examination is sought for by the other side and the Commission finds it proper, it can easily evolve a procedure permitting the party who intends to cross-examine by putting certain questions in writing and those questions also could be replied by such experts including doctors on affidavits. In case where stakes are very high and still a party intends to cross-examine such doctors or experts, there can be video conferences or asking questions by arranging telephonic conference and at the initial stage this cost should be borne by the person who claims such video conference. Further, cross-examination can be taken by the Commissioner appointed by it at the working place of such experts at a fixed time.”

- 17.2 The enunciation of law by this Court in **R.V.E. Venkatachala Gounder v. Arulmigu Viswesaraswami & V.P. Temple and another**¹³ with reference to evidence to be led by the parties under the 1986 Act was quoted with the approval in a matter pertaining to Consumer Protection Act by this Court in **Malay Kumar Ganguly (supra)**. Para 40 thereof is extracted below:

“40. This Court in *R.V.E. Venkatachala Gounder v. Arulmigu Viswesaraswami & V.P. Temple* held at SCC p. 764, para 20:

“20. ... Ordinarily, an objection to the admissibility of evidence should be taken when it is tendered and not subsequently. The objections as to admissibility of documents in evidence may be classified into two classes: (i) an objection that

Supreme Court Reports

the document which is sought to be proved is *itself inadmissible* in evidence; and (ii) where the objection does not dispute the admissibility of the document in evidence but is directed towards the *mode of proof* alleging the same to be irregular or insufficient. In the first case, merely because a document has been marked as 'an exhibit', an objection as to its admissibility is not excluded and is available to be raised even at a later stage or even in appeal or revision. In the latter case, the objection should be taken when the evidence is tendered and once the document has been admitted in evidence and marked as an exhibit, the objection that it should not have been admitted in evidence or that the mode adopted for proving the document is irregular cannot be allowed to be raised at any stage subsequent to the marking of the document as an exhibit. The latter proposition is a rule of fair play. The crucial test is whether an objection, if taken at the appropriate point of time, would have enabled the party tendering the evidence to cure the defect and resort to such mode of proof as would be regular. The omission to object becomes fatal because by his failure the party entitled to object allows the party tendering the evidence to act on an assumption that the opposite party is not serious about the mode of proof. On the other hand, a prompt objection does not prejudice the party tendering the evidence, for two reasons: firstly, it enables the court to apply its mind and pronounce its decision on the question of admissibility then and there; and secondly, in the event of finding of the court on the mode of proof sought to be adopted going against the party tendering the evidence, the opportunity of seeking indulgence of the court for permitting a regular mode or method of proof and thereby removing the objection raised by the opposite party, is available to the party leading

ITC Limited v. Aashna Roy

the evidence. Such practice and procedure is fair to both the parties. Out of the two types of objections, referred to hereinabove, in the latter case, failure to raise a prompt and timely objection amounts to waiver of the necessity for insisting on formal proof of a document, the document itself which is sought to be proved being admissible in evidence. In the first case, acquiescence would be no bar to raising the objection in a superior court.”

(emphasis in original)

18. While remanding the case back to the Commission, in the earlier round of litigation, this Court had specifically observed that ‘quantification of compensation has to be based upon material evidence and not on the mere asking’.

ANALYSIS

19. We may add here that whatever documents the respondent produced along with her affidavit were in the form of photocopies. None of the authors of those documents was summoned nor did the respondent get a commission issued for examination of those witnesses. In case any witness was produced, the appellant would have opportunity to cross-examine the same regarding veracity of the documents and/or the contents thereof.
20. Despite denial of all the documents filed by the respondent in evidence to claim damages, the respondent did not take any steps to prove the authenticity thereof. Some of the documents are prior to the relevant date, namely, when the respondent had a haircut in a salon in the hotel managed by the appellant, whereas some are later in time. The manner in which the photocopies thereof are sought were produced do not inspire confidence specially where the claim of damages is made for crores of rupees. From the evidence placed on record, a case is not made out for such a huge compensation to the respondent.
21. At the time of hearing, the appellant had referred to each and every document produced by the respondent along with the affidavit and pointed out the discrepancies therein. The idea was to raise an

Supreme Court Reports

argument that none of the documents produced by the respondent could be relied upon to award her compensation to the tune of ₹5,20,00,000/- as sought to be claimed by her or justify award of ₹2,00,00,000/-. It is in the form of a table filed along with the written note on behalf of the appellant.

“Documents relied upon by the Respondent and Rebuttal of the Appellant to the Documents

Date	Document filed by Respondent	Original/ Photo-copy	Appellant’s rebuttal
<i>On Existing Job/Loss of Job</i>			
May, 2018	Pay-Slip from one AMC Marketing Research Associates indicating that her net salary is INR 3.53 lakh	Photo-copy	The Pay-slip does not indicate when the Respondent quit her job (if at all she did quit). It further does not indicate why she quit her job. There is no causal link shown to the haircut received by her.
April, 2018	Pay-Slip from one AMC Marketing Research Associates indicating that her net salary is IN 3.53 lakh	Photo-copy	On the contrary, the Pay-Slip indicates that she was gainfully employed before and after the haircut. The Respondent has not produced payslips for other months. This apart, even assuming that the pay-slips are legitimate, it would not amount to INR 1 crore per annum, as claimed.

ITC Limited v. Aashna Roy

10.03.18	E-Mail from Mr. Pawan Goenka informing the Respondent that she is 'good fit' for a senior level position in Delhi for which Mr. Rajeev Dubey will get in touch to 'possibly organize a meeting'	Photo-copy	The E-mail does not indicate any specifics of the job that she was purportedly offer, particularly the salary. There is no evidence to show that any official offer was made to the Respondent herein with any details. There is no evidence presented to show that she lost out on this job opportunity purely due to the hair-cut.
09.04.18	E-Mail dated 09.04.2018 from Mr. Rajeev Dubey informing the Respondent to meet at 11 AM without specifying the date. It is indicated to her to recheck before 21.04.2018	Photo-copy	The e-mail does not indicate any formalized meeting or offer made to the Respondent, particularly the financial details. The emails/ messages filed are incomplete. No offer/ interview letter has been produced.

Supreme Court Reports

<i>On Modelling Assignments</i>			
-	Photographs from purported modelling assignments	Photo-copy	Photographs are undated and no proof of receipt of payment qua these specific advertisements are shown to prove any legitimacy.
-	Certificate from one M/s Glitz Modelling and Production Pvt. Ltd. indicating that the Respondent had modelled from 2015-2018 and was offered feature films.	Photo-copy	The Certificate is undated and further, no details or monetary aspects are mentioned in the Certificate. The money, if any, received from such assignments have not been proven by the Respondent through any pay-slip, like she has sought to do with her salary.
11.12.17	Certificate dated 11.12.2017 from M/s Glitz Modelling and Production Pvt. Ltd. proposing a second lead role in a feature film for which the remuneration would be INR 60 lakh.	Photo-copy	The Certificate does not contain any details or specifics and does not provide any evidence regarding her offer. No terms and conditions relating the alleged role are set out. The Certificate is a photocopy and the authenticity of which is under cloud.

ITC Limited v. Aashna Roy

			The role was offered to her, even assuming that it was, in December, 2017 which was much prior to the haircut. No nexus is shown between the loss of assignment and the haircut.
02.02.18	Certificate from Mr. Jeet Surendranath [Partner Far Commercials] offering the Respondent an annual modelling assignment with a reputed haircare brand and other brand campaigns for IN 50 lakh	Photo-copy	The document is illegible and unclear as to whether it is on some letterhead. The Certificate does not indicate any details regarding said modelling assignments. No agreed terms and conditions mentioned relating the said alleged assignment. There is no proof of payment made, if any, from any of the assignments
11.07.18	Certificate from doctor dated 11.07.2018 stating that the Appellant is under medical examination and that she	Photo-copy	The Doctor is not qualified to provide such a certificate. Certificate is from the same doctor who had allegedly treated the Respondent for scalp disorder. The certificate is of July 2018 and was

Supreme Court Reports

	is suffering from mental trauma, depression and anxiety		never filed before by the Respondent, either in the original Complaint or before this Hon'ble Court. The certificate mentions that "She should be relieved of his duties for 30days." The Respondent's contention that she was in modelling for hair-products also belied by these certificates as the doctor who issued these certificates was not a dermatologist.
13.02.23	Certificate dated 13.02.2023 from Mr. Jeet Surendernath [Partner Far Commercials] indicating that the Respondent has modelled in various advertisements for Pantene and VLCC and has featured in some short films	Photo-copy	The Certificate does not indicate any details regarding said modelling assignments. The details of the cast of the film on IMDB does not show the name of the Respondent. There is no proof of payment made, if any, from any of the assignments.

ITC Limited v. Aashna Roy

22. The damages cannot be awarded merely on presumptions or whims and fancies of the complainant. To make out a case for award of damages, especially when the claim is to the tune of crores of rupees, some trustworthy and reliable evidence has to be led. It is not a case where the Commission was considering a small issue where compensation could be awarded by applying a thumb rule. Claim of compensation was for crores of rupees, for which some loss suffered by the respondent because of deficiency in service was required to be established. This could not be established by merely producing photocopies of the documents. Even the discrepancies in the photocopies produced on record by the respondent, as pointed out by the appellant, have been noticed above. Thus, even after remand, respondent has not been able to make out a case for award of such huge compensation.
23. In our view, on the basis of photocopies of the documents placed on record by the respondent, the Commission has committed an error in awarding huge amount of compensation of ₹2,00,00,000/-, which in our view cannot be justified. The observation made by the Commission that because of the trauma suffered by the respondent, she may not have maintained the originals of the documents produced before the Commission, hence, reliance could be placed on mere photocopies, cannot be a justification for awarding such a huge compensation. Even if the photocopies were to be produced, there are other ways and means to justify the claim made on that basis. Even if the Code of Civil Procedure may not be strictly applicable, the Commission has not assessed as to how the respondent suffered loss to the tune of ₹2,00,00,000/-. General discussion in the impugned judgment may not justify the same.
- 23.1 The fact remains that in the earlier round of litigation, the appellant had deposited a sum of ₹25,00,000/- in this Court. While deciding the appeal¹⁴ and remitting the case back to the Commission, this Court had directed for transmission of the said amount to it. While deciding the complaint in the second round of litigation, the Commission had directed release of the aforesaid amount in favor of the respondent.

Supreme Court Reports

24. For the reasons mentioned above, the present appeal is partially allowed. The impugned order passed by the Commission is modified to the extent that the amount of compensation, to which the respondent is entitled to, shall be restricted to the amount already released in her favor.

Result of the case: Appeal partly allowed.

[†]Headnotes prepared by: Nidhi Jain

Pramod Kumar & Ors.

v.

State of Uttar Pradesh Ors.

(Criminal Appeal No. 687 of 2026)

04 February 2026

[Rajesh Bindal and Vijay Bishnoi,* JJ.]

Issue for Consideration

Whether after submitting a final report u/s.173(2) of the Code of Criminal Procedure, 1973 (CrPC) (s.193(3) of the Bharatiya Nagarik Suraksha Sanhita, 2023 (BNSS)), the police/investigating agency can conduct further investigation u/s.173(8) of CrPC (s.193(9) of BNSS) without obtaining the leave of the Magistrate/Court concerned.

Headnotes[†]

Code of Criminal Procedure, 1973 – s.173(2), s.173(8) – Bharatiya Nagarik Suraksha Sanhita, 2023 – s.193(3), s.193(9) – An FIR was registered against seven accused persons including appellants for the offence punishable u/ss.376D, 352, 504, 506 respectively of the IPC – After completion of the investigation, the Investigating Officer submitted the Final Report (closure report) stating that no offence was made out against the accused persons, including the appellants herein – The Court of First Additional Civil Judge, (J.D.)/Judicial Magistrate after considering the Closure Report, accepted the same – After few years, a complaint was filed before NHRC alleging several deficiencies in the investigation conducted by police officials – The Under Secretary, Government of Uttar Pradesh, forwarded the matter to CBCID directing investigation and recommended further investigation u/s.173(8) of CrPC – The Superintendent of Police, directed IO to make available the special report relating to the further investigation – Notice issued to accused persons – Writ Petition – The High Court, *inter-alia*, directed continuation of investigation and dismissed the petition – **Correctness:**

Held: In light of the legal position as settled by this Court through the various judgments, it is safe to say that the power to direct

* Author

Supreme Court Reports

further investigation in a case rests solely at the discretion of the Magistrate/Court concerned – In the event, the police/ investigating agency is of the opinion that further investigation is necessary in any particular case to cull out complete facts and truth in the case, it is binding upon them to file an appropriate application before the Magistrate/Court, without directing an order for further investigation by themselves – Once such an application is filed by the investigating agency, the Magistrate/Court would apply its judicial mind, in light of the facts and circumstances of the particular case and the reasons demonstrated by the investigating agency, in order to exercise its discretion for exercise of its power to decide whether or not further investigation is to be ordered under the purview of s.173(8) of CrPC – Thus, it is amply clear that the Superintendent of Police acted in complete defiance of the procedure laid down under the law while passing orders directing further investigation without seeking leave of the Court – The impugned judgment passed by the High Court is set aside – In addition to that, the communication dated 06.06.2019 and order dated 26.04.2021 passed directing further investigation, are also quashed and set aside. [Paras 33, 36, 38]

Case Law Cited

Vinay Tyagi v. Irshad Ali alias Deepak and Ors. [2012] 13 SCR 1005 : (2013) 5 SCC 762; *Peethambaran v. State of Kerala & Anr.* [2023] 4 SCR 1144 : (2024) 16 SCC 65 – relied on.

Dharam Pal v. State of Haryana and Ors. [2016] 1 SCR 194 : (2016) 4 SCC 160 – held inapplicable.

Bhagwant Singh v. Commr. of Police [1985] 3 SCR 942 : (1985) 2 SCC 537; *Vinubhai Haribhai Malviya and Others v. State of Gujarat and Another* [2019] SCR 936 : (2019) 17 SCC 1; *Devendra Nath Singh v. State of Bihar* [2023] 15 SCR 692 : (2023) 1 SCC 48 – referred to.

List of Acts

Code of Criminal Procedure, 1973; Bharatiya Nagarik Suraksha Sanhita, 2023.

List of Keywords

Investigation; Further investigation; Investigating agency; Section 173(8) of CrPC; Section 193(9) of BNSS; Final Report; Closure

Pramod Kumar & Ors. v. State of Uttar Pradesh Ors.

Report; Discretion of the Magistrate/Court; Superintendent of Police; Direct fresh/de novo/reinvestigation; Transfer of the investigation; Court of law; Judicial mind; Power to direct further investigation; Leave of Court/Magistrate.

Case Arising From

CRIMINAL APPELLATE JURISDICTION: Criminal Appeal No. 687 of 2026

From the Judgment and Order dated 20.11.2023 of the High Court of Judicature at Allahabad, Lucknow Bench in CRLMWP No. 4000 of 2022

Appearances for Parties

Advs. for the Appellant(s):

Divyesh Pratap Singh, Ms. Shivangi Singh, Amit Sangwan, Bharat Mishra, Tiwari Prashantipriya Awadesh, Suraj Prakash Singh.

Advs. for the Respondent(s):

Apoorva Agrawal, A.A.G., Abhisehk Kumar Singh, Sarvesh Singh Baghel.

Judgment / Order of the Supreme Court**Judgment**

Vijay Bishnoi, J.

Leave Granted.

2. This appeal has been preferred by the Appellants challenging the order dated 20.11.2023 (hereinafter referred to as “**impugned judgment**”) passed in **Criminal Misc. Writ Petition No. 4000 of 2022** by the High Court of Judicature at Allahabad, Lucknow Bench (hereinafter referred to as “**the High Court**”). The writ petition filed by the Appellants was dismissed by the High Court, wherein the High Court refused to quash a communication dated 06.06.2019, issued by Under Secretary to the State of U.P. to the Director, Crime Branch, Crime Investigation Department, Lucknow, Uttar Pradesh (Respondent No. 1 herein) and order dated 26.04.2021 passed by the Superintendent of Police, Agra, Crime Branch, AAD, Uttar Pradesh Lucknow (Respondent No. 4 herein).

Supreme Court Reports

3. The sole question arises for our consideration in the present appeal is whether after submitting a final report under Section 173(2) of the Code of Criminal Procedure, 1973 (for short “**Cr.P.C.**”) (also refer to Section 193(3) of the Bharatiya Nagarik Suraksha Sanhita, 2023 (for short “**BNSS**”), the police/investigating agency can conduct further investigation under Section 173(8) of CrPC (also refer to Section 193(9) of BNSS) without obtaining the leave of the Magistrate/ Court concerned?

FACTUAL MATRIX

4. A fascicule of facts pertinent for the disposal of this appeal are that, on 19.11.2013, an FIR bearing Case Crime No. 70/2013 (hereinafter referred to as “**the FIR**”) was registered against seven accused persons including the Appellants herein by Saroj Kumar - Respondent No. 6 (hereinafter referred to as “**the original complainant**”) for the offence punishable under Sections 376D, 352, 504, 506 respectively of the Indian Penal Code, 1860 (for short, “**IPC**”) at Mahila Police Station, Sub-district Sadar, District Firozabad.
5. During investigation, owing to multiple applications moved by the original complainant alleging danger to his life and his family members’ lives, the investigation was initially transferred from the Mahila Police Station to the Crime Branch, Firozabad, and subsequently to the Crime Branch, Mathura.
6. After completion of the investigation, the Investigating Officer submitted the Final Report No.17/14 dated 30.05.2014 (hereinafter referred to as “**the Closure Report**”), stating that no offence was made out against the accused persons, including the Appellants herein, in light of the contradictions between the statements of the original complainant under Section 161 and 164 of the CrPC. The relevant extract of the closure report is reproduced herein under:

“On the basis of information of the informant, the aforesaid case was registered and investigation was undertaken. There is contradiction between the statements U/s. 161 and 164 Cr.P.C. of the informant. There is enmity/litigation pending between the informant and the accused persons. The statements of the informant are not supported by other evidences. Hence, the offence is not confirmed. In absence of evidences, it is impossible to file challan against

Pramod Kumar & Ors. v. State of Uttar Pradesh Ors.

the accused persons before the Court. Hence, the case is closed by FR. Kindly approve it"

7. After receiving the Closure Report, the Court of First Additional Civil Judge, (J.D.)/Judicial Magistrate, Firozabad, issued several notices to the original complainant. However, despite the service of notices, neither he appeared before the Court, nor he filed any protest petition against the Closure Report. The Court of First Additional Civil Judge, (J.D.)/Judicial Magistrate, Firozabad, after considering the Closure Report, has accepted the same *vide* order dated 14.09.2015, noting that the material on record did not support the prosecution's case. The relevant extract of the order is reproduced herein under:

"The case file was presented today. Notice has been sent to the informant several times. Despite the notice has been duly served to the informant several times, he had not filed any objection/protest petition against the final report. It is clear from the case diary and police documents and evidences available in the file that the statements u/s 161 CrPC and statements u/s 164 CrPC of the informant and the person with whom the victim had gone to the bridge on a motorcycle to search for her brothers, it has been confirmed from her statements/affidavit, that neither the victim met that day nor she was taken to the bridge on a motorcycle and none of the statements of witnesses recorded by the IO have confirmed the incident. Even perusal of the medical report does not confirm any kind of external or internal injury and the statements made by the victim are also not confirmed by the medical report. Thus, according to the medical report, no clear inference can be made that the victim was raped.

It is also clear from the perusal of the file that the informant had requested for the investigation of the said case, apart by the local police, shall be conducted by the Crime Branch, on which the case was investigated by the Crime Branch, Mathura. The investigation was carried out by several Investigating Officers of Crime Branch, Mathura and after the investigation, the mobile phones of the accused were matched through cell track by Mr. Narendra Singh, and the location of any of the accused persons was not found at the spot at the time of the incident, which has been recorded

Supreme Court Reports

in the case diary by the IO and any of the witness had not confirmed the statement of the victim, on the basis of which the final report in the case No. 17/14 dated 30-5-14 has been submitted by the IO on 30.05.2014 which prima facie appears to be legal. Therefore, in compliance of Hon'ble High Court's circular no. 31/2012 Admin, G. II, Allahabad dated 11-12-2012 and Hon'ble High Court Allahabad's criminal miscellaneous petition no. 2520/2012 Pradeep Kumar Srivastava vs. State of UP and others u/s 482/378/507 order passed in S.P. No. dated 27-7-2012 and circular letter no. of Honorable High Court Allahabad no. 10435 date 03.09.2014 and letter no. 420/2015 dated 17.01.2015, the final report no. 17/14 is accepted. It should be attached in the file."

8. Subsequently, after a span of about 3 years, the original complainant filed a Criminal Revision Petition (later registered as Criminal Miscellaneous Case No. 440 of 2017) before the Court of District and Sessions Judge, Firozabad, for setting aside the aforesaid order dated 14.09.2015, wherein the Closure Report was accepted. The said case is presently pending before the Court of District and Sessions Judge, Firozabad.
9. Thereafter, one Dr. Ashu Kumar filed a complaint before the National Human Rights Commission (hereinafter referred to as "**NHRC**") alleging several deficiencies in the investigation conducted by police officials. The Assistant Registrar (Law) of the NHRC after considering the said complaint, passed an order dated 06.03.2019, citing several discrepancies in the investigation done by investigating agency and, consequently, directed the Director General of Police, Uttar Pradesh (hereinafter referred to as "**the DGP**") to conduct a fact finding enquiry into the conduct of officials of Police Station Ekka, Police Station Narkhi, by an officer not below the rank of the Superintendent of Police and submit a report regarding the same within a period of 6 weeks. The NHRC further directed the Chief Secretary to pay an amount of Rs. 2 lakhs to the prosecutrix and Rs. 1 lakh each to the original complainant as well as the father of the prosecutrix and submit a compliance report within 6 weeks.
10. In compliance thereof, the Under Secretary, Government of Uttar Pradesh, forwarded a communication dated 06.06.2019 to the

Pramod Kumar & Ors. v. State of Uttar Pradesh Ors.

Director, Crime Branch, Crime Investigation Department, Uttar Pradesh (hereinafter referred to as “**CBCID**”), informing that in pursuance to the directions of the NHRC, it had been decided that the matter should be investigated by CBCID, and further directing it to complete the investigation within a period of 6 weeks and submit a final progress report.

11. In view of the aforesaid, the Under Secretary, Government of Uttar Pradesh *vide* letter dated 12.02.2021, informed the NHRC that an investigation pursuant to the conduct of the officers involved in the present case is underway. Further, it was also informed that in order to reveal the truth of the accusations involved in the case, it is recommended that further investigation under Section 173(8) should be conducted in FIR No. 70/2013.
12. With the approval of the Director General of Police, CBCID, an Inspector of CBCID (hereinafter referred to as “**IO**”) was nominated for carrying out further investigation of the present case under Section 173(8) of the CrPC and pursuantly, the newly appointed IO filed an application dated 22.04.2021 before the Court of First Additional Civil Judge (J.D.)/Judicial Magistrate, Firozabad, seeking permission to conduct further investigation in the instant case under Section 173(8) of the CrPC.
13. Thereafter, *vide* communication dated 26.04.2021, the Superintendent of Police, Agra informed the Additional Superintendent of Police/ Divisional Officer, Crime Branch, A.A.D., Agra, about the nomination of the IO in the present case and also directed him to make available the special report relating to the further investigation (in 10 days), the draft of the plan (in 20 days) and the monthly progress report in the prescribed formats to the headquarters on time and complete the investigation as soon as possible and send the final progress to the headquarters.
14. In furtherance of the said investigation, the IO sent a notice to the accused persons, including the Appellants, for the collection of their blood samples to conduct a DNA test and their blood samples were collected.
15. Consequently, the Appellants filed Criminal Misc. Writ Petition No. 4000 of 2022 before the High Court challenging the communication dated 06.06.2019 and order dated 26.04.2021.

Supreme Court Reports

16. The High Court, *vide* order dated 23.06.2022, initially granted interim protection from arrest to the Appellants. However, in the same order, it was directed that the investigation shall continue and that the Appellants shall cooperate with the investigation.
17. During the pendency of the Writ Petition, the Director, Forensic Science Laboratory, State of Uttar Pradesh, submitted the DNA Test Report dated 21.09.2022 stating that the accused persons, including the Appellants, were not the biological father of the fetus of the prosecutrix.
18. Later, the High Court *vide* the impugned judgment, observed that the allegations of rape were made against several accused, and the prosecutrix also filed a protest petition against the final report submitted by the Investigating Officer. The DNA sample of the aborted fetus (resulting from the pregnancy from the alleged rape) was also preserved, and the Investigating Officer had written to the Court praying that a DNA test be carried out to ascertain who was involved, amongst the several accused, in the commission of rape. The High Court, thus, held that it found no good grounds to entertain the petition and dismissed the same.
19. Aggrieved, the Appellants preferred the instant appeal before this Court. During the pendency of the appeal, this Court *vide* order dated 16.01.2024, issued notice and stayed the operation of the communication dated 06.06.2019 and order dated 26.04.2021, and also the investigation in the present case. The relevant portion of order dated 16.01.2024 of this Court is reproduced herein under:

“Applications seeking exemption from filing C/C of the impugned judgment and exemption from filing O.T. are allowed.

Issue notice.

In the meantime, operation and effect of the communications dated 06.6.2019 and 26.4.2021 directing investigation in Case Crime no.70/13 U/s. 376D, 352, 504, 506 IPC registered at PS Mahila Police Station, District Firozabad shall remain stayed.”
20. Pursuant to the order dated 16.01.2024, notices were issued and were served to all Respondents except Respondent No. 7. Respondent No. 6 did not appear before this Court even after notice was served

Pramod Kumar & Ors. v. State of Uttar Pradesh Ors.

to him on 30.01.2024. Further, notice could not be served upon Respondent No. 7 and therefore, a report from the Trial Court was called upon wherein it was mentioned that the notice was unserved with remarks “no such person found”. During the pendency of the appeal, the appellant submitted that an application would be filed to delete the name of Respondent No. 7 from the array of parties. The relevant portion of the order dated 30.09.2024 is reproduced below:

“Service is complete on respondent nos. 1 to 6 but none has entered appearance.

As per report of concerned Trial Court, notice could not be served on respondent no.7 due to remarks “no such person found”. However, Id. Counsel for the petitioner submits that an application for deletion of the name of respondent no.7 from the array of parties will be filed. Be filed within one week. If filed, process as per rules. However, if application is not filed, list again on 06.01.2025.”

21. Subsequently, *vide* order dated 28.08.2025, the name of Respondent No. 7 was deleted from the appeal at the risk of appellants. The extract of the said order is reproduced herein under:

“Application for deleting the name of respondent no. 7 is allowed at the risk of the petitioners.”

CONTENTION OF THE PARTIES

22. We have heard Mr. Divyesh Pratap Singh, learned counsel for the Appellants and Mr. Apoorva Agarwal, learned Additional Advocate General for the respondent State.
23. Mr. Divyesh Pratap Singh, submitted that the Superintendent of Police, Agra, on recommendation of the State of Uttar Pradesh, was directed for further investigation under Section 173(8) of CrPC without obtaining prior permission from the competent Court, even though a closure report had already been accepted. The Learned counsel for the Appellants contended that once the final report is accepted, only the criminal Court has the power to order further investigation and such power cannot be exercised by the police or any executive authority. Further, the so-called “further investigation” is in fact an impermissible *de-novo* or fresh investigation, as it was ordered after about seven years without any new or additional material and

Supreme Court Reports

was initiated from the very first stage, including demands for DNA samples after several years, which amounts to filling up lacunae in the prosecution case.

24. The learned counsel for the Appellants further contended that the final report dated 30.05.2014 was filed after a thorough investigation and was accepted by the Court on 14.09.2015, after due notice to the original informant, who did not file any objection or a protest petition. It was also contended that the DNA report dated 21.09.2022 clearly concluded that the accused persons, including the Appellants, are not the biological fathers of the prosecutrix's aborted foetus, which debunks the very genesis of the case and directly contradicts the allegations of the alleged incident. The learned counsel placed reliance on the judgment passed by this Court in ***Vinay Tyagi versus Irshad Ali alias Deepak and Ors.*** [reported in (2013) 5 SCC 762], wherein it was held that it is the part of procedure of the investigating agency to seek leave of the Court before conducting "further investigation".
25. On the contrary, learned AAG argued that there is no bar under Section 173(8) of CrPC against conducting further investigation. It was argued that "further investigation" is merely continuation of the earlier investigation, and there is nothing in the CrPC to suggest that the Court is obliged to hear the accused while considering an application for further investigation under Section 173(8) of CrPC. The learned AAG also placed reliance upon the judgment of this Court in ***Dharam Pal versus State of Haryana and Ors.*** [reported in (2016) 4 SCC 160], wherein this Court held that the Police Officer has unrestricted power under Section 173(8) of CrPC to conduct further investigation.
26. We have heard both the parties and perused the material available on record.

ANALYSIS

27. The power of the investigating agency to order further investigation in any criminal case is derived from the aegis of Section 173(8) of CrPC (also refer to Section 193(9) BNSS), which is reproduced as follows:

"(8) Nothing in this section shall be deemed to preclude further investigation in respect of an offence after a

Pramod Kumar & Ors. v. State of Uttar Pradesh Ors.

report under sub-section (2) has been forwarded to the Magistrate and, where upon such investigation, the officer in charge of the police station obtains further evidence, oral or documentary, he shall forward to the Magistrate a further report or reports regarding such evidence in the form prescribed; and the provisions of sub-sections (2) to (6) shall, as far as may be, apply in relation to such report or reports as they apply in relation to a report forwarded under sub-section (2)."

28. Thus, the powers of the investigating agency for further investigation are not in dispute herein. However, what catches attention here and which is also the crux of the controversy in the present case, is which authority can pass an order directing investigating agency to undertake further investigation under Section 173(8) of CrPC.
29. The issue regarding the procedure to be followed for directing further investigation in a case has been dealt by this Court in the case of **Vinay Tyagi** (*supra*), wherein this Court while dealing with the contours of Section 173(8) of CrPC relating to further investigation, propounded that the police ought to follow the procedure of seeking permission from the Court to conduct "further investigation" and file a supplementary chargesheet. The relevant paragraphs from the judgment are reproduced as under:

"40. Having analysed the provisions of the Code and the various judgments as aforeindicated, we would state the following conclusions in regard to the powers of a Magistrate in terms of Section 173(2) read with Section 173(8) and Section 156(3) of the Code:

***40.1.** The Magistrate has no power to direct "reinvestigation" or "fresh investigation" (de novo) in the case initiated on the basis of a police report.*

***40.2.** A Magistrate has the power to direct "further investigation" after filing of a police report in terms of Section 173(6) of the Code.*

***40.3.** The view expressed in Sub-para 40.2 above is in conformity with the principle of law stated in Bhagwant Singh case by a three-Judge Bench and thus in conformity with the doctrine of precedent.*

Supreme Court Reports

40.4. *Neither the scheme of the Code nor any specific provision therein bars exercise of such jurisdiction by the Magistrate. The language of Section 173(2) cannot be construed so restrictively as to deprive the Magistrate of such powers particularly in face of the provisions of Section 156(3) and the language of Section 173(8) itself. In fact, such power would have to be read into the language of Section 173(8).*

40.5. *The Code is a procedural document, thus, it must receive a construction which would advance the cause of justice and legislative object sought to be achieved. It does not stand to reason that the legislature provided power of further investigation to the police even after filing a report, but intended to curtail the power of the court to the extent that even where the facts of the case and the ends of justice demand, the court can still not direct the investigating agency to conduct further investigation which it could do on its own.*

40.6. *It has been a procedure of propriety that the police has to seek permission of the court to continue "further investigation" and file supplementary charge-sheet. This approach has been approved by this Court in a number of judgments. This as such would support the view that we are taking in the present case....."*

(Emphasis Supplied)

30. In this very judgment, this Court while noting that although there is no explicit mandate under Section 173(8) of CrPC to seek leave of the Court before conducting further investigation, nevertheless, over the time, a practice has been developed to seek permission of the Court. Therefore, the practice of seeking the leave of the Court will have to be read into the provisions of Section 173(8) of CrPC, and it is essentially a prerequisite for directing further investigation. This Court therein held as follows:

“49. *Now, we may examine another significant aspect which is how the provisions of Section 173(8) have been understood and applied by the courts and investigating agencies. It is true that though there is no specific*

Pramod Kumar & Ors. v. State of Uttar Pradesh Ors.

requirement in the provisions of Section 173(8) of the Code to conduct “further investigation” or file supplementary report with the leave of the court, the investigating agencies have not only understood but also adopted it as a legal practice to seek permission of the courts to conduct “further investigation” and file “supplementary report” with the leave of the court. The courts, in some of the decisions, have also taken a similar view. The requirement of seeking prior leave of the court to conduct “further investigation” and/or to file a “supplementary report” will have to be read into, and is a necessary implication of the provisions of Section 173(8) of the Code. The doctrine of contemporanea expositio will fully come to the aid of such interpretation as the matters which are understood and implemented for a long time, and such practice that is supported by law should be accepted as part of the interpretative process.

50. Such a view can be supported from two different points of view: firstly, through the doctrine of precedent, as aforementioned, since quite often the courts have taken such a view, and, secondly, the investigating agencies which have also so understood and applied the principle. The matters which are understood and implemented as a legal practice and are not opposed to the basic rule of law would be good practice and such interpretation would be permissible with the aid of doctrine of contemporanea expositio. Even otherwise, to seek such leave of the court would meet the ends of justice and also provide adequate safeguard against a suspect/accused”

(Emphasis Supplied)

31. The proposition of the law laid down in the case of **Vinay Tyagi** (*supra*) has been further affirmed by the three Judge Bench of this Court in the case of **Vinubhai Haribhai Malviya and Others versus State of Gujarat and Another** [reported in (2019) 17 SCC 1].
32. This Court has dealt with a similar situation in the case of **Peethambaran versus State Of Kerala & Another** [reported in (2024) 16 SCC 65], wherein the District Police Chief, i.e., Superintendent of Police, ordered further investigation. This Court therein, while quashing the order passed by the District Police

Supreme Court Reports

Chief, held that the power to order further investigation rests either with the Magistrate concerned or a higher court, but not with the investigating agency. The relevant paragraphs from the judgment are reproduced as follows:

“19. The Chief Police Officer of a district is the Superintendent of Police who is an officer of the Indian Police Service. Needless to state, an order from the District Police Chief is not the same as an order issued by the Magistrate concerned. Referring to Vinay Tyagi, this Court in Devendra Nath Singh v. State of Bihar noted that there is no specific requirement to seek leave of the court for further investigation or to file a supplementary report but the investigating agencies, have not only understood it to be so but have also adopted the same as a legal requirement. The doctrine of contemporanea exposito aids such an interpretation of matters which have been long understood and implemented in a particular manner to be accepted into the interpretive process. In other words, the requirement of permission for further investigation or to file a supplementary report is accepted within law and is therefore required to be complied with.

20. In the facts at hand, it is clear that such a permission was never taken, granted or ordered. Consequently, FR-II is without basis. In FR-I it has been stated that in the absence of any documents in respect of the financial transactions, the instant case may be treated as a false case. This, then would necessarily imply that after due investigation conducted by a duly authorised person, the conclusion is that the ingredients of the section mentioned in the FIR have not been met and no case is made out.

XXXX

28. In terms of second question, the above discussion makes clear that the District Police Chief, Kottayam could not have ordered further investigation, as that power rests either with the Magistrate concerned or with a higher court and not with an investigating agency.”

(Emphasis Supplied)

Pramod Kumar & Ors. v. State of Uttar Pradesh Ors.

33. In light of the legal position as settled by this Court through the above judgments, it is safe to say that the power to direct further investigation in a case rests solely at the discretion of the Magistrate/Court concerned. In the event, the police/ investigating agency is of the opinion that further investigation is necessary in any particular case to cull out complete facts and truth in the case, it is binding upon them to file an appropriate application before the Magistrate/Court, without directing an order for further investigation by themselves. Once such an application is filed by the investigating agency, the Magistrate/Court would apply its judicial mind, in light of the facts and circumstances of the particular case and the reasons demonstrated by the investigating agency, in order to exercise its discretion for exercise of its power to decide whether or not further investigation is to be ordered under the purview of Section 173(8) of CrPC.
34. In the present case, the Under Secretary to the State of Uttar Pradesh, *vide* its letter dated 06.06.2019, directed that the investigation in the matter would be conducted by the CBCID. The Under Secretary also recommended that further investigation under Section 173(8) of CrPC be conducted through its letter addressed to the NHRC dated 12.02.2021. Consequently, the Investigating Officer of the CBCID wrote a letter dated 22.04.2021 to the Judicial Magistrate, Firozabad, requesting to grant permission to conduct further investigation under Section 173(8) of CrPC and provide a copy of the case diary. However, the Court did not pass any order to the extent of requisitioning the Investigating Officer to conduct further investigation.
35. Further, *vide* letter dated 26.04.2021, the Superintendent of Police informed the Additional Superintendent of Police/Divisional Officer, Crime Branch, A.A.D., Agra, about the nomination of the IO in the present case and directed him to complete the investigation expeditiously, submit monthly progress reports, and forward the final report upon completion of the investigation.
36. Thus, it is amply clear that the Superintendent of Police acted in complete defiance of the procedure laid down under the law while passing orders directing further investigation without seeking leave of the Court. It is an unbecoming conduct from the officer of such a rank to exercise unfettered powers, in excess of its jurisdiction, thereby undermining the authority vested in the Court of law.
37. The learned AAG relied upon the judgment of this Court in ***Dharam Pal*** (*supra*) to suggest that the investigating agency has unrestricted

Supreme Court Reports

powers to conduct further investigation and is only required to inform the Court about the same. However, we find the reliance placed by learned AAG to be misplaced as the facts of the said case are completely in contrast with the present one. In **Dharam Pal** (*supra*), this Court was dealing with a situation wherein the complainant sought transfer of the investigation to the CBI, alleging several lapses in the investigation. The High Court declined such a transfer, noting that the trial had already commenced and several witnesses had been examined. This Court, therein, while setting aside the judgment of the High Court, transferred the investigation (*de novo*) to the CBI and held that while the constitutional courts can direct fresh/*de novo*/reinvestigation. Additionally, in **Dharam Pal** (*supra*), this Court, while referring to **Vinay Tyagi** (*supra*), has held that the Magistrate is empowered to direct “further investigation” as per its discretion based upon the facts and circumstances of the case.

38. In view of the above discussion, the impugned judgment dated 20.11.2023 passed by the High Court of Judicature at Allahabad, Lucknow Bench in Criminal Misc. Writ Petition No. 4000 of 2022 is set aside. In addition to that, the communication dated 06.06.2019 and order dated 26.04.2021 passed by the Respondent No. 1 and Respondent No. 4, respectively, directing further investigation, are also quashed and set aside.
39. We further make it clear that the opinions expressed herein should cause no prejudice to the criminal revision preferred by the original complainant or any other proceeding related to FIR No. 70/2013. The Court of District and Sessions Judge, Firozabad shall decide the Criminal Miscellaneous Case No. 440 of 2017 and any other proceeding, if any, on its own merits.
40. Accordingly, the appeal is allowed. Pending application(s), if any, shall stand disposed of.

Result of the case: Appeal allowed.

State of West Bengal & Ors.

v.

Jai Hind Pvt. Ltd.

(Civil Appeal No. 7407 of 2012)

06 February 2026

[M. M. Sundresh and Nongmeikapam Kotiswar Singh,* JJ.]

Issue for Consideration

Issue arose whether the Revenue Officer could have reviewed the earlier order of the Revenue Officer; whether the respondent-company had fulfilled the conditions to be entitled to retain the lands u/s.6(1)(j) of the WBEA Act, 1953; and whether it was “exclusively engaged in agricultural farming” as on 1st January 1952 to claim exemption from vesting under the 1971 determination.

Headnotes[†]

West Bengal Estates Acquisition Act, 1953 – ss.6(1), 6(1)(j) – West Bengal Land Reforms Act, 1955 – ss.57, 14T(3) – Power of review by Revenue Officer – Respondent company purchased 239 acres of land before and after coming into force of the 1953 Act – Respondent company claimed benefit of s.6(1)(j) to retain entire 239 acres since it was engaged in farming – Revenue Officer by order dated 07.10.1971 held the respondent not entitled to the benefit since it failed to produce any evidence to prove that the company was created exclusively for agricultural purpose – Said order attained finality – Respondent-company stood divested of the agricultural land held by it, the same having vested in the State Government – Another notice issued to the respondent u/ss.57 and 14T(3) of WBLR Act – While the writ petition assailing the notice was pending, some amicable settlement between the parties took place – Thereafter, earlier order of Revenue Officer was reviewed – Revenue Officer by his final order dated 07.05.2008 allowed the review and set aside the earlier order dated 07.10.1971 passed by the earlier Revenue Officer, thereby allowing the respondent to retain a total of about 211.21 acres of land and vesting nearly 28.50 acres in the State – Subsequently, Revenue Officer did not accept

* Author

Supreme Court Reports

the land revenue by the respondent company – Respondent filed application, before the tribunal which was dismissed and quashed the review order holding that the concerned Revenue Officer was incompetent to undertake the review proceedings as no such power of review was specifically given – However, High Court allowed the writ petition and directed the Revenue Officer to accept the land revenue from the respondent in respect of the lands which were allowed to be retained pursuant to the review order passed by the Revenue Officer – Challenge to:

Held: Review undertaken by the Revenue Officer culminating in the fresh order wholly without jurisdiction and *void ab initio* – WBEA Act does not confer any power of substantive review upon the Revenue Officer, either expressly or by necessary implication – Government Order dated 26.02.2008, even though approved at the ministerial level, could not create or confer such jurisdiction on the Revenue Officer – Review further fails on merits, as none of the conditions prescribed u/Ord. XLVII r. 1 CPC satisfied – Review order of 2008 was fundamentally misconceived, contrary to settled principles governing the exercise of review power – Furthermore, the decision to initiate the review was driven by considerations of perceived economic advantage, such as prospective employment generation, rather than by any of the grounds recognised in law for invoking the power of review – Such considerations, however laudable in the executive or policy domain, are wholly extraneous to the limited and strictly circumscribed jurisdiction of review – Concluded determination cannot be reopened on the basis of subsequent policy preferences or economic expediency, in the absence of a legally sustainable ground contemplated under the law governing review – Direction issued by the State Government *vide* Government Order dated 26.02.2008 to review the earlier vesting determination was made after an inordinate and unexplained lapse of about four decades from the passing of the vesting order dated 07.10.1971, which had attained finality – Reasons stated do not constitute a legally sustainable ground to justify reopening a concluded determination after such an inordinate lapse of time – Exercise of review jurisdiction in 2008 to reopen a vesting determination that had attained finality decades earlier was wholly impermissible in law – Tribunal in setting aside the fresh review order dated 07.05.2008 and restoring the vesting determination of 1971, rightly appreciated the statutory scheme of the WBEA Act, and well-settled principles governing the limits

State of West Bengal & Ors. v. Jai Hind Pvt. Ltd.

of *quasi-judicial* power – Conclusion of the tribunal that the Revenue Officer lacked jurisdiction to reopen by way of review of a concluded vesting order is consistent with both legislative intent and binding precedents – High Court, however, fell into error in reversing the tribunal's decision – It incorrectly proceeded on the premise that the Government Order issued u/s.57A, having been approved by the Minister-in-Charge, constituted sufficient authority to confer review jurisdiction upon the Revenue Officer – This approach conflated executive direction with statutory conferment of substantive power and treated review as a mere procedural incident of Civil Court powers – High Court also overlooked the limits on vesting the judicial function of review power in executive authorities – Impugned judgment of the High Court set aside – Order of the tribunal restored, and the review order passed by the Revenue Officer quashed – Vesting order dated 07.10.1971 to continue to operate in accordance with the law. [Paras 75-94]

Review – Power of – Exercise of power by *quasi-judicial* authorities, when – Power of the Revenue Officer to review its earlier order by relying on s.57A of the WBEA Act, 1953 – Permissibility:

Held: Power of review is not an inherent power of the Court – *Quasi-judicial* authorities can exercise only those powers which are expressly conferred upon them by the statute – Unless a specific provision has been made in the WBEA Act of 1953, investing the power of review in the Revenue Officer or such other authorities mentioned u/s.53, these authorities could not have possessed the power or authority to review an earlier order – Omnibus expression used in the State notification dated 09.01.1958 investing all the Settlement Officers, Assistant Settlement Officers and Revenue Officers with all the powers of the Civil Court, does not amount to conferment of power of review as well to these Authorities – s.57A of the WBEA Act cannot be construed to include vesting of power of review in the absence of a clear statutory provision to such *quasi-judicial* authority manned by an executive functionary like the Revenue Officer, bereft of any judicial training or judicial qualification – Further, the legislature did not intend to confer the power of review to the authorities provided under the said Act is evident from the proviso to sub-section (3) of s.57B which provides that in deciding a dispute under this sub-section, the Revenue Officer shall not re-open any matter which has already been enquired into, investigated, determined or decided by the

Supreme Court Reports

State Government or any authority under any of the provisions of this Act – 1971 vesting order passed by the Revenue Officer after full inquiry and adjudication, constitutes such a determination which also attained finality – Revenue Officer thus stood barred from re-opening, revisiting, or redeciding its earlier vesting order in view of the said proviso – Thus, the scheme of the WBEA Act, 1953 does not contemplate any executive authority reopening a vesting determination or substituting a decision already rendered after due inquiry – Authorities enumerated u/s.53 of the WBEA Act, 1953, such as Revenue Officers, Settlement Officers and Compensation Officers, among others, are vested only with such limited adjudicatory powers as the statute expressly confers upon them. [Paras 31, 34, 49-52]

West Bengal Estates Acquisition Act, 1953 – s.6(1)(j) – Benefit under, claim – Whether the respondent-company had fulfilled the conditions to be entitled to retain the subject lands in u/s.6(1)(j) – Whether it was “exclusively engaged in agricultural farming” as on 1st January 1952 to claim exemption from vesting under the 1971 determination:

Held: To get the benefit contemplated u/s.6(1)(j) a company incorporated under the Companies Act, 1913 must establish that it was engaged exclusively in farming (and in business, if any, connected directly with such farming); and that it was so engaged as on 1st January 1952 – On facts, the respondent company even after being given sufficient opportunities, failed to discharge its onus of proving the first condition before the vesting authority (Revenue Officer) in the earlier proceedings in 1971 u/s.6(1)(j) – Careful examination of the 1971 vesting order reveals that, although the respondent-company sought to rely on its MOA to demonstrate that it was engaged in agricultural activities, Revenue Officer rightly declined to treat these clauses as conclusive proof of “exclusive” engagement in farming – 1971 vesting order does not suffer from any legal flaw, and it correctly concluded that the respondent-company failed to prove the statutory precondition of s.6(1)(j), despite being given sufficient time – Finding by the Revenue Officer that in spite of several opportunities granted, the respondent-company could not prove the essential statutory requirement was inevitable and unimpeachable, and the vesting of the land in the State had to follow as a natural consequence – Nothing brought to the notice by the respondent-company of the existence of sufficient material

State of West Bengal & Ors. v. Jai Hind Pvt. Ltd.

evidence to establish the fact that it was exclusively engaged in farming as on 01.01.1952 – Also the documents submitted by the respondent company do not support the claim of the respondent company that it is exclusively engaged in agricultural activities as on 01.01.1952, as either these came into existence long after the vesting order dated 07.10.1971 culminated or were not produced timely by the respondent-company before the Revenue Officer at the time of the 1971 vesting proceedings, despite multiple opportunities being granted – Thus, these documents cannot furnish a basis for the review of the 1971 vesting determination, especially in the absence of any statutory provision allowing the same – Belated reliance on such material, after a lapse of nearly four decades, cannot constitute a legally sustainable ground for reopening a concluded vesting determination by a Revenue Officer – Thus, the respondent not entitled to retain the lands u/s.6(1)(j), as it could not prove its claim that it was “exclusively engaged in agricultural farming” as on 01.01.1952 – 1971 vesting order does not suffer from any legal infirmity. [Paras 64-73]

Review – Allowing Revenue Officer to Review of its own concluded *quasi-judicial* order – Effect:

Held: Allowing a Revenue Officer to review its own concluded *quasi-judicial* order would trench upon the constitutional doctrine of separation of powers, which constitutes part of the basic structure of the Constitution – Though vested with limited adjudicatory functions, authorities under the WBEA Act, 1953, remain essentially members of the executive branch and are neither part of the judicial organ nor equipped with the institutional safeguards that attend judicial office, such as independence from executive control – Further, the power of review is essentially a core judicial function, and conferring such a power upon executive authorities, absent an express legislative mandate, would blur the constitutionally mandated demarcation between the executive and the judiciary, permit the executive authorities to sit in judgment over their own decisions, and erode the rule of law by diluting finality – Any contrary construction would, be inconsistent with legislative intent and would impermissibly encroach upon the basic structure of the Constitution – Thus, on facts, the fresh order of review dated 07.05.2008 by the Revenue Officer by setting aside the 1971 vesting order is in direct contravention of the statutory command embodied in the WBEA Act, 1953, and hence wholly void and illegal. [Paras 56-58]

Supreme Court Reports

Code of Civil Procedure, 1908 – s.114 r/w Ord 42 r. 1 – Principles governing law of review – Scope of Review – Grounds, explanation:

Held: Scope of review is of a limited and narrow one, unlike the case of appeal, where the appellate Court could revisit the entire facts and could re-hear the complete matter on merits – Purpose of a review is to rectify manifest or exceptional wrongs – It is not for reappreciating facts or seeking a different conclusion – Review is essentially to strike a balance between the rule of finality, which is crucial for maintaining legal certainty and to avoid irremediable injustice caused by patent mistakes, fraud, failure of natural justice or similar exceptional situations – Review must be exercised with great caution and only when the requisite limited criteria are satisfied, in which the error must be evident and not one which requires elaborate arguments to discover – Basic legal postulates of the scope of review in s.114 r/w Ord. XLVII r.1, applied in all proceedings in which the power of review is exercised, is the discovery of new and important matter or evidence; mistake or error apparent on the face of the record; or any other sufficient reason – On facts, it cannot be believed that the crucial documents, relied upon by the respondent-company in the 2008 review, were not within its possession and knowledge earlier – Respondent-company failed to produce such documents despite being afforded several opportunities during the 1971 vesting process – Party cannot justify a review by producing old documents lying in its own custody, as this does not constitute “discovery” nor satisfy the “due diligence” requirement – Furthermore, the 1971 vesting order was passed after issuing proper notice, granting multiple adjournments on the request of the respondent-company, conducting a full hearing, and recording the respondent-company’s categorical statement that it had “nothing further to produce” – Findings were based on the respondent-company’s failure to prove exclusive engagement in farming, which is the statutory requirement u/s.6(1)(j) of the WBEA Act – No patent error, self-contradiction, or legal misconception visible on the face of the record – Second condition is also not met – Also there exists no such “sufficient reason” within the meaning of r.1 Ord. XLVII – In view thereof, it is evident that the respondent-company failed to satisfy any of the conditions for review as also contemplated u/Ord. XLVII, r.1 CPC. [Paras 60-62, 76-78, 81]

State of West Bengal & Ors. v. Jai Hind Pvt. Ltd.**Case Law Cited**

Kalabharati Advertising v. Hemant Vimalnath Narichania & Ors. [2010] 10 SCR 971 : (2010) 9 SCC 437; *Kiran Singh & Ors. v. Chaman Paswan & Ors.* [1955] 1 SCR 117 : (1954) 1 SCC 710; *Bahrein Petroleum Co. Ltd. v. P.J. Pappu & Anr.* [1966] 1 SCR 461 : 1965 SCC OnLine SC 145; *Assistant Custodian E.P. & Ors. v. Brij Kishore Agarwala & Ors.* [1975] 2 SCR 359 : (1975) 1 SCC 21; *Maharishi Dayanand University v. Surjeet Kaur* [2010] 8 SCR 475 : (2010) 11 SCC 159; *M/s. Motilal Padampat Sugar Mills Co. Ltd. v. The State of UP* [1979] 2 SCR 641 : (1979) 2 SCC 409; *Akhil Bhartvarshiya Marwari Agarwal Jatiya Kosh & Ors. v. Brijlal Tibrewal & Ors.* [2018] 14 SCR 870 : (2019) 2 SCC 684; *Bharat Amratlal Kothari v. Dosukhan Samadkhan Sindhi & Ors.* [2009] 15 SCR 662 : (2010) 1 SCC 234; *Narmada Bachao Andolan v. State of Madhya Pradesh* [2011] 6 SCR 443 : AIR 2011 SC 3199; *R. Chitrlekha v. State of Mysore* [1964] 6 SCR 368 : AIR 1964 SC 1823; *Patel Narshi Thakershi v. Pradyuman Singhji* (1971) 3 SCC 844; *Kalabharati Advertising v. Hemant Vimalnath Narichania* [2010] 10 SCR 971 : (2010) 9 SCC 437; *Patel Chunibhai Dajibhai v. Narayanrao Khanderao Jambekar* [1965] 2 SCR 328 : AIR 1965 SC 1457; *Major Chandra Bhan Singh v. Latafat Ullah Khan* [1979] 1 SCR 891 : (1979) 1 SCC 321; *State of Orissa and Others v. Commissioner of Land Records & Settlement, Cuttack & Others* [1998] Supp. 1 SCR 130 : (1998) 7 SCC 162; *Harbhajan Singh v. Karam Singh* [1966] 1 SCR 817 : AIR 1966 SC 641; *Kuntesh Gupta (Dr.) v. Hindu Kanya Mahavidyalaya* [1988] 1 SCR 387 : (1987) 4 SCC 525; *Kesavananda Bharati v. State of Kerala* [1973] Supp. 1 SCR 1 : (1973) 4 SCC 225; *Minerva Mills Ltd. v. Union of India* [1981] 1 SCR 206 : (1980) 3 SCC 625; *I.R. Coelho v. State of T.N* [2007] 1 SCR 706 : (2007) 2 SCC 1; *S.P. Sampath Kumar v. Union of India* [1987] 1 SCR 435 : (1987) 1 SCC 124; *R.K. Jain v. Union of India* [1993] 3 SCR 802 : (1993) 4 SCC 119; *L. Chandra Kumar v. Union of India and Others* [1997] 2 SCR 1186 : (1997) 3 SCC 261; *Union of India v. Madras Bar Assn.* [2010] 6 SCR 857 : (2010) 11 SCC 1; *Madras Bar Association v. Union of India and Another* [2015] 6 SCR 638 : (2015) 8 SCC 583; *M/s. Northern India Caterers Limited v. Lieutenant Governor of Delhi* [1979] 1 SCR 557 : (1980) 2 SCC 167; *Sow Chandra Kante v. Sk. Habib* [1975] 3 SCR 933 : (1975) 1 SCC 674; *Thungabhadra Industries Ltd. v. Govt. of A.P.* [1964] 5 SCR 174 : 1963 SCC OnLine SC 94; *State (NCT of Delhi) v. K. L. Rathi Steels Ltd.* [2024] 5 SCR 949 : (2024) 7 SCC 315; *Girdhari Lal Gupta v. D. H. Mehta* [1971]

Supreme Court Reports

3 SCR 748 : (1971) 3 SCC 189; *Budhia Swain v. Gopinath Deb* [1999] 2 SCR 1189 : (1999) 4 SCC 396; *Hira Lal Patni v. Kali Nath* [1962] 2 SCR 747 : 1961 SCC OnLine SC 42; *Balvant N. Viswamitra v. Yadav Sadashiv Mule* [2004] Supp. 3 SCR 519 : (2004) 8 SCC 706 – referred to.

Satyanarayan Banerjee v. Charge Officer and A.S.O. Birbhum, **1974 SCC OnLine Cal 1 – referred to.**

Ramaprasanna Roy v. State of West Bengal, **1987 SCC OnLine Cal 228 – approved.**

Books and Periodicals Cited

The Spirit of the Laws (1748) by Montesquieu – referred to.

List of Acts

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List of Keywords

Power of review; *Quasi-judicial* bodies; Amicable settlement; Review of earlier order; Scope of review in s.114 r/w with r.1 of Ord. XLVII CPC; Agricultural farming; Allowing Revenue Officer to Review of its own order.

Case Arising From

CIVIL APPELLATE JURISDICTION: Civil Appeal No. 7407 of 2012

From the Judgment and Order dated 17.05.2012 of the High Court at Calcutta in WPLRT No. 43 of 2010

Appearances for Parties

Advs. for the Appellant(s):

Rakesh Dwivedi, Sr. Adv., Kunal Vajani, Kunal Mimani, Parag Chaturvedi.

Advs. for the Respondent(s):

Gaurav Mitra, Anand Shankar Jha, Ms. Meenakshi Devgan, Parvez Rahman.

State of West Bengal & Ors. v. Jai Hind Pvt. Ltd.**Judgment / Order of the Supreme Court****Judgment****Nongmeikapam Kotiswar Singh, J.****THE CHALLENGE**

1. The present Civil Appeal has been preferred by the State of West Bengal and Ors. (hereinafter referred to as “the appellants”), being aggrieved by the impugned judgment and order dated 17.05.2012, passed in WPLRT No. 43 of 2010 by a Division Bench of the High Court of Judicature at Calcutta. The High Court, by the impugned judgment, allowed the writ petition preferred by Jai Hind Private Limited, the respondent–company herein, and set aside the judgment and order dated 31.03.2010 passed by the West Bengal Land Reforms and Tenancy Tribunal (“the Tribunal” for short), thereby allowing the respondent-company to retain 211.21 acres of land.
2. By the said judgment, the High Court also upheld the review order dated 07.05.2008 passed by the Block Land and Land Reforms Officer (hereinafter referred to as “B.L. & L.R.O.”), Bharatpur–II, Murshidabad, West Bengal, as well as the Government Order dated 26.02.2008 issued by the Principal Secretary, Land and Land Reforms Department, Government of West Bengal. Consequently, the High Court directed the concerned authorities, including the Revenue Officer to accept land revenue and cess from the respondent–company in respect of 211.21 acres of land which it had been permitted to be retained pursuant to the order dated 07.05.2008 passed by the B.L. & L.R.O., Bharatpur-II, Murshidabad under Sections 6(1)(j), 6(1)(a) and 6(1)(e) of the West Bengal Estates Acquisition Act, 1953 (“the WBEA Act, 1953”, for short) and Section 14Q(1) of the West Bengal Land Reforms Act, 1955 (“the WBLR Act, 1955” for short).

FACTUAL MATRIX

3. The dispute has arisen from the respondent–company’s claim to retain certain lands under the provisions of the WBEA Act, 1953, which was allowed by the High Court in the impugned judgment. The facts in brief essential for adjudication of the present appeal are that the respondent–company, incorporated in the year 1946 under the

Supreme Court Reports

provisions of the Indian Companies Act, 1913, had 23 shareholders as on 01.01.1952. It had purchased about 205.57 acres of agricultural land in its own name prior to 01.01.1952 and, subsequent to the aforementioned date, purchased an additional 34.14 acres of land, including agricultural land, homestead, ponds, etc.

4. The WBEA Act, 1953, enacted by the State of West Bengal, which came into effect from 12.02.1954, allowed the State to acquire the estates, the rights of intermediaries therein and certain rights of *rai-yats* and under-*rai-yats*. An intermediary is defined under Section 2(i) of the aforementioned Act as a proprietor, tenure-holder, under-tenure-holder or any other intermediary above a *rai-yat* or a non-agricultural tenant and includes a service tenure-holder and, in relation to mines and minerals, includes a lessee and a sub-lessee. Under Section 4 of the said Act, the State Government may, by notification, declare that all estates and the rights of intermediaries in such estates situated in any district or part of a district as specified in the notification, shall vest in the State free from all encumbrances. Further, Section 5 of the WBEA Act, 1953, provides for the effect of such notification.
5. However, Section 6 (1) of the WBEA Act, 1953 preserves to intermediaries a limited right to retain certain categories of land, *inter alia*, (a) homestead land; (b) land comprised in or appertaining to buildings and structures owned by intermediary or by any person, not being a tenant, holding under him by leave or license; (c) non-agricultural land in *khas* possession up to certain area; (d) agricultural land in *khas* possession, not exceeding 25 acres in area; (e) tank fisheries, etc. Importantly, Section 6 (1)(j) of the WBEA Act, 1953 which assumes utmost relevance in the present case, permits a cooperative society registered or deemed to have been registered under the Bengal Cooperative Society Act, 1940 or a company incorporated under the Indian Companies Act, 1913 and engaged exclusively in farming to retain agricultural land that was in its *khas* possession on 01.01.1952 and chosen for retention.
6. Rule 4A of the West Bengal Estate Acquisition Rules, 1954 (hereinafter referred to as “the WBEA Rules, 1954”) framed under the WBEA Act, 1953, provides the procedure under which an intermediary entitled to retain the land under Section 6 (1) of the 1953 Act, can apply to the concerned authority i.e., Settlement Officer or Revenue Officer authorised by the Settlement Officer in this behalf before the

State of West Bengal & Ors. v. Jai Hind Pvt. Ltd.

expiry of 30.04.1958, a statement in writing in Form 'B' appended to Schedule 'B' appended to these Rules.

7. In exercise of this right conferred under Section 6(1)(j) of the 1953 Act, after the State Government issued the notification under Section 4 of the WBEA Act, 1953, as claimed by the respondent-company, it submitted the duly filed Form 'B' on 14.08.1956 claiming entitlement to retain the entire extent of land measuring about 239.71 acres under Section 6(1)(j) of the WBEA Act, 1953 on the ground that the respondent-company was engaged exclusively in farming, which according to the respondent-company was permitted by the concerned Revenue Officer. However, according to the appellants, the respondent-company failed to produce any copy of the alleged order of retention said to have been passed by the Revenue Officer, at any stage in any of the proceedings before the High Court, or prior to it. It may also be noted that the High Court also did not accept the existence of any such order passed by the Revenue Officer in 1956 in favour of the respondent-company.
8. Be that as it may, the genesis of the legal proceedings with which we are directly concerned with is the issuance of the notice dated 01.04.1968 by the Revenue Officer to the respondent-company under Section 57 of the WBEA Act, 1953, requiring the respondent-company to file the return in Form 'B', so as to determine the extent of the land which the respondent-company was entitled to retain out of the area vested in the State. The aforesaid notice was challenged by the respondent-company before the High Court by filing a writ petition, being CR No. 4256 (W) of 1968. The said writ petition was disposed of by the High Court on 15.02.1971, holding *inter alia* that the impugned notice dated 01.04.1968 was merely a notice for adjudication and for ascertaining as to what extent the respondent-company would be entitled to retain lands in its possession and that there can be no ground of apprehension on the part of the respondent-company that its right/claim for retention has been overruled by such a notice.
9. After disposal of the aforementioned writ petition, the concerned Revenue Officer, in continuation of the earlier notice dated 01.04.1968, issued a second notice dated 04.08.1971 requiring the respondent-company to appear for a hearing to determine its entitlement under Section 6(1)(j) of the WBEA Act, 1953. In the said proceedings, being No. 1/1971, the Revenue Officer passed an order on 07.10.1971 holding *inter alia* that the respondent-company failed to produce

Supreme Court Reports

any evidence to prove that the company was created exclusively for agricultural purpose or for carrying on business connected directly with agricultural farming, and accordingly it is not entitled to get the benefit under Section 6(1)(j) of the WBEA Act, 1953.

10. The aforementioned order of the Revenue Officer was challenged by the respondent-company before the High Court by filing a writ petition bearing C.R. No. 3266 (W) of 1971, in which a Civil Rule was issued, and an order directing maintenance of *status quo* was passed on 02.11.1971. However, by a subsequent order dated 03.12.1971, the High Court declined to extend the *status quo* order, holding that the order of the Revenue Officer was *prima facie* legal. Thereafter, the respondent-company challenged the High Court's order dated 03.12.1971 declining to extend the *status quo* order by filing an appeal bearing FMAT No. 3241 of 1971 (later re-numbered as FMA 686 of 1971). In the said appeal, a Division Bench of the High Court passed an order dated 14.12.1971 directing the maintenance of the *status quo*.
11. Subsequently, the Civil Rule issued in the main writ petition, being C.R. No. 3266 (W) of 1971, wherein the order of the Revenue Officer was challenged, was discharged by the High Court, on 23.09.1975, due to non-appearance by the respondent-company.
12. Later, the respondent-company filed a separate application seeking restoration of the main writ petition, C.R. No. 3266 (W) of 1971, which was dismissed for default on 23.09.1975. The said restoration application, however, was rejected by the High Court on 11.03.1987 on the ground of inordinate delay of nearly twelve years. Against the said dismissal of the restoration application, the respondent-company filed an appeal, FMAT No. 791 of 1987, which also came to be dismissed for default by the High Court on 07.02.2002.
13. Consequently, the order of the Revenue Officer dated 07.10.1971, whereby the respondent-company was denied the benefit under Section 6(1)(j) of the WBEA Act, 1953, attained finality, and the respondent-company's judicial challenge to the said order stood concluded. Accordingly, the respondent-company stood divested of the agricultural land held by it, the same having vested in the State Government under Sections 4 and 5 of the WBEA Act, 1953. Therefore, the respondent-company ceased to have any right, title, or interest over the said agricultural land.

State of West Bengal & Ors. v. Jai Hind Pvt. Ltd.

14. After the dismissal of the writ petition, CR No. 3266(W) of 1971 on 23.09.1975, the Revenue Officer, Salar, District Murshidabad, West Bengal issued another notice on 02.02.1996 to the respondent-company under Sections 57 and 14T(3) of the WBLR Act, 1955, on the ground that the quantum of the land held by the respondent-company was beyond the ceiling limit prescribed under the WBLR Act, 1955. It is to be noted that the aforesaid proceeding initiated under the WBLR Act, 1955 were entirely separate and distinct from the earlier proceeding under the WBEA Act, 1953, which had culminated in 1975 upon dismissal of the writ petition on 23.09.1975 filed by the respondent-company. The aforementioned notice under the WBLR Act, 1955, was in respect of the land which was allowed to be retained under the WBEA Act, 1953, but was found to be in excess of the ceiling limit placed by the WBLR Act, 1955. This notice, challenged by the respondent-company vide a writ petition being C.O. No. 3569 (W) of 1996, was transferred to the Tribunal and re-numbered as T.A. No. 1410 of 2000. The Tribunal, by its order dated 09.04.2001, dismissed the T.A. No. 1410 of 2000, reasoning that the Revenue Officer has jurisdiction under Section 14T(3) of the WBLR Act, 1955, to initiate proceedings and determine the ceiling area.
15. Assailing the abovementioned dismissal order of the Tribunal, the respondent-company preferred a writ petition, WPLRT No. 763 of 2001, before the High Court. The same was admitted and remained pending until 2008. Subsequently, it was ultimately withdrawn by the respondent-company in 2009, after it was permitted to retain about 211.21 acres of land pursuant to a review order dated 07.05.2008, and the said writ petition was accordingly disposed of by the High Court as withdrawn.
16. What is of great importance is what had transpired during the pendency of the aforesaid writ petition, on the basis of which the said writ petition was disposed of as withdrawn, as the same would have a direct bearing on the decision in this appeal.
17. During the pendency of the above-mentioned writ petition, WPLRT No. 763 of 2001 before the High Court, it appears that the respondent-company submitted a proposal to Chief Minister of the State of the West Bengal, seeking an amicable settlement of the vested land in its favour, for setting up an eco-friendly agro-based industry, and sought review of the order dated 07.10.1971, passed by the concerned

Supreme Court Reports

Revenue Officer. Consequently, as claimed by the respondent-company, the then Minister-in-Charge made a note on the file as *"Please discuss"*. The erstwhile Minister-in-Charge then recorded the following comments on the file: *"Discussed. This will be possible only when the company first withdraws all the cases"*. Accordingly, the respondent-company submitted an affidavit on 22.02.2008 to withdraw all pending court cases, including the aforementioned writ petition, WPLRT No. 763 of 2001, pending before the High Court.

18. Acting on the aforesaid proposal of the respondent-company which was apparently accepted by the State government, the Land Reforms Commissioner-cum-Principal Secretary on 26.02.2008, directed the concerned Revenue Officer, Bharatpur -II, Murshidabad, West Bengal, to take necessary steps for review of the proceeding No. 1 of 1971 under Sections 6(1)(j), 6(1)(a) and 6(1)(e) of the WBEA Act, 1953. The aforementioned government order dated 26.02.2008, being relevant, is reproduced in toto as follows:

*"The Government of West Bengal
Land 85 Land Reform Department
Land Reforms Branch
Writers Buildings, Kolkata - 700001.*

No. 984 – L.R. GE (M)

Dated 26.02.08

IL – 240/07 – LR...

Whereas 'M/s. Jai Hind Private Limited a company incorporated in the year 1946 under the Indian Companies Act, 1913 purchased more or less 234.00 acres of land in Block Bharatpur-II in the district of Murshidabad as revealed from the memo no. 174/2709/C/2007 dtd. 30.8.07 of the DLRS and Jt. LRC, West Bengal;

And whereas the said company purchased the aforesaid 234 acres of land before and after the date 01.01.1952 and that it had 23 members/shareholders as on 01.01.1952 and that the said company has produced the Panchayat certificate and panchayat Tax receipt (for the year 2006-07) in support of its claim of possession on 200 acres of land as on 19.02.2007, as revealed from the memo

State of West Bengal & Ors. v. Jai Hind Pvt. Ltd.

no. 3362/X-6A/C/01 dated 22.6.2007 of the DL&LRO - Murshidabad.

And whereas a proceeding bearing no. 1 of 1971 u/s 6 (1) (J) of the WBEA Act, 1953 was drawn up and disposed of with vesting of 205.44 acres of land of the said company by the BL&LRO, Bharatpur-II in the year 1971 vide order dtd: 07.10.1971;

And whereas the said land could not be distributed till now due to series of court cases and compensation was also not paid to the said company. The said company is still in possession of the said land and claims that proper opportunity of being heard was not given during the said proceeding as revealed from the memo no. 174/2709/C/2007 dtd : 30.8.07 of the DLRS and Jt. LRC, West Bengal;

And whereas the said company wants to establish eco-friendly agro-based Industry on the said land to produce 'Mentha Oil' and 'Mentha crystals' and 'Mentha Arvensis' plants. 'Metha oil' is also known as 'Peppermint Oil' and this cash-rich cultivation is being done for the first time in West Bengal. This is really a good innovation in West Bengal which cultivators may like to follow. There is a possibility of employment generation for nearly 500 people in the said project;

And whereas said company's project has already been approved by The Small Industry Services Institute' under the Ministry of Small Scale Industries, Govt. of India vide report dtd. 6.6.2007. The Deptt. of Food Processing Industries & Horticulture', Govt. of West Bengal has also requested for the clearance of the said company's land within the provision of law vide their memo no. 568/FPI & H/O-1/580 dtd. 19.9.2007. The District Industries Centre-Murshidabad' has also approved the aforesaid project vide their memo no. 356/1 (1) dtd. 15.6.2007. The Principal Agricultural Officer-Murshidabad' has also inspected the Trial cultivation of 'Menthall Arvensis' plants on the said land by the said company and found it to be very vigorous and satisfactory as certified vide his memo no. 245/Dev dtd. 28.2.07;

Supreme Court Reports

And whereas the 'Local Gram Panchayat' has already issued 'no objection certificate in favour of the said company vide their letter dated 25.4.2007 recommending that the experimental plant set up so far to extract Mentha oil/ peppermint oil is successful in the area and is accepted by the local people. It is 'eco friendly' also;

And whereas the said company has already submitted before the undersigned an undertaking to withdraw all the pending court case (s) by way of Affidavit dated 22.2.2008. as applicable for the withdrawal of all the pending court cases and this may be used by L.R. officials at the relevant forum of the court;

And whereas the said company has submitted an undertaking by way of Affidavit dtd. 22.2.2008 to the effect that as on 1st January 1952 neither the company nor any of its 23 members/shareholder had owned any other landed property in West Bengal except the aforesaid agricultural land and that the company has all along been engaged exclusively in agriculture farming on its aforesaid land;

And whereas the State Govt. after due consideration has taken the decision to Review Afresh the said proceeding bearing no. 1 of 1971 u/s 6 (1)(J) of the WBEA Act 1953 as per the applicable provisions of the WBEA Act 1953;

Now, therefore the BL&LRO, Bharatpur-II block in the district of Murshidabad is hereby directed to take necessary steps for fresh Review of the said proceeding for more or less 205.57 acres of land which were purchased by the said company before 1st January 1952 as well as more or less 0.29 acres of homestead and also more or less 8.52 acres of pond (s) etc. for consideration for exemption u/s 6 (1) (J) read with Section 6 (1) (a) and sec. 6 (1) (e) of the WBEA Act 1953. However, an area of more or less 19.62 acres, which were purchased by the said company after 1.1.1952 and which do not come under the purview of the said section of the aforesaid Act will be vested to the State. The company may be given the opportunity to exercise the option to earmark this more or less 19.62 acres of land on any side of the total land and then this more

State of West Bengal & Ors. v. Jai Hind Pvt. Ltd.

or less 19.62 acres of land may be distributed amongst the eligible landless persons of the area as per norms.

Sd/

(Dr. P. K. Agarwal)
L.R.C. & Principal Secretary,
Land & Land Reforms Deptt.,
Govt. of West Bengal"

19. In compliance with the above-mentioned order, the B.L. & L.R.O. (Revenue Officer), by his final order dated 07.05.2008, allowed the review and set aside the earlier order dated 07.10.1971 passed by the earlier Revenue Officer, thereby allowing the respondent-company to retain a total of about 211.21 acres of land and vesting nearly 28.50 acres in the State. In furtherance of the review order, the respondent-company furnished a cheque to the Revenue Officer towards payment of land revenue, which was eventually returned by the Revenue Officer. Aggrieved by the non-acceptance of the land revenue, the respondent-company filed an application, being OA No. 1463 of 2009, before the Tribunal seeking a direction to the concerned authorities to accept the said land revenue and provide the certified copies of the record of rights. The Tribunal, by its judgment dated 31.03.2010, dismissed the respondent-company's application and quashed the review order dated 07.05.2008 by holding that the concerned Revenue Officer was incompetent to undertake the review proceedings as no such power of review was specifically given.
20. Assailing the said judgment of the Tribunal, the respondent-company filed a writ petition, being WPLRT No. 43 of 2010, before the High Court. The High Court vide impugned judgment dated 17.05.2012 allowed the said writ petition and directed the concerned Revenue Officer to accept the land revenue and cess from the respondent-company in respect of the lands in question, which were allowed to be retained pursuant to the review order, dated 07.05.2008, passed by the Revenue Officer.

SUBMISSIONS ON BEHALF OF THE APPELLANTS

21. The arguments advanced on behalf of the appellants can be summarised, *inter alia*, as follows:

Firstly, it has been submitted that the Revenue Officer had no jurisdiction to review the vesting order dated 07.10.1971.

Supreme Court Reports

Relying on the judgment in *Kalabharati Advertising v. Hemant Vimalnath Narichania & Ors.*¹, it was argued that the power of review must be statutorily conferred, and in the absence of the same, the review of an earlier order becomes *ultra vires*, illegal, and without jurisdiction. Additionally, it was contended that neither Section 57A nor any other provision of the WBEA Act, 1953, confers any power of review on the Revenue Officer.

In addition, the appellants assailed the review order by submitting that Sections 57A and 57B of the WBEA Act, 1953, bar the Revenue Officer from reopening/reviewing any decision which has already been decided.

Thus, the appellants submitted that the Government Order dated 26.02.2008 issued by the Principal Secretary and the consequent fresh review order dated 07.05.2008 passed by the B.L. & L.R.O., Bharatpur-II, Murshidabad, West Bengal were illegal.

Secondly, the vesting order dated 07.10.1971 passed by the Revenue Officer earlier could not have been reviewed as it had attained finality once the writ petition filed by the respondent-company challenging the same was dismissed on 23.09.1975, its restoration rejected on 11.03.1987, and the appeal against the same eventually dismissed on 07.02.2002.

Thirdly, since the review order passed by the Revenue Officer on 07.05.2008 was bereft of any jurisdiction, the plea of invalidity of the same can be raised at any stage. In this regard, reliance was placed on decisions in *Kiran Singh & Ors. v. Chaman Paswan & Ors.*² and *Bahreini Petroleum Co. Ltd. v. P.J. Pappu & Anr.*³. Furthermore, relying on *Assistant Custodian E.P. & Ors. v. Brij Kishore Agarwala & Ors.*⁴, and it was argued that action taken by an officer without jurisdiction is not binding upon the State.

1 (2010) 9 SCC 437.

2 (1954) 1 SCC 710.

3 1965 SCC OnLine SC 145.

4 (1975) 1 SCC 21.

State of West Bengal & Ors. v. Jai Hind Pvt. Ltd.

Moreover, it was submitted by the appellants, relying upon the judgment in the *Maharishi Dayanand University v. Surjeet Kaur*⁶, that the doctrine of estoppel cannot override statutory provisions.

Fourthly, the review order dated 07.05.2008 was passed on irrelevant considerations. As submitted by the appellants, the respondent-company had been granted adequate opportunities to establish its entitlement under Section 6(1)(j) of the WBEA Act, 1953, which it failed to do.

It was further claimed that the documents relied upon by the respondent-company, i.e., a resolution of 25.01.1951 and a certificate dated 12.10.1979, were never produced during the earlier vesting proceedings.

SUBMISSIONS ON BEHALF OF THE RESPONDENTS

22. In response, the respondent-company has advanced the following submissions:

Firstly, it was submitted that the respondent-company had always engaged exclusively in 'agricultural farming', as authorised by Clause 13 of its Memorandum of Association (MOA). To support its claim that it was engaged exclusively in 'agricultural farming' as on 1st January 1952, the respondent-company relied upon various documents, i.e., a certificate of the agricultural income tax officer, audited balance sheets of the respondent-company, auditor's certificates for the years from 1951, income tax scrutiny order for 2006-2007 and special resolution of 1951.

Secondly, the respondent-company had filed a return in Form 'B', claiming entitlement to retain the entire extent of land measuring 239.71 acres under Section 6(1)(j) of the WBEA Act, 1953, on 14.08.1956, and that it was permitted to retain such land by the concerned Revenue Officer. The aforementioned status, as claimed, remained in place for more than 15 years. To substantiate the same,

Supreme Court Reports

the respondent-company placed its reliance upon the 'finally published' Record of Rights, which is, as claimed, to be presumed to be correct under Section 44(4) of the WBEA Act, 1953.

Thirdly, the vesting order dated 7.10.1971 was passed by the Review Officer without considering the aforementioned documents, such as the special resolution of 1951 and Clause 13 of the MOA.

Fourthly, assailing the 1971 vesting order, the respondent-company submitted that the notice pursuant to the statutory requirement of Section 10(2) of the WBEA Act, 1953, was 'not served', and the possession of the said lands was never taken over by the appellants. Moreover, the compensation as provided for under Section 23 of the WBEA Act, 1953, was also not paid.

Fifthly, the 1971 vesting order was erroneous and a nullity as it was itself a review order of the 1956 determination proceeding, recorded in the Record of Rights for which the Revenue Officer was not even authorised by the State government under Section 57 of the WBEA Act, 1953. Pertinently, the 1971 order as submitted did not even set aside the 1956 proceeding.

Sixthly, the main writ petition challenging the 1971 vesting order was never decided on the merits.

Seventhly, the appellant-State duly recommended the amicable settlement, which was approved by the Minister-in-charge of the Land and Land Reforms Department. Consequently, the B.L. & L.R.O. legally passed his order in favour of the respondent-company. Moreover, the final order dated 07.05.2008 and the Government order dated 26.02.2008 were never withdrawn at any point in time.

Eighthly, the appellants are hit by the doctrine of estoppel and thus cannot retract the final order dated 07.05.2008 and the Government order dated 26.02.2008. Additionally, the respondent-company withdrew the pending Court case and handed over 28.50 acres of land, relying on the terms of the amicable settlement. In support of the contentions,

State of West Bengal & Ors. v. Jai Hind Pvt. Ltd.

reliance was placed on *M/s. Motilal Padampat Sugar Mills Co. Ltd. v. The State of UP*⁶.

Ninthly, the Tribunal exceeded its jurisdiction by going beyond the scope of prayers, as it quashed the review order dated 07.05.2008, without any prayer or application for the same. The respondent-company placed its reliance on *Akhil Bhartvarshiya Marwari Agarwal Jatiya Kosh & Ors. v. Brijlal Tibrewal & Ors.*⁷ and *Bharat Amratlal Kothari v. Dosukhan Samadkhan Sindhi & Ors*⁸ in this regard.

Tenthly, the conferment of the power of review upon the B.L. & L.R.O. under Sections 57A and 53 of the WBEA Act, 1953, was in accordance with law.

Lastly, it was submitted that under Rule 19 of the Rules of Business of the Government of West Bengal framed under Article 166(3) of the Constitution, decisions relating to a particular department are required to be taken by the Minister-in-charge. Moreover, any omission to make or authenticate an executive decision strictly in the form contemplated under Article 166 does not render such decision void or illegal. In this regard, reliance was placed upon *Narmada Bachao Andolan v. State of Madhya Pradesh*⁹, and *R. Chitralekha v. State of Mysore*¹⁰.

ISSUES INVOLVED

23. As noted above, the genesis of the problem can be traced to the act of the respondent-company in seeking to resurrect the claim for retaining the agricultural land on the ground that the company had been engaged exclusively in agricultural farming by making an application before the State Authorities sometime in between 2007-2008 after the land had already been vested in the State pursuant to the Revenue Officer's order dated 07.10.1971 denying any claim

6 (1979) 2 SCC 409.

7 (2019) 2 SCC 684.

8 (2010) 1 SCC 234.

9 AIR 2011 SC 3199.

10 AIR 1964 SC 1823.

Supreme Court Reports

of the respondent-company to retain the agricultural land as it failed to prove that it had been engaged exclusively in agricultural activities. That apart, the attempt of the respondent-company to judicially challenge the said order of the Revenue Officer dated 07.10.1971 also culminated in the closure of the same in 1975 after the respondent-company's writ petition was closed on 23.09.1975. Subsequently, its application for restoration of the writ petition was rejected on 11.03.1987, and its appeal against the same was also dismissed on 07.02.2002.

24. However, the State Government directed the Revenue Officer to review its earlier order dated 07.10.1971 by passing the order on 26.02.2008, and the concerned Revenue Officer passed the review order on 07.05.2008, enabling the respondent-company to retain agricultural land already vested in the State.
25. Having regard to the facts and circumstances as mentioned above, we have to examine as to whether the B.L. & L.R.O. (Revenue Officer) could have, by its order dated 07.05.2008, reviewed the earlier order of the Revenue Officer dated 07.10.1971.
26. The attending and consequential issue that arises for consideration is whether the respondent-company had fulfilled the conditions to be entitled to retain the lands in question under Section 6(1)(j) of the WBEA Act, 1953 — that is, whether it was “exclusively engaged in agricultural farming” as on 1st January 1952 to claim exemption from vesting under the 1971 determination?

THE FIRST ISSUE

27. Coming to the primary issue of whether the Revenue Officer was competent to review its earlier order of 1971. Notably, the respondent-company defends the power of the Revenue Officer to review its earlier order by relying on Section 57A of the WBEA Act, 1953, and the order of the State Government of 26.02.2008 directing the Revenue Officer to review the earlier order. Section 57A of the Act reads as follows:-

“57A. The State Government may by order invest any authority referred to in section 53 with all or any of the powers of a Civil Court under the Code of Civil Procedure. 1908.”

State of West Bengal & Ors. v. Jai Hind Pvt. Ltd.

The Authorities referred to under Section 53 are as follows:

“53. (1) There shall be the following authorities for the purposes of this Act, namely:-

(a) The Board or Revenue;

(b) Director of Land Records and Surveys;

(c) Settlement Officers;

(d) Assistant Settlement Officers;

(e) Compensation Officers;

(f) Revenue Officers;

(ff) Officers appointed by the State Government for the purposes of sub-clause (iv) of clause (a) of sub-section (I) of section 16;

(g) Mining Experts for the purposes of sections 32, 33 or 34.

(2) The State Government may appoint any person as a Compensation Officer or a Revenue Officer or may vest any officer with the powers of a Compensation Officer or a Revenue Officer under this Act.”

28. It appears that in exercise of the powers conferred under Section 57A of the WBEA Act, 1953, the State Government issued a notification bearing no. 340L, dated 09.01.1958, by which all the Settlement Officers, Assistant Settlement Officers and Revenue Officers were invested with all the powers of the Civil Court under the Code of Civil Procedure, 1908. The said notification reads as follows:

“Land Reforms***ORDER***

No.340L.Ref.-9th January 1958.- In exercise of the power conferred by section 57A of the West Bengal Estates Acquisition Act, 1953 (West Bengal Act I of 1954), the Governor is pleased to invest each of the authorities mentioned in the schedule below, being authorities referred to in section 53 of the said Act, with all the powers of a Civil Court under the Code of Civil Procedure, 1908 (Act V of 1908):-

Supreme Court Reports

The schedule

1. *All Settlement Officers.*
2. *All Assistant Settlement Officers.*
3. *All Revenue Officers.*

*By order of the Governor,
S. BANERJEE, Secy."*

29. Thus, according to the respondent-company, the Revenue Officer, having been invested with all the powers of the Civil Court, was competent and had jurisdiction to review the earlier order dated 07.10.1971, as also directed by the State Government vide their order dated 26.02.2008. This is the foundational claim of the respondent-company as regards the competency of the Revenue Officer to review its earlier order.
30. To examine this contention, which *ex-facie* appears to be in order, we must minutely examine the scope of Section 57A of the WBEA Act, 1953 and also the power of review, more particularly of quasi-judicial authorities, keeping in mind that the Authorities mentioned under Section 53 of the WBEA Act, 1953, are not judicial but administrative authorities exercising certain quasi-judicial powers under the WBEA Act, 1953, for the effective implementation of the aforesaid Act.
31. It is well-settled that the power of review is not an inherent power of the Court. It is also equally well settled that quasi-judicial authorities can exercise only those powers which are expressly conferred upon them by the statute. Hence, the power of review, which is not inherent, must be conferred upon the quasi-judicial authority by means of a specific provision in the statute. Highlighting this principle, a three-judge Bench of this Court in *Patel Narshi Thakershi v. Pradyuman Singhji*¹¹ had observed as follows:

"4. ...It is well settled that the power to review is not an inherent power. It must be conferred by law either specifically or by necessary implication. No provision in the Act was brought to our notice from which it would be gathered that the Government had power to review its

11 (1971) 3 SCC 844.

State of West Bengal & Ors. v. Jai Hind Pvt. Ltd.

own order. If the Government had no power to review its own order, it is obvious that its delegate could not have reviewed its order...."

32. In the same vein, it was held by the Supreme Court in *Kalabharati Advertising v. Hemant Vimalnath Narichania*¹² that,

"12. It is settled legal proposition that, unless the statute/ rules so permit, the review application is not maintainable in case of judicial/quasi-judicial orders. In the absence of any provision in the Act granting an express power of review, it is manifest that a review could not be made and the order in review, if passed, is ultra vires, illegal and without jurisdiction..."

33. This Court has time and again, through various judgments, including in *Patel Chunibhai Dajibhai v. Narayanrao Khanderao Jambekar*¹³, *Major Chandra Bhan Singh v. Latafat Ullah Khan*¹⁴, *Patel Narshi Thakershi v. Pradyuman Singhji Arunsinghji*¹⁵, *State of Orissa and Others v. Commissioner of Land Records & Settlement, Cuttack & Others*¹⁶, *Harbhajan Singh v. Karam Singh*¹⁷, and *Kuntesh Gupta (Dr.) v. Hindu Kanya Mahavidyalaya*¹⁸, has underscored that an order of review cannot be passed by a quasi-judicial authority without a statutory jurisdiction bestowed upon it.
34. In the light of the above well-settled principle, in our opinion, unless a specific provision has been made in the WBEA Act of 1953, investing the power of review in the Revenue Officer or such other authorities mentioned under Section 53 of the Act, these authorities could not have possessed the power or authority to review an earlier order. The omnibus expression used in the State notification dated 09.01.1958 investing all the Settlement Officers, Assistant Settlement Officers and Revenue Officers with all the powers of the Civil Court, in our opinion, does not amount to conferment of power of review as well to these authorities.

¹² (2010) 9 SCC 437.

¹³ AIR 1965 SC 1457.

¹⁴ (1979) 1 SCC 321.

¹⁵ (1971) 3 SCC 844.

¹⁶ (1998) 7 SCC 162.

¹⁷ AIR 1966 SC 641.

¹⁸ (1987) 4 SCC 525.

Supreme Court Reports

35. In our view, there has to be a specific conferment of the power of review to these authorities as observed by this Court in a catena of decisions as referred to above, which is absent in the present case.
36. In addition, there are other sound jurisprudential reasons for holding so.
37. Separation of power and independence of the judiciary have been considered integral parts of the basic structure of our Constitution as propounded in *Kesavananda Bharati v. State of Kerala*¹⁹, and reiterated in subsequent decisions of *Minerva Mills Ltd. v. Union of India*²⁰, *I.R. Coelho v. State of T.N.*²¹, etc.
38. The French Philosopher Montesquieu, in *The Spirit of the Laws* (1748), while propounding the theory of separation of powers, argues that political authority must be divided among distinct legislative, executive, and judicial branches to protect liberty and prevent tyranny. He proposed that each branch should have its own distinctive functions and ideally be manned by different personnel, ensuring that no single person or body holds all three powers, thereby creating a system of checks and balances to safeguard against despotic rule, a concept crucial to modern democratic Constitutions like ours. His theory finds acceptance in the aforesaid doctrine of basic structure propounded by this Court. Montesquieu said the following in *The Spirit of Laws*:

“When the legislative and executive powers are united in the same person, or in the same body of magistrates, there can be no liberty; because apprehensions may arise, lest the same monarch or senate should enact tyrannical laws, to execute them in a tyrannical manner. Again, there is no liberty, if the judiciary power be not separated from the legislative and executive. Were it joined with the legislative, the life and liberty of the subject would be exposed to arbitrary control; for the judge would be then the legislator. Were it joined to the executive power, the judge might behave with violence and oppression. There would be an end of everything, were the same man or

19 (1973) 4 SCC 225.

20 (1980) 3 SCC 625.

21 (2007) 2 SCC 1.

State of West Bengal & Ors. v. Jai Hind Pvt. Ltd.

the same body, whether of the nobles or of the people, to exercise those three powers, that of enacting laws, that of executing the public resolutions, and of trying the causes of individuals.”

39. Closely and intrinsically linked to the aforesaid idea is the concept of the independence of the judiciary. Separation of powers provides the guarantee for the independence of the judiciary and also acts as a safeguard against arbitrariness, upholding democratic values and the rule of law.
40. The importance and applicability of these principles have been reiterated from time to time by this Court, especially in the context of the creation of Tribunals seeking to supplement/substitute Courts. While tribunalisation in India has been judicially recognised, this Court has emphasised the need to ensure independence of the judiciary and separation of powers in the functioning of Tribunals and, wherever this Court has found that any such tribunalisation has violated these core principles, this Court has not hesitated to strike down such offensive provisions or pass appropriate remedial directions.
41. In one of the earliest decisions of this Court on the Tribunals jurisprudence in *S.P. Sampath Kumar v. Union of India*²², the Constitution Bench of this Court, while upholding the constitutional validity of the Administrative Tribunals Act, 1985, which provided for the establishment of administrative tribunals to adjudicate service disputes of public servants, held that “the Tribunal should be a real substitute of the High Court-not only in form and *de jure* but in content and *de facto*”. More importantly, the Bench also decided that the Chairman of the Tribunal “office should for all practical purposes be equated with the office of Chief Justice of a High Court”, and that a retiring or retired Chief Justice of a High Court or when such a person is not available, a Senior Judge of proved ability either in office or retired should be appointed. The Bench observed that the position of Chairperson should not be held by an individual who has merely served as a Secretary to the Government of India. What weighed with the Court was the necessity that the holder of the office must be an individual whose decision-making is informed by the

22 (1987) 1 SCC 124.

Supreme Court Reports

institutional discipline of the judiciary, a quality that emerges from adequate judicial training and judicial temperament and experience rather than mere administrative exposure.

42. In *R.K. Jain v. Union of India*²³, a three-judge Bench of this Court observed that the Tribunals set up under Articles 323-A and 323-B of the Constitution or under an Act of the legislature are creations of the legislature and in no case can claim the same status as High Courts or their judges or parity or as substitutes of the same. It was, however, emphasised that as the personnel appointed to hold those offices under the State are called upon to discharge judicial or quasi-judicial powers, they must have a judicial approach and also knowledge and expertise in that particular branch of constitutional, administrative and tax laws. The Court accordingly underscored that it is necessary that those who adjudicate upon these matters should have legal expertise, judicial experience and a modicum of legal training.
43. Subsequently, the seven-judge Bench of the Supreme Court in the case of *L. Chandra Kumar v. Union of India and Others*²⁴, held that the High Courts' power of judicial superintendence over all Courts and Tribunals within their jurisdiction forms part of the basic structure of the Constitution. The Court held that although Tribunals cannot exercise judicial review of legislative action to the exclusion of the High Courts or the Supreme Court, they may perform a supplementary, though not a substitutive, role in this regard. Further, the Court held Article 323A(2)(d) and Article 323B(3)(d) to be unconstitutional insofar as they exclude the jurisdiction of the High Courts.
44. In *Union of India v. Madras Bar Assn.*²⁵, this Court highlighted the importance of the independence of the judiciary and observed as follows:

"64. Only if continued judicial independence is assured, tribunals can discharge judicial functions. In order to make such independence a reality, it is fundamental that the members of the tribunal shall be independent persons, not civil servants. They should resemble the courts and not

23 (1993) 4 SCC 119.

24 (1997) 3 SCC 261.

25 (2010) 11 SCC 1.

State of West Bengal & Ors. v. Jai Hind Pvt. Ltd.

bureaucratic Boards. Even the dependence of tribunals on the sponsoring or parent department for infrastructural facilities or personnel may undermine the independence of the tribunal (vide Wade & Forsyth: Administrative Law, 10th Edn., pp. 774 and 777)."

45. Further, the Supreme Court, in the above case, emphasising the concept of separation of powers, also held that:

"107. ...if a Tribunal is packed with members who are drawn from the civil services and who continue to be employees of different Ministries or Government Departments by 30 maintaining lien over their respective posts, it would amount to transferring judicial functions to the executive which would go against the doctrine of separation of power and independence of judiciary."

46. Later, the judgment in *Madras Bar Association v. Union of India and Another*²⁶, etc., further strengthened judicial independence by underscoring judicial primacy in discharging judicial functions. Thus, this Court has been emphasising the competence, ability, and independence of the judicial mind for those who man the Tribunals clothed with judicial functions for upholding the independence of the judiciary and the separation of powers.
47. If we allow such executive authorities exercising quasi-judicial power which draw their limited powers from the statutes which create them, to review their earlier orders on merit, it will tantamount to converting Tribunals to regular Courts which eventually will undermine the independence of the judiciary, which will ultimately affect the justice delivery system and be contrary to the principles evolved so far as the functioning of Tribunals is concerned.
48. We, therefore, must eschew any such interpretation of the statute which seeks to confer a blanket power of the Civil Court, including the power of review to such administrative authority in the exercise of *quasi-judicial* power.
49. Seen from the above judicial perspective, this Court must be circumspect and ought not countenance any blanket investing of all powers of the Civil Court, which would include the power of

Supreme Court Reports

review on such non-judicial administrative functionaries like the Revenue Officer in terms of Section 57A of the WBEA Act, 1953, as the respondent-company would insist. In our view, Section 57A of the WBEA Act, 1953, cannot be construed to include vesting of power of review in the absence of a clear statutory provision to such quasi-judicial authority manned by an executive functionary like the Revenue Officer, bereft of any judicial training or judicial qualification, as it would run contrary to the aforesaid judicial position adopted concerning Tribunals.

50. In spite of the aforesaid provision under Section 57A of the WBEA Act, 1953, that the legislature did not intend to confer the power of review to the authorities provided under the said Act is evident from the proviso to sub-section (3) of Section 57B of the 1953 Act which provides that in deciding a dispute under this sub-section, the Revenue Officer shall not re-open any matter which has already been enquired into, investigated, determined or decided by the State Government or any authority under any of the provisions of this Act. Section 57B reads as follows:

“57B (1) Where an order has been made under sub-section (1) of section 39 directing the preparation or revision of a record-of-rights, no Civil Court shall entertain any suit or Application for the determination or rent or determination of the status of any tenant. Or the incidents of any tenancy to which the record-of rights relates, and if any suit or application, in which any of the aforesaid matters, is in issue, is pending before a Civil Court on the date of such order, it shall be stayed, and it shall, on the expiry of the period prescribed for an appeal under subsection (3) of section 44 or when an appeal has been filed under that sub-section , as the case may be, on the disposal of such appeal, abate so far as it relates to any of the aforesaid matters.

(2) No Civil Court shall entertain any suit or application concerning any land or any estate, or any right in such estate, if it relates to---

(a) alteration of any entry in the record-of-rights finally published, revised, made, corrected or modified under any of the provisions of Chapter V,

State of West Bengal & Ors. v. Jai Hind Pvt. Ltd.

(b) a dispute involving determination of the question, either expressly or by implication, whether a raiyat, or an intermediary, is or is not entitled to retain under the provisions of this Act such land or estate or right in such estate, as the case may be, or

(c) any matter which under any of the provisions of this Act is to be, or has already been, enquired into, decided, dealt with or determined by the State Government or any authority specified therein.

and any such suit or application which is pending before a Civil Court immediately before the commencement of the West Bengal estates Acquisition (Second Amendment) Act, 1973, shall abate so far as it relates to all or any of the matters referred to in clause (a), clause (b) or clause (c).

(3) any dispute referred to in clause (b) of sub-section (2) may be decided by a Revenue Officer not below the rank of an Assistant Settlement Officer, specially empowered by the State Government in this behalf, who shall dispose of the same in such manner as may be prescribed:

Provided that in deciding a dispute under this sub-section, the Revenue Officer shall not re-open any matter which has already been enquired into, investigated, determined or decided by the State Government or any authority under any of the provisions of this Act.

(4) Any person aggrieved by a decision of the Revenue Officer made under sub-section (3) may appeal to the prescribed authority not below the rank of a Settlement Officer, within such time, in such manner and subject to payment of such fees as may be prescribed.

(5) A decision made by an Appellate Authority under sub-section (4) shall be final.

Explanation ----In this section, ----

(i) suit includes an appeal, and

(ii) an authority includes an authority to hear an appeal."

Supreme Court Reports

51. Having regard to the above-mentioned proviso in Section 57B (3) of the 1953 Act, it can be said that the 1971 vesting order passed by the Revenue Officer after full inquiry and adjudication, constitutes such a determination which also attained finality after it was unsuccessfully challenged before the Court of law. The concerned Revenue Officer thus stood barred from re-opening, revisiting, or re-deciding its earlier vesting order in view of the aforesaid proviso.
52. What is thus evident is that the scheme of the WBEA Act, 1953 does not contemplate any executive authority reopening a vesting determination or substituting a decision already rendered after due inquiry. It is also clear that the authorities enumerated under Section 53 of the WBEA Act, 1953, such as Revenue Officers, Settlement Officers and Compensation Officers, among others, are vested only with such limited adjudicatory powers as the statute expressly confers upon them. To permit these authorities to undertake a wholesale re-adjudication of a vesting order by exercising the power of review would be to attribute to them a power far wider than what the legislature had envisaged. Such an interpretation would render the carefully structured legislative framework otiose, contrary to the settled principle that statutory authorities must operate strictly within the bounds of the powers conferred upon them.
53. In this context, we have also considered certain decisions of the Calcutta High Court regarding the lack of power of review qua executive authorities, such as the Revenue Authority. The Calcutta High Court in *Satyanarayan Banerjee v. Charge Officer and A.S.O. Birbhum*²⁷, while dealing with the question as to whether the successor Assistant Settlement Officer could have any jurisdiction to initiate proceedings for review for reopening an earlier order by the previous Assistant Settlement Officer under the WBEA Act, 1953, answered the aforesaid question in the negative. It was held that:

“5. ... There can be no dispute on principle now that a Tribunal like the Assistant Settlement Officer possesses no inherent power of review. This position is now well settled by the three decisions of the Supreme Court, namely, Chunibhai v. Narayanrao, AIR 1965 SC 1457, Harbhajan Singh v. Karam Singh, AIR 1966 SC 641 and State of Madhya Pradesh v. Balkrishan Nathani, AIR 1967 SC 394.”

State of West Bengal & Ors. v. Jai Hind Pvt. Ltd.

“7. ... A successor Assistant Settlement Officer has certainly no authority or jurisdiction to take a different view and reopen the said proceeding for review on the ground that all the lands of the endowment had not earlier been taken into consideration...”

54. Relying on the above-mentioned judgment in the case of *Satyanarayan Banerjee* in a later case of *Ramaprasanna Roy v. State of West Bengal*²⁸, the Calcutta High Court held that the successor Revenue Officer has no power and/or jurisdiction to reopen the finding of the earlier Revenue Office under the WBEA Act, 1953. It was held that:

“14. But firstly, since the writ petitioners have a “strong prima facie case”. In their favour that the “successor Revenue Officer” has no power and/or jurisdiction “to reopen” the finding of the earlier Revenue Officer, having “concurrent jurisdiction”, the impugned order of reopening and/or review was wholly unwarranted since the very beginning and should be set aside by issue of an appropriate writ in the nature of Certiorari.

*15. Secondly, in my view, as there is no provision for “review” of the order passed under s. 5A(3)(ii) of the West Bengal Estates Acquisition Act, 1953, pari materia to the provisions of s. 14T(3a) of the West Bengal Land Reforms Act, 1955, which has been inserted by way of legislative amendment, by the West Bengal Legislature in 1978, and as such, **in the absence of any such enabling provision a “Successor Officer” in any event is incompetent to exercise such power of review as, such power is not “inherent” in the Officer.***

*16. In this respect. I may rely on a Single Bench decision of this Court reported in the case of *Satyanarayan Banerjee v. Charge Officer and A.S.O. Birbhum*, Suri reported in AIR 1975 Cal. 43 : (1974 CHN (N) 127) where Anil Kumar Sen, J. (as His Lordship then was) held that a “successor Revenue Officer” having “concurrent jurisdiction” cannot reopen the finding of the earlier Revenue Officer, having concurrent jurisdiction.*

Supreme Court Reports

17. I, respectfully, agree with that view and hold that the entire move including the reopening and/or vesting of the land by successor Revenue Officer who is sitting over the judgment of the earlier Revenue Officer, in this matter was unwarranted and is accordingly set aside.”

55. We are in agreement with the aforesaid view taken by the Calcutta High Court.
56. At a more fundamental level, allowing a Revenue Officer to review its own concluded quasi-judicial order would trench upon the constitutional doctrine of separation of powers, which constitutes part of the basic structure of the Constitution. Though vested with limited adjudicatory functions, authorities under the WBEA Act, 1953, remain essentially members of the executive branch and are neither part of the judicial organ nor equipped with the institutional safeguards that attend judicial office, such as independence from executive control.
57. The power of review is essentially a core judicial function, and conferring such a power upon executive authorities, absent an express legislative mandate, would blur the constitutionally mandated demarcation between the executive and the judiciary, permit the executive authorities to sit in judgment over their own decisions, and erode the rule of law by diluting finality. Any contrary construction would, therefore, be inconsistent with legislative intent and would impermissibly encroach upon the basic structure of the Constitution.
58. Therefore, the fresh order of review dated 07.05.2008 by the Revenue Officer by setting aside the 1971 vesting order is in direct contravention of the statutory command embodied in the WBEA Act, 1953, and hence wholly void and illegal.

THE SECOND ISSUE

59. Even though we have held that the Revenue Officer did not have the power of review, we have nevertheless examined the order of review passed on 07.05.2008 to ascertain if such a review undertaken conformed to the principles governing law of review or not.
60. As regards the scope of review, it is well settled that it is of a limited and narrow one, unlike the case of appeal, where the appellate Court could revisit the entire facts and could re-hear the complete matter on merits. On the other hand, the purpose of a review is to

State of West Bengal & Ors. v. Jai Hind Pvt. Ltd.

rectify manifest or exceptional wrongs. It is not for reappreciating facts or seeking a different conclusion. Thus, a review could not be an appeal in disguise by reappreciating the evidence and grounds which have already traversed or come to a conclusion.

61. Review is essentially to strike a balance between the rule of finality, which is crucial for maintaining legal certainty and to avoid irremediable injustice caused by patent mistakes, fraud, failure of natural justice or similar exceptional situations, as was held in *M/s. Northern India Caterers Limited v. Lieutenant Governor of Delhi*²⁹. It is for this reason that the Courts have emphasised from time to time that review must be exercised with great caution and only when the requisite limited criteria are satisfied, in which the error must be evident and not one which requires elaborate arguments to discover.
62. One can find the basic legal postulates of the scope of review in Section 114 read with Rule 1 of Order XLVII of the CPC, which are applied in all proceedings in which the power of review is exercised. Thus, only on the following grounds, a review would lie:
 - i. Discovery of new and important matter or evidence; or
 - ii. Mistake or error apparent on the face of the record; or
 Any other sufficient reason.
63. Before we proceed to discuss the applicability of the above principles in the present case, we may recapitulate the background in which the review was sought and exercised by the Revenue Officer. The respondent-company had sought the review of the earlier order of the Revenue Officer dated 07.10.1971 which denied the benefit of retention of agricultural land by the respondent-company as contemplated under Section 6(1)(j) of the WBEA Act, 1953. Section 6(1)(j) reads as follows:

“(j) where the intermediary is a co-operative society registered or deemed to have been registered under the Bengal Co-operative Societies Act, 1940, or a company incorporated under the Indian Companies Act, 1913, **engaged exclusively in farming** (and in business, if any, connected directly with such farming), - agricultural land in the khas possession of the society or the company **on the**

Supreme Court Reports

1st day of January, 1952, and chosen by the society or the company, not exceeding in area the number of acres which persons, who were the members of the society or the company on such date, would have been entitled to retain in the aggregate under clause (d), if every such person were an intermediary;

Provided that where any such person retains any land under clause (d), such person shall not be taken into account in calculating the aggregate area of the land which the society or the company may retain.”

64. To get the benefit contemplated under Section 6(1)(j) of the WBEA Act, 1953 a company incorporated under the Indian Companies Act, 1913 must establish, *inter alia*, the following two essentials: (i) that it was engaged exclusively in farming (and in business, if any, connected directly with such farming); and (ii) that it was so engaged as on 1st January 1952.
65. In the instant case, records reveal that the respondent-company even after being given sufficient opportunities, failed to discharge its onus of proving the first condition before the vesting authority (Revenue Officer) in the earlier proceedings in 1971 under Section 6(1)(j) of the WBEA Act, 1953. Hence, it was not granted the benefit of exemption from vesting in the vesting order dated 07.10.1971. Highlighting the same, the concerned Revenue Officer in the said vesting order rightly observed:

“The representative of the company has not produced any evidence whatsoever to show that the company after its creation adopted any resolution for carrying on business exclusively connected with agricultural farming.

The papers produced merely show that the company has some agricultural lands and it is paying agricultural income tax and others on account of the incomes that it might have derived from such lands. These papers do not prove that the company is not engaged with any other business or trade in terms of memorandum and articles of association.”

66. A careful examination of the 1971 vesting order reveals that, although the respondent-company sought to rely on its MOA — particularly clauses 7, 8 and 13 — to demonstrate that it was engaged in

State of West Bengal & Ors. v. Jai Hind Pvt. Ltd.

agricultural activities, the Revenue Officer rightly declined to treat these clauses as conclusive proof of “exclusive” engagement in farming. Accordingly, as per the vesting order dated 07.10.1971, the respondent-company’s about 205.44 acres of land were then vested in the appellant-State, and an area of about 25 acres of agricultural land, nearly 0.25 acres of non-agricultural land, and 0.24 acres of homestead were allowed to be retained by the respondent-company.

67. In our view, the 1971 vesting order does not suffer from any legal flaw, and it correctly concluded that the respondent-company failed to prove the statutory pre-condition of Section 6(1)(j) of the WBEA Act, 1953, despite being given sufficient time. Most importantly, the records reflect that the Revenue Officer afforded the respondent-company ample opportunities to substantiate its claim. A notice dated 05.07.1971 was duly served, calling upon the respondent-company to produce evidence in support of its assertion of exclusive engagement in agricultural farming on the date of the hearing on 20.07.1971. At the respondent-company’s request, the hearing was adjourned first to 17.08.1971 and then to 30.08.1971.
68. On 30.08.1971, when the final hearing was going on, in spite of the opportunity given again, the respondent-company failed to produce the requisite documents, particularly its balance sheet, that it had itself adverted to as material. Significantly, at the conclusion of the hearing, the respondent-company expressly stated before the Revenue Officer that it had nothing further to submit. Even on the date when the vesting order was pronounced, the promised balance sheet remained unproduced in spite of further opportunity granted to do so by the Revenue Officer. In these circumstances, the finding by the Revenue Officer that in spite of several opportunities granted, the respondent-company could not prove the essential statutory requirement was inevitable and unimpeachable, and the vesting of the land in the State had to follow as a natural consequence.
69. Even before this Court, nothing has been brought to our notice by the respondent-company of the existence of sufficient material evidence to establish the fact that it was exclusively engaged in farming as on 01.01.1952. In its submissions before this Court, the reliance was again placed on Clause 13 of its MOA. It reads as under:

“(13) To sell, improve, manage, develop or otherwise exchange, lease, mortgage, disposed of turn to account

Supreme Court Reports

or deal in all or any part of the property and rights of the company and to do agriculture farming and agri business.”

70. The aforementioned Clause does not establish that the respondent-company was established exclusively for farming. It mentions agricultural and agri-business as one of its activities. Its MOA reveals that the respondent-company was incorporated with a host of business objectives unrelated to agriculture, such as manufacturing or selling of all kinds of machines, purchasing, selling, taking on lease any movable/immovable property, patent licences, among many others. The mere presence of agricultural objectives in a company's MOA does not establish that such activities were, in fact, its sole or predominant operation, nor does it rule out the pursuit of other commercial objectives expressly permitted by the very same document.
71. Moreover, after perusing the documents relied upon by the respondent-company, viz., (i) Certificate of 'Agricultural Income Tax Officer' dated 12.10.1979, (ii) Audited Balance Sheets dated 25.07.1952, (iii) Auditors' Certificates dated 25.07.1952, 30.12.1971, 09.08.2007, 27.09.2007, and 11.04.2008. (iv) Income-Tax Scrutiny Order for the assessment year 2007-2008, (v) Special-Resolution' submitted to ROC' dated 25.01.1951, we are of the view, without expressing any opinion on their veracity, that these materials majorly do not support the claim of the respondent-company that it was exclusively engaged in agricultural farming as on 01.01.1952, as either these came into existence long after the vesting order dated 07.10.1971 culminated or were not produced timely by the respondent-company before the Revenue Officer at the time of the 1971 vesting proceedings, despite multiple opportunities being granted. Consequently, these documents cannot furnish a basis for the review of the 1971 vesting determination, especially in the absence of any statutory provision allowing the same. A belated reliance on such material, after a lapse of nearly four decades, cannot constitute a legally sustainable ground for reopening a concluded vesting determination by a Revenue Officer.
72. In addition to the above, the submission reiterated by the respondent-company that it filed a return in Form 'B' on 14.08.1956 claiming entitlement to retain the concerned land and that it was permitted to retain such land by the Revenue Officer cannot be accepted, as neither any record of acknowledgment of filing of Form 'B' nor any order passed by the said Revenue Officer granting the retention of the aforesaid land was ever produced by the respondent-company.

State of West Bengal & Ors. v. Jai Hind Pvt. Ltd.

In any event, such a plea was rejected by the High Court in the impugned judgment, as no copy of such an order passed by the Revenue Officer was produced before the High Court.

73. In view of the above discussion, it can be concluded that the respondent-company is not entitled to retain the lands in question under Section 6(1)(j) of the WBEA Act, 1953, as it could not prove its claim that it was “exclusively engaged in agricultural farming” as on 01.01.1952. Therefore, the 1971 vesting order does not suffer from any legal infirmity.
74. Having held that the vesting order dated 07.10.1971 is legally valid, we will now proceed to examine if any case of review is made out or not by applying the facts of the case on the anvil of the legal principles governing the law of review.

First, on the discovery of new and important matter or evidence.

75. A review can be sought under this ground by an aggrieved litigant on the discovery of a certain new and important matter or evidence, which, after exercise of due diligence, was not within his knowledge or could not be produced by him at the time when the decree was passed. A review of a judgment is a drastic step, and a reluctant resort to it is proper only where a glaring omission or patent mistake or a grave error has crept in earlier by judicial fallibility. A mere repetition, through different counsel, of old and overruled arguments, a second trip over ineffectually covered ground or minor mistakes of inconsequential import, are obviously insufficient, as was rightly held in *Sow Chandra Kante v. Sk. Habib*³⁰. The provision is not meant to give a second chance to the aggrieved party who has lost their case due to their own negligence.
76. Now, if we apply this principle to the facts of the present case, it cannot be believed that crucial documents such as the 1951 Resolution and Audited Balance Sheets dated 25.07.1952, relied upon by the respondent-company in the 2008 review, were not within its possession and knowledge earlier. The respondent-company failed to produce such documents despite being afforded several opportunities during the 1971 vesting process. A party cannot justify a review by

30 (1975) 1 SCC 674.

Supreme Court Reports

producing old documents lying in its own custody, as this does not constitute “discovery” nor satisfy the “due diligence” requirement.

Second, on a mistake or error apparent on the face of the record.

77. This condition is also equally inapplicable in the present case. It must be noted that the error under this ground must be self-evident and should not require an exhaustive examination or argument to establish it, as was held by a three-judge Bench of this Court in the case of *Thungabhadra Industries Ltd. v. Govt. of A.P.*³¹ The material portion of the judgment reads as under:

“7....A review is by no means an appeal in disguise whereby an erroneous decision is reheard and corrected, but lies only for patent error. We do not consider that this furnishes a suitable occasion for dealing with this difference exhaustively or in any great detail, but it would suffice for us to say that where without any elaborate argument one could point to the error and say here is a substantial point of law which stares one in the face, and there could reasonably be no two opinions, entertained about it, a clear case of error apparent on the face of the record would be made out....”

78. In light of the facts and circumstances as noted above, it can be conclusively said that the 1971 vesting order was passed after issuing proper notice, granting multiple adjournments on the request of the respondent-company, conducting a full hearing, and recording the respondent-company’s categorical statement that it had “nothing further to produce.” The findings were based on the respondent-company’s failure to prove exclusive engagement in farming, which is the statutory requirement under Section 6(1)(j) of the WBEA Act, 1953. No patent error, self-contradiction, or legal misconception is visible on the face of the record. Accordingly, the second condition is also not met.

Third, on any other sufficient reason.

79. Insofar as this ground is concerned, recently, this Court in the case of *State (NCT of Delhi) v. K.L. Rath Steel Ltd.*³², held as follows:

³¹ 1963 SCC OnLine SC 94.

³² (2024) 7 SCC 315.

State of West Bengal & Ors. v. Jai Hind Pvt. Ltd.

“45. With regard to (iii) (supra), we can do no better than refer to the traditional view in Chhajju Ram, a decision of a Bench of seven Law Lords of the Judicial Committee of the Privy Council. It was held there that the words “any other sufficient reason” means “a reason sufficient on grounds at least analogous to those specified immediately previously”, meaning thereby (i) and (ii) (supra). Notably, Chhajju Ram has been consistently followed by this Court in number of decision starting with Moran Mar Basselios Catholicos V. Mar Poulouse Athanasius.

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106. Moving on further, we find that the attempt of the review petitioners has been to draw inspiration from the ground “any other sufficient reason” appearing in Rule 1. There have been decisions of this Court which have construed the words “any other sufficient reason” expansively, like Netaji Cricket Club and Jagmohan Singh, whereas there are decisions, including Moran Mar Basselios Catholicos, Shatrunji, Kamlesh Verma and S. Madhusudhan Reddy, that have followed Chhajju Ram explaining that the ground “any other sufficient reason” means “a reason sufficient on grounds at least analogous to those specified immediately previously.

107. However, with utmost respect, we do not find any of those decisions, which have taken an expansive view, looking at such ground in the manner we propose to look, for recording our concurrence with the view in Chhajju Ram that has unhesitatingly been followed over the years. If indeed “any other sufficient reason” were to take within its embrace any situation not analogous to “discovery of new matter or evidence” and “on account of some mistake or error apparent on the face of the record”, we wonder why the legislature chose to keep “any other sufficient reason” immediately after the aforesaid two grounds. If “any other sufficient reason” were to be read independent of the said two grounds, we believe the long line in Rule 1 after clauses (a) to (c) need not have been drafted in the manner it presently reads. In lieu of referring to the

Supreme Court Reports

said two grounds as grounds on which a review could be sought, the legislature could well have kept it open-ended as in Section 5 of the Limitation Act, 1963 where it is provided, without any strings attached, that any appeal or any application may be admitted after the prescribed period of limitation if the appellant or applicant satisfies the court that he had "sufficient cause" for not preferring the appeal or the application earlier. If the intention of the legislature were to give an expanded meaning, Order 47 Rule 1 would have read somewhat like this: any person considering himself aggrieved by a decree or order or decision of the nature indicated in clauses (a), (b) and (c) for any sufficient reason desires to obtain a review of the decree or order made against him, may apply for a review. But that is not what the provision says and means. Reading Order 47 Rule 1 in juxtaposition to section 5 of the Limitation Act drives us to accept the view in Chhajju Ram as having interpreted the law correctly and acceptance of the same by this Court and High Courts over the years, coupled with the fact that Parliament did not consider it necessary to amend Rule 1 when it inserted the Explanation in 1976. Giving a wider meaning to the ground "any other sufficient reason" in Netaji Cricket Club and Jagmohan Singh, therefore, must have been intended and necessitated by this Court because the justice of the cases so demanded but the same would have no application in a case of this nature."

80. Further, the Courts have time and again decided what can fall under the term "any other sufficient reason". For instance, *inter alia*, where the Court omits to notice or consider relevant statutory provisions was held to be a sufficient reason in *Girdhari Lal Gupta v. D.H. Mehta*³³. Additionally, an order arising out of a lack of jurisdiction was held to be a sufficient reason in *Budhia Swain v. Gopinath Deb*³⁴. However, in the case at hand, there exists no such "sufficient reason" within the meaning of Rule 1 of Order XLVII of the CPC.

33 (1971) 3 SCC 189.

34 (1999) 4 SCC 396.

State of West Bengal & Ors. v. Jai Hind Pvt. Ltd.

81. In view of the foregoing discussion, it is evident that the respondent-company failed to satisfy any of the conditions for review as also contemplated under Order XLVII, Rule 1 of the CPC. Consequently, even assuming for argument's sake that the Revenue Officer possessed the jurisdiction to entertain a review, which he demonstrably did not have, as already held above, the review order of 2008 was devoid of any legal foundation. The review was thus fundamentally misconceived, contrary to settled principles governing the exercise of review power
82. As discussed above, the power of review is to be exercised on the limited grounds recognised under law, as postulated under Order XLVII Rule 1 of the CPC. In the present case, however, it is evident that the trigger for reopening the earlier vesting order of 1971 was not the existence of any legally permissible ground for review, but was primarily based on the claimed "amicable settlement" between the respondent-company and the State government. It is the respondent-company's own case that during the pendency of WPLRT No. 763 of 2001 before the High Court, it submitted a representation to the Chief Minister of the State seeking reconsideration of the 1971 vesting determination for the purpose of establishing an eco-friendly agro-based industry, purportedly involving employment generation and economic benefits. Acting upon this proposal, the State Government proceeded to direct a review of the vesting order dated 07.10.1971. The record thus clearly demonstrates that the decision to initiate the review was driven by considerations of perceived economic advantage, such as prospective employment generation, rather than by any of the grounds recognised in law for invoking the power of review. Such considerations, however laudable in the executive or policy domain, are wholly extraneous to the limited and strictly circumscribed jurisdiction of review. A concluded determination cannot be reopened on the basis of subsequent policy preferences or economic expediency, in the absence of a legally sustainable ground contemplated under the law governing review.
83. As discussed above, it is also important to note that the direction issued by the State Government vide Government Order dated 26.02.2008 to review the earlier vesting determination was made after an inordinate and unexplained lapse of about four decades from the passing of the vesting order dated 07.10.1971, which had attained finality. While it is true that Constitutional Courts are not

Supreme Court Reports

strictly bound by limitation in exercising their jurisdiction, the position is markedly different in respect of the review jurisdiction of Civil Courts governed by the CPC. Under Article 124 of the Schedule of the Limitation Act, 1963, an application for review is required to be filed within a period of thirty days from the date of the decree or order sought to be reviewed, subject only to extension upon sufficient cause being shown. In the present case, no sufficient explanation whatsoever has been offered for the extraordinary delay of nearly forty years, except for the observations contained in the Government Order dated 26.02.2008, referring, *inter alia*, to non-distribution of land due to a series of Court cases, non-payment of compensation, and the respondent-company's continued possession of the land apart from the potential to generate employment from the proposed project. None of these reasons, in our view, constitutes a legally sustainable ground to justify reopening a concluded determination after such an inordinate lapse of time. Non-distribution of land or continued physical possession by the respondent-company cannot confer upon it any right, title, or interest once vesting has taken place by operation of law. Similarly, non-payment of compensation, even if assumed, does not invalidate vesting but merely gives rise to a statutory entitlement to compensation. Significantly, the record does not substantiate the assertion of any pending litigation that prevented distribution of the land, particularly when the writ petition challenging the vesting order was dismissed on 23.09.1975, and subsequent attempts to revive the proceedings failed on 11.03.1987 and 07.02.2002. There was thus no subsisting judicial impediment as far as the respondent-company was concerned. The proposed project of the respondent-company, which had the potential to generate employment, cannot be the reason for the review of the earlier vesting order. In these circumstances, the exercise of review jurisdiction in 2008 to reopen a vesting determination that had attained finality decades earlier was wholly impermissible in law.

84. Before we conclude, we may address other issues raised by the respondent-company. It was submitted that the Government order dated 26.02.2008 was never recalled by the Government, and this order was the consequence of the amicable settlement arrived at between the respondent-company and the State Government. Hence, it was contended that the order dated 31.03.2010 passed by the Tribunal was illegal.

State of West Bengal & Ors. v. Jai Hind Pvt. Ltd.

85. As regards the Government order dated 26.02.2008 indicating the amicable settlement, it is to be noted that there was no subsisting dispute per se between the Government and the respondent-company concerning the issue relating to retention of land under Section 6(1) (j) of the WBEA Act, 1953 inasmuch as the said issue was already settled by the earlier vesting order dated 07.10.1971 and the said order had attained finality upon dismissal on default of the petition filed by the respondent-company challenging the said order.
86. Thus, when the so-called amicable settlement was said to have been arrived at, there was no subsisting dispute between the parties at the relevant time. The claimed amicable settlement was arrived at in a proceeding arising out of the issue of the ceiling of land under a different statute, i.e., WBLR Act 1955. Thus, the very foundation of the passing of the Government order dated 26.02.2008 was non-existent. It thus becomes irrelevant as to whether such an order was recalled by the Government or not.
87. Additionally, it was also submitted by the respondent-company that the plea of the appellant-State is hit by the doctrine of promissory estoppel, as the respondent-company withdrew all the pending Court cases relying on its amicable settlement with the State. Nevertheless, in our view, once the 2008 review by the Revenue Officer is found to be without jurisdiction and contrary to law, the question of invoking the doctrine of promissory estoppel does not arise.
88. Moreover, the contention advanced by the respondent-company that the Tribunal exceeded its jurisdiction by going beyond the scope of prayers, as it quashed the review order dated 07.05.2008, without any prayer or application for the same, is without merit, because it is a well-established law that a decree passed by a Court without jurisdiction is a nullity, and that its invalidity could be set up whenever and wherever it is sought to be enforced or relied upon, even at the stage of execution and even in collateral proceedings. The Court in the case of *Kiran Singh v. Chaman Paswan*³⁵ held as follows:

“6. ...It is a fundamental principle well established that a decree passed by a court without jurisdiction is a nullity, and that its invalidity could be set up whenever and wherever

35 (1954) 1 SCC 710.

Supreme Court Reports

it is sought to be enforced or relied upon, even at the stage of execution and even in collateral proceedings. A defect of jurisdiction, whether it is pecuniary or territorial, or whether it is in respect of the subject-matter of the action, strikes at the very authority of the court to pass any decree, and such a defect cannot be cured even by consent of parties...”

89. In the instant case, as the Revenue Officer did not have the jurisdiction to review the earlier vesting determination, the 2008 review order strikes at the very root of the matter and is a non-curable defect. Importantly, “competence of a Court to try a case goes to the very root of the jurisdiction, and where it is lacking, it is a case of inherent lack of jurisdiction”, as was held in *Hira Lal Patni v. Kali Nath*³⁶. A decree or order passed by a Court which lacks inherent jurisdiction in passing such an order or decree is non-est and void ab initio, as was held by this Court in the case of *Balvant N. Viswamitra v. Yadav Sadashiv Mule*³⁷. In the said case, a three-judge Bench of this Court held that:

“9... The main question which arises for our consideration is whether the decree passed by the trial court can be said to be “null” and “void”. In our opinion, the law on the point is well settled. The distinction between a decree which is void and a decree which is wrong, incorrect, irregular or not in accordance with law cannot be overlooked or ignored. Where a court lacks inherent jurisdiction in passing a decree or making an order, a decree or order passed by such court would be without jurisdiction, non est and void ab initio. A defect of jurisdiction of the court goes to the root of the matter and strikes at the very authority of the court to pass a decree or make an order. Such defect has always been treated as basic and fundamental and a decree or order passed by a court or an authority having no jurisdiction is a nullity. Validity of such decree or order can be challenged at any stage, even in execution or collateral proceedings.”

36 1961 SCC OnLine SC 42.

37 (2004) 8 SCC 706.

State of West Bengal & Ors. v. Jai Hind Pvt. Ltd.

90. Another submission was made by the respondent-company that the appellant-State had not taken physical possession of the land, and no compensation was paid to the respondent-company. This, in our view, does not alter the nature of the status of land inasmuch as that vesting order dated 07.10.1971 had attained finality, and mere holding of some parts of the land would not endow any right to the respondent-company to claim ownership or title over the same.

CONCLUSION

91. For the reasons discussed above, we hold that the review undertaken by the Revenue Officer culminating in the fresh order dated 07.05.2008 was wholly without jurisdiction and void ab initio. The WBEA Act, 1953, does not confer any power of substantive review upon the Revenue Officer, either expressly or by necessary implication. The Government Order dated 26.02.2008, even though approved at the ministerial level, could not create or confer such jurisdiction on the Revenue Officer. The review further fails on merits, as none of the conditions prescribed under Order XLVII, Rule 1 of the CPC were satisfied.
92. The Tribunal, in setting aside the fresh review order dated 07.05.2008 and restoring the vesting determination of 1971, rightly appreciated the statutory scheme of the WBEA Act, 1953, and well-settled principles governing the limits of quasi-judicial power. The conclusion of the Tribunal that the Revenue Officer lacked jurisdiction to reopen by way of review of a concluded vesting order is consistent with both legislative intent and binding precedents.
93. The High Court, however, fell into error in reversing the Tribunal's decision. It incorrectly proceeded on the premise that the Government Order issued under Section 57A of the WBEA Act, 1953, having been approved by the Minister-in-Charge, constituted sufficient authority to confer review jurisdiction upon the Revenue Officer. This approach conflated executive direction with statutory conferment of substantive power and treated review as a mere procedural incident of Civil Court powers. The High Court also overlooked the limits on vesting the judicial function of review power in executive authorities.
94. Consequently, for the reasons discussed above, the appeal filed by the appellant-State is allowed.

Supreme Court Reports

The impugned judgment of the High Court dated 17.05.2012, passed in WPLRT No. 43 of 2010, is set aside.

The order of the Tribunal dated 31.03.2010 is restored, and the review order dated 07.05.2008 passed by the Revenue Officer stands quashed.

The vesting order dated 07.10.1971 shall continue to operate in accordance with the law.

Result of the case: Appeal allowed.

[†]Headnotes prepared by: Nidhi Jain

Dorairaj
v.
Doraisamy (Dead) Through Lrs & Ors.

(Civil Appeal No(s). 2129-2130 of 2012)

05 February 2026

[Sanjay Karol and Satish Chandra Sharma,* JJ.]

Issue for Consideration

Whether the High Court exercised its power with restraint and precision by granting limited relief to the Appellant (D2) and whether it was justified in affirming the judgment and decree of the First Appellate Court entitling plaintiff to 5/16th share.

Headnotes[†]

Suit – Partition – The suit for partition being O.S. No. 99 of 1987 was instituted by plaintiff-Dy, seeking partition and possession of his one-fourth share in the suit schedule properties – The case was founded on the premise that the suit properties constituted joint Hindu family properties – A substantial portion of the factual controversy also relates to a series of registered sale deeds executed by D1-S (father of Dy and Dj) in favour of D2-Dj – During the pendency of the suit, S died – Shortly thereafter, reliance was placed by certain defendants on an unregistered Will dated 24.11.1989, said to have been executed three days prior to his death – Plaintiff disputed the genuineness and validity of the Will – Trial Court declared that the Plaintiff was entitled to 1/4th share in the suit properties – The First Appellate Court modified the preliminary decree and declared the Plaintiff entitled to a 5/16th share in the suit schedule properties – The High Court *vide* judgment dated 12.08.2009, the High Court partly allowed the appeals and held that the plaintiff was entitled to 5/16th share, excluding Item No. 74, Item No. 66 and 4 cents out of 12 cents in Item No. 36 – Correctness:

Held: The genealogy traced to one P and his three sons was not in dispute, nor was the fact that D1-S and his three sons namely, Plaintiff-Dy, D2-Dj, and the deceased R, constituted a coparcenary

* Author

Supreme Court Reports

at the relevant time – The High Court observed that Hindu law does not require other coparceners to establish with precision the exact source of funds for each acquisition made by the Karta – Where acquisitions are made during the subsistence of the joint family, and where ancestral properties yielding income are shown to exist, properties acquired in the name of the Karta are ordinarily regarded as joint family properties unless the contrary is proved – Significantly, the High Court also examined the factual position of the Appellant (D2) during the relevant period – On the basis of material on record, it noted that he was pursuing his studies till about 1966 and that his claim of having amassed substantial savings sufficient to purchase properties while still a student was subjected to careful scrutiny – The High Court’s reasoning on this aspect is neither conjectural nor speculative; it is rooted in a realistic appraisal of the evidence and the surrounding circumstances – The High Court correctly emphasized that all relevant conveyances described the interests conveyed as undivided shares, that there was no mutation evidencing division, and that there was no separate payment towards borrowings – In the absence of any declaration or conduct evidencing an intention to divide, the inference of continued joint family status was inevitable – The High Court then addressed with notable clarity; the validity of alienations effected by D1-S in favour of the Appellant (D2) as per various sale deeds Ex(s). B-17 to B-19 – It correctly distinguished between alienations for proved legal necessity and those which were legally impermissible – The High Court affirmed this calibrated approach, reiterating that alienations by a Karta in favour of one coparcener must be proved to be for legal necessity and that vague or general recitals are insufficient to bind the interests of other coparceners – Likewise, on the issue of the Will dated 24.11.1989 (Ex. B-200), the High Court’s reasoning is both legally and factually compelling – It noted that the testator was habitually signing documents but affixed only a thumb impression as far as this document is concerned; that the Will was allegedly executed barely 72 hours prior to death; that it was scribed by a close relative instead of a professional scribe; and that the scribe’s presence itself was doubtful due to election duty – These circumstances clearly warranted a finding of suspicion – The High Court further dealt with the impleadment applications filed by alleged heirs of R – Approach reflects a proper balance between substantive justice and procedural discipline – The impugned judgement is reasoned and borne out from the material on record. [Paras 28, 31, 33, 36, 38]

Dorairaj v. Doraisamy (Dead) Through Lrs & Ors.**Case Law Cited**

Shrinivas Krishnarao Kango v. Narayan Devji Kango and Ors.
[1955] 1 SCR 1 : (1954) 1 SCC 544 – referred to.

Pattusami Padayachi v. Mullaialammal and Others, **MLJ (II) 1976 225 – referred to.**

List of Keywords

Karta; Coparcenary; Self-acquired property; Burden of proof; Clear and cogent evidence; Will; Unregistered Will; Partition; Properties; Substantive justice; Procedural discipline; Sale deed; Legal necessity; Legally impermissible; Hindu law; Income-bearing joint family nucleus; Genealogy; Source of funds; Acquisition; Joint family; Ancestral properties.

Case Arising From

CIVIL APPELLATE JURISDICTION: Civil Appeal No(s).
 2129-2130 of 2012

From the Judgment and Order dated 12.08.2009 of the High Court of Judicature at Madras in SA Nos. 1561 and 1562 of 1995

Appearances for Parties

Advs. for the Appellant(s):

V. Giri, V. Raghavachari, Anant Palli, Sr. Advs., G. Balaji, Mukesh Kumar Singh, Rajeev M. Roy, Anand Selvam, P. Srinivasan, Dr. D. Jayaprakash, Atchaya Gopal, Ms. R. Shase, V. Puneedhan, Ms. D. Naveena.

Advs. for the Respondent(s):

M.C. Dhingra, Sr. Adv., Nishit Agrawal, Ms. Kanishka Mittal, Ms. Deepti Rathi, P. V. Yogeswaran, Balaji Srinivasan, Vishwaditya Sharma, Ms. Kanishka Singh, D Mohan, S Raju, Harish Tripathi, Subhornadeep Bhattacharjee, K. Shiva, Rohan Dewan, Ms. Aakriti Priya, Rajesh R. Pandian, D.V.S. Santil, Hitesh Kumar Sharma, Akhileshwar Jha, Anupam Kumar, Jogendra Kumar, Dr. Mrs. Vipin Gupta, Rajeev Singh, Samant Singh, Ms. Anu H Kirutthika, Rajeev Singh, Gaurav Dhingra, Shashank Singh, A.K. Singh, Mahendra Ram, Raghvendra Shukla, Piyush Kant Roy, Ravishankar Ra, G Ilamurugu, Ms. Aswathi M.K., Amrendra Kumar Singh, Anand Mishra.

Supreme Court Reports**Judgment / Order of the Supreme Court****Judgment****Satish Chandra Sharma, J.****FACTUAL MATRIX**

1. The present Civil Appeals arise out of a long-drawn family dispute concerning partition, and alienation of agricultural properties situated primarily in and around Perambalur Taluk, Tiruchirappalli District. The dispute pertains to 79 items of immovable properties, all of which are set out with survey numbers, extents, and boundaries in the plaint schedule consisting mainly of agricultural lands. At each stage of adjudication, the concerns have primarily pertained to the nature and character of the suit properties; the extent to which certain alienations are binding on the coparcenary; and the legal effect of an alleged testamentary disposition purported to have been executed shortly before the demise of the family patriarch. The litigation has resulted in concurrent findings of fact, subject to limited and item-specific modifications at the appellate stages.
2. The genealogy of the parties is admitted and forms the foundational backdrop of the lis. One Pallikoodathan was the common ancestor. He had three sons, namely Chidambaram, Sengan, and Natesan.
 - Chidambaram predeceased the institution of the suit. Upon his death, his minor children pursuant to the orders passed by the competent court were represented through their natural guardian, Sengan, and subsequently through other legal representatives as brought on record.
 - Natesan's branch is represented through his legal heirs.
 - Sengan, the central figure in the dispute, was the father of the Plaintiff Duraisamy and the second Defendant Dorairaj.

During his lifetime, Sengan resided with his sons and managed the agricultural affairs of the family. Several suit properties stood in his name, while others were acquired in the names of his sons or through transactions involving the heirs of his deceased brother Chidambaram. Sengan died during the pendency of the suit on 27.11.1989.

Dorairaj v. Doraisamy (Dead) Through Lrs & Ors.

3. The suit for partition being O.S. No. 99 of 1987 was instituted by Duraisamy, seeking partition and possession of his one-fourth share in the suit schedule properties. The case was founded on the premise that the suit properties constituted joint Hindu family properties, either by reason of being ancestral in origin or by reason of having been acquired from the income derived from ancestral properties during the subsistence of the joint family. It was pleaded that the family remained joint in residence, cultivation, enjoyment, and management, and that there had never been any partition, either oral or written. As per the plaint, Sengan, being the senior-most male member, acted as the Karta of the Hindu joint family, and properties purchased in his name or in the names of other family members were, in substance, acquisitions made for and on behalf of the family.
4. Primary contention was that the said acquisitions were made at a time when the family lived and functioned jointly, pooling its resources, and that Appellant (D2) herein did not possess independent income at the relevant point of time, particularly during the late 1960s and early 1970s to justify exclusive ownership of the properties standing in his name. However, the Appellant (D2) provided that substantial number of suit items were the self-acquisitions of Sengan, purchased from his own income generated through diverse sources including agricultural affairs, money-lending, panchayat-related works, and other sources. Further, it was pleaded that several properties were purchased by Dorairaj himself from his independent income earned as a contractor and businessman, particularly after the mid-1960s.
5. A central factual assertion in the plaint related to Item No(s). 14 and 15 of the suit schedule properties, described as ancestral agricultural lands situated in Thoramangalam Village. These lands were stated to have devolved from Pallikoodathan and were pleaded to constitute the principal source of income for the family. Reliance was placed upon revenue records, including Adangal extracts for Fasli years 1390 to 1395 (1980-1985), to demonstrate continuous cultivation. It was specifically pleaded that these lands were supported by wells and oil motor pumps, and that agricultural operations over several years yielded income sufficient to sustain the family and facilitate acquisition of other properties.
6. A substantial portion of the factual controversy also relates to a series of registered sale deeds executed by Sengan in favour of Dorairaj,

Supreme Court Reports

covering multiple suit items. These alienations were effected under various sale deeds dated 16.12.1968, 05.07.1985, 01.08.1986, and 08.05.1987 pertaining to suit items including Item No(s). 1 to 7, 9, 10, 13, 16, 18, 19, 20 to 25, 31, 33 to 41, 52, 54 to 60, and 63. These documents referred to discharge of debts, medical expenses, and other family needs. Dorairaj claimed that these alienations were valid and binding, having been effected for lawful necessity, and asserted that possession and revenue entries stood mutated in his favour pursuant thereto. Plaintiff, however, disputed the necessity and binding nature of these transactions, contending that the consideration was either illusory or sourced from joint family funds, and that alienations in favour of one coparcener could not bind the others in absence of genuine necessity.

7. Another set of transactions involved alienations made by Sengan in his capacity as guardian of the minor children of his deceased brother Chidambaram, pursuant to permissions obtained in guardianship proceedings. Certain suit items, including Item No(s). 15, 27 to 30, 32, 44, 67, and 69, were sold in this manner. While Dorairaj/Appellant herein contended that these alienations were valid and binding, having been effected in accordance with court orders, the Plaintiff pleaded that such transactions did not divest the properties of their joint family character and could not result in exclusive ownership in favour of the Appellant herein.
8. During the pendency of the suit, Sengan died on 27.11.1989. Shortly thereafter, reliance was placed by certain defendants on an unregistered Will dated 24.11.1989, said to have been executed three days prior to his death, purporting to bequeath the entirety of his properties in favour of certain grandchildren. Plaintiff disputed the genuineness and validity of the Will, alleging suspicious circumstances relating to the age and health of the testator, the manner of execution, the use of thumb impression, and the exclusion of natural heirs.
9. The Trial Court framed issues relating to the nature and character of the suit properties; the existence of joint family properties; the validity of the alienations; the effect of the alleged Will; and the entitlement of the parties to partition and consequential reliefs. *Vide*, judgement dated 22.04.1992 in O.S. No. 99 of 1987, the Trial Court declared that the Plaintiff was entitled to 1/4th share in the suit properties excluding Item No(s). 15, 27, 28, 29, 30, 32, 44, 67, 69, 26, 31, 1 to 7, 9 to 13,

Dorairaj v. Doraisamy (Dead) Through Lrs & Ors.

18, 19, 20, 21 to 25, 33, 36, 39, 40, 41, 52, 55, 57, 60, and 63; and certain other properties sold under documents not forming part of the plaint schedule. The suit was decreed accordingly, without costs.

10. Aggrieved, by the judgement of the Trial Court, the Plaintiff preferred A.S. No. 160 of 1994, while Defendant(s) 3 to 7 preferred A.S. No. 161 of 1994, before the 1st Additional District Judge, Tiruchirappalli. *Vide* judgement dated 26.09.1995, the First Appellate Court modified the preliminary decree and declared the Plaintiff entitled to a 5/16th share in the suit schedule properties.
11. Second Appeals bearing S.A. No(s). 1561 and 1562 of 1995 were thereafter preferred before the High Court of Judicature at Madras. *Vide* judgment dated 12.08.2009, the High Court partly allowed the appeals and held that the Plaintiff was entitled to 5/16th share, excluding:
 - Item No. 74, which had been purchased by Dorairaj from Mookayee, who was not a coparcener;
 - Item No. 66 and 4 cents out of 12 cents in Item No. 36, covered by Exhibit B75, as these did not form part of the coparcenary.

It is against this backdrop of concurrent and modified findings that the present Civil Appeals have been filed.

SUBMISSIONS BY THE PARTIES

12. Ld. Senior Counsel for the Appellant (D2) at the outset submits that the Courts below have erred in holding that the suit properties constitute joint Hindu family properties in entirety. It is contended that the Plaintiff failed to provide facts necessary to establish the existence of any income-yielding joint family property capable of supporting subsequent acquisitions. As per the Appellant, the plaint was conspicuously silent on the manner in which the suit properties are alleged to have been acquired from any common family source.
13. It is contended that mere proof of ancestral origin of Item No(s). 14 and 15 does not, by itself, justify the inference that all subsequent acquisitions are presumed to bear the character of joint family property. The Appellant maintains that the Plaintiff failed to demonstrate a clear nexus between the ancestral properties and the acquisitions standing in the name of individual family members.

Supreme Court Reports

14. It is submitted that the first Defendant, Sengan, had substantial and continuous independent sources of income over several decades. Reliance was placed on documentary and oral evidence to show that Sengan was engaged in government service, panchayat administration, money-lending, temple trusteeship, and later as a Sub-Jail contractor.
15. It is contended that the said independent earnings fully explain the acquisitions made in his name and negate the presumption that such properties were purchased from any common family fund. The Appellant submits that the courts below failed to properly appreciate this evidence while mechanically invoking presumptions relating to joint family property.
16. It is further submitted that appellant himself had independent sources of income and financial capacity to acquire properties in his own name from as early as 1963 and continuously thereafter till 19.04.1991. It is contended that there was no justification for the courts below to discard or disbelieve the purchases made by the Appellant during this period.
17. Learned counsel emphasises that a series of registered covenants evidencing purchases and subsequent transactions effected, including Ex(s). B-2, B-10, B-13 to B-19, B-67, B-73, B-75, B-76 and B-104 are to be considered. These documents, as per the Appellant, clearly demonstrate a consistent pattern of independent acquisition, enjoyment, and in certain cases alienation, wholly inconsistent with the understanding of joint family ownership.
18. Reliance is placed on Ex(s). B-121 to B-141, including Ex(s). B-125, B-126, B-127, B-128, B-129, B-131, B-132, B-133, B-134, B-135, B-137 and B-142, which consist of contract orders, completion certificates, income records, and allied documents to establish the income out of which such purchases are made. These, establish beyond doubt that the Appellant was engaged in gainful commercial and contractual activities and had sufficient independent income to fund the acquisitions.
19. Primary concern of the Appellant is that the courts below failed to undertake an objective evaluation of the aforesaid documents and unjustly discarded the same without assigning legally sustainable reasons. It is submitted that such an approach has resulted in serious prejudice to the Appellant.

Dorairaj v. Doraisamy (Dead) Through Lrs & Ors.

20. It is further submitted that even assuming the existence of a joint family, the alienations effected by the first Defendant in his favour were legally valid and binding. It is contended that the first Defendant, being the admitted head of the family, was indebted and medically indisposed and that the sales effected under including Ex(s). B-17, B-18 and B-19 were necessitated by compelling circumstances, including medical expenses and discharge of certain debts. Reliance is placed on promissory notes, hospital records, and other contemporaneous documents to substantiate the plea of necessity. It is argued that alienations effected for lawful necessity cannot be questioned by other coparceners.
21. With regard to properties originally belonging to Chidambaram, it is submitted that the first Defendant was appointed guardian of Chidambaram's minor children by order of the District Court, Tiruchirappalli. Pursuant to the permission obtained, sale deeds including dated 16.12.1968 (Ex. B-2) was executed in favour of the Appellant. It is contended that the sale proceeds were utilised to discharge Chidambaram's debts and that the transactions were lawful, binding, and immune from challenge.
22. The Appellant also assails the rejection of the Will dated 24.11.1989 (Ex. B-200), contending that it was duly executed and proved through the scribe and attesting witnesses. It is largely submitted that the courts below erred in treating the Will as suspicious and in failing to appreciate the evidence in its proper perspective.
23. Reliance is placed on admissions made by the Plaintiff during cross-examination, including admissions relating to independent transactions, payment of consideration under sale deeds and existence of debts explaining the joint family character of the suit properties. It is contended that these admissions disentitle the Plaintiff from asserting joint family ownership and operate as estoppel against him.
24. On the contrary, Respondent(s) submit that the existence of a joint Hindu family and the ancestral origin of Item No(s). 14 and 15 are admitted. It is contended that once ancestral properties yielding income were shown to exist and acquisitions were made during the subsistence of the joint family, the burden shifted to the Appellant to establish self-acquisition, which he failed to do.

Supreme Court Reports

25. It is further submitted that the Trial Court undertook a meticulous item-wise scrutiny of alienations, upheld those supported by necessity, and excluded others. The High Court, far from acting unfairly, granted relief to the Appellant by excluding Item No. 74, Item No. 66, and part of Item No. 36 from partition.
26. The Respondent(s) also submit that the rejection of the Will attained finality, having not been challenged at the appropriate stage. The Appellant cannot now seek to resurrect the issue in second appeal.

ANALYSIS AND FINDINGS

27. Having given anxious consideration to the record and contentions made by the parties; impugned judgment of the High Court reflects a correct appreciation of the pleadings, exhaustive analysis of the record and settled principles governing partition of joint Hindu family properties.
28. At the outset, it must be emphasized that the High Court correctly identified that the relationship between the principal parties was admitted, and that the suit was instituted by one coparcener against the others during the subsistence of the joint family. The genealogy traced to Pallikoodathan and his three sons was not in dispute, nor was the fact that Sengan (D1) and his three sons namely, Duraisamy (Plaintiff), Durairaj (D2), and the deceased Rajakannu, constituted a coparcenary at the relevant time. The High Court therefore approached the controversy on a settled factual foundation, without allowing any other dispute to cloud the core issues.
29. The principal contention by the Appellant before the High Court, and reiterated before us, is that the First Appellate Court erred in holding that the suit properties were joint family properties, particularly in the absence of what was described as an “income-bearing joint family nucleus”. The High Court primarily placing its reliance on MLJ (II) 1976 225 (Pattusami Padayachi v. Mullaïammal and others); 1954 1 SCC 544 Shrinivas Krishnarao Kango v. Narayan Devji Kango and Ors. noted that proof of the mere existence of a joint family does not by itself render all properties as joint family properties, but equally, once it is established that ancestral properties yielding income existed and acquisitions were made during the continuance of the joint family, the burden shifts to the person asserting self-acquisition.

Dorairaj v. Doraisamy (Dead) Through Lrs & Ors.

30. In this context, the High Court undertook a detailed examination of Item No(s). 14 and 15, which were admittedly ancestral properties. The plea of the Appellant that these lands were perpetually water-logged, and incapable of yielding income was carefully examined. On the contrary, reliance was placed on revenue records (Ex(s). B-201 to B-206), which categorically evidenced cultivation over several fasli years and disclosed the existence of wells and oil-engine pump sets. The High Court further examined the Appellant's reliance on the alleged independent income of Sengan (D1). It accepted that Sengan had engaged in various jobs over his lifetime, including service and contractual work. However, it correctly rejected the simplistic assumption that the mere existence of some independent earnings would automatically negate the contribution of joint family income. The High Court observed that Hindu law does not require other coparceners to establish with precision the exact source of funds for each acquisition made by the Karta. Where acquisitions are made during the subsistence of the joint family, and where ancestral properties yielding income are shown to exist, properties acquired in the name of the Karta are ordinarily regarded as joint family properties unless the contrary is proved.
31. Significantly, the High Court also examined the factual position of the Appellant (D2) during the relevant period. On the basis of material on record, it noted that he was pursuing his studies till about 1966 and that his claim of having amassed substantial savings sufficient to purchase properties while still a student was subjected to careful scrutiny. The High Court's reasoning on this aspect is neither conjectural nor speculative; it is rooted in a realistic appraisal of the evidence and the surrounding circumstances.
32. On the plea of prior partition or division in status, the High Court recognised that separate enjoyment of portions, installation of irrigation facilities, or even obtaining borrowings individually, do not by themselves establish partition in law. What is required is a clear and unequivocal intention to sever the joint status. The High Court correctly emphasized that all relevant conveyances described the interests conveyed as undivided shares, that there was no mutation evidencing division, and that there was no separate payment towards borrowings. In the absence of any declaration or conduct evidencing an intention to divide, the inference of continued joint family status was inevitable.

Supreme Court Reports

33. The High Court then addressed with notable clarity; the validity of alienations effected by Sengan (D1) in favour of the Appellant (D2) as per various sale deeds Ex(s). B-17 to B-19. It correctly distinguished between alienations for proved legal necessity and those which were legally impermissible. The Courts below undertook an item-wise scrutiny of each transaction and upheld those alienations where legal necessity was established, while excluding others where such necessity was not proved. The High Court affirmed this calibrated approach, reiterating that alienations by a Karta in favour of one coparcener must be proved to be for legal necessity and that vague or general recitals are insufficient to bind the interests of other coparceners. However, it protected D2's right to establish actual medical expenses during final decree proceedings.
34. Of particular significance is the High Court's approach to Ex. B-2, qua properties sold by Sengan as guardian of the minor sons of Chidambaram. The High Court in paragraph 82 to 89 meticulously analysed the surrounding circumstances, the court permission obtained, the recitals in the sale deed, and the endorsements on the promissory note. It found glaring inconsistencies and rightly concluded that the Trial Court had upheld Ex. B-2 without adequate reasoning. The First Appellate Court's correction of this error was therefore fully justified.
35. Likewise, on the issue of the Will dated 24.11.1989 (Ex. B-200), the High Court's reasoning is both legally and factually compelling. It noted that the testator was habitually signing documents but affixed only a thumb impression as far as this document is concerned; that the Will was allegedly executed barely 72 hours prior to death; that it was scribed by a close relative instead of a professional scribe; and that the scribe's presence itself was doubtful due to election duty. These circumstances clearly warranted a finding of suspicion. Importantly, the High Court also noted that the rejection of the Will by the Trial Court had not been challenged by D2 at the appropriate stage and had therefore attained finality. The Appellant cannot be permitted to approbate and reprobate at different stages of litigation.
36. The High Court further dealt with the impleadment applications filed by alleged heirs of Rajakannu. It correctly held that there was no evidence of collusion in the suit, that the share of Rajakannu was already represented, and that permitting impleadment at such a

Dorairaj v. Doraisamy (Dead) Through Lrs & Ors.

belated stage would unsettle proceedings that had otherwise attained finality. This approach reflects a proper balance between substantive justice and procedural discipline.

37. Finally, the High Court exercised its powers with restraint and precision by granting limited relief to the Appellant. Item No(s). 66 and 74, as well as a portion of Item No. 36 were clearly shown to have been purchased from third parties, accordingly, were excluded from partition as they were the exclusive properties of D2. Save and except these limited modifications, the High Court affirmed the judgment and decree of the First Appellate Court.

CONCLUSION

38. For the reasons recorded hereinabove, we are of the considered view that the impugned judgement is reasoned and borne out from the material on record. Except to the limited extent expressly modified therein, this Court finds no ground to take a view different from that taken by the High Court.
39. Accordingly, the Civil Appeals are dismissed. No order as to cost.

Result of the case: Appeals dismissed.

[†]*Headnotes prepared by:* Ankit Gyan

P. Suresh
v.
D.Kalaivani & Ors.

(Civil Appeal No. 739 of 2026)

03 February 2026

[Aravind Kumar and N.V. Anjaria,* JJ.]

Issue for Consideration

Could the High Court entertain an application invoking and exercising its powers of superintendence u/Art.227 of the Constitution, even where a specific remedial provision available in the Code of Civil Procedure Code, 1908 (CPC) relating to the subject matter – issue is the focal point arising to be addressed in the present appeal.

Headnotes[†]

Constitution of India – Art.227 – Code of Civil Procedure, 1908 – Or.VII R.11, Or.VI R.16 – Supervisory jurisdiction of High Court – What is challenged in this appeal at the instance of the appellant-original plaintiff, is the judgment and order passed by the High Court dated 03.06.2025 in CRP No.3197 of 2024 and CMP No.17106 of 2024, which were the proceedings of the Civil Revision Petition filed by the defendant u/Art.227 of the Constitution, whereby, the High Court allowed the Revision Petition and struck off the plaint in Original Suit No.93 of 2020 before the Court of District Munsif – Correctness:

Held: In the garb of exercising supervisory jurisdiction u/Art.227 of the Constitution, the High Court is not expected to engulf the specific statutory remedy or provision in law and, thus, become a supervisor over the court below or the tribunal, as the case may be – It would be a legally wise exercise of discretion for the High Court to adopt and adhere to such self-imposed discipline and to insist that the aggrieved party should take recourse to such alternative remedy or statutory provision available in law – Embargo in this regard would have to be construed as near total when provision is available in CPC – It is held, therefore, that once the specific provision u/Or.VII, R.11 of the CPC, is available, the High Court cannot exercise powers u/Art.227 to reject or strike off the

* Author

P. Suresh v. D.Kalaivani & Ors.

plaint – For such relief, the specific provision u/Or.VII, R.11, CPC, will have to be resorted to, on the grounds mentioned in the said provision – In adopting such approach, the High Court would be giving due regard to the legislative intent – When the legislature has enacted specific remedial provision to be taken recourse to by the person aggrieved to challenge the orders and decisions of the court to seek redress in law accordingly that remedy alone will have to be sought for – This court is of the view that High Court committed a manifest error in exercising its powers u/Art.227 of the Constitution to strike down the plaint – It ought to have asked the defendant to take recourse to, in accordance with law, when specific provisions available in the Code of Civil Procedure, 1908 in the nature of Or.VII, R.11 – The impugned judgment and order of the High Court, therefore, is set aside – Consequently, the suit is restored to its original file. [Paras 7.3, 7.4, 8-11]

Constitution of India – Art.227 – Superintendence over all courts – Explained:

Held: Art.227 of the Constitution invests the power of superintendence over all courts by the High Court – Sub-Article (1) thereof provides that every High Court shall have superintendence over all courts and tribunals throughout the territories in relation to which it exercises jurisdiction – As per sub-Article (2), without prejudice to the generality of the provisions in sub-Article (1), the High Court may (a) call for returns from such courts; (b) make and issue general rules and prescribe forms for regulating the practice and proceedings of such courts and (c) prescribe forms in which the books and accounts etc. to be kept by the officers of courts – As per sub-Article (3), the High Court may also settle tables of fees – Sub-Article (4) provides that nothing in the Article shall deem to confer on a High Court powers of superintendence over any court or tribunal constituted by or under any law relating to the Armed Forces – The reserve of exceptional power of judicial intervention is not to be exercised just for granting of relief in individual cases but should be directed for the promotion of public confidence in the administration of justice – It is emphasized that though the power u/Art.227 may be unfettered, its exercise is subject to high degree of judicial discipline. [Paras 5, 5.1.1]

Code of Civil Procedure, 1908 – Or.VI, R.16 – Or.VII, R.11 – Discussed. [Paras 6.1-6.2.1]

Supreme Court Reports

Case Law Cited

State v. Navjot Sandhu [2005] Supp. 2 SCR 79 : (2003) 6 SCC 641; *K. Valarmathi and Ors. v. Kumaresan* [2025] 4 SCR 2461 : 2025 SCC OnLine SC 985; *Virudhunagar Hindu Nadargal Dharma Paribalana Sabai and Others v. Tuticorin Educational Society and Others* [2019] 13 SCR 634 : (2019) 9 SCC 538; *Radhey Shyam v. Chhabhi Nath* [2015] 3 SCR 197 : (2015) 5 SCC 423 – relied on.

Shalini Shyam Shetty v. Rajendra Shankar Patil [2010] 8 SCR 836 : (2010) 8 SCC 329; *A. Venkateshubbiah Naidu v. S. Chellappan* [2000] Supp. 3 SCR 303 : (2000) 7 SCC 695; *Rajendra Diwan v. Pradeep Kumar Ranibala and Anr.* [2019] 17 SCR 1089 : (2019) 20 SCC 143; *Surya Dev Rai v. Ram Chander Rai* [2003] Supp. 2 SCR 290 : (2003) 6 SCC 675 – referred to.

List of Acts

Constitution of India; Code of Civil Procedure, 1908.

List of Keywords

Article 227 of Constitution of India; Alternative remedy; Order VII, Rule 11 of Code of Civil Procedure, 1908; Order VI, Rule 16 of Code of Civil Procedure, 1908; Triable issues; Supervisory jurisdiction; Specific remedial provision; Extraordinary power; Statutory remedy; Discretion; Injunction; Rejection of plaint; Striking out pleadings; Manifest error; Court of appeal; Miscarriage of justice; Judicial intervention; Judicial discipline.

Case Arising From

CIVIL APPELLATE JURISDICTION: Civil Appeal No. 739 of 2026

From the Judgment and Order dated 03.06.2025 of the High Court of Judicature at Madras in CRP No. 3197 of 2024

Appearances for Parties

Advvs. for the Appellant(s):

Abdulla Naseeh V.T., Ms. Abreeda Banu, Ms. Rachel Sara James.

Adv. for the Respondent(s):

V Prabhakar, Sr. Adv., S. Rajappa, Ms. Jyoti Parashar, R Gowrishankar, Ms. G Dhivyasri, Naanchil J Deekshith.

P. Suresh v. D.Kalaivani & Ors.**Judgment / Order of the Supreme Court****Judgment****N.V. Anjaria, J.**

Leave granted.

2. Could the High Court entertain an application invoking and exercising its powers of superintendence under Article 227 of the Constitution, even where a specific remedial provision available in the Code of Civil Procedure Code, 1908 (hereinafter referred to as 'CPC') relating to the subject matter – issue is the focal point arising to be addressed in the present appeal.
 - 2.1 What is challenged in this appeal at the instance of the appellant - original plaintiff, is the judgment and order passed by the High Court of Madras dated 03.06.2025 in CRP No. 3197 of 2024 and CMP No. 17106 of 2024, which were the proceedings of the Civil Revision Petition filed by the defendant under Article 227 of the Constitution, whereby, the High Court allowed the Revision Petition and struck off the plaint in Original Suit No. 93 of 2020 before the Court of District Munsif, Tambaram.
3. Outlining the facts would be relevant to notice the case pleaded in the plaint. The suit instituted by the appellant-plaintiff before the District Munsif Court, Tambaram was for the relief of permanent injunction against the defendants and their agents from interfering with the possession and enjoyment of the suit property by the plaintiff. The suit property comprised of Survey No. 125/1A, Survey No. 125/1C, and Survey No. 230/1B, which was described in their specified boundaries of Patta No. 320.
 - 3.1 The case of the plaintiff was that the land originally belonged to one Sambandam Chettiar, who sold the same to the mother of the appellant named Meena under a registered sale deed dated 20.10.1975, Document No. 3994 of 1975. The said Meena - wife of Paramasivam, was in exclusive possession of the suit property and she died intestate on 07.12.1985. It was further averred that the plaintiff as her sole legal heir inherited the property and has been in exclusive possession and enjoyment of the same and further that the plaintiff got revenue records mutated in his favour in Patta No. 11941.

Supreme Court Reports

- 3.1.1 It was further averred in the plaint that the suit property, an open land, was to be bound by the fence. It was stated that at that time, defendant No. 2 trespassed and prevented the plaintiff from erecting the fence. It was averred that the defendants claimed to be the relatives of Sambandam Chettiar. The plaintiff stated that since the defendants threatened to encroach upon the suit property, the cause of action arose for instituting the Original Suit No. 93 of 2020.
- 3.2 In the written statement filed by the defendants, the transaction of sale in favour of the plaintiff's mother Meena was disputed by contending that the sale document was fabricated. It was sought to be contended that the certified copy of the sale deed filed along with the plaint used to be the property of another document and further that the sale deed was not signed by the said Sambandam Chettiar. It was the case of the defendants that the document did not pertain to the suit sale but it was a mortgage deed executed by a third party.
- 3.2.1 It was then contended that the said Sambandam Chettiar and his mother owned the suit property which they had purchased in the years 1922 and 1928 under registered sale deeds, and that agricultural operations were carried out in the lands using the services of coolies. The defendants contended that in the year 1940, when their mother died, all the properties were inherited and that they were in possession and enjoyment of the same. It was stated that in the year 2020, the defendants tendered *kist* for the land covered under Patta No. 320, but the Village Administrative Officer refused to receive the same, stating that the ownership of the land/Patta had changed.
- 3.3 By raising the above and other contentions, the defendants put forward their case *inter alia* that the question of trespassing into the suit property by them did not arise as the title of the property belonged to them and that the case of the plaintiff for injunction was based on fabricated documents and that the suit was fraudulent.

P. Suresh v. D.Kalaivani & Ors.

- 3.4 In the Civil Revision Petition filed before the High Court under Article 227 of the Constitution by the defendants, it was contended that although the plaintiff was claiming exclusive title over the property, he did not seek the declaration of his title. The principles of exercising powers under Order VII Rule 11, CPC and the provisions of Order VI Rule 16 of CPC were pressed into service on behalf of the defendant-petitioners, praying before the High Court to strike off the plaint in exercise of powers under Article 227 of the Constitution.
- 3.5 The High Court noted the case and averments, the defence of the defendants, and proceeded to record finding that the certified copy of the sale deed produced by the plaintiff pertained to some third party and did not relate to the plaintiff. The High Court further recorded a finding that the document was a forged document and that the suit filed by the plaintiff was a false suit. According to the High Court, since the suit was once dismissed for default on 05.07.2022 and the plaintiff did not take any steps for about a year, it showed that the plaintiff did not show interest for long, and that it implied that the defence of the defendants was a valid defence. The High Court viewed that the ground of fraud was substantially established by the defendants. According to the High Court, the continuation of the suit was not necessary. On such grounds, the High Court exercised its Constitutional jurisdiction under Article 227 of the Constitution, allowed the civil revision petition, and struck off the plaint.
4. Heard learned advocate Mr. Abdulla Naseeh for the petitioner and learned senior advocate Mr. V. Prabhakar with learned advocate on record Mr. S. Rajappa for the respondents, at length.
 - 4.1 By referring to various judgments of this Court, it was submitted on behalf of the appellant that the High Court was not justified in the facts of the case in exercising the powers under Article 227 of the Constitution and pursuant to exercise of such powers, to set aside the plaint. It was submitted that the powers under Article 227 of the Constitution are supervisory, to be exercised sparingly. More particularly, when specific provision in the form of Order VII Rule 11, CPC exists in the statute book under which the defendant could have filed its application, a manifest error was committed by the High Court, it was submitted.

Supreme Court Reports

- 4.2 Learned counsel for the respondent, on the other hand, submitted that the supervisory powers of the High Court under Article 227 are wide enough and when the High Court found that the suit-plaint was liable to be struck off, no exception could be taken for invoking the powers. Learned counsel for the respondent also referred to the provision of Order VI Rule 16, CPC, which permits the Court to strike off the pleadings.
5. Article 227 of the Constitution invests the power of superintendence over all courts by the High Court. Sub-Article(1) thereof provides that every High Court shall have superintendence over all courts and tribunals throughout the territories in relation to which it exercises jurisdiction. As per sub-Article(2), without prejudice to the generality of the provisions in sub-Article (1), the High Court may (a) call for returns from such courts; (b) make and issue general rules and prescribe forms for regulating the practice and proceedings of such courts and (c) prescribe forms in which the books and accounts etc. to be kept by the officers of courts. As per sub-Article (3), the High Court may also settle tables of fees. Sub-Article (4) provides that nothing in the Article shall deem to confer on a High Court powers of superintendence over any court or tribunal constituted by or under any law relating to the Armed Forces.
- 5.1 The scope, ambit, amplitude and nature of the powers of a High Court under Article 227 of the Constitution are discussed and delineated by this Court in catena of decisions. Article 227 is perceived to be a custodian of justice, which is in the nature of extraordinary supervisory powers, discretionary in nature. In **Shalini Shyam Shetty vs. Rajendra Shankar Patil**¹, this Court cautioned that an improper and frequent exercise of this power will be counterproductive and would divest this extraordinary power of its strength and vitality. It was observed that this discretionary power has to be exercised very sparingly.
- 5.1.1 The reserve of exceptional power of judicial intervention is not to be exercised just for granting of relief in individual cases but should be directed for the promotion of public confidence in the administration of justice. It is emphasized that though the power under Article 227 may

P. Suresh v. D.Kalaivani & Ors.

be unfettered, its exercise is subject to high degree of judicial discipline. The Court observed in **Shalini Shyam Shetty (supra)**, ‘The power of interference under Article 227 is to be kept to the minimum to ensure that the wheel of justice does not come to halt and the foundation of justice remains pure and unpolluted in order to maintain public confidence in the functioning of the tribunals and courts subordinate to the High Court.’

- 5.2 Similarly, in **State vs. Navjot Sandhu**², the powers of the High Court under Article 227 came to be explained by this Court observing that the powers available to the High Court under Article 227 of the Constitution are not meant for and not to be exercised just for the purpose of correcting errors. It was held:

‘It is settled law that this power of judicial superintendence, under Article 227, must be exercised sparingly and only to keep subordinate courts and tribunals within the bounds of their authority and not to correct mere errors. Further, where the statute bans the exercise of revisional powers it would require very exceptional circumstances to warrant interference under Article 227 of the Constitution of India since the power of superintendence was not meant to circumvent statutory law. It is settled law that the jurisdiction under Article 227 could not be exercised “as the cloak of an appeal in disguise.”

(Para 28)

- 5.3 In **A. Venkateshubbiah Naidu vs. S. Chellappan**³, this Court held that ‘though no hurdle can be put against the exercise of the constitutional powers of the High Court, it is a well-recognised principle which gained judicial recognition that the High Court should direct the party to avail himself of such remedies before he resorts to a constitutional remedy.’

2 (2003) 6 SCC 641

3 (2000) 7 SCC 695

Supreme Court Reports

5.4 In **Rajendra Diwan vs. Pradeep Kumar Ranibala and Anr.**⁴, this Court reiterated that the supervisory power under Article 227 of the Constitution available to the High Court is not for a routine exercise, it is meant to keep the courts and tribunals within the bounds of their jurisdiction or where grave miscarriage of justice has occurred or there is a flagrant violation of law. What was stated was that the jurisdiction under Article 227 cannot be exercised '*in the cloak of an appeal in disguise*', it cannot be converted into an alternative appellate forum.

5.5 In **K.Valarmathi and Ors. vs. Kumaresan**⁵, this Court reiterated the same principles for exercising the powers under Article 227 of the Constitution by the High Courts as under,

'Essence of the power under Article 227 being supervisory, it cannot be invoked to usurp the original jurisdiction of the court which it seeks to supervise. Nor can it be invoked to supplant a statutory legal remedy under the Civil Procedure Code, 1908.'

(Para 9)

5.5.1 It was further observed, which observation may also be pertinently reproduced,

'Civil Procedure Code is a self-contained Code and Order VII Rule 11 therein enumerates the circumstances in which the trial court may reject a plaint. Such rejection amounts to a deemed decree which is appealable before the High Court under Section 96 of the Code. This statutory scheme cannot be upended by invoking supervisory jurisdiction of the High Court under Article 227 to entertain a prayer for rejection of plaint.'

(Para 10)

4 (2019) 20 SCC 143

5 2025 SCC OnLine SC 985

P. Suresh v. D.Kalaivani & Ors.

5.6 In **Virudhunagar Hindu Nadargal Dharma Paribalana Sabai and Others vs. Tuticorin Educational Society and Others**⁶, the appellants therein had filed a suit for declaration and permanent injunction. In the said suit proceedings, the trial court passed order granting an injunction. Respondent No. 5 in the suit called in question the order of granting injunction by filing a regular appeal under Order XLIII Rule 1(r) of the Civil Procedure Code, 1908. But the Defendant Nos. 1 and 6 challenged the said order of injunction not by filing regular appeal but by invoking the powers of the High Court under Article 227 of the Constitution. The High Court allowed the said civil revision petition and set aside the order of injunction granted by the trial court.

5.6.1 The exercise of supervisory powers under Article 227 of the Constitution by the High Court to challenge the injunction order was strongly disapproved by this court, observing that the High Court ought to have seen that when remedy of appeal under Section 104 read with Order XLIII Rule 1(r), CPC, was directly available, Defendant Nos.1 and 6-Respondent Nos. 1 and 2 before this Court ought to have taken recourse to the same.

5.6.2 In **Virudhunagar (supra)**, by categorizing the cases where the remedy is available under the provisions of the Civil Procedure Code and the cases where such remedial provisions exist under special statutes, this Court emphasised that in cases falling under the first category, where there is availability of remedy in terms of the provisions of the Civil Procedure Code, the existence of such remedy has to be treated as almost a complete bar against applying powers under Article 227 of the Constitution in that regard.

5.6.3 The Court observed thus,

‘...courts should always bear in mind a distinction between (i) cases where such alternative remedy is available before civil courts in terms

Supreme Court Reports

of the provisions of Civil Procedure Code, and (ii) cases where such alternative remedy is available under special enactments and/or statutory rules and the fora provided therein happen to be quasi-judicial authorities and tribunals. In respect of cases falling under the first category, which may involve suits and other proceedings before civil courts, the availability of an appellate remedy in terms of the provisions of CPC, may have to be construed as a near total bar. Otherwise, there is a danger that someone may challenge in a revision under Article 227, even a decree passed in a suit, on the same grounds on which Respondents 1 and 2 invoked the jurisdiction of the High Court.'

(Para 12)

- 5.7 The statement of law observed by a Three-Judge Bench of this Court in **Radhey Shyam vs. Chhabi Nath**⁷, while overruling the earlier decision in **Surya Dev Rai vs. Ram Chander Rai**⁸, was recollected, that 'orders of civil courts stand on a different footing from the orders of authorities or tribunals or courts other than judicial/ Civil Court', stating further as under,

'Therefore wherever the proceedings are under the Civil Procedure Code and the forum is the civil court, the availability of a remedy under the CPC, will deter the High Court, not merely as a measure of self-imposed restriction, but as a matter of discipline and prudence, from exercising its power of superintendence under the Constitution. Hence, the High Court ought not to have entertained the revision under Article 227 especially in a case where a specific remedy of appeal is provided under the Civil Procedure Code itself.'

(Para 13)

7 (2015) 5 SCC 423

8 (2003) 6 SCC 675

P. Suresh v. D.Kalaivani & Ors.

6. In the case on hand, the High Court has exercised its supervisory powers under Article 227 of the Constitution and proceeded to set aside the plaint. The invocation of such powers are sought to be justified by the defendants – respondents by stating that the amplitude of such power is vast and pervasive, which was duly exercised by the High Court to strike off the erroneous plaint. A shelter is also taken from the provision of Order VI Rule 16, CPC to submit that it is a provision under which frivolous or vexatious proceedings could be struck off, reading it with powers of superintendence under Article 227 of the Constitution.

- 6.1 For easy reference, the provision of Order VI Rule 16 CPC is extracted hereinbelow,

‘16. Striking out pleadings.

The Court may at any stage of the proceedings order to be struck out or amended any matter in any pleading- **(a)** which may be unnecessary, scandalous, frivolous or vexatious, or **(b)** which may tend to prejudice, embarrass or delay the fair trial of the suit, or **(c)** which is otherwise an abuse of the process of the Court.’

- 6.1.1 The bare perusal of the aforementioned provision mandates procedural defects whereby the courts can exercise their discretionary power to strike out any matter in any pleading. Such discretion could be exercised cautiously and only when the parameter stipulated under the said provision are apparent, such as, when the matter in the pleading is unnecessary, scandalous, frivolous or vexatious or it is of such a nature it tends to prejudice, embarrass or delay the fair trial of the suit or it is otherwise an abuse of the process of the court.
- 6.2 Now, there is a specific provision under the CPC in the nature of Order VII Rule 11, which deals with the rejection of the plaint, which mentions specific grounds on which the court may reject the plaint. The said provision is reproduced herein,

‘11. Rejection of plaint.

The plaint shall be rejected in the following cases:

- (a)** where it does not disclose a cause of action;

Supreme Court Reports

- (b) where the relief claimed is undervalued, and the plaintiff, on being required by the Court to correct the valuation within a time to be fixed by the Court, fails to do so;
- (c) where the relief claimed is properly valued, but the plaint is returned upon paper insufficiently stamped, and the plaintiff, on being required by the Court to supply the requisite stamp-paper within a time to be fixed by the Court, fails to do so;
- (d) where the suit appears from the statement in the plaint to be barred by any law;'
- (e) where it is not filed in duplicate;
- (f) where the plaintiff fails to comply with the provisions of rule 9.

.....'

6.2.1 The provision says that the plaint shall be rejected in the following cases, firstly, if it does not disclose a cause of action. Now, the cause of action is a bundle of facts. Whether cause of action exists for the purpose of validly instituting the suit or not would necessarily require a factual inquiry. The second ground is that the relief claimed when undervalued and the plaintiff, on being required by the Court to correct the valuation and pay the deficit court fee within the time which may be fixed by the Court, fails to do so. The third ground mentioned for rejection of the plaint is similar with regard to the plaint which is insufficiently stamped and the plaintiff has failed to supply the requisite stamp paper within the time fixed by the court.

6.2.2 The fourth ground is about the suit appearing from the statement in the plaint to be barred by any law. Though this may be a legal consideration, the attendant facts would become relevant and the issue may not always be finally adjudged without application of facts. The fifth ground is that the plaint is not filed in duplicate. This

P. Suresh v. D.Kalaivani & Ors.

is curable defect and a procedural aspect. The sixth ground is where the plaintiff fails to comply with the provisions of Rule 9, which is also not to be immune from consideration of facts of the case.

6.2.3 As far as the ground of correction of valuation for supplying of the stamp paper is concerned, the proviso mentions that time may be extended by the Court, for the reasons to be recorded, if the court is satisfied that the plaintiff was prevented by any cause of exceptional nature. There is no gainsaying that there will have to be factual inquiry in the process of determination for rejection of plaint and for the satisfaction to be arrived at by the Court with regard to the extension of time, which the court may grant. Therefore, it would be entirely proper to conclude that when the grounds for rejection of the plaint, provided in statutory provision, require the consideration of the facts of the case, such issue should not be gone into by exercising supervisory jurisdiction under Article 227 of the Constitution, which even otherwise is supposed to be exercised by the Court sparingly and not just for the purpose of correcting purported errors. In any view, the overriding criteria in law is that the supervisory jurisdiction cannot be applied to substitute the remedy available specifically in the CPC itself.

6.3 While the principal issue addressed in the present appeal is about the principle whether the High Court could have exercised its supervisory jurisdiction under Article 227 of the Constitution to strike off the plaint, even though a specific provision for rejection of the plaint under Order VII Rule 11, CPC was available to the defendants to be taken recourse to, it is also to be noted additionally that the dispute in the suit was essentially a title dispute between the parties. Secondly, the defence of the defendants was that the suit was fraudulent and based on false documents. The High Court accepted the said contentions and struck down the plaint vide its powers under Article 227 of the Constitution.

6.3.1 In **Shalini Shyam Shetty**¹, this Court in Paragraph 64 of the judgment has flagged the growing tendency among

Supreme Court Reports

the High Courts to entertain writ petitions in cases of property disputes, partition suits, matters relating to the execution of decrees, landlord-tenant disputes, money decrees and in respect of such other various cases and has disapproved the same and held that the High Courts could not in a routine manner entertain petitions under Article 227.

- 6.3.2 It has to be acknowledged that almost all civil suits would involve disputed question of facts. The averment in plaint quite often than not, raise controversy which, in ultimate analysis, is to be addressed and adjudicated by leading evidence. As these are the disputes of civil nature to be dealt with by the civil court, and the invocation of Constitutional powers thereover in a routine manner may not be necessary nor is advisable. This proposition, in its analogousness, would justify holding that powers under Article 227 of the Constitution would not be available to be exercised where there is an alternative remedy.
- 6.4 For the very above reasoning, the reliance placed on the provision of Order VI Rule 16, CPC to support the impugned order and to justify the exercise of powers under Article 227 of the Constitution for striking out the plaint, is misconceived in law. Order VI Rule 16, CPC deals with the question of striking out pleadings, to provide that the Court may, at any stage of the proceedings, order to be struck out or amended in any matter in any pleading which is unnecessary, scandalous, frivolous, or vexatious or which may tend to prejudice or embarrass the fair trial of the suit or which is otherwise an abuse of the process of Court.
 - 6.4.1 Evidently, this provision deals with the striking out of a part or a section of the pleading which suffers from any of the kinds mentioned in the provision, such as unnecessary, scandalous, frivolous, vexatious, prejudicial, embarrassing or delaying the fair trial or abuse of the process of law. It would be stretching beyond the logic of law to interpret and imply that Order VI Rule 16 can be utilized and employed for striking down the entire plaint. Striking down the plaint or rejection of plaint on

P. Suresh v. D.Kalaivani & Ors.

the legal grounds available in Order VII Rule 11, CPC is entirely different than striking out the infirm or abusive pleadings. Under the guise of invoking Order VI Rule 16, CPC, therefore, justification for using the powers under Article 227 of the Constitution cannot be extended.

7. When the powers under Article 227 of the Constitution are of supervisory nature and when the aforesaid dictum of law is that the High Court does not act as a court of appeal or a court of error, it would logically follow that the powers under Article 227 would not be exercised when the non-exercise of such powers does not result into miscarriage of justice or deprivation of remedy in law to a party.
 - 7.1 It is to be conceived as one of the prohibited area for exercising Article 227 powers where, in respect of the grievance for which party has remedy in law, these powers are surely to be invoked. The principle is therefore to be emphasized that the exercise of supervisory jurisdiction under Article 227 of the Constitution has to be treated as an exceptional resort when an alternative efficacious civil remedy by way of appeal or revision or any other, like Order VII Rule 11, CPC in the present case, is available to the party for the redressal of the grievance.
 - 7.2 The proposition that the availability of alternative remedy shall be legitimately construed to displace the exercise of Constitutional jurisdiction by the High Court, is true not only for the purpose of exercising powers under Article 226 of the Constitution but also for the purpose of invoking Article 227 of the Constitution.
 - 7.3 In the garb of exercising supervisory jurisdiction under Article 227 of the Constitution, the High Court is not expected to engulf the specific statutory remedy or provision in law and, thus, become a supervisor over the court below or the tribunal, as the case may be. It would be a legally wise exercise of discretion for the High Court to adopt and adhere to such self-imposed discipline and to insist that the aggrieved party should take recourse to such alternative remedy or statutory provision available in law, especially, for the case falling in category indicated in **Virudhunagar**⁶ (*supra*) where remedy available

Supreme Court Reports

in the CPC for the cases falling under category/other law also, where such specific statutory remedy is available, the dictum laid down herein is true to grant extent.

- 7.4 As stated above, embargo in this regard would have to be construed as near total when provision is available in CPC. It is held, therefore, that once the specific provision under Order VII Rule 11 of the CPC, is available, the High Court cannot exercise powers under Article 227 to reject or strike off the plaint. For such relief, the specific provision under Order VII Rule 11, CPC, will have to be resorted to, on the grounds mentioned in the said provision.
8. In adopting such approach, the High Court would be giving due regard to the legislative intent. When the legislature has enacted specific remedial provision to be taken recourse to by the person aggrieved to challenge the orders and decisions of the court to seek redress in law accordingly that remedy alone will have to be sought for.
9. From the aforesaid discussion, it would logically follow that the High Court would not only discourage but desist from exercising jurisdiction under Article 227 of the Constitution in respect of a challenge for which a separate, distinct, and specific remedy or statutory provision is available under the statute concerned. Availability of an alternative civil remedy and/or under the CPC shall be treated as complete and near total bar on the High Court to venture to invoke and exercise its power available under Article 227 of the Constitution, except where exercise of supervisory jurisdiction becomes absolutely necessary.
10. For all the aforesaid reasons and discussions, this court is of the view that High Court committed a manifest error in exercising its powers under Article 227 of the Constitution to strike down the plaint. It ought to have asked the defendant to take recourse to, in accordance with law, when specific provisions available in the Code of Civil Procedure, 1908 in the nature of Order VII Rule 11. The impugned judgment and order of the High Court, therefore, deserves to be set aside.
 - 10.1 As a result, the judgment and order dated 03.06.2025 passed by the High Court of Madras in CRP No. 3197 of 2024 and CMP No. 17106 of 2024 striking off the plaint of Original Suit No. 93 of 2020 before the Court of District Munsif, Tambaram, is hereby set aside.

P. Suresh v. D.Kalaivani & Ors.

11. The appeal is allowed. Consequently, the suit is restored to its original file and parties are directed to appear before the trial court for further proceedings on 16.02.2026 without awaiting further notice. Liberty is reserved for the defendants to file application under Order VII Rule 11, CPC, to be considered strictly in accordance with law. There shall be no costs.

In view of the disposal of the main appeal, all interlocutory applications, as may be pending, stand disposed of.

Result of the case: Appeal allowed.

[†]Headnotes prepared by: Ankit Gyan

**Tharammel Peethambaran and Another
v.**

T. Ushakrishnan and Another

(Civil Appeal No. 856 of 2026)

06 February 2026

[Pankaj Mithal and S.V.N. Bhatti,* JJ.]

Issue for Consideration

The controversy centres around the disputed circumstance, namely, the power of agency given by the plaintiff to the 1st Defendant through Exh.B-2. Whether the documentary evidence in Exh.B-2 satisfies the requirement of law and whether it is fudged with additions, etc.

Headnotes[†]

Code of Civil Procedure, 1908 – ss.100 and 103 – Evidence Act, 1872 – s.85 – Registration Act, 1908 – s.33 – On 31.07.1998, the plaintiff executed a Power of Attorney (PoA) in favour of the 1st defendant – The Plaintiff is the 1st Defendant’s sister – The PoA is exhibited by the Plaintiff as Exhibit A-4 and by the Defendants as Exhibit B-2, a notarised photocopy – On 15.03.2007, the 1st Defendant, in the purported authority given to him through the PoA/Exh.B-2, executed registered sale deeds nos.262 and 263 of 2007 in favour of the 2nd and 3rd Defendants – On the knowledge of the same, plaintiff cancelled PoA – Suit filed – The Plaintiff admits execution of the PoA, *i.e.* Exh.A-4, which grants specific power and not general power to alienate the plaint schedule properties – However, the 1st Defendant asserts that the Plaintiff executed the PoA/Exh.B-2 authorising the Defendant to have the power of management, mortgage and alienation – The Trial Court declared that the sale deed nos.262 and 263 of 2007 (Exh.A-7 and A-8) were invalid and void – It found that words providing for “sale” were added to the end of existing clauses – Trial Court further directed, through a mandatory injunction, 1st Defendant to vacate and surrender

* Author

**Tharammel Peethambaran and Another v.
T. Ushakrishnan and Another**

the house situated on item no.1 of the Plaintiff A-Schedule to the Plaintiff – However, the First Appellate Court allowed the appeal of 1st Defendant and dismissed the suit – The High Court held that the sale deeds executed by the Defendant using the invalid PoA were void, thereby restoring the Trial Court’s decree – Correctness:

Held: Exh.B-2 is a photocopy, or a mechanical copy, of the purported PoA – This implies that Exh.B-2 is, at best, secondary evidence – Secondary evidence is evidence that proves the contents of an original document through a medium that is one step removed from the source – Before secondary evidence can be admitted, the party relying on it must lay a factual foundation – This involves two steps: First, the party must prove that the original document actually existed and was executed – Secondly, the party must establish valid reasons as to why the original cannot be furnished – Further, admitting a document as secondary evidence does not automatically prove its contents – The secondary evidence must be authenticated by foundational evidence showing that the alleged copy is, in fact, a true copy of the original – Mere admission of a document or making it an exhibit does not dispense with the requirement of proving it in accordance with the law – The introduction of secondary evidence is a two-step process, wherein, first, the party must establish the legal right to lead secondary evidence, and second, they must prove the contents of the documents through that evidence – The twin requirements are conjunctive – The case on hand falls within the meaning of mechanical copies – In law, the existence of Exh.B-2, in the absence of laying down a factual foundation and following procedure, ought to be ignored for the purpose of appreciating the 1st Defendant’s claim on the power to alienate Plaintiff A-Schedule Property – In the absence of an original or at least a secondary evidence, it is impermissible to apply s.85 of the Indian Evidence Act to conclude the execution and extent of authority given by the plaintiff to the 1st Defendant – A photocopy of a document is no evidence unless the same is proved by following the procedure set out – Relying on Exh.B-2, the First Appellate Court acted on inadmissible evidence and accepted the existence of power to alienate – Exh.B-2/photocopy is no evidence, and the incorrect reliance on no evidence, has been rightly corrected by the High Court through the impugned judgment. [Paras 19, 20.2, 20.5, 20.6, 21, 23]

Supreme Court Reports

Case Law Cited

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List of Acts

Code of Civil Procedure, 1908; Evidence Act, 1872; Registration Act, 1908.

List of Keywords

Evidence; Documentary evidence; Primary evidence; Secondary evidence; Copy made from original by mechanical process; Section 65 of Evidence Act, 1872; Admission of document; Probative value of document; Section 85 of Evidence Act, 1872; Mechanical copies; Disputed signatures; Expert; Photocopy of document; Power to alienate; Contents of document.

Case Arising From

CIVIL APPELLATE JURISDICTION: Civil Appeal No. 856 of 2026
From the Judgment and Order dated 15.09.2023 of the High Court of Kerala at Ernakulam in RSA No. 892 of 2016

**Tharammel Peethambaran and Another v.
T. Ushakrishnan and Another**

Appearances for Parties

Advs. for the Appellant(s):

Pijush Kanti Roy, Sr. Adv., Dileep Poolakkot, Harshad V. Hameed, Mrs. Ashly Harshad, Dr. Arunender Thakur, Mahabir Singh, Ms. Khushboo Sharma, Anshul Saharan.

Advs. for the Respondent(s):

Siddharth Bhatnagar, Mrs. Manjula Rao, Sr. Advs., Nitin Sangra, Nadeem Afroz, Riju Ghosh, Upmanyu Tewari.

Judgment / Order of the Supreme Court

Judgment

S.V.N. Bhatti, J.

1. Leave granted.
2. The appeal is at the instance of the 1st and 2nd Defendants in O.S No. 197 of 2013 before the Senior Civil Judge, Kozhikode. The 1st Respondent filed OS No. 197 of 2013 for declaration, perpetual injunction, and damages for use and occupation. The Plaintiff is admittedly the owner of the Plaint A-Schedule consisting of three items of immovable property. A few household items are mentioned in Plaint B-Schedule. The Plaintiff is the 1st Defendant's sister. The Plaintiff resides in Mumbai, and the 1st Defendant resides in Kozhikode. The 1st defendant is the brother-in-law of the 2nd and 3rd Defendants. Stated chronologically, on 31.07.1998, the Plaintiff is said to have executed a Power of Attorney ("PoA") in favour of the 1st defendant. The PoA is exhibited by the Plaintiff as Exhibit A-4 and by the Defendants as Exhibit B-2, a notarised photocopy. On 15.03.2007, the 1st Defendant, in the purported authority given to him through the PoA/Exh. B-2, executed registered sale deeds nos. 262 and 263 of 2007 in favour of the 2nd and 3rd Defendants. The Plaintiff, having come to know of the sale in favour of the 2nd and 3rd Defendants, through the lawyer's notice dated 20.04.2007, cancelled the PoA. The 1st Defendant refers to a receipt dated 23.04.2007, said to have been executed by the Plaintiff, acknowledging the receipt of Rs. 6,00,000/-, forming part of the sale consideration under the sale deeds dated 15.03.2007. The 1st Defendant issued a reply notice dated 05.05.2007 to the Plaintiff's legal notice dated 20.04.2007. In this background, O.S No. 597 of

Supreme Court Reports

2007 was filed before the Munsiff Court I, Kozhikode, renumbered as OS No. 197 of 2013 before the Senior Civil Judge, Kozhikode. The pleadings on both sides are considered in detail by the impugned judgment. Reference to pleadings as are necessary for disposing of the appeals is made in the Judgment. The Plaintiff claims title to item nos. 1 and 2 of the Plaint A-Schedule through the assignment deed dated 31.07.1998. Item no. 3 of the Plaint A-Schedule is claimed through the Partition Deed no. 317 of 1998.

3. The Plaintiff avers that the 1st Defendant has sent a draft PoA dated 31.07.1998/Exh. A-3 by post to her address in Mumbai for the execution of the PoA. Exh. A-3 is a general power of attorney. The Plaintiff, not interested in granting general power to the 1st Defendant to deal with the Plaint A-Schedule, has scored out the clauses dealing with the power to mortgage, alienate, etc in Exh. A-3. The Plaintiff admits execution of the PoA, i.e. Exh. A-4, which grants specific power and not general power to alienate the plaint schedule properties. The Plaintiff states that the PoA/Exh. B-2, relied on by the defendant, is a sham and fudged document. Therefore, by referring to a fudged PoA, execution of assignment deed nos. 262 and 263 of 2007 is illegal, unenforceable and not binding on the Plaintiff. The agent exceeded the authority given to him and the sale deeds do not bind the principal. In other words, the Plaintiff asserts that the 1st Defendant/agent does not have the power to alienate or exceed the power granted to him under the PoA/Exh. A-4, signed and sent by the Plaintiff. The Plaintiff denies the execution of receipts dated 20.12.2006 (Exh. B-6) and 23.04.2007 (Exh. B-7) for Rs. 11,00,000/- towards the sale consideration. Hence, the suit for the reliefs prayed for.
4. The 1st Defendant admits that the Plaintiff is the owner as per the records, but the possession of the house is with the 1st Defendant. On the fact in issue at stake between the parties, the 1st Defendant asserts that the Plaintiff executed the PoA/Exh. B-2 authorising the Defendant to have the power of management, mortgage and alienation. The sub-registrar verified the 1st Defendant's competence to execute the sale deed on behalf of the Plaintiff and accepted the sale deeds (Exh. A7 and A8) dated 15.03.2007, executed in favour of the 2nd and 3rd Defendants for registration. The said sale deeds executed are valid, legal and bind the Plaintiff as principal, because the 1st Defendant, as agent, acted under the comprehensive powers

**Tharammel Peethambaran and Another v.
T. Ushakrishnan and Another**

granted to him under Exh. B-2 by the Plaintiff. Resiling from the power vested in favour of the 1st Defendant is contradictory and contrary to the conduct of the Plaintiff in receiving Rs. 11,00,000/- under receipts (Exh. B-6 and B-7) dated 20.12.2006, and 23.04.2007, respectively. The Plaintiff, as beneficiary of the sale consideration, is not entitled to challenge the action of the 1st Defendant.

5. The Trial Court, on consideration of the oral evidence of PW 1 and the documentary evidence of Exhibits A-1 to A-9, DWs 1 and 2, and Exhibits B-1 to B-26, decreed the suit. The issues settled by the Trial Court are as follows:

“1. Whether the plaintiff had executed a power of attorney authorizing the 1st defendant to sell the properties described in the plaint A schedule ?

2. Whether the power of attorney alleged to have been executed by the plaintiff on 31.7.199[8] is a valid genuine and properly executed document ?

3. Whether the power of attorney alleged to have been executed by the plaintiff on 31.7.1998 empowers the 1st defendant to execute a valid conveyance in respect of the properties described in the plaint A-schedule ?

4. Whether the defendant had executed registered sale deeds in favour of defendants 2 and 3 on the strength of a forged and fabricated power of attorney as alleged ?

5. Whether the plaintiff is entitled to get a declaration as prayed for ?

6. Whether the plaintiff is entitled to get a permanent prohibitory injunction as prayed for ?

7. Whether the plaintiff is entitled to get a mandatory injunction as prayed for ?

8. Whether the plaintiff is entitled to get damages for use Occupation at the rate of Rs. 3,000/- per month from 20.4.2007?

9. Whether the plaintiff is entitled to get share of mesne profits as alleged ?

10. Reliefs and Costs ?”

Supreme Court Reports

6. The Trial Court examined all the issues together, and the gist of the Trial Court's findings is that the Trial Court compared the draft PoA (Exh. A-4) with the one used for the sale (Exh. B-2) and found that words providing for "sale" were added to the end of existing clauses. These additions lacked "cohesion" with the original document. It also noted that the spacing between letters in the added "sale" words was significantly different from the rest of the document (monospace vs. proportional), indicating they were inserted later. The 1st Defendant failed to produce the original PoA (Exh. B-2) despite being its holder. The Trial Court found his explanation that it was given to the Plaintiff's husband to be inconsistent and contradictory. Under Section 33 of the Registration Act, 1908, a PoA used for executing sale deeds must be properly authenticated. The Trial Court held that since the PoA was unregistered and its genuineness was unproven, the resulting sale deeds (Exh. A-7 and A-8) were invalid. While 1st Defendant claimed to have paid the plaintiff Rs. 11,00,000/-, the Trial Court found this evidence insufficient to validate the unauthorised sale deeds. The sale prices shown in the deeds were also lower than the amount he allegedly paid her, undermining his credibility. The Trial Court (i) declared that the sale deed nos. 262 and 263 of 2007 (Exh. A-7 and A-8) were invalid and void; (ii) The Trial Court granted the relief of injunction as well; (iii) Further directed, through a mandatory injunction, 1st Defendant to vacate and surrender the house situated on item no. 1 of the Plaint A-Schedule to the Plaintiff within two months; and (iv) rejected the claim for damages for use and occupation.
7. The 1st Defendant filed A.S. No. 166 of 2014 before the District Judge, Kozhikode, and the First Appellate Court allowed the appeal, resulting in the dismissal of O.S. No. 197 of 2013. The First Appellate Court examined the issues and recorded the findings, which can be classified under the following heads:

Rejection of Independent Ownership Claims (Benami and Oral Sale)

- 7.1 The 1st Defendant's claim of purchasing items nos. 1 and 2 in the Plaintiff's name using his own funds was barred under the provisions of the Benami Transactions (Prohibition) Act, 1988. Similarly, regarding item no. 3, it was held that the immovable

**Tharammel Peethambaran and Another v.
T. Ushakrishnan and Another**

property was worth more than Rs. 100, and cannot be orally sold to the 1st Defendant without a registered document as per Section 17 of the Registration Act.

Validity and Existence of the Power of Attorney

- 7.2 Plaintiff in the legal notice (Exh. A-5) stated that she was “cancelling” the PoA. If the Plaintiff had never executed a valid power of attorney, there would have been no need to cancel it. Furthermore, PW1 admitted during cross-examination that she had seen the original PoA at her lawyer’s office. Hence, the plaintiff was deliberately withholding the original PoA. Plaintiff’s prior conduct in executing powers of attorney in favour of her father and brother proves that the Plaintiff was well aware of the legal formalities required for executing a PoA. Now, the stand she has taken undermines her claim of ignorance.

Admissibility of Secondary Evidence (Exh. B2)

- 7.3 Since the Plaintiff withheld the original power of attorney, the 1st Defendant produced a photocopy (Exh. B2) as secondary evidence under Section 66 of the Indian Evidence Act. Section 8(1)(a) of the Notaries Act, 1952 and Section 114(e) of the Indian Evidence Act hold that the PoA, which was notarised by a Notary, carry a presumption of valid execution and authentication.

Objections under the Registration Act

- 7.4 The Plaintiff’s challenge under Section 33 of the Registration Act (requiring Registrar’s authentication for the PoA) was also rejected because the plaintiff had relied on a similarly Notary-attested PoA for her own partition deed (Exh. B12). The other objection under Section 28 of the Registration Act that the sale deeds (Exh. A7 and A8) were registered in Kozhikode rather than the jurisdictional SRO at Kakkodi, where the land is situated, was also rejected because the Sub-Registrar in Kozhikode held the charge of District Registrar, giving him jurisdiction to accept a document for registration.

Confirmation of Sale Receipts (Exh. B6 and B7)

- 7.5 Plaintiff had accepted sale consideration totalling Rs. 11 lakhs, receipts Exh. B-6 dated 20.12.2006 for Rs. 5,00,000/- and Exh.

Supreme Court Reports

B-7 dated 23.04.2007 for Rs. 6,00,000/-. Expert witness (CW1) confirmed that the signature on the receipt Exh. B6 matched the Plaintiff's specimen signature. Regarding the second receipt (Exh. B7), the First Appellate Court, after making a comparison with the naked eye, concluded that the disputed signature was by the same author, i.e., the Plaintiff.

Validity of Sale Deeds and Possession of Documents

- 7.6 The Plaintiff did not explain as to why the 1st Defendant was in possession of all the original title deeds, including the prior sale agreement, purchase certificate, and partition deed. It was inferred that these were entrusted to the 1st Defendant for the purpose of selling the property. Consequently, the sale deeds executed by the 1st Defendant in favour of the 2nd Defendant and 3rd Defendant were valid.
8. The Plaintiff assailing the above findings filed the second appeal before the High Court, and through the impugned judgment, the High Court restored the findings of the Trial Court, and its consideration is summarised:
- 8.1 The original of Exh. B-2 is not marked. Without following the procedure under Sections 65 and 66 of the Evidence Act, Exh. B-2, a photostat copy does not satisfy the requirements of secondary evidence. The 1st Defendant traces the authority to sell the property to Exh. B-2. The non-marking of the original of Exh. B-2, coupled with non-compliance with Sections 65 and 66 of the Evidence Act, would render the assertion untenable.
- 8.2 The High Court concluded that the original PoA – Exh B-2 was not duly executed by the Plaintiff. It compared the clauses in the draft/copy - Exh. A-4 with the disputed PoA/Exh. B-2. It was observed that the words providing for “sale” in the disputed PoA had no cohesion with the former parts of the clauses. Crucially, the spacing between the letters in the added words relating to “sale” was monospace, whereas the rest of the document used proportional spacing, indicating interpolation/fabrication. The High Court rejected the Defendant's claim regarding the original PoA. It noted inconsistencies in the Defendant's evidence regarding the whereabouts of the original document. It was finally noted that in the draft PoA/Exh. A-3 sent by the Defendant to

**Tharammel Peethambaran and Another v.
T. Ushakrishnan and Another**

the Plaintiff, the specific clause providing for sale and mortgage (Clause b) had been deleted from the final version - Exh. A-4/ Exh. B-2, thus supporting the Plaintiff's claim that she did not grant power to sell. Consequently, the High Court held that the sale deeds executed by the Defendant using the invalid POA were void, thereby restoring the Trial Court's decree

9. Hence, the 1st and 2nd Defendants are in appeal challenging the impugned judgment.
10. We have heard learned senior counsel Mr. Pijush Kanti Roy and Mr. Siddharth Bhatnagar for the parties.
11. The Defendants assail the impugned judgment, as exceeding the jurisdiction of the High Court under Section 100 of the Code of Civil Procedure, 1908. The impugned judgment has not framed substantial questions of law for consideration. Still, by re-appreciating the evidence, it interfered with the findings of fact recorded by the First Appellate Court. The primacy of opinion available to the view of the First Appellate Court is not accorded in the impugned judgment. The illegality in the impugned judgment is a reappraisal of oral and documentary evidence to record findings on facts in issue. Therefore, the impugned judgment, since it exceeded the jurisdiction of the High Court under Section 100 of the CPC, is liable to be set aside. Adverting to the merits, the Defendants contend that in the case on hand, the execution of PoA is not in dispute. Still, the core issue is whether the PoA/Exh B-2 granted comprehensive authority to deal with scheduled property or was it a limited power assigned to the 1st Defendant/Exh. B-2, a notarised photocopy of PoA, is a complete answer on the extent of power granted to the 1st Defendant. The clauses are clear and categorical, authorising the 1st Defendant to sell the Plaintiff A-Schedule Property. The acts of the 1st Defendant conform to the authority and are well within the power granted to the Defendant under Exh. B-2. The Plaintiff, having ratified the act of the 1st Defendant, by receiving Rs. 11,00,000/- through Exh. B6 and B7, dated 20.12.2006 and 23.04.2007, cannot resile and challenge the validity of the sale deeds dated 15.03.2007.
- 11.1 The 1st Defendant has discharged the burden fastened on him, and, on a combined reading of Section 85 of the Evidence Act, read with Section 33 of the Registration Act, the execution or extent of the power under the PoA is a non-issue. The High

Supreme Court Reports

Court committed an illegality by failing to apply the available presumption to the sale deeds dated 15.03.2007. The 1st Defendant contends that the purported clauses authorising him to alienate are not manipulated or fudged; this is evidenced by the draft PoA/Exh. A-3 that was sent by the 1st Defendant to the Plaintiff.

12. The Plaintiff contends that the First Appellate Court committed a serious illegality by relying on PoA/Exh. B-2. The findings of fact recorded by the First Appellate Court are contrary to the evidence or result of incorrect construction of the documents. The 1st Defendant admits that the original of Exh. B-2 is not available to him. Further, to place on record, Exh. B-2, a notarised photocopy of a PoA procedure for adducing secondary evidence must be followed. In the admitted scenario, neither is an original nor a photocopy on record after complying with the requirements of adducing secondary evidence. Exh. B-2, since it is not an original document, but a notarised PoA, cannot be the document of source for the authority said to have been given by the Plaintiff to the 1st Defendant. The requirements, either under Section 33 of the Registration Act, or Section 85 of the Evidence Act, fall for consideration only if the original deed or Exh. B-2 is produced after complying with the requirements of secondary evidence. The photocopy is not a piece of evidence. The High Court has not conducted an independent reappreciation of oral and documentary evidence, but tested the findings of fact on the oral and documentary evidence adduced by the parties. Such a procedure is within the scope and jurisdiction of the High Court. The unauthorised act of the 1st Defendant will not bind the Plaintiff, and no title is conveyed to the 2nd and 3rd Defendants through Exh. A-7 and A-8.
13. The arguments on both sides are noted, and the record is perused and appreciated.
14. The controversy centres around the disputed circumstance, namely, the power of agency given by the plaintiff to the 1st defendant through Exh. B-2, if the documentary evidence in Exh. B-2 satisfies the requirement of law, whether it is fudged with additions, etc. Inasmuch as the 1st Defendant can convey title to the 2nd and 3rd Defendants only when the authority to do so is proved as pleaded by him. The admitted circumstances are that the Plaintiff is the owner

**Tharammel Peethambaran and Another v.
T. Ushakrishnan and Another**

of the Suit A-Schedule Properties, the Plaintiff resides in Mumbai, the 1st defendant resides in Kozhikode, and was authorised to, according to the Plaintiff, manage the property and according to the 1st Defendant, he was authorised to act as an agent of the Plaintiff for all purposes. The Plaintiff denies having given general power, including the alienation of the Suit A-Schedule in favour of the 1st Defendant. The 1st Defendant asserts and claims that the PoA in his favour includes the power to alienate the Suit A-Schedule Property.

15. In the admitted and disputed circumstances, the issue boils down to whether the 1st Defendant proved the case as pleaded in the written statement. The burden is on the 1st Defendant. For clarity, we excerpt the averments in the written statement on the execution, scope and content of PoA, which reads as under:

“XxX

the plaintiff handed over to the first defendant all the powers to handle, sell, mortgage the above said property as his own and a power of attorney draft was prepared and sent as per the plaintiff’s instructions. Plaintiff herself voluntarily prepared it as her on style and signed it and sent it to the 1st Defendant.

XxX

the plaintiff has nowhere (sic) stated why the 1st defendant was entrusted with the power to dispose of the property, sell it etc. From these circumstances it is proved that the 1st defendant also had the authority over the above said property.

XxX

The draft Power of Attorney produced by the Plaintiff along with the plaint was sent by the 1st defendant. Similarly the 1st respondent (defendant) admits the letter sent along with it. But no letter has been sent by the 1st defendant after getting the Power of Attorney.

XxX

The Power of Attorney issued by the plaintiff also empowered the 1st defendant to sell the property. The

Supreme Court Reports

registrar allowed to register the document after fully understanding the contents. Up to this point, the plaintiff has not raised an argument that the officials of the Register Office and these defendants have conspired to create the Sale deeds.

XxX”

These pleadings will be considered at the appropriate stage.

16. We now turn to whether the High Court exceeded its jurisdiction under Section 100 of the Code of Civil Procedure, 1908, while reversing the judgment of the First Appellate Court. The defendants argue that the High Court’s findings were recorded on reappreciation of oral and documentary evidence. The Plaintiff contends that the High Court has not reappreciated the evidence but has examined whether the evidence was misread/documents were not correctly interpreted, and whether inadmissible documents were relied upon by the first appellate Court. The broad parameters for exercising the jurisdiction under Section 100 of the Code of Civil Procedure are summed up hereunder:
 - 16.1 The Code of Civil Procedure (Amendment) Act, 1976, introduced a specific embargo on the High Court’s jurisdiction under Section 100 to ensure the finality of findings of fact and to confine its jurisdiction to cases involving a substantial question of law.¹ Consequently, the general rule is that findings of fact recorded by the trial and appellate courts are binding and will not be disturbed, even if they appear to be erroneous.²
 - 16.2 However, this restriction is not absolute. Where the findings of fact are founded on assumptions, conjectures or surmises, or suffer from the vice of perversity, the High Court is well within its jurisdiction to interfere with findings of fact. The legality of a finding of fact, when challenged on the ground of perversity, itself constitutes a question of law and, therefore, may give rise to a substantial question of law under Section 100 of the CPC.³

1 Ramathal v. Maruthathal (2018) 18 SCC 303.

2 Jagdish Singh v. Natthu Singh (1992) 1 SCC 647.

3 Dinesh Kumar v. Yusuf Ali (2010) 12 SCC 740.

**Tharammel Peethambaran and Another v.
T. Ushakrishnan and Another**

- 16.3 A finding may be termed perverse where it is arrived at by ignoring or excluding relevant and material evidence, by considering irrelevant material, or where it is based on no evidence or on wholly unreliable evidence. A decision based on no evidence is not confined to cases of complete absence of evidence, but also includes cases where the evidence on record, taken as a whole, is incapable of reasonably supporting the findings recorded. A finding that outrageously defies logic, suffers from irrationality, or is such that no reasonable person acting judicially could have arrived at it, is equally perverse in the eye of the law. Findings resting on the *ipse dixit* of the court or on conjecture and surmises reflect non-application of mind and stand vitiated on that ground as well.⁴
- 16.4 Insofar as documentary evidence is concerned, an inference drawn from the contents of a document is ordinarily a question of fact. However, the legal effect of a document's terms, its construction involving the application of legal principles, or a misconstruction thereof gives rise to a question of law.⁵
- 16.5 While exercising jurisdiction under Section 100 of the CPC, the High Court must be satisfied that the case involves not merely a question of law but a substantial question of law having a material bearing on the rights of the parties. A substantial question of law may arise where the legal position is debatable or unsettled. It may also occur in cases where statutory provisions or binding precedents well settle the legal position. Still, the courts below have decided the matter by ignoring settled principles or by acting in direct contravention of them. In such cases, the substantial question of law arises not because the law is uncertain, but because the decision violates the settled position of law.⁶
- 16.6 Section 103 of the CPC enables the High Court, in a second appeal, to determine an issue of fact, provided the evidence on record is sufficient, in two contingencies: first, where an issue necessary for the disposal of the appeal has not been

4 Bharatha Matha v. R. Vijaya Renganathan (2010) 11 SCC 483.

5 Hero Vinoth v. Seshammal (2006) 5 SCC 545, ¶24.

6 Ibid.

Supreme Court Reports

determined by the lower appellate court or by both courts below; and second, where such issue has been wrongly determined by reason of a decision on a question of law as referred to in Section 100 of the CPC.⁷

- 16.7 Section 103 does not operate as an exception to, or a substitute for, Section 100, but is intended to advance the same legislative purpose. The power under Section 103 CPC can be exercised only in exceptional circumstances and with circumspection. Before invoking this provision, the High Court must record a clear finding that the findings of fact recorded by the courts below are vitiated by perversity. In the absence of such a categorical finding, the exercise of power under Section 103 would fall outside the permissible limits of Section 100 of the CPC.⁸
17. Therefore, we examine whether the findings in the impugned judgment are based on reappreciation of evidence, or on a finding of misreading of evidence, wrong interpretation of documents, and reliance on inadmissible evidence, Exh. B-2.
18. The evidence of DW1 is important, and in chief examination the witness denied the Plaintiff's claims, stating that while the Plaintiff A-Schedule properties (Items 1 and 2) were purchased in the Plaintiff's name from their brother Mohandas, this was done solely due to Mohandas's insistence and the plaintiff's love and affection to assist DW1, who could not raise the full funds immediately. DW1 claimed he had originally entered into an agreement to sell with Mohandas for Rs.7 lakhs and paid an advance of Rs.1 lakh, and later the plaintiff provided Rs.6 lakhs to complete the purchase. Further, he has been in exclusive possession of the property since 1984, residing there with his family, and denied being merely a caretaker. Regarding Item 3, he claimed to have orally purchased it from the Plaintiff for Rs. 2 lakhs. That Plaintiff voluntarily prepared, signed, and notarised a PoA empowering him to sell the property and sent it to him. Furthermore, DW1 had settled all financial obligations to the Plaintiff by paying Rs.5,00,000/- on 20.12.2006 and Rs.6,00,000/- on 23.04.2007, for

⁷ Sitaramji Badwaik v. Bisaram (2021) 15 SCC 234.

⁸ Municipal Committee, Hoshiarpur v. Punjab SEB (2010) 13 SCC 216, ¶126.

**Tharammel Peethambaran and Another v.
T. Ushakrishnan and Another**

which the plaintiff signed receipts. Further, the Plaintiff's suit was an afterthought driven by ulterior motives, and he had sold the property to the 2nd and 3rd Defendants with full authority and with the Plaintiff's knowledge. The appreciation of the chief examination of DW-1 would not show the crucial aspect of clauses in Exh. B2.

- 18.1 During cross-examination, he admitted he did not know where the original PoA was. The cross-examination further reads that a witness named Muraleedharan retrieved the documents from the office of the Sub-registrar and handed the original POA to the Plaintiff's husband. He admitted that he had nothing to say as to why this significant fact was omitted from his pleadings. When confronted with a photocopy of the POA, he admitted that it lacked witness signatures and contained no notary endorsement. He denied sending the draft PoA to the Plaintiff. Regarding the payment receipts, he admitted they were written in his own handwriting on the Plaintiff's husband's letterhead and were not stamped. He admitted he did not affix a revenue stamp to the receipts and justified it by saying the plaintiff was her sister. He admitted to filing a previous cheque case (CC No. 667/09) against a woman named K.K. Rajani, and that the accused in that case alleged that DW1 had forged her signature. Subsequently, DW1 withdrew the case as not pressed rather than pursuing it. He admitted that he continued to reside in the house on the property. That he did not accompany the buyer Sunil Kumar to register the subsequent sale of the property and did not know who currently possesses item no. 3. He admitted the house ownership in the Panchayat records were still in the name of plaintiff.
19. The crux of the matter depends on whether Exh. B-2 can be treated as documentary evidence warranting interpretation of the clauses and the alleged contradictions with Exh. A-3 and A-4. Exh. B-2 is a photocopy, or a mechanical copy, of the purported PoA. This, therefore, implies that Exh. B-2 is, at best, secondary evidence. Secondary evidence is evidence that proves the contents of an original document through a medium that is one step removed from the source. Section 63 of the Indian Evidence Act provides an exhaustive list of what constitutes secondary evidence. This includes certified copies, copies made

Supreme Court Reports

from the original by mechanical processes ensuring accuracy, copies compared with such copies, counterparts of documents against parties who did not execute them, and oral accounts of the contents given by a person who has seen the document.

20. The broad parameters summarising the procedure to be followed for introducing secondary evidence are reiterated and read thus:
 - 20.1 The fundamental principle of the Indian Evidence Act is that facts have to be established by primary evidence.⁹ Section 64 mandates that documents must be proved by primary evidence, which is considered the “best evidence”. Primary evidence is the rule, while secondary evidence is an exception admissible only in the absence of primary evidence. A party is generally required to produce the best evidence available; so long as the superior evidence (the original) is within a party’s possession or reach, they cannot introduce inferior proof (secondary evidence).¹⁰
 - 20.2 Before secondary evidence can be admitted, the party relying on it must lay a factual foundation. This involves two steps: First, the party must prove that the original document actually existed and was executed. Secondly, the party must establish valid reasons as to why the original cannot be furnished.¹¹
 - 20.3 Secondary evidence is inadmissible until the non-production of the original is accounted for in a manner that brings the case within the specific exceptions provided in Section 65.¹² If the original itself is found to be inadmissible through failure of the party who files it to prove it to be valid, the same party is not entitled to introduce secondary evidence of its contents.¹³
 - 20.4 Section 65 of the Evidence Act is exhaustive and states the specific circumstances under which secondary evidence is

9 Jagmail Singh v. Karamjit Singh (2020) 5 SCC 178. (Para 14)

10 Smt. J. Yashoda v. K. Shobha Rani (2007) 5 SCC 730.

11 Ibid; Kaliya v. State of Madhya Pradesh (2013) 10 SCC 758.

12 H. Siddiqui (D) By Lrs. v. A. Ramalingam, AIR (2011) SC 1492.

13 Smt. J. Yashoda v. K. Shobha Rani (2007) 5 SCC 730.

**Tharammel Peethambaran and Another v.
T. Ushakrishnan and Another**

permissible. To introduce secondary evidence, a party must satisfy the conditions of one of the clauses (a) through (g) of Section 65.¹⁴

- 20.5 Further, admitting a document as secondary evidence does not automatically prove its contents. The secondary evidence must be authenticated by foundational evidence showing that the alleged copy is, in fact, a true copy of the original. For instance, if a party wishes to introduce a photostat copy, they must explain the circumstances under which the copy was prepared and who possessed the original at the time the photograph was taken.¹⁵
- 20.6 Mere admission of a document or making it an exhibit does not dispense with the requirement of proving it in accordance with the law. The court has an obligation to examine the probative value of the document and decide the question of admissibility before making an endorsement on the secondary evidence. If the foundational facts, such as the loss of the original or the explanation for its non-production, are not established, the court cannot legally allow the party to adduce secondary evidence.¹⁶
- 20.7 There is no requirement that an application must be filed to lead secondary evidence. While a party may choose to file such an application, secondary evidence cannot be ousted solely because no application was filed. It is sufficient if

14

Condition for Secondary Evidence	Statutory Clause	Type of Secondary Evidence Allowed
Adversary Possession	Section 65(a)	Any secondary evidence (after notice).
Written Admission	Section 65(b)	The written admission itself.
Loss or Destruction	Section 65(c)	Any secondary evidence.
Immovable Original	Section 65(d)	Any secondary evidence.
Public Document	Section 65(e)	Only a certified copy.
Law-Specified Document	Section 65(f)	Only a certified copy.
Voluminous Records	Section 65(g)	Testimony of a skilled examiner.

15 *Ashok Dulichand v. Madahavlal Dube and Another* (1975) 4 SCC 664; *Chandra v. M. Thangamuthu* (2010) 9 SCC 712.

16 *Rakesh Mohindra v. Anita Beri* (2016) 16 SCC 483.

Supreme Court Reports

the party lays the necessary factual foundation for leading secondary evidence either in the pleadings or during the course of evidence.¹⁷

21. Therefore, the introduction of secondary evidence is a two-step process, wherein, first, the party must establish the legal right to lead secondary evidence, and second, they must prove the contents of the documents through that evidence. The twin requirements are conjunctive.
22. The High Court recorded a finding which is not challenged, that the PoA produced by the 1st Defendant is a notarised photocopy, and not the original document. The 1st Defendant is obligated to follow the procedure for adducing secondary evidence, and thereafter, claim presumption, if any, available to a document so adduced in evidence. It is axiomatic that secondary evidence is permissible only as an exception to the requirement of adducing primary evidence.
23. The case on hand falls within the meaning of mechanical copies. In law, the existence of Exh. B-2, in the absence of laying down a factual foundation and following procedure, ought to be ignored for the purpose of appreciating the 1st Defendant's claim on the power to alienate Plaintiff A-Schedule Property. It is apposite to refer to one of the views expressed by the First Appellate Court by examining the signature in Exh. B-2, and recording a finding against the plaintiff. It is axiomatic and fairly established by the authorities¹⁸ of this Court that courts should not by itself compare disputed signatures without the assistance of any expert, when the signatures with which the disputed signatures compared, are themselves not the admitted signatures. In our considered view, neither Section 33 of the Registration Act nor Section 85 of the Evidence Act would come into application if the primary requirement of adducing secondary evidence is discharged by the party relying on the document. Section 85 of the Evidence Act falls under Chapter V, titled Documentary Evidence. In the absence of an original or at least a secondary evidence, it is impermissible to apply Section 85 of the Indian Evidence Act to conclude the execution and extent of authority given by the plaintiff to the 1st defendant. No order is brought to our notice through which secondary

17 *Dhanpat v. Sheo Ram* (2020) 16 SCC 209.

18 *O. Bharathan v. K Sudhakarana* (1996) 2 SCC 704.

**Tharammel Peethambaran and Another v.
T. Ushakrishnan and Another**

evidence is brought on record before the Trial Court. A photocopy of a document is no evidence unless the same is proved by following the procedure set out. Relying on Exh. B-2, the First Appellate Court acted on inadmissible evidence and accepted the existence of power to alienate. Exh. B-2/photocopy is no evidence, and the incorrect reliance on no evidence, has been rightly corrected by the High Court through the impugned judgment. The High Court has considered the misreading of evidence by the Appellate Court and, by applying the correct principles of law, allowed the second appeal.

24. Therefore, the Civil Appeal is without merit and is dismissed accordingly. No order as to costs. Pending application(s), if any, stand disposed of.

Result of the case: Appeal dismissed.

†Headnotes prepared by: Ankit Gyan

N. Manoharan, Etc.
v.
The Administrative Officer and Another
(Civil Appeal No(s). 1513-1522 of 2026)
11 February 2026
[Pankaj Mithal and S.V.N. Bhatti,* JJ.]

Issue for Consideration

Whether the employees of Heavy Water Plant, Department of Atomic Energy, Government of India, Tuticorin (“HWP”) are covered by the provisions of the Payment of Gratuity Act, 1972.

Headnotes[†]

Atomic Energy Act, 1962 – CCS (Pension) Rules, 1972 – Payment of Gratuity Act, 1972 – s.2(e) – Retired employees of HWP employees governed by the CCS (Pension) Rules, 1972 claimed higher gratuity benefits under the PG Act – Controlling Authority held that the provisions of the PG Act are attracted to the employees of HWP, and directed to pay the difference of gratuity between the PG Act and CCS (Pensions) Rules, 1972 – HWP filed appeal before the Deputy Chief Labour Commissioner, dismissed – Writ Petitions filed by HWP, dismissed – In appeal, High Court held that since the Appellants held “civil posts under the Central Government” and were governed by the CCS (Pension) Rules, 1972, which provide for gratuity, they fall squarely within the exclusion clause and therefore, do not come within the meaning of “employees” u/s.2(e), PG Act – Interference, if warranted:

Held: No, impugned order agreed with – The exclusionary limb of s.2(e) begins with the words “but does not include” any such person who holds a post under the Central Government; a State Government; is governed by any other Act or; by any Rules providing payment of gratuity – HWP is created to manage the projects of the Department of Atomic Energy (DAE) for the production of heavy water – HWP at Tuticorin is a project under the management of the Heavy Water Projects Board of the DAE, and cannot, by sieving,

* Author

N. Manoharan, Etc. v. The Administrative Officer and Another

separate itself from being an ancillary or adjunct of the DAE – For the limited purpose of gratuity, the larger and comprehensive establishment of atomic energy facilities by the Central Government is not replaced with a very narrow construction of the functional freedom given to the Heavy Water Projects Board or individual Heavy Water Plants – HWP is an adjunct or ancillary operating through the Heavy Water Projects Board of the DAE – Constitution, establishment, and continuation examined, HWP is an adjunct of the Department of Atomic Energy – Therefore, the employees fall within the exclusionary clause of s.2(e) of the PG Act – Thus, ss.5 and 14 are not attracted in deciding on the applicability of the PG Act to the employees of HWP. [Paras 12-14]

Atomic Energy Act, 1962 – s.3 – High Court *inter alia* held that Heavy Water Board (HWP) functions directly under the Ministry and the employees were Central Government servants, not merely employees of an autonomous industrial unit:

Held: The Department of Atomic Energy, Government of India, is the Department through which the Central Government discharges the functions, duties, and responsibilities assigned to it under the AE Act – s.3 *inter-alia* empowers the Central Government to produce, develop, use and dispose of Atomic Energy, either by itself or through any Authority or Corporation established by it or a Government Company, and carry out research into any matters connected therewith – Similarly, to manufacture or to produce any prescribed radioactive substance or the ancillary works connected therewith, the difference in language between Clauses (a) and (b) of s.3 clearly demonstrate that a few of the functions/activities, the Central Government is empowered to do by itself or through any other authority or corporation established by it or a Government Company, and has power to manufacture or otherwise produce any prescribed or radioactive substance as per Clause (b) – There is a choice vested in the Central Government to undertake a particular act either directly or by establishing a company/PSU – Since its inception, a board has been constituted to manage the HWPs of the DAE – The retired employees admit that HWP is not incorporated under the Companies Act, is not recognised as a PSU, or functions as a Government Company – Thus, the other attributes of a separate legal entity, incorporated association, artificial person, limited liability, common seal, perpetual succession, and transferability of shares are not present. [Paras 4, 12.1]

Supreme Court Reports

Interpretation of Statutes – Payment of Gratuity Act, 1972 – s.2(e) – “means” and “does not include”:

Held: The applicability or inapplicability of the PG Act depends on whether the employee comes within the inclusive definition or the exclusive definition – The same is dependent on jurisdictional facts – The exclusionary limb of s.2(e) begins with the words “but does not include” any such person (i) who holds a post under the Central Government, (ii) a State Government, (iii) is governed by any other Act or (iv) by any Rules providing payment of gratuity – The exclusionary clause, if read by applying the golden rule excludes employees of the Central and State Governments from the meaning of “employee” under the PG Act – It also excludes a person who is governed by any other act – Even if it is used as “or” but not as “and”, it excludes any such person who is governed by any other Act or by any rules providing for payment of gratuity – The provision contains the words both “means” and “does not include” – Coupling the word “means” with “includes” denotes an exhaustive definition – Conversely, the word “means” and “does not include” should be read as exclusionary language that strictly excludes the scope of the provision from certain classes – Consequently, a person who is governed by any other Act, or governed by any Rules providing for payment of gratuity, does not come within the ambit of the definition of “employee” under the PG Act – Atomic Energy Act, 1962 – CCS (Pension) Rules, 1972. [Para 12]

Jurisdictional fact – What is:

Held: A jurisdictional fact is a fact which must exist before a court, tribunal, or authority assumes jurisdiction over a particular matter – A jurisdictional fact is one on the existence or non-existence of which depends the jurisdiction of a court, a tribunal or an authority – It is the fact upon which an administrative agency’s power to act depends – If the jurisdictional fact does not exist, the court, authority or officer cannot act – If a court or authority wrongly assumes the existence of such a fact, the order can be questioned by a writ of certiorari – The underlying principle is that by erroneously assuming the existence of such a jurisdictional fact, no authority can confer upon itself jurisdiction which it otherwise does not possess – In the present case, appointment orders or any other circulars for deciding the jurisdictional fact of “employees”, not adverted to. [Para 10]

N. Manoharan, Etc. v. The Administrative Officer and Another**Case Law Cited**

Municipal Corporation of Delhi v. Dharam Prakash Sharma (1998) 7 SCC 221 – distinguished.

Arun Kumar v. Union of India [2006] Supp. 6 SCR 290 : (2007) 1 SCC 732; *Mahalakshmi Oil Mills v. State of A.P.* [1988] Supp. 2 SCR 1088 : (1989) 1 SCC 164; *P. Kasilingam and Others v. P.S.G College of Technology and Others* [1995] 2 SCR 1061 : (1995) Supp. SCC 2 348 – referred to.

List of Acts

Payment of Gratuity Act, 1972; Atomic Energy Act, 1962; CCS (Pension) Rules, 1972; Industrial Disputes Act, 1947.

List of Keywords

Employees of Heavy Water Plant, Department of Atomic Energy, Government of India, Tuticorin are not covered by the provisions of the Payment of Gratuity Act, 1972; HWP; Section 2(e) of the Payment of Gratuity Act, 1972; Differential gratuity amounts; Retirement benefits; Gratuity; Department of Atomic Energy, Government of India; Jurisdictional fact; Heavy Water Boards; Heavy Water Projects Board of the DAE.

Case Arising From

CIVIL APPELLATE JURISDICTION: Civil Appeal No(s). 1513-1522 of 2026

From the Judgment and Order dated 21.06.2023 and 02.08.2023 of the High Court of Judicature at Madras in WP No. 24935 of 2021, and WP Nos. 7108, 14893, 697, 704, 9116, 8561, 13031, 15909, and 14896 of 2023, respectively

With

Civil Appeal No(s). 1523-1554 and 1555 of 2026

Appearances for Parties

Advs. for the Appellant(s):

Ms. Haripriya Padmanabhan, Sr. Adv., K. Paari Vendhan, Aayushman Aggarwal, Shrutanjay Bhardwaj, Raghunatha Sethupathy B, Siddhi Nagwekar.

Supreme Court Reports

Advs. for the Respondent(s):

S.D. Sanjay, A.S.G., Khushal Kolwar, Parthvi Ahuja, Ms. Nikita Sethi, Shubham Prakash Mishra, Akshat Aggarwal, Ms. Arunima Diwedi, Rajeev Ranjan, Dharmendra Kumar Pandey, Raman Yadav, Raj Bahadur Yadav, Gurmeet Singh Makker, Ms. Aurnima Diwedi, Rajeev Ranjan, Dharmendra Kumar Pandey, Raman Yadav, Saurabh Kumar Kaushik, Amrish Kumar.

Judgment / Order of the Supreme Court

Judgment

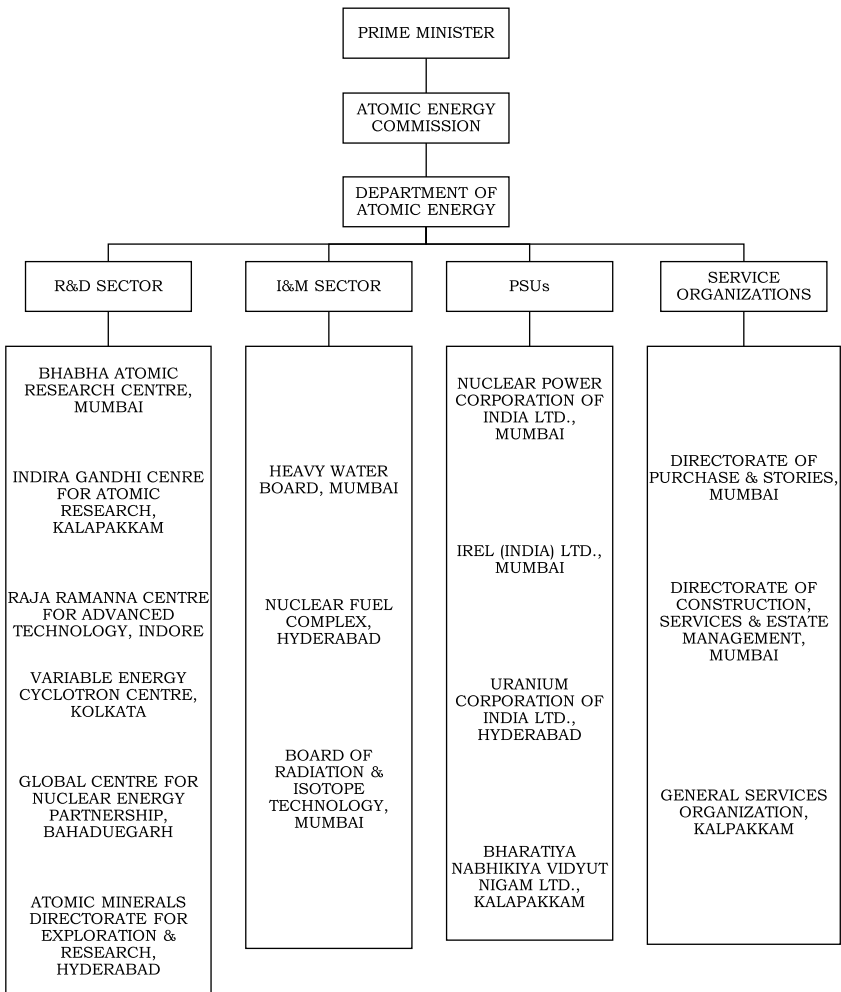
S.V.N. Bhatti, J.

Leave granted.

2. The point for consideration in the subject Civil Appeals is whether the employees of Heavy Water Plant, Department of Atomic Energy, Government of India, Tuticorin ("HWP") are covered by the provisions of the Payment of Gratuity Act, 1972 ("PG Act").
3. The Civil Appeals arise from a common Judgment dated 21.06.2023 in Writ Appeal No. 1687 of 2021, Writ Petition No. 19117 and batch. The impugned Judgment held and declared that the employees of HWP are not covered by the definition of Section 2(e) of the PG Act. Hence, the Civil Appeals are at the instance of the retired employees of HWP. The circumstances leading to the dispute between the parties are admitted and fall within a narrow compass.
4. The Atomic Energy Act, 1962 ("AE Act"), was enacted by the Parliament and is effective from 15.09.1962. The objective of the AE Act is to provide for the development, control and use of atomic energy for the welfare of the people of India and for other peaceful purposes. Section 3 of the AE Act deals with 'General Powers of the Central Government' to produce, develop, use and dispose of atomic energy, either by itself or through any Authority or Corporation established by it, or a Government Company; and carry out research into any materials connected therewith. Section 3 of the AE Act is comprehensive and encompasses all primary and ancillary activities undertaken by the Central Government relating to atomic energy. The Department of Atomic Energy, Government of India ("DAE"), is

N. Manoharan, Etc. v. The Administrative Officer and Another

the Department through which the Central Government discharges the functions, duties, and responsibilities assigned to it under the AE Act. The parties admit the following hierarchy of departments *vis-à-vis* atomic energy:



- On 01.05.1969, the Government of India/DAE issued Office Memorandum No. 12/7/69-(P) for the constitution of a Board to administer the Heavy Water Production Projects of the DAE. The operative portion of the Office Memorandum reads as follows:

Supreme Court Reports

Government of India
Department of Atomic Energy

25
ANNEXURE P/15

Chhatrapati Shivaji Maharaj Marg,
Bombay 1

No.12/7/69-(P)

May 1, 1969

OFFICE MEMORANDUM

Subject:- Constitution of a Board to administer
the Heavy Water Production Programmes
of the Department of Atomic Energy.

The President is pleased to decide that with effect from the date of issue of these orders, a Board of Management known as the "Heavy Water Projects Board" be created for managing the projects of the Department of Atomic Energy for the production of Heavy Water. These projects include the following:-

- i) The Mangal Plant in conjunction with the Fertiliser Corporation of India
- ii) The 100 tonne Heavy Water Project at Rana Pratap Sagar
- ✓ iii) Any other projects which may be approved for the manufacture of Heavy Water.

6. The HWP in Tuticorin is one of the Heavy Water Boards established by the DAE. The circumstance precipitating a dispute between the retired employees and HWP can be traced to one of the pension payment orders issued by HWP. On 25.07.2014, the pension payment order in favour of retired employee, N. Manoharan, was issued under the CCS (Pension) Rules, 1972. The CCS (Pension) Rules, 1972 deal with comprehensively the retirement benefits to which a retired employee is entitled, including gratuity. The sum payable as gratuity under the PG Act and CCS (Pension) Rules, 1972, is less than the sum payable under the PG Act. This led to an employee of HWP filing an application before the Controlling Authority under the PG Act. The Controlling Authority held that the provisions of the PG Act are attracted to the employees of HWP, and a direction was ordered to pay the difference between the PG Act and CCS (Pensions) Rules, 1972. The Controlling Authority, on jurisdictional fact and the applicability of the PG Act, held that HWP, constitutes

N. Manoharan, Etc. v. The Administrative Officer and Another

an industry under the Industrial Disputes Act, 1947, making the applicant-employee eligible for coverage under Section 1(3)(b) of the PG Act. The Controlling Authority also relied on the Order dated 29.01.2016 of the High Court of Madras in WP Nos. 23577 to 23579 of 2015 and batch. HWP, Tuticorin, challenging the Order of the Controlling Authority, filed an appeal before the Deputy Chief Labour Commissioner, and the appeal filed was dismissed. The primacy of consideration of the appellate authority as well proceeds on the fact that HWP is an industry under the Industrial Disputes Act, 1947, and the employees are industrial employees covered by the first limb of Section 2(e) of the PG Act.

7. HWP assailed the orders before the High Court in Writ Petition No. 23127 of 2015 and batch, which were dismissed on 31.03.2016, resulting in the filing of Writ Appeal No. 1687 of 2021. The record discloses that HWP filed Writ Petition No. 13346 of 2023 and batch challenging the subsequent orders of the Controlling Authority directing payment of the difference of gratuity to the retired employees of HWP. The Division Bench of the High Court of Madras dealt with the Writ Appeals as lead cases and, by the Impugned Judgment, and allowed the Writ Appeals as well as Writ Petitions filed by HWP. The Impugned Judgment examined the issue under the following heads:
 - (i) On Interpretation of “Employee” (Section 2(e) of PG Act, 1972): The Appellants were appointed by the Government of India, DAE. Their appointment orders clearly stated they were governed by “Central Civil Services Rules.” Since the Appellants held “civil posts under the Central Government” and were governed by the CCS (Pension) Rules, 1972, which provide for gratuity, they fall squarely within the exclusion clause. Therefore, they do not come within the meaning of “employees” under Section 2(e) of the PG Act.
 - (ii) Inapplicability of Section 14 (Overriding Effect): Section 14 applies only to persons who first qualify as “employees” under the PG Act. Since the retired employees were excluded at the threshold definition stage (Section 2(e)), they never entered the ambit of the PG Act. Consequently, Section 14 cannot be invoked to override the CCS (Pension) Rules in their case. Hence, a specific exclusion in the definition clause cannot be defeated by a general overriding clause.

Supreme Court Reports

- (iii) Status of the Heavy Water Board (“HWB”): It rejected the argument that the HWB is an industrial establishment/ autonomous body, distinct from the Central Government. It treated HWB as a unit of the DAE of the Government of India. It was held that, unlike a Public Sector Undertaking like NPCIL, which is a separate corporate entity, HWB functions directly under the Ministry. The employees are, therefore, Central Government servants, not merely employees of an autonomous industrial unit.
 - (iv) The Principle of Estoppel: The Appellants had already received their retirement benefits, including pension and gratuity, under the CCS (Pension) Rules, 1972, without protest at the time of retirement. An employee cannot claim benefits under two different statutes for the same purpose. Having accepted the benefits under the specific rules applicable to government servants, *i.e.*, CCS Rules, they are estopped from turning around and claiming higher benefits under a general law, *i.e.*, the PG Act, which expressly excludes them.
 - (v) Distinguishing Precedents (The MCD Case): Distinguishing this Court’s judgment in *Municipal Corporation of Delhi v. Dharam Prakash Sharma*,¹ it was held that the employees were undeniably “employees” of the Corporation, and the Corporation had merely adopted CCS Rules. Whereas in the present case, the retired employees were originally Central Government servants holding civil posts, which is a specific statutory exclusion not present in the *MCD* (*supra*).
 - (vi) Regarding Refund: The High Court ordered that employees who had already withdrawn the differential gratuity amounts deposited by the Management “need not return the money” and the Management cannot demand a refund of these amounts. For those employees (like the retired employees in the present Civil Appeals) who had not yet withdrawn the money, the High Court ordered that the amounts lying in the deposit must be returned to the Management.
8. Learned Senior Counsel, Ms. Haripriya Padmanabhan, argues that HWP is an industrial establishment. The orders constituting HWP

1 (1998) 7 SCC 22.

N. Manoharan, Etc. v. The Administrative Officer and Another

confer complete autonomy to HWP to decide on the appointment of employees, and service conditions by which the employees are governed. HWP, as an entity, has adopted and applied the CCS (Pension) Rules, 1972. From the above circumstances, it cannot be gainsaid that the employees of HWP fall within the exclusive definition of “employee” under Section 2(e) of the PG Act. The absence of an exemption notification under Section 5 is a crucial factor in determining the applicability of the PG Act to HWP’s employees. The entities established as government companies/public sector undertakings have exemption notifications in their favour, or the public sector undertaking, as a corporate body, discharges the obligation under the PG Act. There is no exemption notification in the case at hand. The impugned judgment fell into a serious error by distinguishing the judgment in *MCD (supra)*. Assuming without admitting that the retirement benefits are paid as per CCS Rules/CCS Pension Rules, unless it is established on all fours that the employees of HWP squarely fall within Section 2(e) of the PG Act, denial of gratuity under the PG Act is illegal, and the impugned judgment is liable to be set aside.

9. Shree S.D. Sanjay, learned ASG appearing for HWP, argues that the standing of employees of HWP *vis-à-vis* HWP is, in more than one sense, a jurisdictional fact. The jurisdictional fact is appreciated and decided on all the circumstances which bring into existence HWP, whether as a Department of Atomic Energy or a separate corporate entity. The employees do not state that HWP is a separate public sector undertaking/government company with a certificate issued by the Registrar of Companies. HWP, as per the inception document, was constituted by the Office Memorandum dated 01.05.1969. The sequence is a Board of Management known as the Heavy Water Projects Board, created for managing the projects of DAE for the production of heavy water. HWP is a project of the DAE. To sieve out HWP from its constituent department is illegal and may go contrary to the AE Act. In response to the argument about the functional freedom granted to HWP, it is argued that this freedom is granted to accelerate the objectives sought through HWP projects. The appointment orders were issued in accordance with the CCS Rules. The department’s service rules cannot be treated as indicia for deciding the jurisdictional fact. The appointment orders speak in unison that CCS Rules govern the employees, and the resultant

Supreme Court Reports

effect is that gratuity is payable under the CCS (Pension) Rules, 1972. The circumstances leading to the establishment of HWPs render the establishment subject to exclusion under Section 2(e) of the PG Act. The need for an exemption notification under Section 5 and the need to reply to overriding effect under Section 14 of the PG Act depend on the Act's applicability to the relationship between an employer and an employee. The impugned judgment, in his argument, has briefly summarised the position in fact and law, and no ground exists warranting interference in the impugned judgment. It is lastly argued that, considering the importance of the entities, the hierarchy of establishment, command and control is decided by the Central Government. The employees cannot claim to have the benefit of CCS Rules, status of a Central Government employee, while for gratuity, the benefits under the PG Act.

10. The applicability or inapplicability of the PG Act, to begin with, depends on whether the employee comes within the inclusive definition or the exclusive definition. The same is dependent on jurisdictional facts. In *Arun Kumar v. Union of India*,² it has been held that a jurisdictional fact is a fact which must exist before a court, tribunal, or authority assumes jurisdiction over a particular matter. A jurisdictional fact is one on the existence or non-existence of which depends the jurisdiction of a court, a tribunal or an authority. It is the fact upon which an administrative agency's power to act depends. If the jurisdictional fact does not exist, the court, authority or officer cannot act. If a court or authority wrongly assumes the existence of such a fact, the order can be questioned by a writ of certiorari. The underlying principle is that by erroneously assuming the existence of such a jurisdictional fact, no authority can confer upon itself jurisdiction which it otherwise does not possess.
11. It is axiomatic that a decision is an authority for what it decides and not what can be logically deduced therefrom. In our view, the decision in *MCD (supra)* cannot be an authority for deciding the applicability of the PG Act to the employees of HWP. We cannot logically also deduce the similarity of circumstances in the corporate entity of Municipal Corporation of Delhi and an annexe of the DAE. Therefore, the applicability is determined by the facts of the case considered by the tribunal/court.

2 (2007) 1 SCC 732.

N. Manoharan, Etc. v. The Administrative Officer and Another

12. It is relevant to notice that the amended definition deals with the first limb of Section 2(e),³ and the second exclusionary limb is the same in the pre- and post-amendment provisions. Construing Section 2(e), the second limb begins with the words “but does not include” any such person (i) who holds a post under the Central Government, (ii) a State Government, (iii) is governed by any other Act or (iv) by any Rules providing payment of gratuity. The exclusionary clause, if read by applying the golden rule without a further test, excludes employees of the Central and State Governments from the meaning of “employee” under the PG Act. Secondly, it also excludes a person who is governed by any other act. Thirdly, even if it is used as “or” but not as “and”, it excludes any such person who is governed by any other Act or by any rules providing for payment of gratuity. The provision contains the words both “means” and “does not include”. Under interpretation of statutes, this Court has repeatedly held that coupling the word “means” with “includes” denotes an exhaustive definition.⁴ Conversely, the word “means” and “does not include” should be read as exclusionary language that strictly excludes the scope of the provision from certain classes. Consequently, a person who is governed by any other Act, or governed by any Rules providing for payment of gratuity, does not come within the ambit of the definition of “employee” under the PG Act.

12.1 The construction of Section 2(e), as above, leads us to the factual matrix of the case. The AE Act is not considered exhaustively for the present purpose. Still, it is sufficient to refer

3

Pre-Amendment	Post-Amendment
“employee” means any person (other than an apprentice) employed on wages, in any establishment, factory, mine, oilfield, plantation, port, railway company or shop to do any skilled, semi-skilled, or unskilled, manual, supervisory, technical or clerical work, whether the terms of such employment are express or implied, and whether or not such person is employed in a managerial or administrative capacity, but does not include any such person who holds a post under the Central Government or a State Government and is governed by any other Act or by any rules providing for payment of gratuity.”	“employee” means any person (other than an apprentice) who is employed for wages, whether the term such employment are express or implied, in any; kind of work, manual or otherwise, in or in connection with the work of a factory, mine, oilfield, plantation port, railway company, shop or other establishment to which this Act applies, but does not include any such person who holds a post under the Central Government or a State Government and is governed by any other Act or by any rules providing for payment of gratuity.”

4 Mahalakshmi Oil Mills v. State of A.P. (1989) 1 SCC 164; P. Kasilingam And Others v. P.S.G College Of Technology And Others (1995) Supp. SCC 2 348

Supreme Court Reports

to Section 3 of the AE Act which *inter-alia* empowers the Central Government to produce, develop, use and dispose of Atomic Energy, either by itself or through any Authority or Corporation established by it or a Government Company, and carry out research into any matters connected therewith. Similarly, to manufacture or to produce any prescribed radioactive substance or the ancillary works connected therewith, the difference in language between Clauses (a) and (b) of Section 3 clearly demonstrate that a few of the functions/activities, the Central Government is empowered to do by itself or through any other authority or corporation established by it or a Government Company, and has power to manufacture or otherwise produce any prescribed or radioactive substance as per Clause (b). The chart in the above paragraph demonstrates the choice vested in the Central Government to undertake a particular act either directly or by establishing a company/PSU.

13. Since its inception, a board has been constituted to manage the HWP of the DAE. The retired employees admit that HWP is not incorporated under the Companies Act, is not recognised as a PSU, or functions as a Government Company. In other words, the other attributes of a separate legal entity, incorporated association, artificial person, limited liability, common seal, perpetual succession, and transferability of shares are not present. In substance, without any ambiguity, the HWP is created to manage the projects of the DAE for the production of heavy water. HWP at Tuticorin is a project under the management of the Heavy Water Projects Board of the DAE, and cannot, by sieving, separate itself from being an ancillary or adjunct of the DAE. For the limited purpose of gratuity, the larger and comprehensive establishment of atomic energy facilities by the Central Government is not replaced with a very narrow construction of the functional freedom given to the Heavy Water Projects Board or individual Heavy Water Plants. The jurisdictional fact, on appreciation, leads us to the conclusion that HWP is an adjunct or ancillary operating through the Heavy Water Projects Board of the DAE. On examination of constitution, establishment, and continuation, we notice the character of HWP as an adjunct of the Department of Atomic Energy, and by choice, we are not adverting to the appointment orders or any other circulars for deciding the jurisdictional fact of “employees”. Therefore, the employees fall within the exclusionary

N. Manoharan, Etc. v. The Administrative Officer and Another

clause of Section 2(e) of the PG Act. The result of such exclusion is that Sections 5 and 14 are not attracted in deciding on the applicability of the PG Act to the employees of HWP.

14. For the above reasons, we are in agreement with the order impugned, and the Civil Appeals fail and are dismissed. Pending applications, if any, stand disposed of.

Result of the case: Civil Appeals dismissed.

[†]Headnotes prepared by: Divya Pandey

Hemlata Eknath Pise
v.
Shubham Bahu-uddeshiya Sanstha
Waddhamna & Ors.

(Civil Appeal No(s). 1558-1559 of 2026)

11 February 2026

[Dipankar Datta and Satish Chandra Sharma, JJ.]

Issue for Consideration

Whether the High Court erred in remanding the matter to the School Tribunal to consider afresh the claim of the appellant for reinstatement in service, based on its consideration of only a sole point raised on behalf of the first respondent while not dealing with the other points raised.

Headnotes[†]

Judgment/Order – Several issues raised, matter decided considering a solitary point without dealing with other points – Impermissibility – School Tribunal set aside the order of the first respondent dismissing the appellant from service and granted reinstatement together with consequential benefits to her – Writ petition filed by first respondent – High Court considering a solitary point raised on behalf of the first respondent (*i.e.*, the Tribunal had not looked into all the records and proceedings, more particularly the resolution authorizing the Secretary thereof to initiate proceedings against the appellant) and without looking into any other point, remanded the matter to the Tribunal to consider afresh the claim of the appellant for reinstatement in service – Review petition filed by appellant, rejected – Challenge to the order allowing the writ petition and the order dismissing the review petition:

Held: When several issues arise for being answered by a Court in the facts of a given case, ideally, disposal thereof ought to be preceded by recording the Court's answers to each of such issues with reasons rather than the decision of the Court focusing on just one decisive point – High Court ought not to have remanded the matter to the Tribunal for a fresh decision based on its consideration

**Hemlata Eknath Pise v.
Shubham Bahu-uddeshiya Sanstha Waddhamna & Ors.**

of only a sole point – Even if the Secretary of the first respondent were authorized to draw up proceedings against the appellant by issuing charge-sheet, whether or not the inquiry suffered from breach of principles of natural justice, as claimed, and also as to whether the findings of the Tribunal were justified, ought to have engaged the High Court's due consideration – High Court faltered in deciding only one single point while not dealing with the others, which is a fundamental flaw vitiating its order – Impugned orders set aside, writ petition remanded to the High Court for a fresh consideration thereof in the light of the claims and defences of the parties. [Paras 8-10]

Judgment/Order – Reasoned decision – Several issues raised, each of such issue to be dealt with:

Held: When several issues arise for being answered by a Court in the facts of a given case, ideally, disposal thereof ought to be preceded by recording the Court's answers to each of such issues with reasons rather than the decision of the Court focusing on just one decisive point – This approach, apart from ensuring that all issues are considered providing clarity and assuring some sort of a finality, would respect the rights of the litigants to a comprehensive decision; also, if an appeal were carried from such decision, the appellate court would be benefitted by a reasoned decision of the original court. [Para 9]

List of Keywords

Only one single point decided while not dealing with the others; Solitary point raised was considered; No other point looked into; Several issues raised; Only one single point decided; Reasoned decision; School Tribunal; Dismissal from service; Claim for reinstatement in service; Reached the age of superannuation; Matter wrongly remanded.

Case Arising From

CIVILAPPELLATE JURISDICTION: Civil Appeal No(s). 1558-1559 of 2026

From the Judgment and Order dated 05.09.2024 and 25.09.2024 of the High Court of Judicature at Bombay at Nagpur in WP No. 5899 of 2019 and MRA No. 838 of 2024, respectively

Supreme Court Reports

Appearances for Parties

Advs. for the Appellant(s):

Amol B. Karande, B Lakshmi Pallesh, Ms. Akshda, Ashutosh Shrivastava, Manoj Ramkrushna Shete.

Advs. for the Respondent(s):

Satyajit A. Desai, Sachin Patil, Parth Johri, Sachin Singh, Pratik Kumar Singh, Shashank Upadhyay, Madhur Duggal, Sanchit Agrahari, Ms. Anagha S. Desai, Narendar Rao Taneer, Ms. M. Harshini, Sravan Kumar Karanam, Naman Tandon, Siddharth Dharmadhikari, Aaditya Aniruddha Pande, Shrirang B. Varma.

Judgment / Order of the Supreme Court

Judgment

1. Leave granted.
2. The High Court of Judicature at Bombay, Nagpur Bench, Nagpur by the impugned judgment and order dated 05th September, 2024 allowed a writ petition¹ filed by the first respondent. A remand was ordered to the School Tribunal, Nagpur² to consider afresh the claim of the appellant for reinstatement in service upon quashing of the final order of dismissal from service.
3. Incidentally, the Tribunal vide its order dated 8th August, 2019 had set aside an order of the first respondent dismissing the appellant from service and granted reinstatement together with consequential benefits to her.
4. Perusal of the impugned order dated 05th September, 2024 reveals that the High Court considered a solitary point raised on behalf of the first respondent, i.e., the Tribunal had not looked into all the records and proceedings more particularly the resolution authorizing the Secretary thereof to initiate proceedings against the appellant, and upon recording a satisfaction that the Tribunal needs to revisit the matter and without looking into any other point, expressed the view that a remand was indeed called for. It was accordingly ordered, while quashing the Tribunal's aforesaid order dated 8th August, 2019.

1 Writ Petition No.5899 of 2019

2 Tribunal

**Hemlata Eknath Pise v.
Shubham Bahu-uddeshiya Sanstha Waddhamna & Ors.**

5. Crestfallen, the appellant applied for a review of the order dated 05th September, 2024³, contending that the disciplinary proceedings that were initiated had been conducted in gross breach of the principles of natural justice. She highlighted not being allowed to cross examine all the prosecution witnesses. In fact, the High Court's attention was sought to be drawn to the factual position that cross examination of the main witness of the management was in progress on 31st July, 2017, and it was deferred till the next date when it was supposed to resume; however, on 1st August, 2017, the inquiry officer abruptly closed the proceedings without granting opportunity to the appellant to complete cross-examination of the said witness as well as the other witnesses. She also sought to contend that the Tribunal had found the charges not to have been proved. By applying for review, she urged the High Court to consider the aforesaid points.
6. The review petition, however, did not find favour with the High Court which, by its order dated 25th September, 2024, rejected the same.
7. The order dated 05th September, 2024 allowing the writ petition and the order dated 25th September, 2024 dismissing the review petition are the subject matter of challenge in these appeals.
8. In our considered view, having regard to the aforesaid facts and circumstances, the High Court ought not to have remanded the matter to the Tribunal for a fresh decision based on its consideration of only the sole point noticed above. Even if the Secretary of the first respondent were authorized to draw up proceedings against the appellant by issuing charge-sheet, whether or not the inquiry suffered from breach of principles of natural justice, as claimed, and also as to whether the findings of the Tribunal were justified, ought to have engaged the High Court's due consideration.
9. Law is pretty well-settled that when several issues arise for being answered by a Court in the facts of a given case, ideally, disposal thereof ought to be preceded by recording the Court's answers to each of such issues with reasons rather than the decision of the Court focusing on just one decisive point. This approach, apart from ensuring that all issues are considered providing clarity and assuring some sort of a finality, would respect the rights of the litigants to a

Supreme Court Reports

comprehensive decision; also, if an appeal were carried from such decision, the appellate court would be benefitted by a reasoned decision of the original court.

10. The High Court, thus, appears to have faltered in deciding only one single point while not dealing with the others, which is a fundamental flaw vitiating its order dated 5th September, 2024. Accordingly, we set aside the orders impugned in these appeals and order a remand of the writ petition to the High Court for a fresh consideration thereof in the light of the claims and defences of the parties.
11. Since the appellant has reached the age of superannuation and there is, thus, no question of her reinstatement in service, *inter alia*, the primary questions that would necessarily arise for decision before the High Court are whether: (i) the Tribunal was justified in interfering with the disciplinary action taken by the first respondent against the appellant and (ii) the appellant would be entitled to back wages as well as retiral benefits, should the first question be decided against the first respondent.
12. We request the Chief Justice of the High Court of Bombay to assign the writ petition to the roster Bench for its consideration and disposal in accordance with law, as early as possible, preferably within a period of four months of such assignment.
13. All questions on fact and law are kept open for the parties to urge before the High Court.
14. We also leave it open to the parties to explore a mediated settlement notwithstanding that no such settlement in that behalf could be reached before us.
15. The appeals stand allowed on the aforesaid terms.
16. Pending application(s), if any, shall stand disposed of.

Result of the case: Appeals allowed.

**Union of India Through its Secretary & Ors.
v.**

SGT Girish Kumar and Ors. Etc.

(Civil Appeal No(s). 6820-6824 of 2018)

12 February 2026

[Pamidighantam Sri Narasimha and Alok Aradhe,* JJ.]

Issue for Consideration

Issue arose for consideration whether the benefit of arrears of disability pension can be restricted to three years prior to filing of the original applications before the tribunal.

Headnotes[†]

Armed Forces Tribunal Act, 2007 – Disability pension – Claim for arrears of disability pension – Benefit of arrears of disability pension, if can be restricted to three years prior to filing of the original applications before the tribunal:

Held: Disability pension is grounded not merely in length of service, but in the impairment suffered by a member of the Armed Forces in the course of, or attributable to, the service rendered to the nation – Disability pension is not a matter of largesse, but a recognition of sacrifice made in service of the nation – Right to receive disability pension is a valuable right and once found due, the benefit of the same has to be given from the date it became due – It cannot be curtailed by restricting the benefit to a period of three years preceding the filing of the original application – In the absence of any compelling reason to take a different view, no justification to depart from the view consistently taken by this Court – Order dated 18.04.2016 granting the benefit of broad banding of the disability element to Armed Forces Personnel who had retired or were discharged on completion of engagement with disability, attributable to or aggravated by military service, from the date specified in the respective judicial orders, was a conscious policy determination taken with full financial concurrence – Thus, where the State itself, by a conscious policy decision, has determined that arrears of disability pension are payable from a specified cut off date, it is not open to it to subsequently resile and contend

* Author

Supreme Court Reports

that such arrears ought to be confined to a period of three years preceding the claim – To permit such a course, would amount to acknowledging the right in principle while denying its substantive content in effect – Any such deprivation of accrued arrears which has become due to ex-servicemen in view of judicial determination as well as policy decision taken by the Union of India itself, would constitute deprivation of property and would amount to infraction of Art.300A of the Constitution – Union of India, as a model employer, is expected to act with fairness, consistency and even-handedness in the administration of benefits conferred upon those who have served the nation – When a benefit is recognised by a policy and affirmed by judicial pronouncement, its application cannot be selective or uneven – On facts, the original applications filed by the ex-servicemen does not suffer from any delay or laches disentitling them from claiming the relief of arrears of disability pension, thus, the objections on the delay and limitation without any merit – Orders passed by the tribunal in so far as they restrict the benefit of arrears of disability pension to three years preceding the filing of original application quashed and set aside – Appellants entitled to disability pension including the benefit of broad banding, due to them, with effect from 01.01.1996 or 01.01.2006, as the case may be, along with interest @6% pa. [Paras 15-23]

Case Law Cited

Union of India & Others v. Ram Avtar, **2014 SCC OnLine SC 1761**; *Union of India & Ors. v. Tarsem Singh* [2008] **12 SCR 104 : (2008) 8 SCC 648 – held inapplicable.**

Shri Madhav Laxman Vaikunthe v. State of Mysore [1962] **1 SCR 886 : AIR 1962 SC 8**; *Anand Swarup Singh v. State of Punjab* (1972) **4 SCC 744**; *P.L. Shah v. Union of India & Anr.* [1989] **1 SCR 224 : (1989) 1 SCC 546**; *M.R. Gupta v. Union of India & Ors.* [1995] **Supp. 2 SCR 852 : (1995) 5 SCC 628**; *Shiv Dass v. Union of India & Ors.* [2007] **1 SCR 1127 : (2007) 9 SCC 274**; *M. Siddiq (Ram Janmabhumi Temple case) v. Mahant Suresh Das & Ors.* [2019] **18 SCR 1 (2020) 1 SCC 1**; *P.K. Kapur v. Union of India & Ors.* [2007] **2 SCR 128 : (2007) 9 SCC 425**; *State of Madhya Pradesh & Ors. v. Yogendra Shrivastava* [2009] **14 SCR 1137 : (2010) 12 SCC 538**; *K.J.S. Buttar v. Union of India & Anr.* [2011] **4 SCR 136 : (2011) 11 SCC 429**; *Asger Ibrahim Amin v. Life Insurance Corporation of India* [2015] **SCR 865 : (2016) 13 SCC 797**; *Davinder Singh v. Union of India & Ors., Civil Appeal*

**Union of India Through its Secretary & Ors. v.
SGT Girish Kumar and Ors. Etc.**

No. 9946 of 2016 order dated 20.09.2016; *Union of India v. SGT Girish Kumar*, Supreme Court Order dated 13.07.2018 in Civil Appeal Diary No.21811 of 2018; *Union of India & Ors. v. Reet MP Singh & Anr.*, Order dated 01.09.2025 of Civil Appeal No.11311 of 2025; *Ex Sigman Dharam Singh v. Union of India* (Civil Appeal No.3882/2009); *Madan Prasad Sinha v. Union of India & Ors.* [2019] 5 SCR 761 : (2019) 15 SCC 232; *Union of India & Ors. v. Piyush Bahuguna* (Order dated 25.03.2022 passed in Diary No.10713/2021); *Bijender Singh v. Union of India & Ors.*, [2025] 4 SCR 1550 : 2025 SCC Online SC 895; *Ram Avtar v. Union of India* (Judgment dated 04.08.2010); *Piyush Bahuguna v. Union of India* (Judgment dated 10.10.2018); *Harbans Lal v. Union of India and Others* (Order dated 24.05.2018 in OA No.1789 of 2018); *D.S. Nakara v Union of India* [1983] 2 SCR 165 : 1983 AIR SC 130; *State of Jharkhand & Ors. v. Jitendra Kumar Srivastava & Anr.* [2013] 8 SCR 177 : AIR 2013 SC 3383; *Vijay Kumar v. Central Bank of India & Ors.*, 2025 INSC 848 : [2025] 7 SCR 523; *Piyush Bahuguna* (Order dated 25.03.2022, Diary No.10713/2021) – referred to.

List of Acts

Armed Forces Tribunal Act, 2007; Pension Regulations for the Army, 1961; Pension Regulation for the Army, 2008; Limitation Act, 1963; Constitution of India.

List of Keywords

Disability pension; Arrears of disability pension; Benefit of arrears of disability pension.

Case Arising From

CIVIL APPELLATE JURISDICTION: Civil Appeal No(s). 6820-6824 of 2018

From the Judgment and Order dated 01.12.2017 of the Armed Forces Tribunal at Delhi, in OA Nos. 1439, 1440, 1441, 1448, and 1452 of 2016.

With

Civil Appeal Nos. 9637 of 2025, Civil Appeal Nos. 1555 and 3091 of 2024, Civil Appeal No. 1724 of 2023, Civil Appeal No. 2515 of 2019, Civil Appeal Nos. 8286-8287 of 2018, Diary Nos. 35558,

Supreme Court Reports

36222, 36816, 36817, 36820, 34197, 36809, 46724, 50514, 62180, 69396, 38429, 41932, 41937, 47828, 49078, 59291 and 73845 of 2025, Diary Nos. 34570 of 2019, and SLP (C) No(s). 19082, 14571, 14572, 21766, 25515, 25518 and 25517 of 2025

Appearances for Parties

Advs. for the Appellant(s):

R Venkataramani, Attorney General for India, Ms. Archana Pathak Dave, A.S.G., Dr. Harshvir Pratap Sharma, Sr. Adv., Mukesh Kumar Maroria, Chitvan Singhal, Abhishek Kumar Pandey, Raman Yadav, Kartikay Aggarwal, Ms. Ameyavikrama Thanvi, Jagdish Chandra, Madhav Sinhal, Naresh Kumar, Simarpal Singh Sawhney, Siddhant Juyal, Prateek K Chadha, Rakesh Dahiya, Jp Sharma, Aditya Dahiya, Rn Mahlawat, Anuj Rathee, Pankaj Kumar, Tejas Patel, Akul Krishnan, A K Srivastava, Aayush Aman, Ms. Sakshi Apurva, A. Radhakrishnan, Sujeet Ranjan, Ms. Vaishnavi, Shiv Kumar.

Advs. for the Respondent(s):

Arvind Kumar Tewari, Vijay Kumar Padwal, Rahul Burman, Jaspal Singh, Ms. Namrah Nasir, Shivansh Bharatkumar Pandya, Dhruv Jaiswal, Aldanish Rein, Dr. N. Visakamurthy, Dr. Harshvir Pratap Sharma, Tejas Patel, Aditya Kumar Singh, Akul Krishnan, A K Srivastava, Abhijeet Sharma, Praveen, Ganesh Chand Sharma, Dhananjay Singh, K. R. Faridi, Udhav Shanker Maurya, Sudhakar Singh Maurya, J. S. Rawat, Ajit Kakkar, Ms. Alpna Yadav, Tejas B., Arvind A., Santosh Kumar Pandey, Himanshu Gupta, Manoj C. Mishra, Dharam Pal Choudhary, Indra Sen Singh, Abhishek Singh, Rakesh Kumar Singh, Amrendra Kumar Singh, Ms. Harshita Gupta, Os Punia, Ashish Punia, Ms. Mihira Parashar, Manish Kumar Singh, Bipin Bihari, Tatsat Shukla, Raj Kumar, Ms. Dipti Rai, Nishanth Patil, Dr. G. Sivabalamurugan, Selvaraj Mahendran, Hari Krishnan P V, Hari Krishnan P.v, Dhass Prathap Singh V M, Ms. Heena, Ms. Ratna Priya Pradhan, V. Elanchezhian, Pardeep Gupta, Parinav Gupta, Mrs. Mansi Gupta, Rakshit Rathi, Shadab Khan, Dr. Mrs. Vipin Gupta, Krishna Kumar, Ms. Nandani Gupta, Balraj Rathee, Dinesh Verma, Ms. Goldy Goyal, Anuj Kapoor, Sudhanshu S. Pandey, Gaichangpou Gangmei, Roshan Kumar, Maitreya Mahaley, Yimyang Longkumer, J. Prasad, Kamei Bestman Kabui, Mukesh Kumar Maroria, Ms. Jagrati Singh, Mrs. Anjani Aiyagari, G.jayendra Balaji, Jayanta Kumar Biswas, K. Sriram.

Petitioner-in-person.

Caveator-in-person.

**Union of India Through its Secretary & Ors. v.
SGT Girish Kumar and Ors. Etc.**

Judgment / Order of the Supreme Court

Judgment

Alok Aradhe, J.

1. Leave granted.
2. These appeals, filed both by the Union of India and by Ex-servicemen, under Section 30 of the Armed Forces Tribunal Act, 2007 ('Act'), arise out of conflicting decisions of the Armed Forces Tribunal ('Tribunal') concerning the period for which arrears of disability pension are payable. The Tribunal in certain cases directed payment of arrears of disability pension from specified cut-off dates, whereas, in others, restricted such benefits to 3 years prior to filing of the applications before the Tribunal. The present batch of appeals require this Court to determine whether entitlement to disability pension, once judicially affirmed, can be curtailed beyond a prescribed period by invoking limitation, delay or laches.

(i) FACTUAL MATRIX

3. For the sake of convenience, the facts in Civil Appeal Nos.6820-6824 of 2018 are noticed. The respondent in C.A. Nos.6820-6824 of 2018 was enrolled on 30.03.1988 in the Indian Air Force and was discharged on 31.03.2008 upon completion of tenure. At the time of discharge, he was assessed with disability attributable to and aggravated by military service at 20% for life and was granted disability pension accordingly. Pursuant to judgment rendered by a three-Judge Bench of this Court dated 10.12.2014 in **Union of India & Others v. Ram Avtar**¹, the respondent approached the Tribunal on 20.10.2016 by filing an original application, seeking broad banding of disability pension to 50% along with arrears from the date of discharge. The Tribunal, by an order dated 13.12.2017, extended the benefit of broad banding of pension to the respondent from the date of his superannuation.

¹ Union of India & Others. v. Ram Avtar, 2014 SCC Online SC 1761

Supreme Court Reports

(ii) REFERENCE TO THE FULL BENCH OF THE TRIBUNAL

4. In view of the conflicting orders passed by the coordinate benches of the tribunal, on the issue regarding grant of arrears of disability pension beyond a period of three years, the same was referred for consideration to the larger bench of the tribunal. The full bench of the tribunal by an order dated 01.12.2017, *inter alia* held that the decision of this Court in **Union of India & Others v. Ram Avtar** (supra) is a judgment *in rem* and denial of arrears of disability pension amounts to deprivation of property. It was further held that disability pension is a recurring right and the right to claim the same cannot be denied either on the ground of limitation or delay or laches. It was also held that Section 22 of the Act does not apply to the fact situation of the case. Accordingly, the reference was answered.
5. The grievance of the Union of India in the appeals filed by it, is confined only to the direction to make payment of arrears of disability pension with effect from 01.01.1996 or 01.01.2006, as the case may be, without restriction of any time limit to claim arrears of disability pension. The ex-servicemen in their Civil Appeals claim the benefit of arrears of disability pension from the date of their retirement/discharge.

(iii) SUBMISSIONS

6. The learned Attorney General, appearing on behalf of the Union of India, submitted that the grievance of the Union is confined to the direction to pay arrears of disability pension beyond a period of three years. It was contended that claims for arrears of disability pension are governed by the provisions of the Limitation Act, 1963, as well as Section 22 of the Act, and that even in cases of continuing wrong, arrears cannot extend beyond the prescribed period of limitation. In support of the aforesaid submissions, reliance has been placed on the decisions of this Court².

² **Shri Madhav Laxman Vaikunthe v. State of Mysore**, AIR 1962 SC 8; **Anand Swarup Singh v. State of Punjab** (1972) 4 SCC 744; **P.L. Shah v. Union of India & Anr.** (1989) 1 SCC 546; **M.R. Gupta v. Union of India & Ors.** (1995) 5 SCC 628; **Shiv Dass v. Union of India & Ors.** (2007) 9 SCC 274; **Union of India & Ors. v. Tarsem Singh** (2008) 8 SCC 648; **M. Siddiq (Ram Janmabhumi Temple case) v. Mahant Suresh Das & Ors.** (2020) 1 SCC 1; **P.K. Kapur v. Union of India & Ors.** (2007) 9 SCC 425; **State of Madhya Pradesh & Ors. v. Yogendra Shrivastava** (2010) 12 SCC 538; **K.J.S. Buttar v. Union of India & Anr.** (2011) 11 SCC 429; **Asger Ibrahim Amin v. Life Insurance Corporation of India** (2016) 13 SCC 797; **Davinder Singh v. Union of India & Ors.**, Civil Appeal No. 9946 of 2016 order dated 20.09.2016; and **Union of India v. SGT Girish Kumar**, Supreme Court Order dated 13.07.2018 in Civil Appeal Diary No.21811 of 2018.

**Union of India Through its Secretary & Ors. v.
SGT Girish Kumar and Ors. Etc.**

7. Learned counsel appearing for the ex-servicemen, on the other hand, submitted that the right to claim arrears crystallised only upon the decision of this Court dated 10.12.2014, which is a judgment *in rem*. It was argued that denial or restriction of arrears of disability pension would amount to deprivation of a vested and recurring right, and that the issue is no longer *res integra*. In support of the aforesaid submissions, reliance has been placed on the decisions of this Court³ and decisions of the Tribunal⁴.

(iv) ISSUE FOR CONSIDERATION

8. The solitary issue which arises for consideration is whether the benefit of arrears of disability pension can be restricted to three years prior to filing of the original applications before the Tribunal.

(v) REASONS AND ANALYSIS

9. The statutory framework governing disability pension under the Pension Regulations for the Army, 1961 and the Pension Regulation for the Army, 2008, unequivocally recognises the entitlement of personnel retiring or discharged with disability attributable to or aggravated by military service to disability pension.
10. The Director (Pensions), Ministry of Defence, Government of India, issued instructions dated 31.01.2001 regarding the implementation of government decisions on the recommendations of the Fifth Central Pay Commission regarding disability pension/war injury pension / special family pension / liberalized family pension / dependent pension / liberalized dependent family pension for the Armed Forces Officers and Personnel below the rank retiring, invalidating or dying in harness on or after 01.01.1996. Para 7.2 of the aforesaid instructions provides that where an Armed Forces personnel is invalidated out

3 Order dated 01.09.2025 of Civil Appeal No.11311 of 2025 in Union of India & Ors. v. Reet MP Singh & Anr.; KJS Buttar v. Union of India (supra); Union of India v. Ram Avtar (supra); Ex Sigman Dharam Singh v. Union of India (Civil Appeal No.3882/2009); Davinder Singh v. Union of India (supra); Madan Prasad Sinha v. Union of India & Ors. (2019) 15 SCC 232; Union of India & Ors. v. Piyush Bahuguna (Order dated 25.03.2022 passed in Diary No.10713/2021) and Bijender Singh v. Union of India & Ors., 2025 SCC Online SC 895.

4 Ram Avtar v. Union of India (Judgment dated 04.08.2010); Piyush Bahuguna v. Union of India (Judgment dated 10.10.2018) and Harbans Lal v. Union of India and Others (Order dated 24.05.2018 in OA No.1789 of 2018).

Supreme Court Reports

under the circumstances mentioned in para 4.1, the extent of disability or functional incapacity shall be determined for the purposes of computing the disability element in the following manner: -

Percentage of disability as assessed by Invalidating Medical Board	Percentage to be reckoned for computing of disability element
Less than 50	50
Between 50 and 75	75
Between 75 and 100	100

11. By a communication dated 20.07.2006 issued by Adjutant General's Branch, integrated headquarters of Ministry of Defence (Army), removed the disability cap of 20% in respect of invalidment due to disability attributable to Military Service course after 01.01.1996. The Department of Ex-Servicemen Welfare, Ministry of Welfare, Government of India, addressed a letter dated 19.01.2010 to Chiefs of all the three services. The said letter states that on the basis of the recommendations made by the committee, it has been decided to extend the benefit of broad banding of percentage of disability/war injury as provided in para 7.2 of the instructions dated 31.01.2001 to all the officers and Armed Forces personnel who were invalidated out of service prior to 01.01.1996 and are in receipt of disability/war injury pension as on 01.07.2009. However, it was clarified that wherever the disability element/war injury element of pension in pre 01.01.1996 cases were not allowed for disability being accepted as less than 20% at the initial stage or subsequent stage on reassessment of the disability, the same will continue to be disallowed and such cases will not be reopened.
12. However, the instructions dated 31.01.2001 denied the benefit of broad banding of disability pension to ex-servicemen who superannuated from the services with disabilities. The validity of the aforesaid instructions insofar as it deprived the benefit of broad banding of disability pension to ex-servicemen was challenged before the Tribunal. The Tribunal by an order dated 04.08.2010 struck down the aforesaid instruction to the limited extent and held that ex-servicemen who superannuated with disabilities are also entitled to the benefit of broad banding of disability pension.

**Union of India Through its Secretary & Ors. v.
SGT Girish Kumar and Ors. Etc.**

13. The validity of the orders passed by the Tribunal was challenged in batch of appeals. A three-Judge Bench of this Court in **Union of India and Others v. Ram Avtar** (supra), by an order dated 10.12.2014 dismissed more than 800 appeals filed by the Union of India challenging grant of broad banding of disability element by tribunals to Armed Forces Personnel other than ‘invalidated out’ from service. This Court ruled that an Armed Force Personnel retiring on completion of tenure with disability aggravated by or attributable to Military Service is eligible for broad banding of disability pension/element. This Court directed all the Courts and Tribunals to take note of the judgment and further directed Union of India to give effect to the orders passed by this Court within six weeks.
14. During the interregnum, between 31.01.2001 and 10.12.2014, the rights of disability pensioners remained in a state of suspension, the issue relating to broad banding of disability pension having not attained finality at the hands of this Court. The legal position continued to be uncertain until it was settled by a three-Judge bench of this Court in **Union of India & Others v. Ram Avtar** (supra). The judgment rendered on 10.12.2014 removed the impediment that had hitherto obstructed the exercise of the right of ex-servicemen, otherwise entitled, to seek broad banding of their disability pension.
15. Pension, as authoritatively settled by this Court, is neither a bounty nor an *ex gratia* payment dependent upon the grace of the State. It is a deferred portion of compensation for past service and, upon fulfilment of the governing conditions, matures into a vested and enforceable right. Pensionary entitlements, therefore, partake the character of property, and cannot be withheld, reduced, or extinguished except by authority of law⁵. This principle applies with full vigour to disability pension, which is grounded not merely in length of service, but in the impairment suffered by a member of the Armed Forces in the course of, or attributable to, the service rendered to the nation. The disability pension is not a matter of largesse, but a recognition of sacrifice made in service of the nation.
16. The Union of India, as a model employer, is expected to act with fairness, consistency and even-handedness in the administration

⁵ D.S. Nakara v Union of India, 1983 AIR SC 130, State of Jharkhand & Ors. v. Jitendra Kumar Srivastava & Anr., AIR 2013 SC 3383, Vijay Kumar v. Central Bank of India & Ors., 2025 INSC 848

Supreme Court Reports

of benefits conferred upon those who have served the nation. When a benefit is recognised by a policy and affirmed by judicial pronouncement, its application cannot be selective or uneven. The judgment rendered by a three-Judge Bench of this Court in **Ram Avtar's** case (supra) was a judgment in *rem* and, therefore, the benefit of same ought to have been extended by Union of India to the eligible ex-servicemen instead of requiring them to file original applications before the Tribunal seeking their entitlement.

17. It is pertinent to note that the Union of India itself had taken a conscious policy decision to pay arrears of disability pension to all eligible ex-servicemen from 01.01.1996 or 01.01.2006, as the case may be. This position is clearly borne out from paragraph 2 of the letter dated 15.09.2014 issued by Deputy Secretary (Pension), Government of India, to Chiefs of Army, Navy and Air Force. The similar intent is also evident from paras 3 and 6 of the letter dated 10.10.2018 issued by Director, Department of Pension and Pensioner's Welfare, Government of India, wherein civilian Medical Officers were granted revised disability benefit from 01.01.1996 or 01.01.2006.
18. The aforesaid communications reflect a conscious and deliberate policy choice on the part of Union of India to confer upon all eligible pensioners the benefit of arrears of disability pension with effect from 01.01.1996 or 01.01.2006, as the case may be. In view of decision of this Court in **Ram Avtar** (supra), the Government of India, by an order dated 18.04.2016, expressly conveyed its approval to the Chiefs of the Army, Navy and Air Force for implementation of the directions issued by the Courts and Tribunals granting the benefit of broad banding of the disability element to Armed Forces Personnel who had retired or were discharged on completion of engagement with disability, attributable to or aggravated by military service, from the date specified in the respective judicial orders.
19. The order dated 18.04.2016 was a conscious policy determination taken with full financial concurrence. Thus, where the State itself, by a conscious policy decision, has determined that arrears of disability pension are payable from a specified cut off date, it is not open to it to subsequently resile and contend that such arrears ought to be confined to a period of three years preceding the claim. To permit such a course, would amount to acknowledging the right in principle while denying its substantive content in effect. Any such deprivation

**Union of India Through its Secretary & Ors. v.
SGT Girish Kumar and Ors. Etc.**

of accrued arrears which has become due to ex-servicemen in view of judicial determination as well as policy decision taken by the Union of India itself, would constitute deprivation of property and would amount to infraction of Article 300A of the Constitution of India.

20. This Court has, in a consistent line of decisions⁶, recognised that right to receive disability pension is a valuable right and once found due, the benefit of the same has to be given from the date it became due. The same cannot be curtailed by restricting the benefit to a period of three years preceding the filing of the original application. In the absence of any compelling reason to take a different view, we find no justification to depart from the view consistently taken by this Court.
21. The contention advanced on behalf of the Union of India that the claim for arrears of disability pension is barred by Limitation Act, cannot be accepted. The issue with regard to broad banding of disability pension attained finality only on 10.12.2014. Thereafter, Union of India in the order dated 18.04.2016 addressed to Chiefs of Army, Navy and Air Force acknowledged in clear terms that arrears of disability pension were to flow from 01.01.1996 without any curtailment. Therefore, in the facts and circumstances of the case, the contention that the claims of ex-servicemen were barred by limitation does not deserve acceptance.
22. The reliance placed by the appellant on the decision of a two-Judge Bench of this Court in **Tarsem Singh** (supra) is of no assistance to it, as the legal landscape did not remain static after decision in **Tarsem Singh**. Subsequently, a three-Judge Bench of this Court in **Ram Avtar** (supra), decided the issue of applicability of instruction dated 31.01.2001 and the aforesaid decision is *in rem*. For, yet another reason, the decision in **Tarsem Singh** (supra) has no application to the case in hand as ex-servicemen in the instant appeals are already in receipt of disability pension and are only seeking re-computation of the disability pension. The right to approach the Tribunal accrued to ex-servicemen only on 10.12.2014 i.e., when the decision in **Ram Avtar** (supra) was rendered by this Court. Therefore, the bar contained in Section 22(1)(c) of the Act has no application to the

⁶ K.J.S. Bhuttar v. Union of India & Anr., (supra); Davinder Singh v. Union of India & Ors. (supra); Madan Prasad Sinha v. Union of India & Ors., (supra); Piyush Bahuguna (Order dated 25.03.2022 passed in Diary No.10713/2021) and Bijender Singh v. Union of India (supra)

Supreme Court Reports

claims filed by the ex-servicemen before the Tribunal. In the facts and circumstances of the case, we find that the original applications filed by the ex-servicemen do not suffer from any delay or laches disentitling them from claiming the relief of arrears of disability pension. Thus, the objections founded on the delay and limitation are without any merit.

(vi) CONCLUSION

23. For the foregoing reasons, we do not find any merit in the appeals filed by the Union of India. Accordingly, the appeals filed by the Union of India are dismissed. The orders passed by the Tribunal which have been impugned in Civil appeals filed by the ex-servicemen i.e. in Civil Appeal Nos.8286-8287 of 2018, Civil Appeal No.1555 of 2024, Civil Appeal @ Diary No.34570 of 2019, Civil Appeal No.3091 of 2024 and Civil Appeal No.1724 of 2023, in so far as they restrict the benefit of arrears of disability pension to three years preceding the filing of original application are quashed and set aside. The appellants in the aforesaid appeals are held entitled to disability pension including the benefit of broad banding, due to them, with effect from 01.01.1996 or 01.01.2006, as the case may be, along with interest @ 6% per annum. Accordingly, the aforesaid appeals are allowed. Pending applications, if any, are disposed of.
24. There shall be no order as to costs.

Result of the case: Appeals by the Union of India dismissed.
Appeals by the ex-servicemen allowed.

[†]Headnotes prepared by: Nidhi Jain

